

**SALVADOR  
OF THE  
TWENTIETH  
CENTURY**

**By  
PERCY F. MARTIN**

**SALVADOR  
OF THE  
TWENTIETH  
CENTURY**

**By  
PERCY F. MARTIN**

# **The Project Gutenberg eBook of Salvador of the Twentieth Century**

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg License included with this eBook or online at [www.gutenberg.org](http://www.gutenberg.org). If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

Title: Salvador of the Twentieth Century

Author: Percy F. Martin

Release date: March 9, 2014 [eBook #45102]

Most recently updated: October 24, 2024

Language: English

Other information and formats: [www.gutenberg.org/ebooks/45102](http://www.gutenberg.org/ebooks/45102)

Credits: Produced by Adrian Mastronardi, Julia Neufeld and the  
Online Distributed Proofreading Team at  
<http://www.pgdp.net>  
(This file was produced from images generously made  
available by The Internet Archive/American Libraries.)

\*\*\* START OF THE PROJECT GUTENBERG EBOOK SALVADOR OF  
THE TWENTIETH CENTURY \*\*\*

---

## SALVADOR OF THE TWENTIETH CENTURY

WORKS BY  
PERCY F. MARTIN, F.R.G.S.

---

### MEXICO OF THE TWENTIETH CENTURY

With Map, and more than 100 Illustrations. 2 Vols.

Demy 8vo. 30s. net.

"Will take its place as a standard work of reference on the country."—  
*Truth.*

### PERU OF THE TWENTIETH CENTURY

With Map, and 43 Illustration. I Vol. 15s. net.

### SALVADOR OF THE TWENTIETH CENTURY

With Map, and 48 Illustrations. 1 Vol. 15s. net.

LONDON : EDWARD ARNOLD

---



**"THE COLOURS."**  
**THE SALVADOREAN FLAG, SUPPORTED BY**  
**CADETS OF THE SCHOOL FOR CORPORALS AND**  
**SERGEANTS.**

---

**SALVADOR**  
**OF THE**  
**TWENTIETH CENTURY**

BY

**PERCY F. MARTIN, F.R.G.S.**

AUTHOR OF  
"THROUGH FIVE REPUBLICS OF SOUTH AMERICA," "MEXICO OF  
THE TWENTIETH  
CENTURY," "PERU OF THE TWENTIETH CENTURY," ETC.

NEW YORK  
LONGMANS, GREEN & CO.,  
LONDON: EDWARD ARNOLD

1911

*[All rights reserved]*

---

## PREFACE

"And so I penned  
It down, until at last it came to be,  
For length and breadth, the bigness which you see."

BUNYAN: *Apology for his Book.*

While it is quite reasonable to hope for a consistent improvement among the Central American nations, and as easy to discern the extent of amelioration which has already occurred, it is necessary to bear in mind some of the causes which have hitherto conduced to the turbulence and the tragedies which have characterized government by some of these smaller Latin Republics.

Many writers, who can know but little of the Spanish race, have attributed the early failures of the States which broke away from the Motherland, not only to lack of stability, but to a radical psychological defect in the national character. This is a decided mistake, for the Spanish people, both in their individual and in their collective character, are fully as capable of exercising the rights, and of enjoying rationally the benefits, of self-government as any other nation of the world. The patriots and heroes who distinguished themselves in the early days of these young Republics, while themselves descendants of the Spaniards, generally speaking, and having only in a few cases Indian blood in their veins, had to combat against all the ambition and avarice, all the pride and prejudices, of the Church-ridden land which had set its grip upon New Spain, and meant, if possible, to keep it there. But it was not possible, and in a few decades was witnessed their complete expulsion as rulers from the countries which had been won by the flower of Spain's soldiery, and lost by the exercise of Spain's oppression and greed.

While the early history of the Latin-American Republics contains much to distress, and even to depress, the reader, it is impossible to avoid paying a tribute to the band of gallant men who fought so desperately in the cause of freedom, and eventually won it. It is not just to say, as so many historians

have said, that the highest incentives of these men to action were the favours of artificial and hereditary greatness, with the accumulation, by whatsoever means, of that wealth by which such favours might be purchased. Undoubtedly some mercenary motives were at work, as they usually are in political upheavals of this nature. Does anyone imagine, for instance, during the disturbances which occurred in Mexico early in the present year, and which were personally assisted by United States citizens, that low mercenary motives were lacking? Does anyone imagine that the numerous North American filibusters who took part in the fighting, first on the Texas borders, and then in Mexico itself, had any idea of assisting a persecuted people to free themselves from the yoke of a tyrant? Or was it not the glamour of golden lucre to be paid to them, and the promise of the much-coveted land across the Rio Grande del Norte, that impelled these young Yankees to throw in their lot with the rebels, trusting to their own complacent Government at Washington to see them through—as it actually did—any trouble which might happen to them if they proved to be upon the losing side?

It would perhaps be equally correct to describe the early Spanish conquerors as greedy adventurers, since they never had any ideas of benefiting the countries or the people whom they afflicted so sorely. It is true that they encountered fearful dangers, displayed unheard-of bravery, overturned empires, and traversed with bloody steps an entire continent; but it was to aggrandize the Crown of Spain and to fill their own empty pockets with golden spoil, which, once secured, witnessed the fulfilment of their ambitions.

It was, moreover, from this veritable horde of greedy tyrants that in later days the peoples of these nations sought to obtain, and finally did obtain, their freedom; their experiences of the Spanish Viceroys, with their courts more brilliant and more corrupt than that at Madrid itself; the persecutions of the Church, which has left a record in Latin-America more bloody and more barbarous than even in Europe; the deafness shown by the Spanish Crown whenever an appeal for consideration or clemency was addressed to it—all these things conduced to that upheaval which has taken over one hundred years to consummate and fructify.

It was, then, against all this that the people of Central America were called upon to fight. Can anyone be surprised at the demoralization which



occurred in their own ranks when their efforts to secure their freedom from Spain were once crowned with success? History shows many other such instances; indeed, bad as is the record of the earliest days of Latin-American self-government, it by no means stands without parallel. The objects—beyond a desire to be free from the brutal tyranny of the Spanish Viceroy—of the Latin-American revolutionists were never very clearly defined or well understood. Neither was any preconceived or organized plan ever made or carried out in connection with the French Revolution.

Some historians are of opinion that the revolutionists of Central America originally contemplated the establishment of an independent Kingdom or Monarchy which should comprise the ancient Vice-Royalty, or, as it was called, the "Kingdom of Guatemala." But there is little evidence that any such notion was generally popular. Among the body of office-seekers and hangers-on of royal Courts it may, of course, have been regarded with favour. But the Provisional Junta, which was convoked immediately after the separation from Spain, showed a great majority of Liberals, who, in spite of the pressure brought to bear upon them, and the personal danger in which they stood, proceeded boldly to administer the oath of absolute independence, and to convoke an assembly of patriots which should organize the country on the basis of Republican institutions. The effort which was made later on through French machinations to establish a monarchy in Mexico failed dismally, as had the previous efforts put forward by the Mexicans themselves, when Iturbide was made—or, to be more correct, made himself—Emperor for a very brief period.

The people of Central America were but few in number, and were widely distributed over the face of the country. It took several weeks to get into communication with some of the outlying districts, and the diffusion of the newly-created voters prevented them from becoming in any way a united people, or even cognizant of what was being done in their name. In fact, while anxiously awaiting the intelligence that their Junta was about to issue the long-looked-for Republican Charter, the people of Salvador received the startling and disastrous news that their country was to be incorporated into the Mexican Empire. They had been basely betrayed, and it is small wonder that they stood aghast at the colossal nature of that betrayal.

Terrible indeed was the position for the newly-arisen Republic of Salvador. The men whom they had sent to attend the Junta at Guatemala

City were met and overawed by armed bands; their deliberations were forcibly interrupted and suspended; some of them, such as Bedoya, Maida, and others, were ruthlessly assassinated, while their own leader and President of the Provisional Junta, one Gainza, turned traitor and went over to the enemy under promise of a high post in the new royal Government.

Salvador was the nearest province to Guatemala, and the centre of Liberalism. It was not long before the patriots of this country took up arms in the defence of their newly-acquired freedom, and when they did theirs was practically the first battle which was fought upon Central American territory by Central Americans among themselves. Unfortunately, it was by no means the last; and history bristles with instances of terrible internecine warfare—of father arrayed against son, brother against brother, and of whole families, once united in bonds of love, wrenched asunder, never again to be reconciled this side of the grave. For years following, the soil of this beautiful land was drenched with human blood, its energies crippled, its resources abandoned. Are we justified in supposing that the end has come? I verily believe that, if it has not actually arrived, it is at least in sight.

It must be remembered that the people of Central America are no longer an uneducated and unduly excitable race, except, perhaps, where their personal honour and independence are concerned; they possess an exceedingly clear and precise knowledge of their prospective or immediate requirements; they have as enlightened leaders among them as ever their powerful Northern neighbour possessed or possesses: all that they ask, and all that they should be granted, is the freedom to manage their own affairs in their own way and in their own time. A well-known writer upon Central America, who visited these countries some five-and-fifty years ago, declared: "Even as it was no one, whatever his prejudices, could fail to perceive the advance in the manners and customs, and the change in the spirit, of the people of Central America during the ten years of freedom which the Constitution secured." If that was true then, it is doubly, trebly true to-day, when education and foreign travel have served to open the minds and broaden the tolerance of these people, who may reasonably be permitted, and even earnestly encouraged, to work out their own salvation. By free and unrestricted intercourse with the nations of the world this can best be effected, and day by day is proving the truth of the saying of Dr.

Johnson: "The use of travelling is to regulate imagination by reality, and, instead of thinking how things *may* be, see them as they *are*."

*October*, 1911.

---

# CONTENTS

## CHAPTER I

PAGES

Discovery of Salvador—Scenery—Volcanoes—Separation of Salvador from Spanish dominion—Central American Confederation—Attempts to reconstruct it—General Barríos—Lake Ilopango—Earthquake results—Remarkable phenomena—Public roads—Improvement under Figueroan Government [1](#)-12

## CHAPTER II

Government—Executive power—Chamber of Congress—The Cabinet—Justice—The courts—Prisons and prisoners—Employment and treatment—Police force—How distributed—Education—Colleges and schools—State-aided education—Teaching staffs—Primary education—Posts and telegraphs—Improved interstate parcels post [13](#)-35

## CHAPTER III

Biographical—The President, Dr. Manuel E. Araujo—The ex-President, General Figueroa—The Cabinet—Dr. don Francesco Dueñas, Minister for Foreign Affairs—Dr. don Teodosio Corranza, Home Affairs—Dr. Gustavo Baron, Public Instruction—Ingeniero Peralta Lagos—Dr. Castro V.—Don Eusebio Bracamonte—Don Miguel Dueñas—Department of Agriculture—Señor Carlos Garcia Prieto, Finance and Public Credit [36](#)-48

## CHAPTER IV

Government finances—London Market appreciation of Salvador bonds—History of foreign debt—Salvador Railway security—Central American Public Works Company—Changing the guarantee—Financial conditions to-day—Public debt at end of 1909—Budget for 1910-11—Small deficit may be converted into surplus—Summary [49](#)-60

## CHAPTER V

Salvador *versus* Honduras and Nicaragua—Attitude of the President—Proclamation to the people—Generals Rivas and Alfaro—Invasion of Salvador—Ignominious retreat of enemy—Conciliatory conduct of General Figueroa—Character of Salvadorean people—Treachery of Zelaya [61](#)-73

## CHAPTER VI

Outbreak of hostilities between Salvador, Honduras, Nicaragua, and Guatemala—Discreditable conduct of Nicaragua proved—Failure of United States and Mexican intervention—Dignified and loyal attitude of General Figueroa—Warning to Honduras—President Davila used as Zelaya's cat's-paw—The former's subsequent [74](#)-85

regret—Central American Court of Justice trial of claim for damages and result of judgment

## CHAPTER VII

The Army—Division of forces—Active reserve—Auxiliary—Republic's fighting strength—Military education—Strict training—Excellent discipline—Schools and polytechnics—Manual exercise—Workshops and output—Economies in equipments—Garrison services—Barracks—Destruction of Zapote Barracks—[86-95](#)  
New constructions at Capital, Santa Ana, Santa Tecla, Sitio-del-Niño, Ahuachapán, Cojutepeque, San Miguel—Annual expenditure

## CHAPTER VIII

British Minister to Salvador—Lionel Edward Gresley Carden—British Legation hospitality—Mrs. Carden—Government indifference to valuable services—British Vice-Consul—No report for twenty years—Foreign Office neglect—United States [96-109](#)  
Minister—Valuable trade information from American Legation—Salvadorean relations with Washington

## CHAPTER IX

United States information for traders—Improved Consular services—United States and Salvador Government—Bureau of Pan-American Republics—Mr. Mark J. Kelly—Exceptional services—The American Minister, Major W. and Mrs. Heimké—[110-119](#)  
Salvadorean Minister to U.S.A., Señor Federico Mejía—Central American Peace Conference and the United States

## CHAPTER X

Latin-American trade and British diplomacy—Serious handicap inflicted by the British Government—Sacrificing British interests—Why British trade has been lost to Salvador—United States trade with Salvador—German competition—Teutonic [120-136](#)  
characteristics—Britain's free trade principles—Severe American rivalry—United States Steel Company's methods

## CHAPTER XI

British trade declines—Suggested remedy—Distributing centres—Trading companies and branches—Unattractive cheap goods—Former hold on Salvadorean markets—Comparative statistics between Great Britain, Germany, and the United States—[137-149](#)  
Woollen and cotton goods—Absence of British bottoms from Salvadorean ports—Markets open to British manufacturers—Agricultural implements

## CHAPTER XII

British fire apparatus—Story of a British installation—Coffee and sugar machinery—Cane-mills—Fawcett, Preston and Co.'s installations—High reputation enjoyed by British firms—United States coffee equipment—German competition—Methods [150-165](#)  
of German commercial travellers—Openings for British trade—Effect of Panama Canal—Libel upon Salvador manufacturers—Salvador Chamber of Commerce

## CHAPTER XIII

Systems of business—Long credits—British and United States methods *versus* German—Making "good" stock losses—Question of exchange—Effect upon business—Drafts and speculators—Customary terms of payment—Central American banks as [166](#)-180 agents—Prominent Salvadorean banks—The Press of the Republic—Prominent newspapers—Some of their contributors—Central American Press Conference

## CHAPTER XIV

Mining—Ancient workings—Precious metals found—Copper deposits—Iron ores—Treatment of ores in England—Difficulties of transport—Some deceased authorities—Mines in operation—Butters' Salvador mines—History of undertaking [181](#)-195—Large profits earned—Directorial policy—Machinery and equipment—Butters' Divisadero Mines—Butters' cyaniding plant

## CHAPTER XV

Transportation—Salvador Railway Company—Early construction—Gauge—Bridges—Locomotives—Rolling-stock—*Personnel* of railway—Steamship service—Extensions—Increasing popularity—Exchange and influence on railway success—[196](#)-215 Importers *versus* planters—Financial conditions—Projected extensions—Geological survey—Mr. Minor C. Keith's Salvador concession

## CHAPTER XVI

Ports and harbours—La Unión—Population—Railway extensions—Lack of British bottoms—Carrying trade—H.B.M. Vice-Consul—Port of Triunfo—Improving the entrance—Proposed railway—Acajutla—Loading and unloading cargoes—[216](#)-227 Proposed improvements—Salvador Railway connections—La Libertad—Commandante and garrison—Loading and unloading cargoes—Cable station and the service provided by Government—The staff of operators

## CHAPTER XVII

Agriculture—Government support and supervision—Annual productions—Agricultural schools—Cattle-breeding—Coffee—Sugar—Tobacco—Forestry—Rice—Beans—[228](#)-246 Cacao—Balsam—Treatment by natives

## CHAPTER XVIII

Departments: Capital cities—Population—Districts—Salvador Department—City of San Salvador—Situation—Surroundings—Destruction in 1854 by earthquake—[247](#)-255 Description of catastrophe—Loss of life actually small—Evacuation of city—Recuperative faculty of the people

## CHAPTER XIX

City of San Salvador—San Salvador as place of residence—Theatres—Parks—Streets—Hotels—Domestic servants—Hospitality of residents—Societies and associations—Educational establishments—Government buildings—Religion and [256](#)-275 churches—Casino—Hospitals and institutions—Disastrous conflagrations—Public monuments

## CHAPTER XX

Department of Chalatenango—Rich agricultural territories—Annual fair—Generally prosperous conditions—Department of Cuscutlán—City of Cojutepeque—Industries—Cigar factories—Volcanoes—Lake of Cojutepeque—Department of [276](#)-286  
Cabañas—Scenic features—Feast of Santa Barbara—Department of San Vicente—Public buildings and roads

## CHAPTER XXI

Department of La Libertad—Physical characteristics—Balsam Coast—Santa Tecla—Department of Sonsonate—Life and hotels—Department of Ahuachapán—City of Ahuachapán—Public buildings and baths—Projected railway extension—[287](#)-299  
Department of Santa Ana—Chief city—Generally prosperous conditions

## CHAPTER XXII

Department of La Paz—Characteristics—Zacatecoluca—Population—Former proportions—Districts—Towns—Principal estates—Santiago—Nonualco—San Juan Nonualco—Climate—Water-supply—Santa Maria Ostuma—Mercedes la Ceiba—San Pedro Mashuat—Some minor estates—Small property holdings [300](#)-305

## CHAPTER XXIII

Department of San Miguel—Postless coast—Indigo plantations—City of San Miguel—Cathedral—Water-supply—Archæological interests—Projected railway [306](#)-310  
connections

Department of Morazán—City of Gotera—Mountains and fertile plains—Agricultural produce [310](#)-311

Department of La Unión—Boundaries—Scenery—Guascorán River—Industries—Commerce [311](#)-313

Department of Usulután—Physical characteristics—Volcanic curiosities—Surrounding villages—Populations—El Triunfo—Santiago de Maria [313](#)-316

CONCLUSION [317](#)-320

INDEX [321](#)-328

---

# LIST OF ILLUSTRATIONS

|                                                                                                                                                                                | FACING PAGE                         |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|
| "The Colours"                                                                                                                                                                  | <a href="#"><u>Frontispiece</u></a> |
| Views on New National Road, between San Vicente and Ilopango                                                                                                                   | <a href="#"><u>8</u></a>            |
| H. E. Dr. Manuel Enrique Araujo, President of the Republic of Salvador 1911-1915                                                                                               | <a href="#"><u>18</u></a>           |
| The 3rd Company, Sergeants' School, in Review Order                                                                                                                            | <a href="#"><u>28</u></a>           |
| Company in Line, Sergeants' School                                                                                                                                             | <a href="#"><u>28</u></a>           |
| Section of Riflemen kneeling, Sergeants' School                                                                                                                                | <a href="#"><u>28</u></a>           |
| General Fernando Figueroa, President of the Republic of Salvador 1907-1911                                                                                                     | <a href="#"><u>38</u></a>           |
| Dr. Artúro Ramón Ávila, Consul-General for the Republic of Salvador to Great Britain, appointed May, 1911                                                                      | <a href="#"><u>46</u></a>           |
| Artillery on Parade-Ground, San Salvador Barracks                                                                                                                              | <a href="#"><u>60</u></a>           |
| Colonel's Quarters, School of Sergeants                                                                                                                                        | <a href="#"><u>70</u></a>           |
| Officers' Club-Room, School of Sergeants                                                                                                                                       | <a href="#"><u>70</u></a>           |
| Penitentiary at San Salvador                                                                                                                                                   | <a href="#"><u>78</u></a>           |
| Officers' Club-Room, Military Polytechnic School                                                                                                                               | <a href="#"><u>78</u></a>           |
| Colonel, Adjutant, and Captains of Company                                                                                                                                     | <a href="#"><u>86</u></a>           |
| Cadet Corps, School of Sergeants                                                                                                                                               | <a href="#"><u>86</u></a>           |
| Mr. Lionel Edward Gresley Carden, C.M.G., H.B.M. Minister-Resident at Salvador (as well as at Guatemala, Nicaragua, and Honduras)                                              | <a href="#"><u>98</u></a>           |
| Front of Sergeants' School, San Salvador                                                                                                                                       | <a href="#"><u>108</u></a>          |
| Typical Street in San Salvador, showing Style of One-Storey Houses                                                                                                             | <a href="#"><u>108</u></a>          |
| Mr. Mark Jamestown Kelly, F.R.G.S., for Fifteen Years Consul-General in Great Britain for Salvador (retired June, 1911), and Chairman of the Salvador Railway Company, Limited | <a href="#"><u>114</u></a>          |



|                                                                                                                                   |                            |
|-----------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Side-view of "El Rotulo" Bridge                                                                                                   | <a href="#"><u>118</u></a> |
| The National Road leading to La Libertad, showing "El Rotulo" Bridge                                                              | <a href="#"><u>118</u></a> |
| Entrance to Avenida La Ceiba at San Salvador                                                                                      | <a href="#"><u>130</u></a> |
| The Famous Avenida under Construction                                                                                             | <a href="#"><u>130</u></a> |
| View of the New Avenida leading to San Salvador, taken from the North                                                             | <a href="#"><u>140</u></a> |
| View of the Picturesque Town of Marcala                                                                                           | <a href="#"><u>150</u></a> |
| El Parque Barrios, one of the most Beautiful Public Resorts in Central America                                                    | <a href="#"><u>162</u></a> |
| Government Building ("Casa Blanca"), San Salvador                                                                                 | <a href="#"><u>178</u></a> |
| Campo de Marte (Racecourse), San Salvador                                                                                         | <a href="#"><u>178</u></a> |
| 1. View of Butters' Divisadero Mines, Department of Morazán, Salvador                                                             | <a href="#"><u>188</u></a> |
| 2. Butters' Salvador Mines, Santa Rosa, Department of La Unión, Salvador                                                          | <a href="#"><u>188</u></a> |
| Map of the Salvador Railway                                                                                                       | <a href="#"><u>198</u></a> |
| Deck Bridge on Salvador Railway                                                                                                   | <a href="#"><u>206</u></a> |
| Station Building at Santa Ana on the Salvador Railway                                                                             | <a href="#"><u>206</u></a> |
| Mr. Charles T. Spencer, General Manager of the Salvador Railway, appointed May, 1911                                              | <a href="#"><u>222</u></a> |
| Don Juan Amaya, Governor of the Department of Cuscutlán                                                                           | <a href="#"><u>222</u></a> |
| Native Habitation in the Hot Country                                                                                              | <a href="#"><u>232</u></a> |
| Native making Sugar from a Primitive Wooden Mill                                                                                  | <a href="#"><u>232</u></a> |
| A Street in Sonsonate (Calle de Mercado)                                                                                          | <a href="#"><u>242</u></a> |
| Type of "Quinta" or Country-House in Santa Tecla (New San Salvador)                                                               | <a href="#"><u>242</u></a> |
| Public Park in San Salvador, where Throngs of Well-dressed People assemble in the Evening to listen to an Excellent Military Band | <a href="#"><u>258</u></a> |
| New National Palace at San Salvador                                                                                               | <a href="#"><u>268</u></a> |
| Theatre at Santa Ana, Department of Santa Ana                                                                                     | <a href="#"><u>268</u></a> |
| Cathedral of Sonsonate, Department of Sonsonate                                                                                   | <a href="#"><u>274</u></a> |
| Public Park at Cojutepeque, Department of Cuscutlán                                                                               | <a href="#"><u>284</u></a> |
| Barracks at Cojutepeque, Department of Cuscutlán                                                                                  | <a href="#"><u>284</u></a> |

|                                                                                                                     |                            |
|---------------------------------------------------------------------------------------------------------------------|----------------------------|
| Municipal Palace at Sonsonate, Department of Sonsonate                                                              | <a href="#"><u>294</u></a> |
| Group of Salvadoreans of the Superior Working-Class                                                                 | <a href="#"><u>314</u></a> |
| The "Stately" Offices of His Britannic Majesty's Vice-Consul<br>at La Unión, one of the Principal Ports in Salvador | <a href="#"><u>306</u></a> |
| Barracks at Santa Tecla (New San Salvador)                                                                          | <a href="#"><u>306</u></a> |
| Map of the Republic of Salvador                                                                                     | <i>At end</i>              |

---

# **SALVADOR OF THE TWENTIETH CENTURY**



# CHAPTER I

Discovery of Salvador—Scenery—Volcanoes—Topographical features—Mountain ranges—Natural fertility—Lake Ilopango—Earthquake results—Remarkable phenomena—Disappearance of islands—Public roads improvement and construction under Figueroa government.

It was in the year 1502 that Christopher Columbus, that remarkable and noble-minded Genoese, undeterred by the shameful treatment meted out to him by his adopted countrymen in Spain, sailed away to the East Indies in search of a new passage; and it was in consequence of the mutiny among his ruffianly followers that, putting into Hispaniola, Salvador was discovered. For something over 300 years Spain ruled, and ruled brutally; the history of her government here—as elsewhere through Latin America—being one long series of oppressions, cruelties and injustices practised upon the unfortunate natives and the Spanish residents alike. The ill-treatment extended to Columbus is but a case in point.

Lying on the Pacific Ocean, between the parallels of 13° and 14° 10' N. latitude, and the meridians of 87° and 90° W. longitude, Salvador has a coast-line of about 160 miles, extending from the Bay of Fonseca to the River Paz, which is one of the boundaries between this Republic and the neighbouring State of Guatemala. While Salvador is the smallest of the five different countries forming the Central American group, boasting of but 9,600 square miles, it not alone possesses some of the richest and most beautiful territory, but has the densest population as well as the most considerable industry and the most important commerce.

Very remarkable are the topographical features of Salvador, and very profound is the impression created upon the traveller's mind as he approaches it for the first time through the beautiful Bay of Fonseca, with its wealth of tropical scenery, the romantic islands and the background of noble mountains, afforested to the tops of their numerous peaks, and filling the mind with awe at the memory of their numerous destructive eruptions through the centuries.

The coast here presents, for the greater part, a belt of low-lying, richly wooded alluvial land, varying in width from ten to twenty miles. Behind this, and displaying an abrupt face seawards, rises a noble range of coast mountains—or rather a broad plateau—having an average elevation of 2,000 feet, and relieved by numerous volcanic peaks. It is not the height of these mountains that lends so much dignity and beauty, for, as mountains go, they would be considered as anything but remarkable. It is their extraordinary formation, their almost terrible proximity, and their long and terrifying history, which challenge the attention of the individual who gazes upon them for the first time.

Between the range and the great primitive chain of the Cordilleras beyond, lies a broad valley varying in width from twenty to thirty miles, and being over 100 miles in length. Very gently the coastal plateau subsides towards this magnificent valley, which is drained and abundantly watered by the River Lempa, and is unsurpassed for natural beauty and fertility by any equal extent of country in the tropics.

The northern border of this terrestrial paradise—so far as the eye can judge it—rests upon the flank of the mountains of Honduras, which tower skywards about it to the height of 6,000 to 8,000 feet, broken and rugged to the very summits. To the south of the Lempa, however, the country rises from the immediate and proper valley of the river, first in the form of a terrace with a very abrupt face, and afterward by a gradual slope to the summit of the plateau.

Then comes another curious physical feature—a deep, green, and wooded basin of altogether unique scenic beauty and fertility, formed by the system of numerous small rivers which rise in the western part of the country around the feet of the volcano Santa Ana, falling finally into the sea near Sonsonate. This formation is in the shape of a triangle, the base resting on the sea, and the apex defined by the volcano. A second and even a larger basin is that of the River San Miguel, lying transversely to the valley of the River Lempa, in the eastern division of the State, and separated only by a number of smaller detached mountains from the Bay of Fonseca.

Approaching the Salvadorean coast upon any of the steamers which run there, one is confronted with no fewer than eleven great volcanoes, which literally bristle along the east of the plateau which has been mentioned as

intervening between the valley of the Lempa and the sea. As a boy and a keen philatelist, I always wondered why Salvador postage-stamps had a group of three active and terrible-looking volcanoes upon their faces. When I visited that country for the first time I understood. The long row of sentinels, grim, yet extraordinarily beautiful, form a right line from north-west to south-east, accurately coinciding with the great line of volcanic action which is clearly defined from Mexico to Peru. Commencing on the side of Guatemala their order is as follows: Apaneca, Santa Ana, Izalco, San Salvador, San Vicente, Usulután, Tecapa, Zacatecoluca, Chinameca, San Miguel, and Conchagua. There are others of lesser note, besides a family of extinct volcanoes, whose craters are sometimes filled with water, as well as numerous volcanic vents or "blow-holes," which the natives not inaptly call *infiernillos*, *i.e.*, "little hells!" Even the apparently harmless and beautiful island of Tigre, which occupies the centre of the Bay of Fonseca, and a veritable picture of scenic grandeur, is a slumbering volcano, and has a history at once interesting and terrifying. The memorable Cosieguina, El Viejo, Felica, and Momotombo, in Nicaragua, face El Tigre on the other side.

The most beautiful of the Republic's many volcanic lakes is that of Ilopango, on the borders of which is situated the village of the same name, with a scattered population of between 1,400 and 1,500 people. The lake is some 6·85 miles long from west to east, about 5·11 miles wide, with an area of 25·1 square miles and a developed shore-line of 28·8 miles. The late President of the Republic, General Fernando Figueroa, was kind enough to place a steam-launch at my disposal, which enabled me to see the lake under the most favourable auspices, and in company with his nephew, Señor Angulo, I spent several interesting hours upon its calm, deep green surface. This lake has been the scene of numerous remarkable volcanic phenomena, the most recent of which took place a few weeks after my visit, and resulted in the centre islands, which were one of its most charming features, completely disappearing beneath the surface of its waters.

In January, 1880, the lake had also been the scene of a severe earthquake, which shook the entire surrounding country. Upon this occasion the waters suddenly rose about 4 feet above their usual level, and, flowing into the bed of the Jibóa—a stream which forms the usual outlet from the lake—increased it to the proportions of a broad and raging river, which soon made

for itself a channel from 30 to 35 feet in depth. A rapid subsidence in the level of the lake was thus produced, and by March 6 in the same year the surface was 34 feet below its maximum. It was then that the rugged and stony island, about 500 feet in diameter, and which I have mentioned above, suddenly rose over the waters, reaching to a height of 150 feet above the level of the lake and being surrounded by several smaller islands, the waters all around becoming intensely hot. Previous to this extraordinary phenomenon, the bottom of the lake, so I was informed, had been gradually rising, and so violent was the flood when it occurred, that the small village of Atuscatla, near the outlet, was entirely destroyed.

Some years afterwards—namely, in February, 1892—while some severe earthquakes were taking place in Guatemala, their reflex was felt in the same spot—Atuscatla, on Lake Ilopango—Lieutenant Hill, who was then making investigations in Salvador on behalf of the United States Government, declaring that a shock was felt lasting fifteen seconds, and then continued with gradually decreasing force for a further one minute and five seconds.

When I was a visitor to Ilopango, there were two extremely comfortable hotels to be found on the banks, both having some very convenient bathing facilities to offer, and each having a beautiful garden attached. During the hot season, and upon Sundays and all holidays, these hotels are crowded with visitors from San Salvador, who ride out in parties, there being no other mode of reaching the lake. The road is a truly beautiful one, travellers crossing numerous streams and passing through shady, blossom-covered woods, containing many magnificent trees. By moonlight this route appears remarkably picturesque, and many people prefer to make the journey thus. Ilopango is some four hours' ride from the capital, and the journey across the lake usually occupies another two or three hours in an electric or naphtha launch. The hotels and bathing establishments, however, are located upon the side of the lake nearest to San Salvador.

The outline of the beautiful Ilopango Lake, when last surveyed, was quite accurately determined by means of intersections from the various topographical stations. Its surface in January, 1893, was found to be 1,370 feet (417·6 metres) above the sea. Its actual depth the surveyors had no means of ascertaining; its basin, however, is far below the general level of the surrounding ridges, which are all volcanic. Those to the north and east

are formed of layers of sand and ashes partially compacted, yellowish in colour, and throwing out spurs towards the lake, terminating in steep bluffs. West of the lake the ground rises to the San Jacinto Hills; but the soft material composing it has been eroded into a maze of sharp ridges and deep gulches. The eastern hills are also broken into a succession of knife-like ridges.

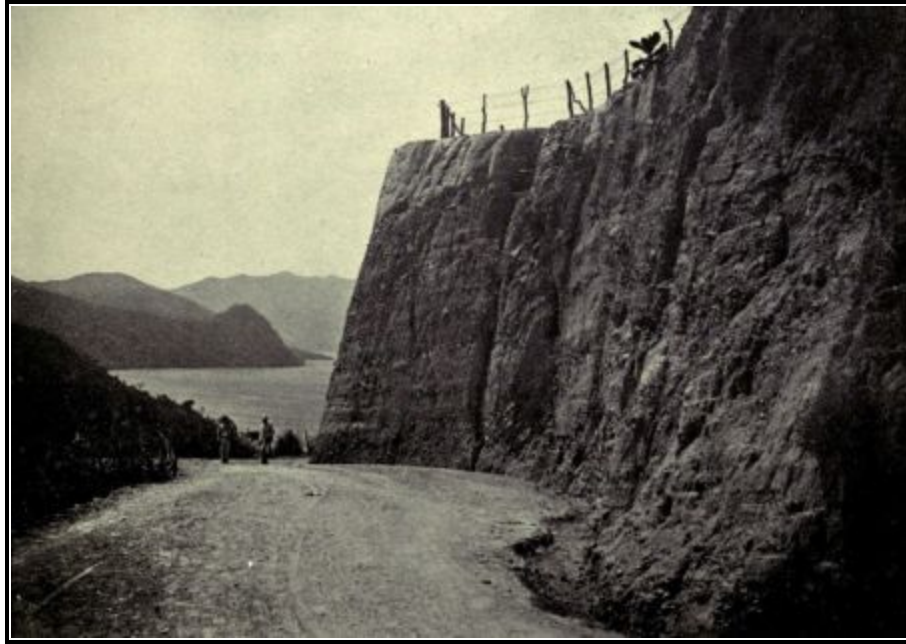
Professor Goodyear, a famous American geologist, has said that the southern hills consist entirely of volcanic materials, but are of a much harder and firmer structure than those of the north and east, being composed largely of conglomerates containing boulders well cemented together. The lake is situated upon the volcanic axis of the country, and has long been the seat of numerous earthquakes and active volcanic phenomena, the most violent of recent times being those of 1879 and 1880. According to the same Professor Goodyear, there was a series of earthquake shocks, some of great violence, extending from December 22 to January 12, 1880, followed by a period of quiet until the night of January 20, when, after a series of loud reports and explosions, followed by violent hissings and dense clouds of steam, a mass of volcanic rock rose from the centre of the lake to a height of 58 feet (17·7 metres). Previous to this the bottom of the lake had been gradually rising until January 11, and the waters had been lifted to maximum height of 5·2 feet above their usual level. This sudden rise converted the outlet from a small stream—not over 20 feet wide and a foot deep, and with a current of two or three miles per hour—into a raging torrent discharging as much water as a great river. So violent was the flood that the small village of Atuscatla, situated near the outlet, was as stated, destroyed, and the channel was so widened and deepened that the waters of the lake fell 38·6 feet (11·75 metres) from the highest point reached, or 33·4 feet (10·17 metres) below their original level. During the time of this flood the Rio Jibóá, which carries off the waters of the lake, was enormously swollen and became very muddy, and in the lower portion overflowed its banks, flooding broad tracts of the plain. By the middle of February, 1880, the lake adjusted itself to the new conditions, and since that time, until the visitation of last year (1910), there had been no great change in its level; the variations at present going on are due to the excess of precipitation during the rainy months over that which is prevalent in the dry season.



Anyone who had seen Salvador, say, ten years ago, and who revisited it to-day, would assuredly be impressed by the great improvement which has taken place in, and the extension of, both the main and sub-roads of the Republic. Whereas in former times the roads were only passable in the dry season, and were even then very trying to travellers on account of the dust encountered, while in the wet season they became mere morasses, to-day they are in the majority of cases so well built and so carefully maintained that even in the wet season of the year it is quite possible to use them.

This great improvement has been brought about mainly by the enterprise of the late President, General Fernando Figueroa, who evinced a keen and consistent interest in opening up new means of communication by making public roadways of enduring worth, his excellent work being actively continued by his present successor.





**VIEWS ON NEW NATIONAL ROAD, BETWEEN SAN VICENTE AND ILOPANGO.**

The main routes of communication in Salvador run longitudinally through the country, from Rio Paz and the city of Ahuachapán on the west, to La Unión and the Rio Guascorán on the east. From this central line, which connects all the important cities and towns of the interior, other roads run out like spurs to the towns and the cities to the northward, or to those of the coast to the southward. Thus, from Santa Ana there is a road north to Metapán, and one south to Sonsonate and Acajutla. Ahuachapán also has a road to Sonsonate via Ataco and Apaneca, two towns which are located high up in the mountains. At Sitio de Niño, on the Salvador Railway line, there is a road northward to Opico. Here, also, the main road to the city of San Salvador divides, one branch going north to the volcano of that name, and the other to the south of it via the famous Guarumál Ravine and Santa Tecla. From the city of San Salvador there are roads north to Chalatenango via Tonacatepeque, and south to the port of La Libertad via Santa Tecla.

Cojutepeque is connected by road to the towns of Ilobasco and Sensuntepeque to the north-east. San Vicente has a road to the port of La Libertad, running south-west via Zacatecoluca. At San Vicente the main east and west road separates, one branch going to the north of the Tecapa-San Miguel group of volcanoes, via the cities of Jucuapa and Chinameca to San Miguel, and the other south via the city of Usulután. San Miguel has

several roads leading in all directions. There is one north to the town of Gotera, another north-east to the Mining District via Jocoró and Santa Rosa, which continues to the principal crossings of the Rio Guascorán; and there is yet another, running nearly due east to La Unión, on the Gulf of Fonseca.

I was in the country while construction was proceeding in connection with the Ilopango-San Vicente road improvements, and I was much impressed with the thoroughness of the work being undertaken. The new construction was some 40 kilometres long by  $6\frac{1}{2}$  to 7 metres in width (say 20 to 25 feet). It was commenced in 1906, and it will be finished by the end of next year (1912). It is estimated to cost not less than 350,000 pesos. It is a purely Government undertaking, and ranks as one of the most important highways in the Republic. At first over 250 men were employed, but as the work progressed this number was reduced to 200. The highest part of the road is cut through the side of the mountain at 210 metres (say 700 feet) above the shore of Lake Ilopango. The steepest gradient is 7 per cent., and the minimum radius 20 feet. The most expensive part was that between Kilometre 14 and Kilometre 13, where extremely hard rocks have had to be cut through. At one point ten men were engaged for a period of nine months upon the most difficult part, and they were suspended from above by ropes, in order to reach and to cut down the massive timber trees obstructing progress.

The Chief Engineer engaged by the Government to undertake this contract is Señor Don Juan Luis Buerón, a German by birth, having seen the light at Königsberg; but he is a United States citizen by adoption. Señor Buerón is now seventy-eight years of age, and although he is getting rather beyond active hard work, his valuable experience and shrewd judgment are much appreciated by the Government in all such matters as road construction. He has built many public roads in North America, he told me, and was also responsible for laying the track of the Havana (Cuba) tramways. This interesting old engineer had also gained some experience in Mexico before the days of Maximilian (1857-1869). He now occupies a position of comfort, and enjoys the deep respect of the hundreds of *peons* who call him master. Señor Juan Buerón junior, the son, is an equally capable road engineer, and assists his father in his work for the Government of Salvador.

Another road deserving of mention is that which has been put under the charge of the official engineer, Don Guillermo Quirós, and one which unites the town of Santiago-de-María with the port of Linares, on the River Lempa, passing through Alegría. The section from Santiago-de-María to Alegría has been completed, and it was officially inaugurated while I was in the Republic; the journey from Berlín to the River Lempa can now be continued with much greater celerity. Very considerable are the advantages that this highway has brought to that part of the country, in which are situated the most valuable coffee plantations, whose owners now find far greater conveniences for bringing the berry to the port of El Triunfo, since the road leading to this place has also been repaired and widened to facilitate the transit by beasts of burden. The official engineer, Don Manuel Aragón, has been occupied with the planning and opening of a road from Citalá, in the department of Chalatenango, to Metapán, in the department of Santa Ana. The road leading from this capital to the port of La Libertad is likewise the object of attention. The official engineer, Don Andrés Soriano, with a gang of foremen and labourers, have been working for several months past repairing it.

This highroad continually needs very large sums of money for maintenance. The repairs which in former years have been carried out have proved anything but lasting, owing to the serious mistakes in construction of an engineer who put into practice certain untried experiments, which completely failed.

It is necessary now to remedy this mistake, and drains and aqueducts have had to be constructed on the road where none previously existed, to avoid, in the rainy season, destruction by the strong currents of water rushing over it. The official engineer, Don Alberto Pinto, was occupied during a good part of the year 1908 upon road works, having made many alterations, improvements and widenings in the roads of the Departments of San Miguel, La Unión, Usulután, Chalatenango, Santa Ana and Cabañas.

On the way from Mercedes to Jucuapa, and also upon the road to San Miguel, it is proposed to construct a bridge of stone and mortar, at the place called Barrancas de Jucuapa; the chief engineer, Señor Pinto, has already made an estimate and sent in the corresponding plans. The cost will amount to a little more or a little less than \$10,000.



## CHAPTER II

Early Days of independence—"Central American Federation"—Constitutional Presidents—Executive power—Chamber of Congress—The Cabinet—Justice—The courts—Prisons and prisoners—Employment and treatment—Police force—How distributed—Education—Colleges and schools—State-aided education—Teaching staffs—Primary education—Posts and telegraphs—Improved interstate parcels post.

The breaking away from Spanish dominion (although the seeds of revolution were laid as far back as 1811) did not take place until ten years later, and coincided with the successful termination of the struggle for liberty which occurred in Mexico under the patriot priest Hidalgo. Salvador gained its freedom, comparatively speaking, without bloodshed; and on September 15, 1821, it was declared a free and independent State. In the year following an attempt was made to annex the country to the Mexican Empire, under the rule of the ambitious and unscrupulous Emperor Agustin Yturbide, during his very brief reign, in 1822. As history relates, this presumptuous Mexican was born in Valladolid (now known as Morelia) on September 27, 1783, and he was sentenced to death and shot on July 19, 1824.

It is to the credit of Salvador that it was the one Central American State which firmly resisted the invasion of the Mexican troops; but in the end it had to submit to a far superior force, commanded by General Filisola, and was then formally incorporated into the Mexican Empire. This humiliation endured, however, for a very brief time, since in the following year Yturbide met his violent death, after which a Constitutional Convention was called, and in 1824 a Federal Republic was declared bearing the name of the "Central American Federation." This was composed of the five States—Salvador, Guatemala, Honduras, Nicaragua and Costa Rica—the first President being General Manuel José Arce.

Party jealousies and personal ambitions, however, soon brought about disintegration, and in spite of the efforts of some far-seeing patriots, who considered that in union alone lay the hope of peace, security and prosperity for their country, the form of government proved wholly impracticable. Nevertheless it continued for a few years to struggle along, General

Francisco Morazán, doing his best to maintain order and to save the union from disruption. Notwithstanding all his efforts, the Federation was dissolved in 1839, and the five States again became independent Sovereign Republics. Three years later General Morazán unwisely made another effort to reunite the countries; but his attempt was treacherously rewarded by a conspiracy against his life, followed by his execution in San José, Costa Rica, in the month of September, 1842.

Since his death various attempts have been made from time to time, to reunite the several Republics, the last effort of this kind having been prosecuted by General Zelaya, perhaps one of the most unscrupulous and dishonest, as well as one of the cruellest, Spanish-Americans who has ever attained supreme power. Whatever chances of success a United Central America might have had, under the auspices of a Zelaya it could have never met with anything but failure. General Zelaya, in spite of frantic efforts to maintain his position, was himself chased from Nicaragua in 1909, and is now said to be living in Europe upon the proceeds of the money which he is declared to have filched from his country during his long and oppressive reign.

In the year 1885, General Justo Rufino Barrios, President of Guatemala, had sought to accomplish what Morazán had failed to do; but his efforts ended equally in disaster. On August 13, 1886, the Constitution which is at present in force was promulgated, and General Menéndez was elected as first President under that Constitution by popular vote in 1887, for the term ending in 1890. He was succeeded by General Carlos Ezeta, who was inaugurated on March 1, 1891. The third President was General Rafael Gutierrez. Then followed General Tomás Regaládo; Don Pedro José Escalón; General Fernando Figueroa; and the ruling President, Doctor Manuel Enrique Araujo.

The form of government in vogue is that of a free, sovereign and independent Republic—that is to say, democratic, elective, and representative. The Constitution now in existence is contained in a code of articles. The Government is divided into Legislative, Executive, and Judicial sections. The Legislative power is vested in the National Assembly, which is composed of one Chamber, and having the title of the National Chamber of Deputies. This consists of 42 members, three Deputies being elected for each Department by direct popular vote for a term of one year,

the right to vote being vested in every male citizen who is over eighteen years of age. It is to be observed that every Salvadorean is not only privileged, but is compelled to vote, thus doing his duty to the State.

The Executive consists of a President and a Vice-President, who are elected by popular vote for a term of four years. In addition to being Chief Magistrate, the President is also Commander-in-Chief of the Army. In the event of a failure to elect the Executive, a President is chosen by a majority of votes in the Congress from among the three candidates having polled the largest number of votes in the popular election. He is not eligible for re-election either as President or as Vice-President until four years shall have elapsed. The date of the Executive's inauguration is on March 1 following the election, which is usually held in the month of November.

The administration of each of the fourteen different Departments is in the hands of a Governor, who is selected by the President from personal knowledge of both his capacity and temperament. Besides administering the civil affairs of the territory under his jurisdiction, this official is usually either a military man or one possessed of adequate military knowledge; and he is thus Commandant of the military of his Department.

It was my pleasure to meet, and spend some considerable time in the company of, many of the Governors of the different Departments, and I was deeply impressed with their general thoroughness of purpose, their keen desire in all cases to further the interests of their Departments, and to apply to their benefit any and every advantage which could be adapted from the governments of other countries.

The municipalities, on the other hand, are managed entirely by their own officials, all of whom are elected by the people themselves. The officials comprise an Alcade, or Mayor, a Syndic and several Regidores, or Aldermen, these being numbered according to the size of the population. A good deal of competition exists for office, and at the time of election much amusement is derived from watching the canvassing in progress. There is a decidedly healthy appearance of municipal enterprise in most of the towns of Salvador, and, taking these as a whole, they seem to be uncommonly well administered. In the accepted sense of the word, there is no real poverty, no slums, no crying "graft" scandal demanding redress, as in our much-vaunted civilization, and such charities as are rendered necessary in



the form of hospital relief and medical attention are rendered cheerfully and as a matter of course, entailing neither a favour nor a dependence upon either party.

In Salvador, as in all the Latin-American Republics, the President is a reality, and not a mere figure-head. He makes his presence felt, and yet, in a perfectly constitutional manner; he associates the form of a democracy with the reality of government. For many years past the people have had, and have to-day, an excellent example of a thoroughly sensible and dignified Chief Executive, who has firmly upheld the good name of the country and piloted it with a strong, and even masterly, hand through a maze of difficulties. Of General Fernando Figueroa as of Doctor don Manuel Enrique Araujo, it may truthfully be said that they have kept before them a lofty ideal of the honour of their nation, and one which has been the one incentive in guiding their policy. The whole demeanour of these distinguished men has been productive of the country's esteem, while their real qualities for administration have not been denied even by their most determined political opponents.

The *personnel* of the present Ministry in Salvador reflects the best intelligence and the greatest administrative ability of that country, the President having selected from among the former members of the Cabinet, and added to their number, such persons as enjoy the confidence of the majority of the Congress; and he has retained them as his advisers and his coadjutors so long as, and not longer than, that confidence continues. The present Cabinet consist of the following:

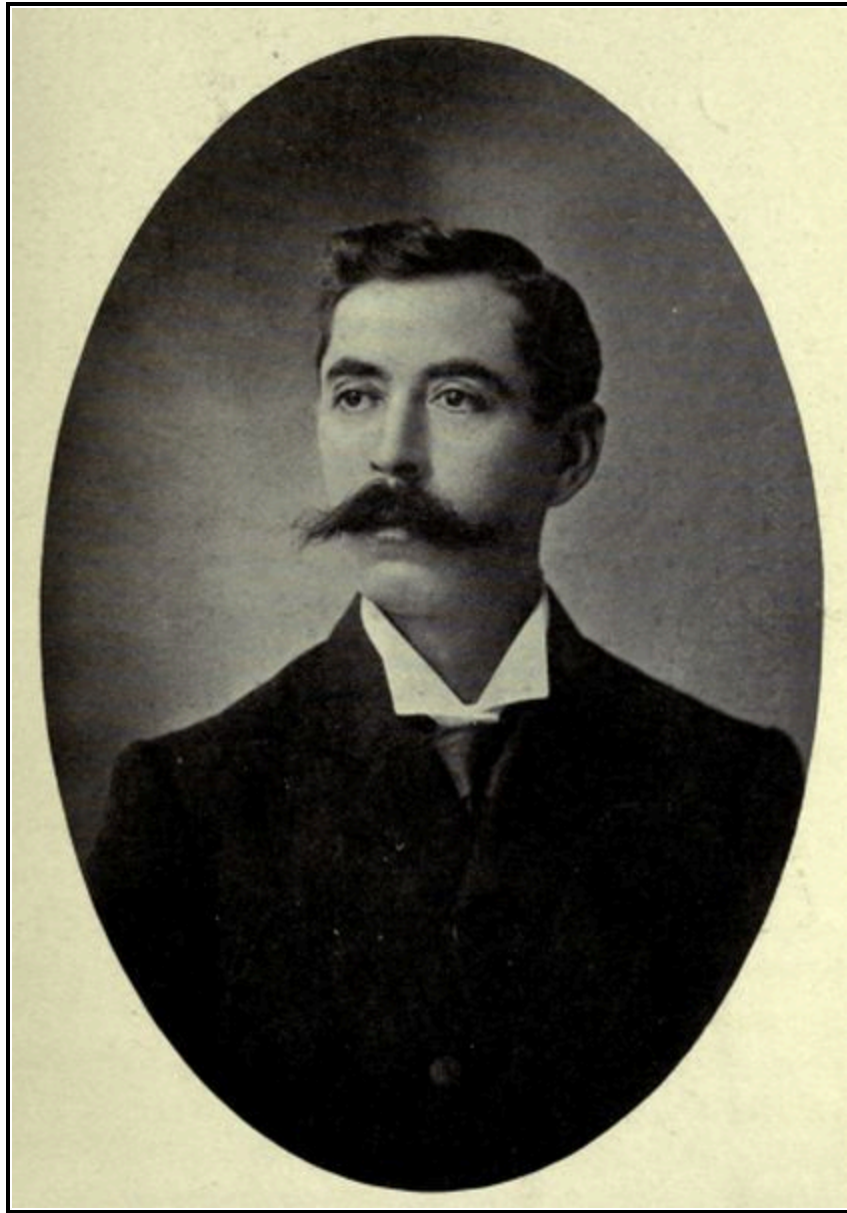
#### MINISTERS OR SECRETARIES OF STATE.

Foreign Affairs, Justice and Beneficence: Doctor don Francisco Dueñas. Interior, Industry ("Fomento"), Public Instruction and Agriculture: Doctor don Teodosio Corranza. Finances and Public Credit: Don Rafael Guirola, D.

#### SUB-SECRETARIES OF STATE.

Foreign Affairs: Doctor don Manuel Castro, R. Justice and Beneficence: Doctor don José Antonio Castro, V. Interior: Doctor Cecilio Bustamente. Industry ("Fomento"): Ingeniéro José Maria Peralta Lagos. Public Instruction: Doctor Gustavo Baron. Agriculture:

Don Miguel Dueñas. Finance and Public Credit: Don Carlos G. Prieto.  
War and Marine: Don Eusebio Bracamonte.



**H. E. DR. MANUEL ENRIQUE ARAUJO;  
PRESIDENT OF THE REPUBLIC OF SALVADOR 1911-  
1915.**

Perhaps it is the Ministry of the Interior which is charged with the most numerous and most important sections. Upon this Department depend the General Direction of the Post-Office; the General Direction of the Telegraph and Telephones; the General Direction of Police; the Direction of

the National Printing Establishment; the Direction of the Superior Council of Health; the General Direction of Vaccination, as well as of the Municipal Treasury and many other small offices that complete the establishments included in the public administration.

The number of measures carried out by this one Ministry during the years 1907 and 1908 amounted, more or less, to 3,600. The subjects that came under the jurisdiction of the Secretaryship of State are also many and complex; and in order to attain results they demand both constant attention and an intimate knowledge of the administrative laws, the many special regulations, the numerous statutes and dispositions which exist, as well as any quantity of minor laws.

The Judicial Power is vested in a Supreme Court, which holds its sittings in the city of San Salvador; two District Courts, which are also held in the city; District Courts which are held in the cities of Santa Ana, San Miguel, and Cojutepeque, as well as periodical Circuit Courts held in different districts; and there is a long list of Justices of the Peace.

The Justices of the Supreme Court are elected by the National Assembly for a term of two years, while the Judges of the First and Second Instance are appointed by the Supreme Court for a term of two years. The Justices of the Minor Courts are elected by popular vote.

As in most Latin-American countries, the course of justice is not always speedy, all depositions, no matter how trivial the case under trial may be, nor whether it be civil or criminal, having to be laboriously written out, "examination-in-chief" and "cross-examination" being practices little known. Naturally, an immense amount of valuable time is thus consumed, and the results are anything but conclusive.

To a considerable extent the administration of justice in Central America is based upon the same principles as those in force in the United States, and it is generally admitted, especially by those who have suffered from them, that these are far from perfect. The theory of Latin-American justice is excellent, such theory being that every man is entitled to justice speedily and without delay, freely and without price. We all know that this is not the experience of litigants generally, and in no part of Latin America can the administration of justice be considered entirely perfect. Salvador is not worse off than any of its neighbours in this respect, while, on the other

hand, there is a decided amount of respect entertained for the judiciary, and few verdicts have been given which have called forth any protest, nor many rulings handed down which have excited conflict among the public.

Travellers in Latin-American countries, more often than not such as pay but a very superficial visit to those lands, are in the habit of drawing pitiful pictures of the cruelty practised upon prisoners and injustice shown towards litigants, and they indulge in harrowing accounts of "nauseating filth," "poisonous stench," "germs of disease," "bad food," and numerous other, blood-curdling horrors. However true such descriptions of some countries are, and I rather imagine that most of them are the outcome of vivid imagination on the one hand and of blind prejudice upon the other, it is certain that nothing of this kind can be truthfully said about Salvador.

It would be ridiculous to suppose that this Republic more than any other builds luxuriously-equipped and comfortable prison-houses, to act as an encouragement for the committing of crime. The object of punishment, we are told, is prevention of evil, and we all know that under no circumstances can it be made incentive to good. The punishments inflicted upon Salvadorean prisoners are based upon much about the same scale as in other countries; but the physical condition of the prisoners as a whole is infinitely better than that which is to be met with in any other Latin-American country, with the two exceptions of Peru and Mexico.<sup>[1]</sup> Of all three countries I may say with every justice that the present prison system is of a much more lenient and humane nature than that of any other country in either the old or new world. I state this deliberately and after having visited most of the prisons in Latin-American Republics, as well as many of those to be found in Europe and the United States.

It is the object of the Government of Salvador to make as much use of prisoners' services as is legitimate, and at the same time to find for them intelligent and useful occupations. While hard work is not always compulsory, and is not always an accompaniment of a sentence to imprisonment, every encouragement is offered to prisoners to engage themselves in some kind of work; and in many instances substantial payments are derived from some of the work thus undertaken, all such payments being carefully preserved for the use of the prisoners, and handed over to them at the time of their release. Thus, for instance, in the Penitenciaría Central, at San Salvador, which is the chief penal

establishment in the Republic, many of the prisoners are engaged in making furniture for the public offices, as well as military and police uniforms, boots, etc., likewise for use in the army and the police force. I am not sure whether any payment is made to prisoners for this kind of contribution; but in other penal establishments which I visited I observed that the prisoners were making baskets, mats, toys, and other small articles, which were offered to visitors for a trifling sum, and in other cases were sent to the public market for sale.

At the Penitenciaría at Santa Ana the same method was in vogue with regard to employing prisoners, some remarkably good furniture, police clothing, and military boots and shoes, being turned out here also. In this establishment, as well as in others, the utmost cleanliness prevails. The long rows of airy and well-ventilated cells are well lighted, the walls and ceilings being whitewashed and the floors, built of red brick, kept scrupulously clean. No furniture of any kind is allowed to remain in the cells during the day, but at night mattresses with clean blankets are thrown down side by side, and the prisoners sleep with their day-clothes folded up and placed under their heads or deposited under the mattresses.

In other cells there are light canvas or wooden cots of an easily detachable nature, which are folded up and put away during the daytime, so that the cells are always free from encumbrances of any kind. Prisoners are allowed to move about freely (unless under very severe punishment due to violence) from the cells to the yard, and most of them are engaged during the daytime in weaving baskets, sewing materials, or doing some other kind of work which may be congenial to them. They are not compelled to wear any special form of clothing nor a degrading uniform, while some are even permitted to smoke.

Although strictly guarded by armed soldiers, I did not, when I visited these establishments, witness a single instance of brutality or overbearing demeanour on the part of these guardians; on the other hand, there seemed to be a sort of fraternity between them and their wards, chatting and laughter proceeding, apparently, without objection upon the part of the Governor or Superintendents.

The area of the prison cells was in no case less than 10 feet by 6 feet, and in some instances it was found to be considerably larger. All ablutionary

exercises take place in the paved yard of the prison, and prisoners are compelled to bathe at least once a week in the open air; those who are so inclined may take a bath once every day. The food, which I had the opportunity of tasting, seemed thoroughly wholesome and plentiful, meat being provided in quantities as well as boiled maize, beans (frijoles), and coffee of excellent quality.

I can only repeat that, from close personal observation, I am unable to endorse any of the harrowing descriptions of prison barbarities, which I have referred to above, as applying in any way to Salvadorean penitentiaries.

Considerable attention has been paid to the establishment and maintenance of a thoroughly efficient Police Force, by the late Director-General, General Enrique Bará, who has studied the question of Police administration in Europe and the United States, and has applied most of the good points which he found existing there to the Police organization in the Republic of Salvador.

All Police are under the control of the Minister of the Interior—Ministerio de Gobernación—although the organization itself is a military one. The severest discipline is maintained, and the men are moderately well paid. They seem, moreover, to be drawn from the better classes instead of from the worst, as is so often, unfortunately, the case in some parts of Latin America.

All the larger towns, such as Santa Ana, San Miguel, Sonsonate, La Unión, etc., have their own well-organized Police Force, each placed under a responsible officer, but all of them directly dependent upon, and subject to control from, the Capital. Especial care is taken to organize both the day and night corps, and, as a consequence of the strictness which is maintained, very few robberies, and scarcely any murders, take place nowadays in the Capital or chief towns.

The Superior Officers of the Police Force consist of the following:

- 1 Director-General.
- 1 Sub-Director.
- 1 Secretario de la Dirección (Secretary to the Director-General).
- 1 Tesorero Específico (Special Treasurer).

- 1 Instructor.
- 1 Ayudante de la Dirección (Adjutant to the Director).
- 1 Juez Especial de Policia (Special Police Magistrate).
- 1 Secretario del Juzgado de Policia (Secretary to the Police Magistrate).
- 1 Guarda-Almacén (Storekeeper).
- 1 Escribiente de la Dirección (Amanuensis to the Director).
- 1 Escribiente del Juzgado (Amanuensis to the Magistrate).
- 1 Escribiente de la Comandancia (Amanuensis to the Commandant).
- 1 Medico del Cuerpo (Doctor to the Corps).
- 1 Practicante (Assistant-Surgeon).
- 1 Telegrafista (Telegraphist).
- 3 Barberos (Barbers).
- 2 Asistentes (Assistants).

The present Director-General of the Police is General Gregorio Hernández A., who was appointed in the month of May last (1911).

The Capital is divided up into seven different districts or zones, each zone being policed as follows:

- Zone 1: 1 Comandante (Chief Superintendent in Charge), 1 Sergeant, 4 Inspectors, and 60 Policemen.
- Zone 2: Same as Zone 1.
- Zone 3: 1 Comandante, 1 Sergeant, 3 Inspectors, and 60 Policemen.
- Zone 4: 1 Comandante, 1 Sergeant, 2 Inspectors, and 64 Policemen.
- Zone 5: 1 Comandante, 1 Sergeant, 2 Inspectors, and 64 Policemen.
- Zone 6: 1 Comandante, 1 Sergeant, 2 Inspectors, and 56 Policemen.
- Zone 7: 1 Comandante, 1 Sergeant, 2 Inspectors, and 40 Policemen.

In this last zone the policemen are mounted.

The different Departments are also well policed, as follows:

New San Salvador (Santa Tecla), having 1 Comandante (Superintendent and Director), 2 Inspectors, and 40 Policemen.

Sonsonate: 1 Comandante (Superintendent and Director), 1 Sub-Director, 1 Secretario, 3 Inspectors, and 32 Policemen.

Cojutepeque: 1 Director, 2 Inspectors, and 25 Policemen.

Atiquizaya: 1 Director, 1 Inspector Secretario, 1 Sub-Inspector (or Second Inspector), and 15 Policemen.

San Vicente: 1 Comandante (Director), 3 Inspectors, and 21 Policemen.

Ahuachapán: 1 Director, 1 Secretario, 3 Inspectors, and 27 Policemen.

Chalchuápa has two Zones, which are policed as follows: *First*: 1 Director, 2 Inspectors, and 27 Policemen. *Second*: 1 Director, 2 Inspectors, and 18 Policemen.

Santa Ana: 1 Director, 1 Sub-Director, 1 Secrétario, 1 Guarda-Almacen, 2 Escribientes, 150 Policemen, 1 Comandante de Dragones, 1 Sergeant, and 40 Mounted Men.

San Miguel: 1 Director, 1 Sub-Director, 4 Inspectors, and 57 Policemen.

La Unión: 1 Director, 1 Sub-Director, 3 Inspectors, and 40 Policemen.

Zacatecoluca: 1 Director, 2 Inspectors, and 18 Policemen.

The total *personnel* of the Salvadorean Police Force is as follows:

In the Capital (including the Superior Officers above mentioned) 454 men.

|                                |     |   |
|--------------------------------|-----|---|
| New San Salvador (Santa Tecla) | 43  | " |
| Sonsonate                      | 38  | " |
| Cojutepeque                    | 28  | " |
| Atiquizaya                     | 18  | " |
| San Vicente                    | 25  | " |
| Ahuachapán                     | 32  | " |
| Chalchuapa                     | 20  | " |
| Usulután                       | 21  | " |
| Santa Ana                      | 174 | " |
| San Miguel                     | 63  | " |
| La Unión                       | 51  | " |
| Zacatecoluca                   | 21  | " |



Total

988 men.

The Government of Salvador are of opinion, and very rightly so to my thinking, that inasmuch as education is compulsory it ought to be free, since the State, by depriving parents of the labour of their children, entails some sacrifices on them. It has also relieved them of the burden of paying any kind of school fees; and this in a country like Salvador, which possesses naturally a great proportion of humble inhabitants, to whom the payment of even the lightest fees would appear an immense taxation, means a great deal. To organize a system of collecting fees from among the people living long distances from the Capital would also have been onerous; and the Government saves all this, and many other outlays, while procuring the best results from its educational system. The benefits arising, moreover, will be reaped by future generations, since a liberal education is a matter in which all citizens are interested; and there is certainly no hardship in calling upon all to contribute by means of a moderate tax towards that end.

As I have said, the happiest results have been achieved by the Government's broad and comprehensive system of education in Salvador. The authorities combine with the municipalities in carrying out their arrangements, and the teachers of both sexes are drawn from among the best and most cultured classes of the community.

There has been established since July, 1907, a Board of Education (Junta de Educación), which is subject to the directorship of a specially-appointed Minister and Sub-Secretario of Public Instruction. In the month of November, 1907, an important conference was summoned, and held meetings at the Capital, at which the curriculum to be adopted was fully discussed, and the plans for the carrying on of all places of private and public education was entirely reorganized. The whole system of conducting elementary, normal, and advanced schools, holding day and night classes, granting scholarships and holding periodical examinations, has now been placed upon a thoroughly sound and comprehensive basis; and it is only just to say that in this respect the Republic of Salvador compares most favourably with any country in Europe, or with any educational system in the United States of America.

The education of the sexes is conducted in the same elementary schools, and not only is this found an economy, but the feminine mind is found here

(as in Scotland and elsewhere) to become strengthened when put through the curriculum given to boys and men. Competition is greater between the sexes than between rivals of the same sex, and a correspondingly higher standard of achievement is obtained. It has been found in Latin America, where until recent years women were kept in ignorance and were denied the attainment of any but social positions in the community, that constant intercourse between the sexes had led to a more perfect development of character, and had materially diminished shyness. Marriages are now made of a safer kind, and a new and more intelligent class of citizen is springing up, all of which facts will tend in due course to bring about a more complete political settlement and the introduction of permanent order among the people. Although by no means as yet extinct, the conventual existence for the women of Salvador is fast diminishing, and they are commencing to realize the advantages and pleasures of living under freer and less morbid conditions than formerly.

Santa Ana seems to be essentially the educational centre of the Republic; for whereas schools, colleges, and Universities are to be found in all of the Departments, in Santa Ana there are no fewer than thirty-three such establishments, besides several private schools and seminaries. San Salvador has between 6 and 7 important educational institutes, and many small private schools; Cuscutlán has 8 or 9; La Paz, 7 or 8; Sonsonate, 5 or 6; while Ahuachapán, Chalatenango, Cabañas, San Vicente, La Unión, Morazán, and La Libertad, are all similarly well provided.

The teaching staff at present employed under Government control numbers something over 1,100, and is divided up into Directors, Sub-Directors, Auxiliary Professors, these being composed of both the male and the female sex. These latter are in a small minority, but, still, there are over 278 Lady Directors, over 120 Sub-Directors, and 100 Professors.



**THE 3RD COMPANY, SERGEANTS' SCHOOL, IN REVIEW  
ORDER.**



**COMPANY IN LINE, SERGEANTS' SCHOOL.**



**SECTION OF RIFLEMEN KNEELING, SERGEANTS'  
SCHOOL.**

The proportion of pupils matriculating is extremely high, and in this respect the girls come very close in point of number, as also in the number of marks obtained, to the boys. The Government provides all the necessary books, stationery, models, apparatus, etc., for the use of the pupils, and these latter are not put to one penny expenditure for anything that they may require. It is considered absolutely proper and consistent with the dignity of the family for a Salvadorean child to receive a Government free education; and as this is divorced from all compulsory religious instruction, children of all denominations, or of none, can participate. As a matter of fact, practically all attending are of the Roman Catholic faith, but no dogmatic teaching is resorted to in any establishment under Government control.

Mention should be made of the very useful and successful educational establishments which the Government has organized and supported since

1907, such as the Medical and Surgical College, Chemistry and Dental Schools, Commerce and Industry College, as well as the National University, which has been entirely remodelled and reorganized since December 15, 1907.

Upon several occasions the Government has found the necessary money to send a particularly promising pupil to Europe or to the United States, for the purposes of study and receiving the finest training that the world of art and letters can offer. The last pupil to be sent to study music at the expense of the Government was Señorita Natalia Ramos, who left for Italy in the month of May (1911), and is now making good progress there. In every sense of the word the Salvadorean Government has proved a "paternal Government" in these respects; and many a genius has been rescued from probable obscurity, and much dormant talent has been fostered and encouraged for the benefit of the community at large as well as to the lasting advantage of the individual.

Attention on the part of the Government is now being given to a further modification in the system of primary instruction; and this is being effected gradually, it being proposed as a preliminary to establish several high schools throughout the country. A School of Agriculture, with all necessary elements and machinery, was inaugurated during the year 1908. Mixed primary schools in the country now number 132, with a total number of registered pupils amounting to 34,752. Expenditures for 1907 under this head were nearly \$400,000, and in addition there are many private institutions where primary instruction only is given. Academic teaching is in the charge of the National University of San Salvador, embracing schools of law, medicine, pharmacy, dentistry, civil engineering, etc.

In no other part of the Government service has greater improvement been manifested than in the Department of Posts. This Department is supported out of its own revenues, and the service during the past few years has been extended to a very considerable extent, while the credit of the Central Office has been maintained by punctuality in the payments of the foreign postal service. Among the more notable Conventions celebrated have been those with the Republic of Mexico for the exchange of parcels and money orders, and a triweekly postal service introduced to the neighbouring Republic of Guatemala via Jerez; a postal service has also been established with the same country via Zacapa. It is satisfactory to be able to state that

since the inauguration of these additional services, which took place early in 1907, scarcely any interruptions have occurred, not even in the rainiest weather, a fact which may be attributed to the zeal and ability of the officials and employés of the Postal Department.

The annual expenditure of this branch of the public service has increased from \$87,084 in 1902, \$102,787 in 1903, \$121,756 in 1904, \$142,855 in 1905, \$161,662 in 1906, to over \$200,000 in 1910. The regularity and rapidity with which the house-to-house postal deliveries take place in the Capital and principal cities of the Republic have frequently been noticed, and favourably commented upon, by foreigners sojourning in Salvador. Honesty among the employés is no less a feature of the postal arrangements in this Republic, where all public servants are reasonably paid and are as diplomatically handled, so that general contentment obtains among the large class of public servants employed.

The Parcel Post Department is also exhibiting from year to year notable increases, as the following figures will show: \$44,613.55 in 1901; \$58,096.27 in 1902; \$68,467.30 in 1903; \$88,557.60 in 1904; \$90,662.72 in 1905; \$93,295.80 in 1906; and for the first six months in 1907 the figures given are \$51,654.86, or at the rate of \$103,000 for the whole year.

A Postal Convention for the exchange of money orders between Salvador and Great Britain was signed in London on June 27, 1907, in San Salvador on the following August 27, 1907, and, after being approved by the President, General Figueroa, took effect on September 5, 1907, the exchange offices being situated at San Salvador and London respectively.

The telegraph and telephone service has also increased consistently, especially since 1903, at which time as an economic measure, and for the convenience of the public, a considerable reduction took place in the amounts of the charges. There has been a large increase in telephonic connections, and several new offices have been established, while the old ones have been considerably improved, necessitating large outlays for this purpose, as well as for works and materials. Many hundreds of miles of new telephone and telegraph lines have been added to the system, of late there has been a marked increase in the telephone and telegraph apparatus, and the *personnel* of the system has been proportionately augmented. There have been two handsome towers constructed at San Salvador, and another at

Santa Ana, for the introduction of wires to the Central Offices, and the system in vogue leaves little to be desired either in regard to efficiency or completeness. The general budget for telegraphs and telephones has risen steadily, from a little over \$260,000, in 1902, to over \$500,000, in 1910.

During the year 1910 the number of cablegrams received in the Republic were as follows: Cables sent from Salvador, 7,877; received in the Republic, 8,723. In those transmitted there were used 61,727 words, and in those received 75,950. Total of cables sent and received, 16,600 = 137,677 words. The amount represented in cost was \$96,450.47, and of this the Government received \$23,994.27.

Considerable progress has been made in Salvador in connection with wireless telegraphy, this being one of the first—if not the first—of the Central American Republics to adopt the new system of communication. By the time these pages are in the hands of the reading public, the Government will have completed two additional wireless stations, one at Planes de Renderos, near the Capital (San Salvador), and the other at the Port of La Libertad. With the completion of these stations, wireless communication will have been established between the Capital and all the ports of the Republic.

The electric light service used and supported by the Government has also increased. In 1902 the total cost was barely \$25,000, whereas to-day it amounts to over \$50,000, exclusive of the value of subventions by which several of the electric light companies have been aided by the Government.

In connection with the recently-held Central American Conference convened in Guatemala City, and at which representatives of all five Central American States were present, great improvements were resolved upon in reference to the postal arrangements between these States. It was determined, for instance, to introduce a much more comprehensive parcels post; and although the dimensions of articles which may be sent were not much extended, the character of the commerce carried through the post was considerably broadened, with beneficial results to all of the different States. It was, among other things, decided to prevent any libellous or indecent publications passing through the Post-Office; and here a distinct improvement has been made upon British Post-Office methods, which permit of the carrying of any sort of literature so long as it is covered from

inspection. The Central American postal authorities reserve the right—and exercise it—to open and retain anything which they suspect to be of a dangerous or wrongful nature, and thus they act with more intelligence than some of their European brethren.

The Regulation for the Control of the Postal Service, as passed by the Government on September 26, 1893, was found wholly unfit for this important branch; and from that date to the present, continual reforms have been introduced into the postal service, which now stands among the best regulated in Central America. In the Fiscal Estimate of the year 1907, passed by the National Congress, several notable economies were introduced, such as the suppression of some of the too numerous employés, and reduction of the salaries of others; while these measures seemed opportune, they did not work well in practice, neither did they give good results. The Ministry was obliged, therefore, to again make alterations in order to insure permanent order in the postal department.

By a resolution of September 28 and October 24 respectively, the Government arranged to suppress the office of Administrator of the Post-Offices in the different Capitals of the Departments, joining the functions of that to those of the Administrator of Revenues, but without augmenting the pay for this additional service. From this arrangement, however, the offices of Santa Ana, Sonsonate, and San Miguel, were excepted, while some others were annexed to the Department of the Fiscal Receiver and to the respective telegraph-offices.

At present the active staff of the Postal Service of the Republic is composed of 327 individuals, organized in the following departments: General Direction; Departmental Administrations; Postal Contractors. The General Direction is subdivided thus: Sub-Direction; Secretary; Bookkeeper and Cashier; Office of Postal Statistics; Keeper of Stores; Amanuensis; and Keeper of the Archives. The Chiefs are those of the Foreign Department, of the Interior, of Registered Letters, of Parcels Post, and of Poste Restante and Unclaimed Letters Department. There are besides five Assistants, two Transmitters of Postal Specie, twenty-two letter-carriers, and forty-eight junior postmen.

The Exchange Offices include three Administrators, three Superintendents, and six letter-carriers. Those of the first class are—six

Administrators, six superintendents, sixteen letter-carriers, and twenty-five postmen. Those of the second class are—six Administrators and eight letter-carriers. Those of the third class are—nineteen Administrators and an equal number of letter-carriers. Those of the fourth class are—forty-three Administrators and forty-three letter-carriers; and these are again sub-administered by the respective municipalities. There are seven Postal Contractors, who have in their service some forty or fifty subordinates. Three Postal Agencies complete the service, namely—one in Panama (Central America), one in the Sitio del Niño (a station on the Salvador Railway), and the other in Parras Lempa.

---



## CHAPTER III

Biographical—The President, Dr. Manuel E. Araujo—The ex-President, General Fernando Figueroa—The Cabinet—Dr. Francisco Dueñas—Don Rafael Guirola, D.—Dr. Teodosio Corranza—Dr. Manuel Castro, R.—Dr. Cecilio Bustamente—Señor José Maria Peralta Lagos—Dr. José A. Castro, V.—Dr. E. Bracamonte—Dr. Miguel Dueñas—Señor Carlos G. Prieto—Dr. Artúro Ramón Ávila.

Dr. Manuel Enrique Araujo, President of the Republic of Salvador, although a comparatively young man, has long been regarded as one of the most distinguished scholars and politicians of his time. Born at Jucuapa, he came at a very early age to the Capital, in order to study medicine and surgery, and very soon he secured a wide reputation—extending, indeed, beyond the confines of his own country—as a great authority upon special medical and surgical cases. While still quite young, Dr. Manuel Araujo was married to Señorita Maria Peralta, the beautiful and accomplished daughter of a former President of the Republic, Don José Maria Peralta, a man who enjoyed universal respect and affection.

The young politician was always a strong Liberal in politics, but he never permitted party spirit to prejudice him in respect to his public actions, which have, both before and since his occupancy of the Chief Magistracy, been characterized by complete independence of judgment and commendable broad-mindedness. Besides being the selected occupant of the Presidential Chair by practically all political parties alike, Dr. Araujo is regarded as the representative of both the culture and the scientific professionalism of the country. As already mentioned, he is a very distinguished surgeon; he has also invented some very delicate and useful surgical instruments, many of which may be found in the Paris and Continental hospitals. The Chief Executive occupies the position of President of the Salvador Branch of the Spanish-American University. In social as well as in educational circles, Dr. Araujo is highly respected, apart from his exalted position; and to foreigners he is especially persona grata, on account of his broad sympathies and general charm of manner. It will be entirely contrary to general expectations and present appearances if, during his tenancy of the Chief Magistracy, Salvador fails to enjoy a great

industrial peace and prosperity, as well as a financial regeneration, such as has long been devised to place this State in the fore-rank of Latin-American countries.

While politics in Salvador, as in so many other countries north and south of the Equator, have come to be regarded as a profession, Dr. Araujo has shown that he has considered them as accessories rather than expedients, and has carried out in principle the axiom that "he serves his party best who serves his country best." Inasmuch as Dr. Araujo occupied the position of Vice-President of the Republic in the Government of General Fernando Figueroa, it may be assumed that he has been in thorough accord with his policy; and now that he himself occupies the same exalted office, no great change in the Government's projects or methods of carrying them into effect will result. That some of the youngest men have proved the greatest statesmen history clearly shows; and the instance maybe cited of our own brilliant countryman, William Pitt, himself a son of the great Earl of Chatham, who made his first speech in the House of Commons when he was but twenty-two years of age, and became Prime Minister at the age of twenty-three. It is the young blood and youthful activity which are helping to mould a successful future for the Salvador of to-day.

By authority of Article 68 of the Constitution, the National Legislative Assembly elected, last May, Señor Carlos Melendez, Dr. Fernando Lopez, and General Juan Amaya, First, Second and Third Designates respectively, to succeed to the Presidency of the Republic in case of a vacancy occurring during the present term.



**GENERAL FERNANDO FIGUEROA, PRESIDENT OF THE  
REPUBLIC OF SALVADOR 1907-1911.**

General Fernando Figueroa, President of the Republic from 1907 to 1911, was born in San Vicente. Even when a small boy his disposition led him to a military career, and while still in his teens he enlisted in the ranks of the Salvadorean Army, during the memorable struggle with Guatemala of 1863. Under the command of General Bracamonte, he became a Lieutenant, and speedily distinguished himself in the field. He was on this occasion very severely wounded, and also was specially mentioned in despatches. After the death of General Gerardo Barrios, and the election of Dr. Dueñas as President, young Fernando Figueroa was given his captaincy. He was mainly instrumental in organizing the militia, and in 1871 he put its

capabilities to the test when the war in Honduras broke out. Upon the overthrow of the Government of Dr. Dueñas, and the selection of Marshal Santiago González as Provisional President, peace was proclaimed with Honduras, General Medina being recognized as legitimate President, and young Figueroa's services were temporarily unneeded. In 1872, however, Captain Figueroa was again fighting in territory belonging to Honduras, namely at Sábana Grande and Santa Bárbara, his gallant services at the first-named place gaining for him his lieutenant-colonelcy. In the following year, 1873, Colonel Figueroa distinguished himself in a third expedition against Honduras, at which time the President of the Republic was Señor Celio Arias, but who, by Salvador's aid, was dispossessed of the Chief Magistracy in favour of General Ponciano Leiva. Colonel Figueroa's bravery at the Battle of Amapala, and his gallant support of General Juan José Samayoa, have become important facts in Salvadorean history.

This same year he was appointed Governor of his native Department, San Vicente. In 1876, after fresh exploits in the field, the rising young soldier became a General, and with this military advancement he assisted the same year at the Battle of Pasaquina, in which he was once again seriously wounded. The events of 1876 led to further civil war, which continued with but few important intervals of peace until 1885, and during which period Marshal Santiago González fell from power, and Dr. Rafael Zaldívar replaced him as President. At this time, also, General J. Rufino Barrios died on the battle-field of Chalchuapa, and General Figueroa was given the supreme command of the Government troops against the Revolutionists, who were headed by General Francisco Menéndez. The latter having succeeded in attaining position as head of the State, General Figueroa retired temporarily; but he returned with the inauguration of the administration of General Carlos Ezeta, and was again appointed to his former post of Governor of San Vicente. Later on he was nominated Minister of War, which position he resigned upon becoming candidate for the Presidency. He was duly and constitutionally elected in November of 1906, took office on March 1, 1907, and retired automatically with the fresh elections of 1910, to give place to Dr. Manuel Enrique Araujo, the present Chief Magistrate.

During his long and honourable career, General Figueroa has been distinguished as much for his brilliant soldier-like qualities as for his

personal work and high sense of probity. He has had—as have all great men—his enemies and his detractors; but none among them can bring—nor ever have brought—any charge against his personal honour or integrity.

It was his keen patriotism and shrewd diplomacy which arrested the three-cornered armed conflict in which Salvador, Honduras, and Nicaragua, were concerned in 1907, and but for General Figueroa's tact and good sense, coupled with his masterly grasp of the situation, these three sister States would have exhausted themselves over a dispute which was practically worthless, and would have proved just as fruitless.

The Minister for Foreign Affairs is Dr. don Francisco Dueñas, a barrister, and a very distinguished member of the profession. Born in San Salvador, and forty-three years of age, Dr. Dueñas has occupied several important positions in the legal profession, and he is looked upon as one of the soundest authorities on commercial and general law. The Minister is regarded as an extremely able man, who is bound to rise to the highest position which the State can confer upon him.

The Minister of Finance is Señor don Rafael Guirola, D., a thoroughly sound, practical business man, with a wide knowledge of finance and commerce in all its branches and a member of one of the leading families. He may be depended upon to adopt a comprehensive and intelligent view of all subjects pertaining to his Department, and it may be accepted as certain that he will give wide encouragement to such foreign enterprise as can be regarded as of benefit to the State. Señor Rafael Guirola, D., is forty-five years of age.

The Minister of the Interior, Industry ("Fomento"), Public Instruction and Agriculture, Dr. don Teodosio Corranza, is also one of the most prominent lawyers in the Republic. He was born in San Salvador, and is about fifty-two years of age. He has occupied some of the most important and responsible posts in the country, and is considered by all alike as lending both distinction and prominence to his high office.

Dr. don Manuel Castro, R., Sub-Secretary of State for Foreign Affairs, is a barrister by profession, and a distinguished member of the Salvador Academy. Although only twenty-seven years of age, Dr. Castro has already filled with great distinction several important positions in the legal profession, and he is regarded as a rising "star" in the political firmament.

The portfolio for Home Affairs has been entrusted to the capable hands of Dr. Cecilio Bustamente, who is also a distinguished lawyer, as well as the writer of several books of more than ordinary merit. On several occasions Dr. Bustamente has occupied a position on the Bench, his judgments and rulings always having commanded deep respect, and invariably being the outcome of calm consideration and much forensic learning. Dr. Bustamente is about thirty-eight years of age.

Public Instruction is under the direction of Dr. Gustavo Barón, who is three years younger than Dr. Bustamente. By profession he is a physician and surgeon, having taken high degrees at the Paris University. Before entering the present Cabinet, Dr. Barón served as teacher of, and lecturer upon, several subjects in the National University of Salvador; and there is probably no man in the Republic who enjoys a wider respect or a deeper regard, especially among his colleagues, than the present Sub-Secretary of Instruction and Promotion.

The important portfolio of Public Works has been entrusted to the hands of Señor don José Maria Peralta Lagos, a civil engineer of great reputation in Central America, although only forty-two years of age. For many years past Señor Peralta Lagos has been interested in engineering undertakings, and there can be no question that he is admirably fitted both by experience and long study of current engineering subjects for the high and responsible position which he occupies.

The portfolio of Justice is in the hands of Dr. don José Antonio Castro, V., a young but very brilliant man, his age being only twenty-eight years, and who is a barrister by profession.

War and Marine are represented by Don Eusebio Bracamonte, a counsel of great reputation, and who for a considerable time occupied the position of Chief Justice of the High Court of Salvador. Dr. Bracamonte is forty-three years of age.

The portfolio of Agriculture is in the hands of Don Miguel Dueñas, who has devoted many years to a careful study of agriculture in all its branches, and has, from his experience and the careful observation of the methods employed in foreign countries, intimately acquainted himself with all modern methods, many of which he has personally introduced upon his own country estates. Señor Dueñas, who is forty years of age, has travelled

very considerably in the United States and in Europe, and he speaks both English and French with considerable facility. For some years past he has been a Member of Congress, while he is also the Founder and the President of the Salvadorean Chamber of Commerce and Agriculture, an institution which has already conferred considerable benefits upon the State.

Señor Carlos G. Prieto, Sub-Secretary of Finance and Public Credit, is forty-five years of age, and a sound authority upon finance and commerce generally.

It is worthy of mention that the Ministry of Agriculture in Salvador is an entirely new creation, and owes its existence to the ruling President, Dr. Manuel E. Araujo. Considering the immense interest which Salvador has in agriculture, and bearing in mind the fact that upon its intelligent pursuit depends, to a very large extent, the prosperity of the country, it is surprising that a Department for Agriculture should not have been previously instituted. This is probably due to the fact that the late Ministry was disinclined to add further to the burden of expenditure in connection with the government of the country; but the additional expenditure incurred in the establishment of this Department has been abundantly justified by results, and there is very little question that, if for nothing else, the Presidency of Dr. Araujo will stand out prominently in connection with a governmental creation which has long been needed, and which is already proving thoroughly useful.

A new branch of the Government service has been established within the past few months in the form of an Information Bureau, which should prove of great utility to manufacturers and shippers, if they desire to avail themselves of it. Already several North American firms have done so, and, as I understand, with some material advantage, the existence of the department having been brought to the attention of United States commercial men by the very up-to-date and shrewd American Consul-General at San Salvador, Mr. Harold D. Clum. I have not heard that any attention has been directed to the institution by the British Board of Trade.

The Salvador Congress authorized, and the Ministry of Agriculture maintains, this Information Bureau, to report upon the orders which the various departments of the Government may consider it expedient to place abroad or upon the home market. The law provides that Government orders

shall be placed only after, and presumably upon the basis of, a report from this Bureau; so that it is a distinct advantage to manufacturers and others, who desire to market goods in which the Government might be interested, to send their catalogues (but printed in Spanish, and *not* in English) with price lists (but calculated in decimal measurements and coinage, and *not* in "£ s. d."), as well as their proposals, to the Bureau. All such communications should be addressed: "Oficina de Información, Ministerio de Agricultura, San Salvador." And let it be remembered that the postage upon letters is 2½.!

The young and vigorous blood of which the Salvadorean Cabinet is composed is perhaps one of its strongest and most promising features, and the excellent impression which its formation created last March has been confirmed in every way since it got to work and proved the quality of its members for governing the country wisely and economically.

It would, under ordinary circumstances, perhaps be difficult to replace the valuable services which, for fifteen years past, have been rendered by Mr. Mark Jamestown Kelly, F.R.G.S., as Consul-General for the Republic of Salvador to the United Kingdom, with residence in London, and to whom full reference has been made in a preceding page; but it will be generally admitted that the Government has made a very wise and a very acceptable selection in Dr. Artúro Ramón Ávila. The new Consul-General is a native of San Miguel, and belongs to one of the leading families of the country, and occupying a very high social position in the Republic.

Although only twenty-seven years of age, Dr. Ávila has already attained some celebrity in his own country, and has received the degree of Doctor of the Faculty of Jurisprudence, a title which was conferred upon him by the National University of Salvador. In 1907 one of Dr. Ávila's most notable achievements was the composition of a "paper" which he read before the Tribunal of Examination, this being a learned thesis upon the subject of "The Duel" ("El Duelo"), consisting of 100 pages, and pronounced by literary critics as about the most clever and most convincing essay which had been written upon the subject.

Previous to entering upon his profession as an advocate, Dr. Ávila served as a Justice of the Peace for one year in the Capital of Salvador, being later on appointed Judge of the First Instance. He occupied a similar position in



the Civil and Criminal Courts of Santa Tecla (New San Salvador), and held that post for two years. Dr. Ávila had also for some time been advocate-in-chief for the Banco Salvadoréno, of Salvador, and he represented legally various other reputable houses of commerce. Dr. Ávila holds the position of Consul-General of the Republic of Salvador for Great Britain and Ireland, and has taken convenient offices at 8, Union Court, Old Broad Street, London, E.C.

Señor Santiago Perez Triana, who has for some time been a resident in London, entered the service of the Salvadorean Government as Secretary of the Legation in 1900, under Dr. Zaldívar, and accompanied him to the Spanish-American Congress which met in Madrid in December of that year. Señor Perez Triana's capacity was that of second delegate of Salvador, Dr. Zaldívar being chief of the Mission, the third Attaché, who occupied a similar position to that of Señor Perez Triana, being Señor M. Rodriguez. Subsequently Señor Perez Triana was appointed Secretary of the Legation of Salvador in Spain. Since 1901, when he went to the last-named country to reside, he occupied the dual position of Chargé d'Affaires both in Madrid and in London; and he still occupies a similar position in the latter city, but not in Spain. In 1907 Señor Perez Triana was appointed Delegate to the Hague Conference for Salvador, jointly with Mr. P. J. Matheu. He is a quite remarkable orator and a man of great culture, speaking English with complete accuracy and writing it with equal facility.



**DR. ARTÚRO RAMÓN ÁVILA;  
CONSUL-GENERAL FOR THE REPUBLIC OF SALVADOR TO  
GREAT BRITAIN. APPOINTED MAY, 1911.**

In connection with the Coronation of Their Majesties King George and Queen Mary, in the month of June last, the Salvadorean Government sent to London an Extraordinary Mission to represent the Republic, selecting for the purpose Señor J. Miguel Dueñas who by birth and education was well fitted to fill so important a position. Señor Dueñas was born in the city of San Salvador on August 28, 1871, and is a son of an ex-President of Salvador, Dr. Francisco Dueñas, and Donna Térésa Dardano. After a brilliant college career, pursued both in his own country, in the United States, and in Europe, Señor Dueñas returned in 1895 to Salvador, where he was soon afterwards elected by popular vote as Deputy to the National Congress of the Republic. He also became an active member of the Municipal Council, and is the Founder and President of the Salvador Chamber of Commerce and Agriculture in Salvador. He retains his position

as Secretary of State for the Department of Agriculture, which, as mentioned previously in this volume, was brought into existence upon the initiative of the present President of the Republic, Dr. Manuel Enrique Araujo, this being one of his first official acts after assuming the Presidential chair, in the month of March last. Accompanying Señor Dueñas was his wife, Señora Donna Maria Eugénia Palomo.

The new Minister of Salvador in Spain and Italy, with residence at Madrid, is Dr. don J. Gustavo Guerrero, who was for many years Consul-General for Salvador at Genoa, and acted as First Secretary of the Special Diplomatic Mission of Salvador to the Court of St. James in connection with the Coronation of King George V. He is one of the several young men of great promise in Salvador, and is destined to go far. He is, moreover, a distinguished advocate, having taken high degrees at the Universities of San Salvador and Guatemala City. He has acted as Deputy Governor at the first-named Capital, as well as Consul at Burdeos, Consul at Genoa, Secretary of Legation at Washington, and Chargé d'Affaires at Rome and Madrid.

In the month of May last (1911) Señor don Nicolás Leiva was appointed Consul for Salvador at Liverpool, which port carries on a fair amount of trade with the Republic.

---

## CHAPTER IV

Government finances—London Market appreciation of Salvador bonds—History of foreign debt—Salvador Railway security—Central American Public Works Company—Changing the guarantee—Financial conditions to-day—Public debt at end of 1909—Budget for 1910-11—Small deficit may be converted into a surplus—Summary.

The high opinion which the London Market entertains regarding Salvadorean Government securities is shown by the price at which they are quoted; and although judged upon their merits, these same securities are rather too cheaply priced, they form a marked contrast to some of the neighbouring States' foreign loans, such, for instance, as Costa Rica and Honduras. As a matter of fact, the Salvadorean Governments of successive years have strictly and faithfully performed their foreign obligations; and it has been the firm policy of past Presidents, as it is of the present Executive, to maintain their foreign credit upon an unassailable basis. It is possible to speak very encouragingly of the Salvador 6 per cent. Sterling Bonds, which were issued in March, 1908, at 86 per cent., and which are at the present time of writing quoted at or a little above par. Their desirability as an investment depends upon the standard of security they afford—on the probability, that is, that Salvador will faithfully fulfil its obligations. The Salvador Government 6 per cent. Sterling Bonds (1908), amounting to £1,000,000, were issued to meet the cost of certain public works and to repay certain local loans contracted at a higher rate of interest. The loan is redeemable by an accumulative sinking fund of  $2\frac{1}{2}$  per cent., by purchase or drawing, and is secured by a first charge on—(a) the special Customs duty of \$3.60 (U.S. gold) per 100 kilogrammes of imported merchandise; and (b) the duty of 40 cents (U.S. gold) per quintal (up to 500,000 quintals) of the annual export of coffee, the proceeds of which are remitted fortnightly to the London Bank of Mexico and South America, whose Chairman stated recently that "the rapid way in which the remittances are coming forward is very satisfactory, and will, no doubt, in time improve the credit of this small but hard-working country." The bonds constitute the whole External Debt of the country, previous loans having been commuted in 1899 for debentures of the Salvador Railway Company, to which the

Government pays an annual subsidy of £24,000. This subsidy has now been punctually remitted for over nine years. It is on such grounds as these that the friends of Salvador maintain that the value of the bonds should not be gauged by the financial reputation of some of the other Central American Republics.

It may be interesting to trace the whole history of Salvador's foreign indebtedness, which commenced as far back as 1827. The record—by no means an unworthy one—is as follows:

1827: Of the debt of the Central American Federation—which was composed of Salvador, Guatemala, Costa Rica, Honduras, and Nicaragua, and amounting to £163,000—the proportion which was assumed by Salvador was one-sixth, £27,200.

1828-1859: No interest was paid during this long period of turbulence and strife.

1860: Salvador compromised her share of the debt for 90 per cent. paid in cash.

1889: A loan for £300,000 was issued, bearing 6 per cent. interest and 2 per cent. accumulative sinking fund. It was offered by the London and South-Western Bank at 95½ per cent., and was specially secured on 10 per cent. of the Customs duties and the rights of the Government on the railway from Acajutla to Ateos (thirty-five miles), and in the proposed extension to San Salvador. Out of the proceeds of the loan a mortgage of the Government's interest in the portion of the railroad already constructed (Acajutla to Sonsonate), amounting to £183,000, was paid off. The extension of the railway was only continued for a distance of seven miles from Ateos to La Ceiba.

1892: Bonds for an amount of £500,000, bearing 6 per cent. interest and 1 per cent. accumulative sinking fund, were created by the Government and issued by Messrs. Brown, Janson and Co. to the contractor Mr. A. J. Scherzer, in pursuance of a contract made by the Government with Mr. Scherzer in 1891, for the purpose of the extension of the railway. These bonds were specially secured on 10 per cent. of the Customs duties, and also by a first mortgage on the railway line from Ateos to Santa Ana (thirty miles) when built. These bonds were not issued to the public, but were

delivered from time to time to the contractor, against the engineer's certificates, as the works proceeded.

1894: A company called the Central American Public Works Company was registered by Mr. Mark J. Kelly in London, and Mr. Kelly was associated with Mr. Scherzer in carrying out this contract, and in the month of April a concession was obtained from the Government under which the contract of 1891 was cancelled. The Central American Public Works Company undertook to complete the line to Santa Ana; to build a branch from Sitio del Niño to San Salvador (twenty-four miles), together with a deviation of one and a half miles at the port of Acajutla; to give the Government £70,000 in fully-paid ordinary shares of the company when issued; and to redeem the loans of 1889 and 1892. The Government, on its part, agreed to hand over to the Company the whole of the railways for a period of ninety-nine years, and to guarantee the Company for fifty years a net annual profit on working the railways of 6 per cent. upon the sum of £800,000, secured by a charge of 10 per cent. on the import duties.

A change of Government took place almost immediately afterwards, and, owing to the differences which then arose between the Government and the Company, the concession was declared void.

But in December a supplementary contract was entered into between the Company and the new Government, by which it was agreed that—(1) The £70,000 of shares of the Public Works Company were to be delivered to the Government by May 31, 1895 (this was done, and the Company took possession of the completed portion of the line and commenced the construction of the remainder); (2) the duration of the concession was shortened from ninety-nine to eighty years; (3) the guarantee was reduced from £48,000 a year to £24,000 during the construction of the line to Santa Ana, £36,000 during the construction to San Salvador, and the full £48,000 was not to be paid until the railway was entirely finished.

1898: In this year a new company, called the Salvador Railway Company, Limited, was formed to take over the concession from the Central American Public Works Company. Proposals were laid before the holders of the 1889 and 1892 loans to convert their bonds into mortgage debentures of the railway company. Some of the 1889 bondholders, however, declined to signify their adherence to the scheme, and it was thus

found impossible to arrange for the release of the mortgage on the first section of the railway. The Central American Public Works Company had, moreover, undertaken to deliver to the Government all the bonds by December, 1898; they therefore approached the Government with the object of securing further legislation in order to get over the difficulty. In this they were not at the time successful, and the Government declined to remit to the company the sum due under the guarantee for the half-year ending December 31, 1898. The funds for the payment of the February and August, 1898, coupons on the 1889 bonds were sent by the Government direct to the London and South-Western Bank. The November 1897 drawing and May 1898 coupons on the 1892 bonds, and the July 1898 drawing and February 1899 coupons on the 1889 bonds, were not paid.

1899: On February 8 of this year a further contract was entered into between the Government and Mr. Kelly, representing the Central American Public Works Company, of which the following were the principal provisions: (1) The company was to hand over to the Government for cancellation the outstanding 1889 and 1892 bonds (in round figures amounting to £725,000) within six months from the date of ratification of the contract by Congress. The company might, however, leave outstanding £60,000 of the bonds if they could not make delivery of the whole of them, but on these they were to pay on their own account the same interest (6 per cent.) and amortization (2 per cent.), as the Government was under obligation to do. (2) The Government was to pay the company for eighteen years from January 1, 1899, a fixed annual subsidy of £24,000 in lieu of the previous guarantee, and to hand over all the railways free of charge. The subsidy was to be secured on 15 per cent. of the import duties, in respect of which the Government was to issue special Customs notes. These notes were to be handed to a bank named by the company, who were to sell them and collect the proceeds.

The railway company engaged themselves to complete the line to the Capital by June 30, 1900. If the bonds of the external debt were not handed over within the period stipulated, the Government was to have the right, subject to existing hypothecations, to take possession of the railways.

In April, 1899, an agreement was entered into between the Council of Foreign Bondholders, acting in conjunction with the Committee of 1889 bondholders, and the Central American Public Works Company, for the

transfer to the Salvador Railway Company of the railways and concessions held by the Works Company, including the subsidy payable under the contract of February 8, 1899, on such terms as might be agreed between the Works Company and the railway company. The railway company were to issue (1) Prior lien debentures to the amount of £163,000, forming part of a total authorized issue of £250,000, and bearing 5 per cent. interest and 1 per cent. accumulative sinking fund, to be applied by purchase or drawings at par. Such issue to be for the purpose of providing the funds for the completion of railway, repairs, working capital, and expenses; (2) 5 per cent. mortgage debentures to the amount of £660,000, to provide for the cancellation of the outstanding bonds of the 1889 and 1892 loans, the debentures of the Public Works Company (£150,000), and other claims.

These debentures were to be redeemable by an accumulative sinking fund of 1 per cent. per annum, commencing from August 15, 1906, to be applied by purchases or drawings, at the price, in the case of drawings, of £103 for each £100 of debentures. The holders of the 1889 bonds were to receive, in respect of each £100 bond, £100 in mortgage debentures of the railway company, bearing interest from August 15, 1899. The 1889 bonds were deposited with the Council against the issue of negotiable receipts, with two coupons of £2 10s. each attached, payable out of the first two instalments of the subsidy in respect of the coupons on each bond of £100, due February 15 and August 15, 1899.

This arrangement was accepted by the holders of the bonds of the 1889 and 1892 loans, who by the necessary majorities authorized the trustees of the loans to release the respective mortgages. It was also approved by the holders of the debentures of the Public Works Company, and was duly carried into effect.

#### STATEMENT OF REVENUE AND EXPENDITURE FOR THE LAST TEN YEARS.



| Year. | Expenditure.           | Deficit.                |                        |
|-------|------------------------|-------------------------|------------------------|
|       | \$                     | \$                      | \$                     |
| 1901  | 7,556,721.56           | 7,284,264.51            | 727,542.95             |
| 1902  | 6,702,021.70           | 8,459,460.84            | 1,757,439.14           |
| 1903  | 6,792,045.69           | 7,704,756.34            | 912,710.65             |
| 1904  | 8,060,689.05           | 8,759,404.63            | 698,715.58             |
| 1905; | 8,536,443.07           | 10,045,413.03           | 1,508,969.96           |
| 1906  | 8,484,419.78           | 12,246,825.76           | 3,762,405.98           |
| 1907  | 8,669,189.12           | 11,389,642.40           | 2,720,453.28           |
| 1908  | 10,676,338.92          | 12,656,656.61           | 1,980,317.69           |
| 1909  | 10,776,028.65          | 11,856,002.21           | 1,139,903.56           |
| 1910  | 10,620,865.57          | 13,027,546.96           | 2,406,681.39           |
|       | <u>\$85,814,833.11</u> | <u>\$103,429,973.49</u> | <u>\$17,615,140.28</u> |

It will be observed that, while the general revenue of the Republic had expanded considerably during the past decade, having, indeed, increased about 50 per cent., the expenditure had, unfortunately, expanded also, and to a greater degree, leaving an annually increasing deficit to be met. The reason for this during the latter few years is clear—the unfortunate political troubles which were thrust upon the Republic by the acts of certain revolutionists instigated by the evil genius of Central America, ex-President J. Santos Zelaya, and which turned what might have been a fairly profitable period into a disastrous one, from a financial aspect.

Nevertheless, there is no reason to adopt a despairing view of the Salvadorean national finances, since the resources of the country are very elastic, and their development is but in its infancy.

It is much to the credit of the Government, both the present and that which was lately in office, that the situation should have been so boldly and frankly met, the whole position being explained and true reasons given. Everyone must think the better of the authorities for their honesty in dealing with the nation, an honesty which is, unfortunately, rare, not alone among Latin-American States, but also among European Governments of much older growth and wider experience. Don Manuel Lopez Mencia, the ex-Minister of Finance, who is a thoroughly capable and experienced financier, fully grasped the necessities of the situation, and before retiring from office

freely criticized his own Department, offering many valuable and timely suggestions for improving it and for placing the finances of the country upon a more satisfactory basis. I believe that the present year (1911) is destined to afford a much more encouraging condition, and a continuation of the present economical and severe retrenchment policy in force; the deficit, which has made an unwelcome appearance in each year's accounts over a period of a whole decade, will gradually give place to a surplus. Naturally, all depends upon internal peace being preserved and freedom from foreign political troubles; both of which, happily, at the time of writing seem to be well assured.

In regard to the general financial conditions of Salvador, which are at the present time in a much more satisfactory state, the following particulars will be of interest:

#### PUBLIC DEBT.

The composition of the Public Debt on December 31, 1909, stood as follows:

#### GOLD LIABILITIES.

|                                     | \$ Gold          | \$ Gold.                               |
|-------------------------------------|------------------|----------------------------------------|
| Sundry cash creditors               |                  | 906,585                                |
| Bills payable                       |                  | 363,545                                |
| National indemnity bonds            |                  | 73,656                                 |
| External loan principal             | 4,744,000        |                                        |
| External loan interest and expenses | <u>3,657,694</u> |                                        |
|                                     |                  | <u>8,401,694</u>                       |
|                                     |                  | \$9,745,480 Gold.                      |
|                                     |                  | = at 150 premium, \$24,363,700 Silver. |

#### SILVER LIABILITIES.

|                                         | \$ Silver. |
|-----------------------------------------|------------|
| Sundry creditors                        | 930,550    |
| Salvador bonds (principal and interest) | 3,564,207  |

|                                         |                |                             |
|-----------------------------------------|----------------|-----------------------------|
| Administrative salaries, expenses, etc. | 836,299        |                             |
| Deposits                                | 2,629          |                             |
| Funds to be applied to special purposes | 88,022         |                             |
| Various bonds                           | <u>113,140</u> |                             |
|                                         |                | 5,534,848                   |
| Total                                   |                | <u>\$29,898,548</u> Silver. |

The Public Debt of the Republic of Salvador on December 31, 1901, amounted to \$10,666,584 (*gold*) = £2,133,517, and \$6,207,059 (*silver*) = £517,256. Reduced to the silver unit, the total Debt amounted to \$32,873,520.

The Customs Revenues for 1910 show a small decline over those of 1909, the difference being \$3,784.00.

|                                                             | IMPORT<br>DUTIES.   | EXPORT<br>DUTIES.                                |
|-------------------------------------------------------------|---------------------|--------------------------------------------------|
| Sonsonate                                                   | \$3,522,875.05      | \$430,359.84                                     |
| La Unión                                                    | \$1,086,766.03      | \$114,528.03                                     |
| La Libertad                                                 | \$554,400.57        | \$125,926.49                                     |
| <i>Import Duties</i> at the General Treasury (parcels post) | <u>\$169,638.59</u> | <i>Imports</i> at El Triunfo <u>\$215,835.19</u> |
| Totals <sup>[2]</sup>                                       | \$5,333,680.24      | \$886,649.55                                     |

The Government's whole Revenue during the first half of 1910 amounted to \$2,972,501 (*gold*), and its expenditure to \$2,677,431 (*gold*).

The total import and export duties for the two years 1909 and 1910 are as follows:

|                                                   | 1909.          | 1910.                  |
|---------------------------------------------------|----------------|------------------------|
| Imports                                           | \$4,176,931.56 | Imports \$3,745,249.19 |
| Exports                                           | \$8,481,787.65 | Exports \$9,122,295.09 |
| (These figures are in U.S. <i>gold</i> currency.) |                |                        |

#### BUDGET FOR 1910-11.

The estimates for the financial year 1910-11, approved by the National Assembly, and published in the *Diario Oficial* of June 6, 1910,<sup>[3]</sup> were practically identical with those for the preceding year.

The details are shown below:

## ESTIMATES OF REVENUE, 1910-11.

### CUSTOMS REVENUE.

|                                                                       |            |
|-----------------------------------------------------------------------|------------|
| <i>Imports:</i>                                                       | \$ Silver. |
| Import duties                                                         | 3,100,000  |
| Fiscal tax of 30 per cent.                                            | 600,000    |
| Taxes of \$3.60, \$2.40, and \$0.50 gold per 100 kilos                | 1,952,500  |
| Storage, etc.                                                         | 285,000    |
| Sundry receipts                                                       | 148,500    |
| <i>Exports:</i>                                                       |            |
| Coffee export duty of \$0.40 gold per 46 kilos                        | 600,000    |
| Coffee export duty of \$0.12½ for internal development in the Capital | 75,000     |
| Coffee transit permits                                                | 80,175     |
| Tax of \$1.50 per 100 kilos in favour of Central Railway              | 4,000      |
| Sundry receipts                                                       | 66,557     |

### INTERNAL REVENUE.

|                                          |              |
|------------------------------------------|--------------|
| Liquor tax                               | 2,500,000    |
| Stamps and stamped paper                 | 264,500      |
| Internal Excise                          | 126,500      |
| Post-Offices, Telegraphs, and Telephones | 270,250      |
| National Printing-Office                 | 25,000       |
| Penitentiaries                           | 30,000       |
| Powder, saltpetre, and cartridges        | 65,000       |
| Public Registry                          | 38,000       |
| Sundry receipts                          | 88,800       |
| Total                                    | \$10,319,782 |

## ESTIMATES OF EXPENDITURE, 1910-11.

|                   |            |
|-------------------|------------|
|                   | \$ Silver. |
| National Assembly | 40,980     |

|                                    |                     |
|------------------------------------|---------------------|
| Presidency of the Republic         | 41,340              |
| Department of Finance              | 670,256             |
| Department of Internal Development | 636,800             |
| Department of Government           | 1,250,463           |
| Department of Foreign Affairs      | 116,080             |
| Department of Justice              | 507,192             |
| Department of Public Instruction   | 714,652             |
| Department of Beneficence          | 529,336             |
| Department of War and Marine       | 2,573,510           |
| Department of Public Credit        | 3,291,260           |
| Total                              | <u>\$10,371,869</u> |

#### SUMMARY.

|                   |                   |
|-------------------|-------------------|
| Revenue           | \$10,319,782      |
| Expenditure       | <u>10,371,869</u> |
| Estimated deficit | \$52,087          |

In regard to this Estimated Deficit, which in any case is very small, it is to be mentioned that in November of this year (1911) an additional export tax upon coffee, of 30 cents (*gold*) per 100 kilogrammes comes into effect, although only for two years, and it is expected to produce \$180,000 (*gold*). This additional revenue will wipe out the small anticipated deficit, and leave a considerable surplus, for the present year.



**ARTILLERY ON PARADE GROUND, SAN SALVADOR  
BARRACKS.**



## CHAPTER V

Salvador *versus* Honduras and Nicaragua—Attitude of the President—Proclamation to the people—Generals Rivas and Alfaro—Invasion of Salvador—Ignominious retreat of enemy—Conciliatory conduct of General Figueroa—Character of Salvadorean people—Treachery of Zelaya.

There is no question that but for the prompt and conciliatory action of General Figueroa the events which took place in the last months of 1907 might well have involved the whole of the States of Central America in a long, serious, and sanguinary conflict. As it was, sufficient provocation was given to Salvador, whose territory was invaded, and many of whose citizens were either injured or robbed. In this month, the invaders who came from Honduras were largely composed of Honduraneans, Nicaraguans, Salvadorean revolutionists, and American filibusters, who actually seized the port of Acajutla, and taking forcible possession of engines and cars belonging to the Salvador Railway Company, reached as far as the city of Sonsonate. The invading forces were led by Generals Manuel Rivas and Prudencio Alfaro, the latter being General Santos Zelaya's candidate for the Presidency of Salvador.

It was at this time that General Figueroa issued a fervent and eloquent appeal to the loyalty of his troops and his countrymen. In exhorting them to deeds of valour, he declared that he himself would lead his army in defence of the national honour even to death, and his previous military experience would certainly have enabled him to have carried them to success. General Figueroa's "Proclamation to the Salvadorean People" is worth quotation in these pages, and I therefore give it in full as follows:

"Compatriots: General J. Santos Zelaya, in violation of the faith imposed in international agreements, has broken his solemn obligations contracted through the intervention of the Governments of the United States and Mexico. At daybreak this morning he surprised the small military force at Acajutla, and has landed Nicaraguan forces with the object of conquest. Before this brutal offence which the Nicaraguan Government has committed against us, we should all, as

one man, gather round the flag of our country and defend it, letting our blood flow rather than allow it to be stained by the adventurers who, in an evil hour, seek to defile it. The national honour, the deeds of our forefathers, the future of our children, and the lofty legends of our people, cry to us to arise and punish the insolence of the Nicaraguan President, and to preserve, not only our military glory and our interests, which recent events in Honduras have shown to be in danger, but the respect that our heroic army has inspired whenever it has been called upon in defence of our country.

"Soldiers: Do not permit the consummation of this insolent attempt in the annals of an enlightened people which would fill us with shame and opprobrium, rendering us unworthy to preserve intact the sacred treasure of our autonomy, the honour of our victorious banner and our sovereignty. Before permitting the arms of an audacious adventurer to violate the soil of our beloved country, whose safeguard is entrusted to the national army and to your undoubted patriotism, prefer yes, a thousand times, death with honour on the battle-field, where I will accompany you even to death.

"I have full confidence in your loyalty and in your military honour, and I therefore place in your hands the sacred trust of the national defence.

"Free and heroic peoples never retreat before the enemy, for they carry in their hearts the conscience of doing their duties and confidence in the right, which assist all worthy and independent peoples to repel aggression against their autonomy.

"Salvadoreans: In this movement be assured that I shall save, untarnished, the honour of the country and the security of your homes, which are now threatened by the mercenary soldiery of the Nicaraguan ruler.

"Your chief and friend,  
"F. FIGUEROA.

"SAN SALVADOR,  
"June 11, 1907."



It is satisfactory to know that the Presidential call to arms, in addition to the strong personal influence which General Figueroa wielded, shortly afterwards put an end to the trouble that had threatened at one time to assume the most serious aspects, and to have involved the whole of the five States in a fierce struggle. Now that the threatening cloud has been dispersed—it may be hoped for all time—it is possible to smile at some of the incidents which have been related in connection with the embroilment. It is, for instance, related that the invasion of Salvadorean territory, the first step of which took place in the month of June, 1907, failed of achievement principally on account of a personal dispute which broke out between the two Revolutionary Generals, Rivas and Alfaro.

It is alleged that the former, on reaching the town of Sonsonate, after landing successfully at Acajutla, proceeded to the National Bank in that town, where he overawed the cashier (not a very brilliant achievement, since he was only a boy) and raised what is known as "a forced loan," departing heroically with the sum of \$20,000 in silver, and nobly handing over to the bewildered and trembling bank official a receipt for that amount signed by himself as the "General of the new Salvadorean Army." On learning what his brother-commander had done, Alfaro, it is said, strongly objected to raising—"stealing," he described it—money in this manner; and so emphatic was his language, and so indomitable his decision to have none of it, that General Rivas refused on his part any longer to act with him, and the two leaders parted there and then, Rivas proceeding on his way to the Capital at the head of his following, and Alfaro marching with his to Santa Ana.

Before leaving one another, it was arranged, however, that the Republic of Salvador should be divided in half, General Rivas to rule the Eastern zone, with headquarters at San Salvador, and General Alfaro to rule the Western zone, with headquarters at Sonsonate. To this proposition General Alfaro also strongly objected at first, but consented reluctantly later; and while the two future victors were quarrelling as to what they would do with the territory which was not yet theirs, a messenger arrived hot-haste from the Capital with the unpleasant tidings that General Figueroa was coming in person with a train-load of troops to Sonsonate.

Thereupon followed a hasty and most undignified retreat to Acajutla, and an eyewitness has left a humorous description of how the brave invaders, in

their desire to get out as soon as possible, precipitated themselves into small boats, barges, and lighters, or any kind of thing that floated, making their way to the gunboat *Momotombo*, up the sides of which they scrambled helter-skelter, glad enough to be safely off Salvadorean territory and once more on their way to the refuge of the Nicaraguan port of Corinto.

The gunboat was obliged, as all vessels are, to anchor a half-mile from the Acajutla pier, men, arms, and ammunition having to be conveyed over that distance in any kind of boat of which they could command the use.

At an early period of the invasion it is certain that General Figueroa had the situation well in hand. He was always popular with the army, and he likewise possessed the complete confidence of the Salvadorean people, who felt that in his strong hands the safety of the Republic lay. Moreover, by his excellent system of organizing the Intelligence Department of his army, and the care with which he had selected his officers, General Figueroa was always in complete possession of the plans and actions of the opposing force; and even when these latter fatuously supposed that he knew nothing, and was doing nothing, to check their advance, General Figueroa was laying his plans with consummate ability, and, as we now know, he ultimately executed them with complete success.

Dr. Alfaro, who for the nonce had become a "General," was never an opponent worth much consideration; while General Rivas only displayed any marked ability when conspiring and organizing foreign troops, destined to be led to battle, when led at all, by others than himself. The only man who had any chance of making serious difficulty, and who might have fostered formidable trouble, was Barahona, of whose actions and intentions the President was always fully aware, and who at the psychological moment consigned him to the security of a prison. And there he kept him until the worst trouble was over.

The conciliatory measures which were adopted at the beginning by General Figueroa and his Government were adhered to throughout the upheaval, and it is only right that impartial history should record the dignified and sane proceedings which characterized the attitude of the Republic of Salvador at this period. The views which General Figueroa entertained and acted upon throughout are clearly reflected in an official

communication addressed to a well-known American, the then Consul-General for Salvador in the United States. General Figueroa said:

"Untiring enemies of the peace and repose of our people have once more endeavoured to create disturbances; for some time past my Government has received notices of what was transpiring, and of the progress of the conspiracy, together with considerable data. This Government did not, however, act hastily, assuming, rather, an expectative attitude, but nevertheless following closely the trend of affairs, until the moment had arrived when active work was to be begun.

"This Government early received advices from various parts of the country, notifying it of suspicious movements on the part of the enemies of the Republic. It was also noted that many of these left the Capital two or three days before for other towns, and all of them were closely followed. The Government was prepared for all emergencies; barracks were ready, and the proper orders given to crush any movements on their part. Consequently, when numbers of these conspirators formed in groups around such towns as Sonsonate and Ahuachapán, many were captured. The Government is now in possession of the persons of most of the authors of the conspiracy, and the guilty ones are being proceeded against legally. Fortunately, the trouble has not interfered with the progress of the country, nor with the gathering of the coffee crop which is now in progress; while the Government has received assurances of sympathy and support from the great majority of law-abiding citizens throughout the country."

In this reference to the trifling effect occasioned to the coffee crop by the political disturbances, the President was a little premature. The subsequent depression which was experienced in commercial circles generally was undoubtedly occasioned by these disturbances, although the consequence only proved transient.

All travellers, foreigners and natives alike, who happened to be in Central America at this time, were well aware of the provocative part which President Santos Zelaya of Nicaragua was playing; for many years he had

been acting as the evil genius of this Republic, and his misgovernment and brutalities to his own people met with general condemnation.

There can be no question that the revolution which was started in Salvador, but which was so promptly and effectually suppressed, was promoted by Zelaya, who, rightly or wrongly, imagined that at the psychological moment he would meet with support, not alone from Honduras, but from the United States, either directly or indirectly.

There is sufficient evidence on record to prove that Dr. Prudencio Alfaro, who, since the death of General Regalado during the war with Guatemala in 1906, had attained some slight popularity in Salvador, was the instrument through whom General Zelaya hoped, and indeed endeavoured, to carry out his plans. The conquest of Salvador was only one of them, since, as I have mentioned in another part of this volume, it was the ambition of Santos Zelaya to reconstitute a Federation of the five Central American States, and then to elect himself first President.

It was with the financial and physical assistance of Zelaya that Dr. Alfaro engaged the Nicaraguan gunboat to convey him and other conspirators from Corinto to Acajutla in order to spy out the land, and to industriously lay the seeds of revolution. It was nothing to Zelaya that he should allow one of the Government gunboats to be employed in making warfare against a friendly power, with which he had signed a treaty of peace only a very few weeks before, or to supply from the national treasury the funds for letting loose a horde of armed ruffians upon a neighbour's territory.

I have been shown documentary proofs of the arrangements upon which Zelaya had been employed for many months previous, and which provided for the invasion of Salvador at four different points. From time to time changes were made in the *personnel* of the Nicaraguan commanders, but the names upon the lists which were shown to me were not in all cases the same as those of the men who actually took part in the abortive invasion.

I remember, for instance, observing the name of General Salvador Toledo, who had previously been deputed to command the invading army which was to enter Salvador from Honduras, near the Guatemalan frontier; and also that of General Estrada, who had been nominated to strike at the enemy with the Northern forces at the proper time. This General Estrada had been in command of the Honduran forces between Puerto Cortes

and the Salvadorean line, and he it was who numbered among his followers all the scum of the population, mostly consisting of ex-prisoners and exiles, who were willing enough to fight against their own country's soldiers, side by side with Honduraneans.

Another name which was on the officers' list was that of General Cierra, who was to have entered the Republic of Salvador from the south, with the intention of capturing the port of La Unión, and of meeting the forces of Generals Cristales and Presa. According to the calculations which were then made, it was believed that General Cierra had only 3,000 men with him.

General Figueroa at this time wisely declared the City of Salvador "in a state of siege," which is the equivalent of suspension of political guarantees, to enable summary action to be taken against political offenders or even suspects; a condition afterwards extended to the whole country; and his instructions to the Governors of the several Departments no doubt saved the Central Government from considerable embarrassment as the result of the rising. Those who led the insurrection had counted upon receiving support from the public, which, however, they did not realize, and the lack of this made the capture of the leaders by the Government troops a matter of comparative facility. Secondly, much of the inconvenience which would have followed a general disturbance of the affairs of the country at that time, and which would have caused both the Government and the people losses upon coffee shipments, was spared them, but not altogether obviated.

As we have seen, it was altogether a clumsy attack which had been planned, and had better local knowledge prevailed it would have been ascertained that the prestige of the existing Government stood too high, and the personal popularity of General Figueroa was too great, to have ever endowed this rising with any great chances of success.

In this connection I think I may well quote an extract from an official statement which was made in *El Diario de Salvador*, one of the most powerful papers in the Republic, of which I attach the following translation:

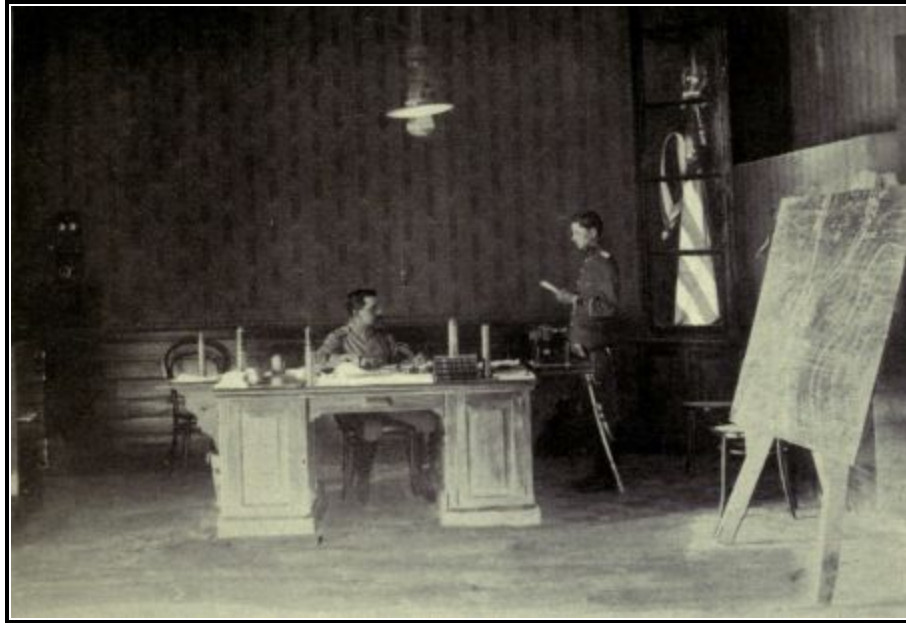
"In our edition of yesterday we published the decree of the Supreme Executive power declaring the Republic to be in a state of siege. According to the terms of this decree, the Government has been obliged to take extreme measures, owing to the attempt of its enemies

to create a revolutionary movement calculated to cause a radical change in this Government.

"Fortunately for the Administration, the plot was discovered in time, and repressive measures were at once adopted which rendered the movement impossible of consummation. But, if it is certain that the internal peace has not been disturbed, such is not the case with the credit of the country. Furthermore, the fact that the attempt was made at the time for harvesting coffee aggravated the situation somewhat for the moment, and threatened to interfere with the gathering of this important crop on which much of the prosperity of the country depends; but the action of the Chief Executive in issuing orders to the Governors of the several Departments has reduced this evil to a minimum.

"In his instructions to the Governors, the Minister of the Interior provided in part that, notwithstanding the state of siege, the greatest latitude must be given persons and workmen who were not actually under suspicion, but insisted on the strict guarding of public order. Men in the discharge of their duties, however, were allowed to pass toward the Capital of the country without the necessity of presenting passports. This referred particularly to merchants, managers of plantations, and day labourers.

"As will be seen," continued the journal referred to, "the circular does not mention the municipal elections which are soon to take place throughout the interior, but the President of the Republic has authorized us to make known his desires that these elections be held with perfect freedom, and be unhampered by the decree of the Executive."



**COLONEL'S QUARTERS, SCHOOL OF SERGEANTS.**



**OFFICERS' CLUB ROOM, SCHOOL OF SERGEANTS.**

The extract which I am quoting continues as follows:

"Whatever reasons the enemies of the Government may set forth in justification of their conduct, it cannot be doubted that the country has resisted the movement grandly, and has caused the failure of another

attempt, which adds one more to the number which have aided to discredit the country abroad, and characterized our land as one of convulsive nations, incapable of making reasonable use of their Governments, such as we now enjoy. We must not lose sight of the fact that the eyes of Europe are upon us, thanks to the important rôle which Salvador is destined to play in uniting the civilizations of the East with the West."

It cannot be too emphatically pointed out that the Salvadoreans are not naturally a rebellious or warlike people, and, except when compelled to take up arms in their own defence or in favour of a righteous cause, they ask nothing better than to be permitted to devote themselves to the congenial and profitable occupation of cultivating the bounteous land which is theirs by inheritance. In the troubles which afflicted the country in the years 1907-08, the whole cause was the incitement which was offered to them by their turbulent and troublesome neighbours the Nicaraguans and the Honduraneans. As I have shown very conclusively, it was the long-established policy of Santos Zelaya to foster an outbreak in Salvador which should broaden into a revolution, in the course of which Salvadorean troops would be compelled innocently to commit some overt act which would give Honduras or Nicaragua a cause for the initiation of a movement against the Republic. This, it was hoped, would ultimately result in the election to the Presidency of Salvador of Dr. Prudencio Alfaro, who was always a creature of Santos Zelaya, and who for many months was his guest at Managua, where he formed all his plans, for the execution of which President Zelaya was ready to pay. As we have seen, the agitators did not wait for the *casus belli* on the part of Salvador, but most unwarrantably invaded that country and committed certain outrages, only, however, to have to execute a most humiliating retreat before any beneficial results could possibly have accrued to them. Had it come to an actual encounter or series of encounters between the allied forces of Honduras and Nicaragua on the one hand and the Salvadoreans on the other, there can be no question that the latter would in the long-run have emerged victorious; out of a population of 1,100,000, the Salvadoreans can claim a fighting force of at least 100,000. The Salvadoreans are the best and most plucky fighters in South or Central America, as has been proved upon several occasions, displaying great intelligence on the battle-field and in the conduct of their campaigns. At the



memorable battle of Jutiapa, fought between the Salvadorean troops and the Guatemalans in the previous year (1906), and in spite of the fact that the latter numbered over 40,000 as against little more than half that force arrayed on the side of Salvador, the former gave an extremely good account of themselves, and showed that the excellent military training which they had received had not been thrown away.

The invasion of Salvadorean territory in the month of June, 1907, by the Nicaraguans was a direct and unprovoked violation of the Treaty of Peace and Amity of Amapala, only signed on the previous April 23, and ratified on May 8, by which the Governments of the two countries agreed to submit their grievances to the Presidents of the United States and Mexico for arbitration. The news was first received through the telegram sent by President Figueroa, dated June 11, 1907, and addressed to Dr. Manuel Delgado, the Salvadorean Minister at Washington. In this despatch, General Figueroa says:

"This morning the revolutionists bombarded and captured the port of Acajutla. The forces were commanded by General Manuel Rivas, and came from Corinto in the warship *Momotombo*, armed by the President of Nicaragua. It is in this manner that President Zelaya complies with the terms of the Treaty of Amapala, which was the result of the intervention of the American Government."

The gunboat mentioned was one of six warships which Nicaragua at that date possessed, and which composed the whole of the Nicaraguan "Navy." The vessel was capable of transporting 1,000 troops, and the facility with which these landed and seized the port of Acajutla is explained by the fact that the Salvadoreans were entirely unsuspecting and unprepared for such an outrageous act upon the part of the treacherous Zelaya, with whom they had every reason to consider themselves at peace. The civilized world has denounced the Nicaraguans' act of aggression, and unhesitatingly expressed the opinion that President Zelaya had committed a grave violation of international ethics in opening hostilities against Salvador without having made a preliminary declaration of war or giving any reasons for such an action.

---



## CHAPTER VI

Outbreak of hostilities between Salvador, Honduras, Nicaragua, and Guatemala—Discreditable conduct of Nicaragua proved—Failure of United States and Mexican intervention—Dignified and loyal attitude of General Figueroa—Warning to Honduras—President Dávila used as Zelaya's cat's-paw—The latter's subsequent regret—Central American Court of Justice trial of claim for damages, and result of judgment.

The true friends of interstate peace, of whom there are as many in Latin America as other parts of the world—although, from the frequent turmoils which occur in that part of the globe, one might be excused for doubting it—were much distressed by the serious quarrel which broke out between the neighbouring Republics of Salvador, Guatemala, Honduras, and Nicaragua, in the years 1907-08. This was not by any means the first conflict which arose between Salvador and Honduras, for the two States were at war in 1871, when General Miranda invaded Honduras with the object of proclaiming General Xatruch as President in place of General Medina; again in 1872, when were fought the famous battles of Sabana Grande and Santa Bárbara; and in 1873, when Salvador sent an armed expedition against President Celio Arias, and in order to restore General Ponciano Leiva to the Presidency of the neighbouring Republic. Although the relations between Nicaragua and its adjoining States had long been on a questionable basis owing to the ambitious projects of General J. Santos Zelaya, its President, there was no reason to anticipate any disturbance, more especially as at the most critical time, owing to the intervention of the United States and Mexico, the cloud had blown over, and to all appearances peace reigned.

The worthlessness of the intervention, and the absolute ineptitude of the United States to effect any permanent improvement in the prevailing conditions, was, however, proved conclusively a few months after the Treaty of Peace and Amity had been signed, amid somewhat premature rejoicings at Washington, on December 20, 1907. Almost before the ink was dry upon the document, Honduran and Nicaraguan troops had violated the terms and conditions, and continued, moreover, to do so in spite of all diplomatic reminders and serious warnings from the United States. In these

"warnings," however, Mexico took no part, merely using the good offices of President Diaz to effect what the threat of the Big Stick had failed to accomplish. Eventually peace was proclaimed, and since then it has been strictly maintained as between the different Republics, although not by any means so within their own borders, as witness what has recently occurred, and is still occurring, in Honduras, and, alas! within Mexican territory, also. It seems a cruel irony that Diaz the Dictator should so soon have become the Deposed. The fact recalls forcibly the poet Burns's well-known words:

"And may you better reckon the rede,  
Than ever did th' adviser!"

The true history of these Republics' quarrels of recent times would at this stage be somewhat difficult to record, since an immense quantity of official documents would have to be translated and given in full. To do this, however interesting, would prove impracticable within the limits of a single volume. The matter has been sketched by me from personal knowledge, and I trust that I shall escape the charge of prejudice or unfairness to any of the parties involved.

For the facts set forth abundant evidence can be procured, and possibly, if my account be compared with the many versions which have been from time to time adduced by others, who have spoken and written from authoritative or personal information, it will not be found to vary very much in the main particulars. I have patiently listened to the accounts of all that took place both on Salvadorean and on Nicaraguan territory, and, furthermore, the incidents which both led up to and followed the clash of arms were related to me by the participants when all feeling of animosity and bitterness had disappeared, and the usual friendliness between the members of this strangely mercurial people had been restored. Thus very little for spirit of resentment—although perhaps something for the vainglorious spirit of the individuals concerned—need be allowed. *Il est difficile toujours d'estimer quelqu'un comme il veut l'être.*

Considerable as is the space which I have given up in this volume to the relations of the Salvadorean, Honduran, and Nicaraguan troubles, I find it impossible to publish in its entirety, as I should have liked to have done, the text of the complaints presented by the Governments of Honduras and

Nicaragua against that of Salvador, and which were heard before and decided by the Central American Court of Justice, as well as the final answer and arguments which were later on issued by the Ministry of Foreign Affairs of Salvador. All these documents, which fill two substantial and closely-printed pamphlets, the one consisting of 84 pages and the other of 108 pages, are extremely interesting and instructive, serving as they do to throw a particularly clear light upon the methods of some of the Central American States, which imagine that they are acting in an "honourable" manner and fulfilling a respectable destiny.

It is significant that these publications, which are complete and official, were issued by the Government of Salvador, from which it is clear at least that this country had nothing to fear from the world at large being made acquainted with the history of the troubles. No less worthy of comment is it that neither Honduras nor Nicaragua has ever made any rejoinder to the arguments and conclusions of the Court of Justice or of the Salvadorean Government, and in this action, perhaps, they have for the first time shown some intelligent discretion.

The impartial reader of these publications can only arrive at one conclusion, nor, indeed, is it even necessary that he should know anything of either the countries or their inhabitants to be able to form some sensible deduction from the actual position. The correspondence, the genuineness of which is unchallenged, speaks for itself. It seems clear that the Government of Salvador, while subscribing in Washington the Central American Treaty of Peace, swore faithfully to fulfil the International Agreement which bound it to its sister Republics, and at the same time opened for itself and for them, as it had every reason to hope and believe, a new era of confraternity to be maintained in dignity and mutual advantage. To the principles of that Treaty, Salvador adhered with the utmost rigour; and, in the face of the most intense provocation, refused to depart one inch from its solemn obligations. The attitude which this small but high-principled State showed at this time of trouble and trial has evoked the admiration and commendation of all statesmen, independently of country, or creed, or political belief.



**PENITENTIARY AT SAN SALVADOR.**



**OFFICERS' CLUB ROOM, MILITARY POLYTECHNIC  
SCHOOL.**

To particularize more minutely from the abundant evidence which exists to this effect, and which may be gathered from every page of these two pamphlets, is unnecessary in this volume; but one fact at least I may call attention to, as exemplifying the honesty of purpose and the good faith of the Salvadorean Government towards the Republic of Honduras, at a time, moreover, when only armed retaliation could reasonably have been looked for.

In all probability the friendliness of President Figueroa for his neighbours would never have been questioned, nor their relations have been in any way embittered, but for the Machiavellian interference of Santos Zelaya. It is an eloquent fact of the sympathy felt for Honduras, that President Figueroa of Salvador wrote personally, and almost affectionately, to President Dávila, on June 10, 1907, drawing his attention to the revolutionary plans of certain Honduran exiles who were making Salvadorean territory their temporary headquarters. Only feelings of friendship and good-nature could have prompted a neighbourly action of this kind, which, however, some few months afterwards was rewarded by President Dávila allowing his troops to join forces with the Nicaraguans in their invasion of Salvadorean territory.

This I may say in defence of ex-President Miguel R. Dávila, whom I know quite well, and with whom I have had many long and interesting conversations: he is a man of great honesty of purpose, but of singularly weak will; in fact, he has neither initiative nor power of moral resistance. Quiet and modest to an extraordinary degree, speaking very little above a whisper, and with the manners of a curate rather than those of a soldier, one is inclined to rather wonder *que diable fait-il dans cette galère* of President of an unruly and half-savage Republic.

In agreeing to join Zelaya upon his mad and mendacious enterprise, President Miguel Dávila, who had only assumed the Presidency in the month of April of that year (1907), undoubtedly allowed his better judgment and sense of decency to be overruled. This do I know, also: he has deeply and sincerely repented of his action, not because it failed and he lost the game at which he had consented to try his hand, but because, being a man, as I have said, of innate honesty of purpose, he perceived when too late that he had committed what is a worse offence than a mistake—a crime against personal honour.

General Fernando Figueroa, however, did something more than merely warn President Dávila of the plotting going on against his government and his life, and which was proceeding beyond his own jurisdiction. He actually prevented the leader of the Honduran revolutionists, General Téofilo Cárcamo, from leaving Salvadorean territory, keeping him, with many other conspirators, in prison, and thus helping to quell an uprising against President Dávila's government.

The magnanimity of the Salvadorean Government continued to the end. Notwithstanding the finding of the Central American Court of Justice, (delivered on December 19, 1908), and which, being in favour of Salvador upon all points raised, should sequentia have carried costs, the Government forewent any such claims, which by the terms usually prevailing under International Law could have been insisted upon, and found its share of the expenses incurred by the inquiry.

Subsequent to the troubles related in the foregoing pages, the Honduran Government stupidly courted fresh disasters by prosecuting a claim for damages against the two Republics of Salvador and Guatemala for injuries which it declared it had sustained as a result of those two sister-States having harboured Honduran agitators and conspirators within their borders. The exact value of this claim can best be judged by perusing the following questions that were considered and determined by the Special Court of Justice which was formed in Costa Rica (the only State which stood aside and refused to be concerned in this Central American squabble), and the members of which were made up of five different nationalities. Attached is a faithful translation of what transpired on this occasion:

IN THE CENTRAL AMERICAN COURT OF JUSTICE AT CARTAGO, COSTA RICA.  
THE GOVERNMENT OF THE REPUBLIC OF HONDURAS VERSUS THE  
GOVERNMENTS OF THE REPUBLICS OF EL SALVADOR AND GUATEMALA.

DECISION: IN THE CITY OF CARTAGO, COSTA RICA, AT MIDNIGHT OF THE  
19TH OF DECEMBER, 1908.

Upon the closing of the deliberations of the Court for pronouncing judgment in the complaint filed by the Government of the Republic of Honduras against the Governments of the Republics of El Salvador and Guatemala, charging responsibility that took place in the first-mentioned Republic in the month of June last, the Chief Justice submitted the following queries to be voted upon in rendering the decision that is to settle the controversy:

*First Question.*—Should the Court sustain the exception taken by the representative of the Government of Guatemala as to the inadmissibility of the complaint, on grounds that it was filed before all negotiations for settlement, between the two respective Departments of Foreign Affairs, had been resorted to without success?



The result of the vote cast was as follows:

*First Question.*—The five justices answered in the negative.

*Second Question.*—Should the Court sustain the exception taken by the same party, as to the insufficiency of basis of action, considering that no evidence was filed together with the complaint?

*Second Question.*—The five justices answered in the negative.

*Third Question.*—Is it proven, and should it thus be held, that the Government of the Republic of El Salvador has violated Article 17 of the Treaty of Peace and Amity, signed at Washington on December 20, 1907, by failing to bring to the Capital and to submit to trial Honduran exiles who endangered the peace of their country?

*Third Question.*—Justices Gallegos, Bocanegra, and Astua answered in the negative, and Justices Uclés and Madriz in the affirmative.

*Fourth Question.*—Is it proven, and should it thus be held, that the Government of the Republic of El Salvador has violated Article 2 of the additional convention to said treaty by fostering and promoting the revolutionary movement referred to?

*Fourth Question.*—Justices Gallegos, Bocanegra, Astua, and Madriz answered in the negative, and Justice Uclés in the affirmative.

*Fifth Question.*—Is it proven, and should it be held, that the Government of the Republic of El Salvador has contributed to the realization of the said political disturbance, through culpable negligence?

*Fifth Question.*—Justices Gallegos, Bocanegra, and Astua answered in the negative, and Justices Uclés and Madriz in the affirmative.

*Sixth Question.*—In consequence, should the Court hold that the action instituted against the Government of the Republic of El Salvador is according to law, and, if so, should that Government be sentenced to pay the indemnity for damages that the complainant prays for?

*Sixth Question.*—Justices Gallegos, Bocanegra, and Astua answered in the negative, and Justices Uclés and Madriz in the affirmative.

*Seventh Question.*—Is it proven, and should it be held, that the Government of the Republic of Guatemala has violated Article 17 of the Treaty of Peace and Amity, signed at Washington on December 20, 1907, by failing to bring to the Capital and submit to trial Honduran exiles who endangered the peace of their country?

*Seventh Question.*—Justices Gallegos, Bocanegra, Madriz, and Astua answered in the negative, and Justice Uclés in the affirmative.

*Eighth Question.*—Is it proven, and should it be held, that the Government of the Republic of Guatemala has violated Article 2 of the additional convention to the said treaty by fostering and promoting the revolutionary movement referred to?

*Eighth Question.*—Justices Gallegos, Bocanegra, Madriz, and Astua answered in the negative, and Justice Uclés in the affirmative.

*Ninth Question.*—Is it proven, and should it be held, that the Government of the Republic of Guatemala has contributed to the realization of the said political disturbance, through culpable negligence?

*Ninth Question.*—Justices Gallegos, Bocanegra, Madriz, and Astua answered in the negative, and Justice Uclés in the affirmative.

*Tenth Question.*—In consequence, should the Court hold that the action instituted against the Government of the Republic of Guatemala is according to law, and, if so, should the Government be sentenced to pay the indemnity for damages the complainant prays for?

*Tenth Question.*—Justices Gallegos, Bocanegra, Madriz, and Astua answered in the negative, and Justice Uclés in the affirmative.

*Eleventh Question.*—Should costs be awarded against the losing parties?

*Eleventh Question.*—Justices Gallegos, Bocanegra, Madriz, and Astua answered in the negative, and Justice Uclés in the sense that costs be awarded against the Governments of the Republics of El Salvador and Guatemala.

From the above-stated result, judgment is rendered dismissing the action instituted against the Governments of the Republics of El

Salvador and Guatemala without costs.

JOSÉ ASTUA AGUILAR.  
SALVADOR GALLEGOS.  
ANGEL M. BOCANEGRA.  
ALBERTO UCLÉS.  
JOSÉ MADRIZ.

*Witness:* ERNESTO MARTIN, Secretary.

A more impudent or baseless claim than that put forward by Honduras, and decided by the Central American Court of Justice, can hardly be imagined. That the Honduran Government would ever have thought of prosecuting it at all but for the instigation from its immediate neighbour seems hardly probable.

That the Court should have found a decision overwhelmingly in favour of Salvador and Guatemala was only natural, but it seems unfair that, having come to that inevitable conclusion, costs should not have followed the event, and that Honduras should not have been condemned to pay them.

There is but one consolation (a poor one, I am afraid) open to the Republics of Guatemala and Salvador in this connection—namely, that had the Court ordered Honduras to pay the costs of the inquiry, it would never have done so, any more than it has paid back to its foreign creditors either the principal of, or, even the interest upon, the money which it borrowed.

Were the creditors American instead of British, some satisfactory settlement would have been arrived at long ago. Even as it is, the British bondholders will be unable to obtain a settlement of any kind without recourse to American interference, and, as may be well believed, it will be upon such terms as the Americans choose to approve of, and subject to such profits out of the transactions as the Americans choose to demand.

It is satisfactory at least to observe that Honduran impudence did not succeed in the above instance in getting "any rise" out of either Salvador or Guatemala.

That the relations existing to-day between the two Republics of Salvador and Honduras are upon a more friendly basis, and that they are destined to so remain as long as the present Governments of the two countries remain

in power, is proved from the interchange of congratulatory despatches made by Dr. Bertrand, President of Honduras, and Dr. Manuel Enrique Araujo, President of Salvador, in the month of March last, and copies of which I am enabled to give in this volume. The correspondence, conducted by telegraph, was as follows:

"TEGUCIGALPA,  
"March 28, 1911.

"To H.E. the President, Dr. Manuel E. Araujo,  
San Salvador.

"I have the honour to bring to the knowledge of Your Excellency that I have to-day taken possession of the Presidency of the Republic before the National Congress. In communicating this to you, I take pleasure in anticipating the good sentiments that animate me for the cultivation of better relations with the Government over which Your Excellency so worthily presides, presenting to you at the same time my good wishes for the well-being of the Republic and for Your Excellency's personal happiness.

"I am, Your Excellency's sincere  
and devoted servant,  
"F. BERTRAND."

REPLY FROM THE PRESIDENT OF SALVADOR.

"SAN SALVADOR,  
"March 28, 1911.

"To H.E. President Dr. Bertrand, Tegucigalpa.

"I am delighted to receive Your Excellency's important message, which conveys to me the flattering news that such a distinguished citizen, to whom I am bound by chains of fraternal sympathy, has to-day taken possession of the elevated office of President of that Republic. Such a happy event is received with immense rejoicing by my Government and the general public, because it implies for the sister-Republic of Honduras peace and progress. I send good wishes for the well-being of Your Excellency, to whom I am pleased to offer the testimony of my perfect friendship and sympathy.

"MANUEL E. ARAUJO."



## CHAPTER VII

The army—Division of forces—Active reserve—Auxiliary—Republic's fighting strength—Military education—Strict training—Excellent discipline—Schools and polytechnics—Manual training—Workshops and output—Economies in equipments—Garrison services—Barracks—Destruction of Zapote Barracks—New constructions at Capital, Santa Ana, Santa Tecla, Sitio del Niño, Ahuachapán, Cojutepeque, San Miguel—Annual expenditure.

The National Army of the Republic of Salvador is divided into three main sections, each of which is under the orders of a Departmental Commander, the only superior to whom is the Minister of War. In the Department of San Salvador, which comprises the Capital, the command of the troops is vested in the hands of the Minister, and special commissions are held in connection with this command. The first of these commissions covers the Attached and Reserve Forces of the whole Department; the second relates to the Active Forces of the Department quartered outside the Capital; and the third deals with the two military zones into which the Military District of San Salvador is divided.

The entire strength of the Salvadorean Army is, approximately, as follows:

Active Force consists of 78 Staff Officers, 512 Officers, 15,554 Troops, or, approximately, 26 Battalions.

Auxiliary Force consists of 49 Staff Officers, 356 Officers, 11,176 Troops, or 18½ Battalions.

Reserve Force amounts to 251 Senior Officers, 1,743 Officers, 56,151 Troops, or 93½ Battalions.



**COLONEL, ADJUTANT, AND CAPTAINS OF COMPANY.**



**CADET CORPS, SCHOOL OF SERGEANTS.**

This gives the total strength of the Effective Army as—378 Senior Officers, 2,611 Officers, and 82,881 Troops, or 138 Battalions, more or less.

The Government, on the advice of the late President, General Figueroa, have devoted the closest care and attention to the question of military instruction, and the system at present in force is the outcome of the intelligent study of similar systems in force in other countries, and the adaptation of the best features existing in each. A very high esprit de corps exists among the Salvadorean troops, and, for the most part, they enter upon their schooling and training with both zeal and interest. It must be remembered that a great proportion of the troops are merely Indians; and it

speaks well for them that they should take so kindly to a course of what really amounts to mental and physical restriction, which, after all, is an experience somewhat different to what they and their ancestors have been accustomed, except when serving as serfs under a brutal Spanish dominion.

Conspicuous success has attended these courses of military instruction, especially in regard to the 1st Infantry Regiment, which is quartered at San Salvador, and to the 1st Artillery, which is quartered at Santa Ana. Here the men punctiliously attend the lectures upon military subjects which are delivered by the regular officers, as well as by means of ordinary instruction classes. In other garrison towns night classes are held regularly each evening of the week, the instructors in these cases being the officers quartered with the garrison, as well as an eminent German Professor (Herr Alfred Vischer) who was engaged from Germany especially to impart military education to the Salvadorean troops.

A School for Sergeants and Corporals has also been established, with the idea of training these non-commissioned officers for appointments to higher rank in the army. This school was some time ago joined to the Polytechnic Institute, and placed under the command of the Director and Sub-Director of the latter institution; but subsequently, owing to a disastrous fire which broke out and destroyed a portion of the Zapote Barracks, in which the classes were customarily held, the two schools had to be separated and conducted in separate establishments.

It is characteristic of the broad-mindedness of the Salvadorean Government that among the instructors engaged was Colonel Armando Llanos, of the Chilian Mission, who for a considerable time had been Instructor of the Polytechnic, and later was appointed Director and Commandant of that school. In addition to the Director and Sub-Director, the School for Sergeants and Corporals has a Doctor, a Paymaster, two Captain Instructors, eight official Company Ensigns, and two Civilian Professors. All of the officers who serve in this corps have to enter through the Polytechnic School, and among them have been many distinguished cadets.

For the use of the officers there exists a very agreeable Club, at which they can procure their full meals and all kinds of light refreshments at moderate prices; while the usual amusements, such as drafts, cards,



billiards, etc., are provided for them. So comfortable is this Club made that the officers, as a rule, find very little inducement to visit the larger towns in search of their amusements; a matter of great importance is this to them, in view of the fact that the barracks are, as a rule, situated at some distance from the City, and railway travelling is, under any circumstances, rather expensive.

In addition, this school has a number of workshops attached, where shoemaking, blacksmithing, tailoring, beltmaking, etc., are carried on, the output providing the principal requirements of the garrison, including the supply of uniforms for the officers.

The staff of officers and cadets of this school, together with the troops who occupy the annex, take part in periodical reviews and manœuvres; and even severe military critics have been obliged to admit that the smartness and orderliness of the troops are in the highest sense of the word praiseworthy.

The course of instruction which is followed appears, indeed, to be very thorough, while the examinations through which officers have to pass are in every way drastic and thoroughly "stiff." The Polytechnic has turned out some very smart officers, the supply being fully equal to the demand.

Of late the Polytechnic School has been provided with a first-class physical and chemical laboratory, equipped with most modern apparatus. The annual expenditure upon this establishment may be put at between \$65,000 and \$70,000, which includes all the salaries paid to the Professors and the fees to the officers who deliver lectures, the maintenance of the cadets and troops, forage for their horses, and all general expenses.

It is the practice at these schools to have field-days, when the troops, as well as the cadets undergoing instruction, take part. Upon these occasions they go through most of the features of an ordinary campaign, including embarking and disembarking upon the various lakes and inland watercourses, shooting and camp-pitching, bridge-building, and a thorough training in the evolutions of field artillery. The various cadets who are attached to the Engineers Corps, Telephone and Telegraph Sections, and Medical Staff, have to go through courses in the duties of these particular branches of the army; and it is, therefore, quite easy to understand—when one considers the thoroughness of the training in all branches of its service

—why the Salvadorean Army should stand first among the five Central American Republics for military efficiency. That such training is thoroughly effective and conducted with the best *morale* results was proved in connection with the earlier unfortunate trouble, when many of the officers from the Polytechnic Schools distinguished themselves not only by fighting gallantly, and in some cases meeting their death with bravery, on the field of battle, but also in regard to the skill and ability with which they handled their troops, both in defence and in attack.

In regard to the garrison services, the infantry and cavalry are almost exclusively employed, the artillery being quartered both in the Capital and the City of Santa Ana. The officers serve for one year certain, and they are thus afforded every opportunity of acquiring a sound and finished instruction, and of becoming thoroughly disciplined. The 1st Infantry Regiment occupy commodious and suitable quarters, and they are generally noticeable for their smartness and soldierly appearance, when both on and off duty. Santa Ana is garrisoned by the 1st Artillery Regiment; and here, again, the troops are comfortably quartered, and the strictest discipline is maintained. The barracks are located at the Casa Mata, an old but commodious building, which has been remodelled and adapted to present-day requirements. A new story has been added, and this is used as offices for the Commanders and Majors of the corps, while one side of the building has been converted into extensive stabling for twice the number of animals that are actually needed.

In point of cleanliness and comfort the Casa Mata Barracks, as well as those at the Capital, which I was invited to inspect, leave little room for improvement; and it is worthy of remark that no epidemic of any kind has broken out in these barracks for many years past, these having remained perfectly free from contagion even when smallpox was raging in some other parts of the Republic. The Military Authorities are commendably particular in regard to vaccination and re-vaccination, not only when the troops go on active service, but at all times. There is a well-maintained army dispensary attached to all the barracks, and every regiment in the Republic is entitled to free supplies of medicine, drugs, and attendance.

While duly economical in regard to its expenditure, and zealous in seeing that nothing is wasted, the Government has done everything that is necessary to keep the troops adequately equipped both in arms and

ammunition, uniforms and supplies. The extensive and efficiently-equipped Government workshops are in the charge of a German mechanic, and here many of the military criminals, who are confined in the Central Prison, are taught useful trades, and their services as masons, tailors, and mechanics, are employed to good purpose. Some capital work is turned out in these workshops, such, for instance, as military equipments, uniforms, etc. I was informed that during the year there had been made there 2,710 complete uniforms for the infantry and artillery, 890 for the cavalry, 545 for colour sergeants, 200 for the port police, 258 for marines; 931 soldiers' caps, 537 cartridge-holders, 2,023 putties, and 2,378 rifle-slings. Special orders had been executed in regard to 22,914 uniforms and 11,311 caps, giving the considerable total of 27,447 uniforms of all kinds, besides a large number of heterogeneous military uniform fittings.

During this period there had been delivered to the different garrisons of the Republic 27,223 uniforms of various kinds; 14,299 caps; 5,840 scabbards with their ferrules; 2,550 kitbags; 1,200 blankets; 1,550 pairs of cotton gloves; 562 cartridge-belts; 1,790 pairs of canvas putties; 200 pairs of leather spats; 2,040 rifle-slings; 271 pallets for soldiers; 354 cloaks; 600 pairs of gaiters; 1,350 water-coolers; 450 canvas nosebags, etc. Although the not inconsiderable sum of \$151,723 was expended upon these and other equipments, it will be readily recognized that the Government must have saved enormously in its expenditure by employing the services of its own workshops.

It is desirable to say something in regard to the character of the buildings which the Government uses for military purposes. References have already been made to the serious conflagration which destroyed the handsomest and most generally used barracks in the Republic—viz., the Zapote building. The fire broke out on March 27, 1908, the actual cause being a mystery, although it was supposed that the disaster had its origin in the defective installation of the electric light, a badly insulated wire having been allowed to get into contact with one of the wooden turrets. The building had been almost completed when this accident took place; but fortunately, owing to the quick services which were rendered by the garrison staff, the police, and some volunteer helpers, the total destruction of the barracks was prevented, and the greater part of the war material stored therein for use was saved.

The barracks have now been completed, and form one of the handsomest blocks of Government buildings in the Capital.

In Santa Tecla, which is situated but ten miles distant from the Capital, a large and handsome block of barracks has been constructed, and is also practically complete, the work having been in hand since the year 1905, but progress being considerably impeded from time to time through various causes. It seemed, indeed, that these barracks would prove something like Cologne Cathedral, and never see completion; for as soon as one part was finished the work was arrested, and before any new addition had been made the old part had fallen into decay. Neighbouring wars, earthquake shocks, and lack of necessary funds, all played their part in occasioning these delays; but at length the building may be pronounced complete. The front is constructed in two stories, the three other sides being in one story only; and, while the exterior of the building is constituted of handsome cut stone, the interior is of a lighter material suitable for tropical residence. There have been over 50,000 blocks of stone cut and laid for the frontage; the total cost will doubtless prove to be heavy, but the result achieved will have been worth it.

In the town of Sitio del Niño new barracks have been built for the garrison, an expenditure which has been rendered necessary in view of the advent of the railway between Acajutla and Santa Ana, which crosses here, and forms an important junction and stopping-place for travellers. The barracks took several months to complete, and they now form a very substantial addition to the town's notable structures. The principal block of buildings has 27 yards of frontage by 15 yards of width, including the corridors and other buildings. The extent of frontage, which faces the railway-station, has a notable elevation, and rests on 2 metres of stone foundation, one course below the ground, and the other above the ground level, which is considered to have been the most healthful style to have adopted, the residential part of the building thus being elevated appreciably above its foundation.

In Ahuachapán a substantial and handsome building for barracks is also being erected, the chief material employed being masonry, while the whole structure has been planned with a view to defence in case of necessity. The building has four turrets, one situated at each corner, in addition to two smaller turrets which are placed on either side of the principal gateway. The

thickness of the walls has been decided upon with the idea of resisting the attack of artillery of the kind usually employed in these countries. The interior of the building is constructed of unburnt bricks, the arrangement being of the utmost simplicity, the architect bearing in mind that the building is destined to be used entirely for troops, workmen, etc.

In Cojutepeque a block of barracks is about to be erected, but active construction will be postponed until the water-pipes, which are now being laid to convey water to the city, have been completed. In San Miguel various additional defence works have been executed at the existing barracks, while others have been commenced, the Government having resolved to make San Miguel a strongly fortified town. New military stables have been added to the cavalry barracks at Santa Ana; while in other Departments of the Republic a considerable number of important repairs and additions to military buildings have been completed.

From first to last the annual upkeep of the Salvadorean Army, including both equipment and maintenance, as well as the expenditure upon all the military educational establishments, payments for the services of the national steamer, contributions to volunteer regiments, reserve squadrons, etc., amounts to nearly \$1,220,000; and taking the whole of this expenditure for both War and Marine, the total disbursement for the year 1908-09 stood as follows:

|                                                           | \$                    |
|-----------------------------------------------------------|-----------------------|
| Private staff of the President                            | 73,113.73             |
| 1st Artillery Regiment                                    | 155,155.69            |
| 1st Infantry Regiment                                     | 461,596.39            |
| Cavalry Regiment                                          | 125,670.58            |
| Polytechnic School (including subs.)                      | 106,554.71            |
| School of Corporals and Sergeants                         | 100,887.38            |
| Volunteers of the Capital                                 | 90,602.04             |
| Reserve Squadron                                          | 52,393.87             |
| Band of Supreme Power                                     | 45,741.59             |
| National steamer <i>President</i> (from January to March) | 3,943.84              |
|                                                           | <u>\$1,215,659.92</u> |



## CHAPTER VIII

British Minister to Salvador—Lionel Edward Gresley Carden—British Legation hospitality—Mrs. Carden—Government indifference to valuable services—British Consul—No report for twenty years—Foreign Office neglect—Salvadorean Consuls and their duties defined—Correspondence with the Foreign Office—Imports and Exports—British Supremacy in 1904—Germany's position.

For some reason known to the Foreign Office, but understood and appreciated by no one else, Salvador is incorporated with Guatemala, Nicaragua, and Honduras in its representation by a Minister-Resident and Consul-General combined. Other nations in Europe of less importance, and the United States of America, are represented by separate Ministers and Consuls-General, and in some instances by both. The niggardly Foreign Office, however, when it has contributed the munificent sum of £2,000 for the Minister-Resident's salary, and a further £300 as office allowance as well as £200 for the Consul's office expenses, has done all that it thinks necessary to sustain the dignity of Great Britain in a foreign country whose people are peculiarly susceptible to compliments of this kind, and leaves Salvador, Guatemala, Nicaragua and Honduras—separated from one another not alone by hundreds of miles in actual distance, but by many days' travel on horseback or by steamship—to make the best they can of the arrangement. The inconvenience alike to the particular Minister, to the British subjects living in these Republics, and to the Governments concerned, is considerable, and at times becomes of very serious import.

The British Minister to Salvador is Mr. Lionel Edward Gresley Carden, a man of altogether exceptional ability and culture, a born diplomat, and one of the most attractive personalities that one could meet with. He was born in 1851, and is a son of the Rev. Lionel Carden, of Barnane, Co. Tipperary, his mother being the beautiful Miss Lucy Lawrence Ottley; and from her Mr. Carden has doubtless inherited much of his physical attractiveness. Educated at Eton, he was at the age of twenty-six given his first Government appointment, namely, that of Vice-Consul at Havana, Cuba, in 1877. A few years afterwards—namely, in 1883—Mr. Carden was attached to Sir S. St. John's Special Mission to Mexico, and two years later he was

appointed H.B.M.'s Consul at Mexico City. It was then that his valuable services as the British Commissioner at the Mexican Mixed Claims Court were rendered, the Commission sitting on and off between 1885 and 1889. While in Mexico Mr. Carden upon two occasions took entire charge of the Legation, and in 1898 he went back to Cuba, this time as Consul-General, remaining there until 1902.

Mr. Carden created a profoundly friendly feeling for the British during these four years, and he is still spoken of with the greatest esteem, not only by members of the British community, but by the Cubans themselves, with whom he was always persona grata. In 1902 he was created Minister at Havana, and he remained there until 1905, when he took up his present post as H.B.M. Minister-Resident and Consul-General to Salvador, Guatemala, and Honduras.

Mr. Carden married Miss Anne Eliza Lefferts, a daughter of Mr. John Lefferts, of "Flatbush," New York, U.S.A., a gracious and talented lady who, by her kindness of heart and refined hospitality, has endeared herself to all foreigners resident or travelling in Guatemala. The British Legation, one of the handsomest residences in Guatemala City, is the centre of much friendly and cultured intercourse, not only among the British and American colonies, but with many of the Guatemalan notabilities and families.

The only recognition that has been paid by the British Government to Mr. Carden so far, in connection with his long and valuable services in Latin America, has been the bestowal of the Coronation Medal in 1902. Beyond relieving him in 1908 of the burden of representing the Government in Costa Rica in addition to Salvador, Honduras, and Guatemala, the King's advisers have done nothing to show that they appreciate Mr. Carden or recognize the onerous and responsible mission which he has had to fulfil. And yet he is both by education and temperament essentially one of the most useful and reliable diplomats that the Government can call upon. His proper sphere would be at one of the European Courts, or, better still, at Washington, where his valuable and unique knowledge of Latin-American countries and Governments would enable him to more adequately and advantageously represent and protect British commercial interests than does the present complacent Minister, who suggests the idea of being more of an American in his sympathies than a Britisher.





**MR. LIONEL EDWARD GRESLEY CARDEN, C.M.G.  
H.B.M. MINISTER-RESIDENT AT SALVADOR (AS WELL  
AS AT GUATEMALA, NICARAGUA AND HONDURAS.)**

It will be scarcely credible, but it is none the less a fact, that the British Government has issued no Consular Trade Report upon the Republic of Salvador for nearly twenty years! This fact is set forth in the following correspondence which I attach:

"PONDTAIL LODGE,  
"FLEET, NORTH HANTS,

*"April 23, 1911.*

*"To the Right Hon. Sir Edward Grey, Bart., Secretary of State for Foreign Affairs, Foreign Office, Downing Street, London, W.*

"SIR,—I should esteem it a great courtesy if you would let me know whether any Consular Report has been published by the Foreign Office in connection with the Republic of Salvador; what was the date of such report; and whether any other report of a later period is likely to be published—and if so, when? I have been making diligent inquiries with regard to this matter, but can obtain absolutely no information, a fact which seems more remarkable in view of the trade relations which prevail, and have for so many years prevailed, between Great Britain and the Republic of Salvador.

"My interest in the matter must plead my excuses for troubling you, and awaiting your courteous reply,

"I remain, sir,  
"Yours obediently,  
"PERCY F. MARTIN."

"FOREIGN OFFICE,  
*"April 25, 1911.*

"The Under-Secretary of State for Foreign Affairs presents his compliments to Mr. P. F. Martin, and, by direction of the Secretary of State, acknowledges the receipt of his letter of the 23rd inst., which is receiving attention."

"FOREIGN OFFICE,  
*"May 8, 1911.*

"SIR,—With reference to your letter of the 23rd ultimo, I am directed by Secretary Sir E. Grey to transmit to you herewith, a copy of the Consular Trade Report for Salvador for the year 1892, which is the last received.

"I am, sir,  
"Your most obedient humble servant,

"(Signed) W. LANGLEY."

"PONDTAIL LODGE, "FLEET, NORTH HANTS,  
"May 9, 1911."

*"To the Under-Secretary of State for Foreign Affairs, Foreign Office,  
London, W.*

"Mr. Percy F. Martin presents his compliments to the Under-Secretary of State for Foreign Affairs, and begs to acknowledge the receipt of a copy of the Consular Report concerning trade in Salvador for the year 1892, which he notes is the last which has been issued."

It may be asked why the Foreign Office grants an office allowance of £200 to the Consul at San Salvador if the services of that gentleman do not include the supply of at least an occasional report upon the trade conditions of that important country? In view of the fact that the share of the Republic's trade with Great Britain is still of some moment, even if it has shrunk considerably in magnitude from what it formerly was, it seems astonishing that not a word concerning the conditions prevailing, nor of the opportunities which exist for promoting trade in that country, should have emanated from a Department of State which presumably exists to protect the interests of the nation's trade and commerce abroad.

Assuredly, never at any time were the stinging sarcasms uttered by Burke, concerning Government services of this kind, in 1780, more deserved than to-day. In his memorable speech on "Economical Reform," Burke observed that the Board of Trade was "a sort of gently ripening hothouse where members received salaries of £1,000 a year in order to mature at a proper season a claim for £2,000." If our Consuls are expected to do nothing more than sit in their offices in order to qualify eventually for a pension, the sooner they are abolished altogether the better for the country's pocket.

It is to be observed that certain among the Latin-American States have a much clearer idea of the proper qualifications for, and the functions of, a Consul and a Vice-Consul than our own Foreign Office, which has challenged criticism and earned condemnation on account of the ridiculous appointments which it has made, and continues to make, to such offices.

Quite recently the Government of Salvador published a very important Regulation relative to Consular appointments, and this contains so much good sense, and offers so many points which might be adopted with advantage by our own "Circumlocution Office," that I make no apology for reproducing the gist of it here.

According to Article I., Clause (b), of this Regulation, the Consular career "has for its aim above all to promote and increase the commerce of the country, and also to insure for it social and political representation." Then this official Regulation gives a general review of the obligations imposed upon members of the Diplomatic and Consular Corps, and adds: "Certainly, in order to fulfil these, special knowledge is needed, which can only be acquired by patient and careful study. Diplomats and Consuls, who go to represent Salvador in foreign lands, must especially be presentable and must possess individuality. If any unfortunate circumstance makes them appear ridiculous, discredit will fall, not only on themselves, but on their fellow-countrymen." The Regulation continues:

"Travellers have been heard to say that they have sometimes found the Salvador coat of arms lying in a dark, dirty hovel, or in close proximity to a pawnshop; whilst some diplomatists have been rendered conspicuous by their ignorance of the language and customs of the country to which they have been sent, and, above all, by their absolute lack of patriotism. A Professor of International Law has related of an Envoy Extraordinary of the Republic of Salvador, that he once had to be arrested by the police in the centre of the City of Mexico for drunkenness."

I have heard of at least one British diplomatic representative in South America who ought to have been arrested for a similar offence, but who escaped the indignity by reason of the wholesome respect which the Government had for the country which he represented, even if it had none for the representative.

"Consuls and diplomatists," goes on this document, "must not only possess special knowledge, but must be cultured persons, honourable, tactful, and sympathetic." In a word, they must possess the difficult gift of knowing "how to please."

The Regulation does not actually detail these latter qualities, but gives it to be understood that they are indispensable. It, however, emphasizes the

necessity of "facility of expression" as an attribute of the aspirant to the Consular and Diplomatic Service, at the same time, without requiring him to be an orator. He must be capable of "getting out of a difficulty decently, without making himself ridiculous."

It would be advisable, the Regulation points out, that youths who possess the desired qualifications should be employed by the Government in subordinate positions connected with the Consulates and Legations, before they receive higher appointments or become Heads. As Secretaries or supernumeraries, they would have an opportunity of becoming familiar with the language and customs of the people among whom they were placed. All the necessary expenses for this arrangement should naturally be borne by the State.

"It must also be remembered," this practical Regulation continues, "that those who fulfil the required conditions are losers from the point of view of any financial advantages, since for some time their remuneration will not equal that which might have been gained by entering commerce or professional work. At the same time, youths who dedicate themselves to this career must have sufficient patriotism and ambition to figure in the posts of honour. No time must be lost in the task of training up Consuls, and as the perfection of human work has resulted in the evolution of specialists, so the Government must not too seriously consider the question of economy, but must allow these young men to be sent to other countries, and to remain in the same post long enough to specialize in their profession."

According to the new laws affecting the appointment of Consuls, the regulations call for a division into two distinct ranks—consuls-general and consuls de carrière (irregular); and consuls ad honorem (honorary). The first-named are appointed to: Hamburg (Germany), Antwerp (Belgium), Barcelona (Spain), San Francisco (U.S.A.), Mexico City (Mexico), Paris (France), London (Great Britain), Genoa (Italy), Guatemala City (Guatemala), Tegucigalpa (Honduras), Managua (Nicaragua), San José (Costa Rica). The annual remuneration is £720 for the Consuls-general, and £480 for the Consuls.

The honorary consuls are at Panamá City, Panamá; New York City, U.S.A.; Liverpool, England; Bordeaux, France; Berlin, Germany; and New Orleans, U.S.A.

The first-named officials must be Salvadoreans and citizens of the Republic; while the second may be of any nationality. These latter may deduct from the fees collected by them such amounts as may be necessary to cover office expenses, and the remuneration allowed them under Article 186 of the organic law of the consular service.

The Government of Salvador considers that "those States which maintain permanent Legations should keep themselves regularly informed of all the antecedents and course of the questions that are to be discussed. They should have a perfect knowledge of the circumstances that may contribute to a solution favourable to their interests; their diplomatic Ministers should have had an opportunity of quietly studying the weaknesses of those persons with whom they have to negotiate. The State that does not maintain permanent representatives will experience difficulties of all kinds in the most insignificant negotiation. If its Government conducts affairs by means of a Foreign Office, by the post or telegraph, it will be exposed to evasive replies and delays, which will be to the advantage of the other State; and if a Special Mission is sent, whatever may be the personal capacity of its chief, he will be in unknown territory, and will lose precious time whilst he is studying men and things sufficiently to master the situation, and to be able to deduce from it the necessary material to bring to a successful issue the negotiations entrusted to him."

These are all very sensible and apt observations, which I respectfully bring to the attention of Sir Edward Grey, our present Foreign Secretary, and the many "Official Barnacles" who surround him and advise him in regard to the appointments to the Consular Service.

The last British Consular Report from Salvador is dated "June 30, 1893," and relates to what took place during the previous year, namely, "1892." It is from the pen of Mr. C. S. Campbell, then Consul-General, and is addressed to the Foreign Minister of that day, the Earl of Rosebery. It is apparent from this document, which consists of exactly six pages, that Great Britain stood second on the list of Imports, and third on the list of Exports, the figures being as follows:

|          | Imports. |       | Exports. |       |
|----------|----------|-------|----------|-------|
| Country. | 1891.    | 1892. | 1891.    | 1892. |
|          | £        | £     | £        | £     |

|               |         |         |         |         |
|---------------|---------|---------|---------|---------|
| United States | 122,047 | 104,587 | 247,632 | 397,055 |
| England       | 121,523 | 121,210 | 100,974 | 110,043 |
| Germany       | 46,744  | 37,018  | 212,276 | 108,618 |
| France        | 74,444  | 58,819  | 163,079 | 131,586 |
| Italy         | 12,504  | 9,514   | 92,282  | 55,128  |
| Spain         | 3,905   | 3,772   | 5,297   | 3,126   |
| Sundry        | 60,214  | 43,557  | 146,544 | 136,692 |
| Total         | 441,381 | 378,477 | 968,084 | 942,248 |

It is clear from these figures that British trade with Salvador was something considerable and well worth maintaining, having at that time approached near that of the United States of America, in spite of the great geographical advantage which the latter country possessed—and still, of course, possesses—over Great Britain or any other European country. Let us now glance at the position of affairs a few years later:

IMPORTS AND EXPORTS BY COUNTRIES, IN GOLD DOLLARS  
(\$4.85 = £1).

IMPORTS.

| Year. | Country.        | Amount.<br>\$ | Percentage. |
|-------|-----------------|---------------|-------------|
| 1904  | England         | 1,304,576     | 36·1        |
|       | Germany         | 404,422       | 11·2        |
|       | United States   | 1,002,437     | 27·8        |
|       | Other Countries | 898,642       | 24·9        |

EXPORTS.

| Year. | Country.        | Amount.<br>\$ | Percentage. |
|-------|-----------------|---------------|-------------|
| 1904  | England         | 1,482,319     | 22·4        |
|       | Germany         | 958,533       | 14·4        |
|       | United States   | 1,103,030     | 16·6        |
|       | Other Countries | 3,091,563     | 46·6        |

It will be observed that Great Britain in 1904 actually led in the Republic's trade with foreign countries; but nevertheless the Foreign Office deems this fact so unimportant that it will not trouble to publish a syllable

concerning the commerce of that Republic, for the information of the industrial and trading world.

The average total of the foreign trade of the Republic of Salvador may be taken as \$10,600,000 (gold), or, say, £2,120,000, with a balance of \$2,250,000 (gold), or, say, £450,000, in favour of the Republic. And it is when we come to analyze the imports from foreign countries that we recognize how closely Great Britain and the United States run together, and how greatly we have to fear our keen American rivals as competitors. For the year 1909 we see that—

|                                                  |                     |
|--------------------------------------------------|---------------------|
| Great Britain sold to Salvador goods worth       | \$1,438,613.90      |
| United States sold to Salvador goods worth       | <u>1,344,315.79</u> |
| A trifling balance in favour of Great Britain of | \$94,298.11         |

—or, say, £18,859. Our principal trade was in cotton, both manufactured and yarn; while the United States took premier place in flour, hardware, drugs and medicines, boots, shoes, machinery, and agricultural implements. In these latter goods no country can touch the United States for cheapness and general novelty; but it is only fair to add that the goods are "made to sell," or, in other words, they are "cheap and nasty"—a fact which the purchasers are finding out for themselves. Until British manufacturers export something considerably cheaper than the implements and farm machinery that they supply at present, the Americans will continue to hold this market. The Germans barely as yet have made much impression with their agricultural implements. Although upon some of the fincas which I visited—mostly owned or managed by Germans—I came across some ploughs and reaping machines from the Fatherland, I was frankly informed that they were entirely unsatisfactory, and were about to be discarded in favour of some United States machines which had been offered "at one-half the price paid for the German inventions."

#### STATEMENT OF EXPORT TRADE TO JUNE 30, 1910.

| Country.      | Value of Exports. | Country.        | Value of Exports. |
|---------------|-------------------|-----------------|-------------------|
|               | \$                |                 | \$                |
| Germany       | 1,410,693.10      | Austria-Hungary | 388,035.33        |
| United States | 1,358,868.85      | Great Britain   | 352,843.73        |
| France        | 1,043,402.71      | Spain           | 164,907.21        |



Italy 584,312.60

These figures are remarkable for the fact that they show inter alia that Germany had in the course of twelve months ousted France from first place on the export list, and had supplanted her by an extraordinary amount of advance. To prove this I give the official figures for the first half of 1909, and which are as follows:

|                           | \$        |
|---------------------------|-----------|
| France took goods value   | 1,062,674 |
| Germany goods value       | 837,040   |
| United States goods value | 636,721   |
| Italy goods value         | 352,122   |
| Spain goods value         | 281,961   |
| Great Britain goods value | 111,312   |

It would therefore appear that, while Germany increased her trade with Salvador from \$837,040 in 1909 (six months) to \$1,410,693 in 1909-10 (twelve months), France showed a decrease over the same period of from \$1,062,674 to \$1,043,402. Great Britain's position is so inferior as to need no comment whatever.

It will be noticeable that Germany was in 1910 the best customer to the Republic, and took fully four times as much of her produce as Great Britain. The greatest amount was represented by coffee, as will be seen from the subjoined particulars of the class of articles which were exported, as well as from the values which I add:

| Article.               | Value.<br>\$ | Article.                        | Value.<br>\$ |
|------------------------|--------------|---------------------------------|--------------|
| Coffee                 | 4,661,440.98 | Tobacco (manufactured and leaf) | 9,638.67     |
| Gold, silver, lead     | 560,569.64   | Lumber                          | 3,773.07     |
| Sugar (brown)          | 222,379.47   | Rice                            | 3,312.23     |
| Indigo                 | 107,936.72   | Deerskins                       | 2,837.63     |
| Balsam and balsam seed | 39,187.97    | Hat palms                       | 2,723.21     |
| Cattle and hides       | 36,167.46    | Miscellaneous                   | 23,247.92    |

Rubber

23,491.58

Total

5,696,706.85



**FRONT OF SERGEANTS' SCHOOL, SAN SALVADOR.**



That the Germans mean to thoroughly exploit the Republic of Salvador, moreover, and if they cannot secure a holding in one branch of trade they intend to try in another, or in a dozen others, is abundantly clear. In the month of September, 1909, a Treaty of Commerce between the Republic and Germany was celebrated, and so far the results have been very encouraging. Out of 463 steamers and 89 sailing vessels which visited the different Salvadorean ports last year (1909-10), during the first nine months there were 153 German, as against 245 United States, 79 Salvadorean, 74 Honduran, and not *one* British bottom.

---

## CHAPTER IX

United States information for traders—Improved Consular services—Mr. W. E. Coldwell—United States and Salvador Government—Bureau of Pan-American Republics—Mr. Mark J. Kelly—Exceptional services—The American Minister, Major W. Heimké—Salvadorean Minister to U.S.A., Señor Federico Mejía—Central American Peace Conference and the United States.

How beneficial is the attitude of the United States of America in collecting and disseminating every particle of information which can prove of the slightest service to American traders! Month by month, through the medium of the *Pan-American Bureau Bulletin*, a Government-endowed institution journal of the utmost utility, not only to American traders, but to those of every country of the world, every item of commercial, industrial, and financial information culled from Latin-American countries is published in tabular form, and supplied at a merely nominal figure to all who care to avail themselves of it. Such information is primarily the result of the researches and the reports made by United States Consuls in the countries mentioned, and it is perfectly certain that none are permitted to enjoy "allowances" of £200 a year, as is our Consul at San Salvador, without showing something in return for such payment in the shape of a report of some kind or other.

Here I may record that of Mr. Walter Edmund Coldwell, our unsalaried Consul at San Salvador, I have nothing whatever to say but what is complimentary, since he is personally a very amiable and courteous gentleman, ready and willing at any time to aid any Britisher seeking his advice, and which, in view of his experience and complete knowledge of Spanish, is certainly of great value. I feel certain that, had any request come from the Foreign Office addressed to Mr. Coldwell for a report upon trade conditions and prospects in Salvador, he would have been perfectly prepared to supply, as he is undoubtedly capable of supplying, it in view of his long residence, extending over twelve years. I go further, and suggest that had Mr. Coldwell not waited for any such request, but had acted upon his own initiative and sent in a report to the Foreign Office, such would either have been pigeonholed or the Consul have been snubbed for his

pains. It cannot be too often observed, nor too emphatically pointed out, that it is *not* the officials of our Consular Service who are wholly to blame; it is the "System" perpetuated by successive Governments—it matters not one pin's head whether they be Liberals or Conservatives or a hybrid mixture of many political parties—which is all wrong, and the ignorant and indifferent Permanent Officials at Downing Street who are responsible for the appalling condition of incompetency which our Consular Service to-day displays.

The following incident will show with what care and attention the Government of the United States follow every little incident and occurrence that can in any way affect trade relations between themselves and the smaller Latin-American States. In the month of February, 1909, the United States Minister sent to his Government a complaint to the effect that the Salvadorean Government allowed favoured-nation treatment to certain articles of French origin imported into the Republic, which treatment was not accorded to similar articles from the United States. The United States Government at once instructed the Minister at San Salvador to ask for an explanation, and he as promptly got it; not, perhaps, in the precise terms which he could have wished, but—he got it! The answer came from the Minister for Foreign Affairs in the following terms:

"The Treaty of Peace and Amity, Commerce and Consular Rights celebrated between Salvador and the United States on December 6, 1870, having become inoperative by reason of the denunciation of the same on the part of the Government of Salvador, in accordance with the prearranged conditions from May 30, 1893, merchandise proceeding from the United States can only be accorded such treatment in the Customs Houses of Salvador as is provided for in the general tariff law of the Republic, without special concessions or privileges."

The answer was so convincing and so conclusive that the United States Government forthwith proceeded to celebrate a fresh Treaty with the Republic, and has since then enjoyed all the privileges which such can procure.

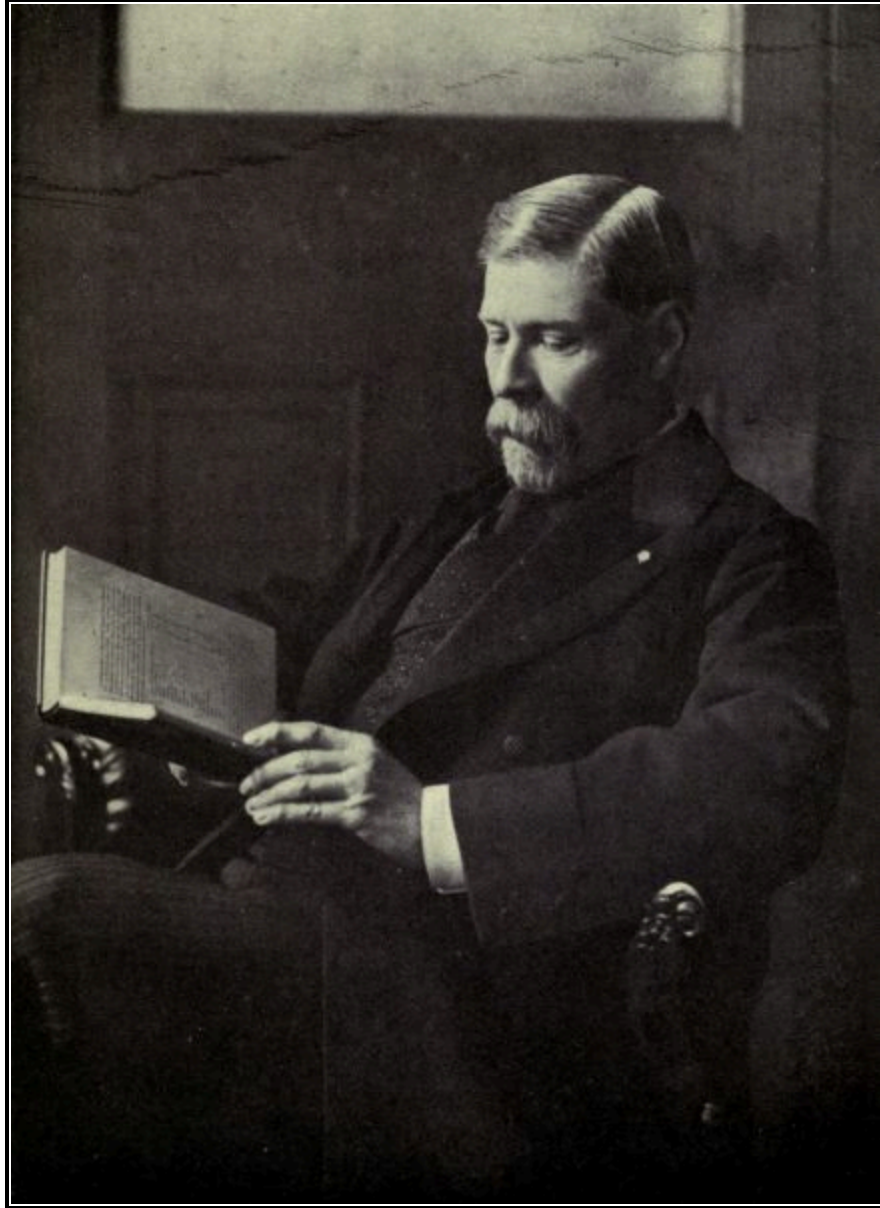
Upon a previous occasion—namely, in 1907—the United States Vice-Consul in San Salvador having requested from the Government of the Republic a general statement of economic conditions prevailing throughout the country, the reply was published very soon afterwards in the form of an elaborate and complete account of the commercial, industrial, and financial conditions of the Republic, the whole taking up the greater portion of a special number of the *Diario Oficial*. One cannot imagine a British Consul having the enterprise to make any such request from a foreign Government to which he is accredited, although the information, if sought, would be as readily forthcoming as it was for an American Vice-Consul. But when we witness the sorry spectacle of British officials allowing—or being allowed—twenty years to pass by without having issued any kind of report for the information of his countrymen, what can be expected?

The United States Secretary of State officials, who are so ably assisted by the co-operation of the Pan-American Bureau and its admirable monthly publication, *The Bulletin*, deserve every credit for the unflagging interest which they manifest in promoting and assisting their country's trade abroad. In this matter, at least, we might advantageously follow the example of our Transatlantic competitors. As it is, we should feel deeply grateful to the American Government for periodically issuing information which is as accessible to Britishers, or to any other nationalities, as to the Americans themselves. And it costs us nothing; which should be gratifying to that large class of individuals who enjoy getting something without putting their hands into their own pockets.

It seems a very remarkable fact that Salvador, like a great number of other Latin-American States, has been enabled to find in Great Britain a thoroughly capable and influential Consular representative, while Great Britain has so signally failed, except in some few instances, in securing similar representatives abroad. Nor is this circumstance the less noteworthy when it is observed that the Salvadorean Consul-General in London is not a native of that Republic, but an Irishman, and is probably one of the first—if not the only—Irishman who has filled a similar position. Mr. Mark Jamestown Kelly, F.R.G.S., F.S.A., etc., has been the Consular representative of both the Republics of Salvador and Honduras for over fifteen years, and it is only within the past few months that he has been compelled, owing to continued pressure of work in connection with the

chairmanship of the Salvador Railway Company, to abandon his consular position in regard to Salvador. How greatly the Government of that State regretted Mr. Kelly's retirement, and how strong was the pressure brought to bear to induce him to withdraw his resignation, was fully evidenced in a remarkable letter of thanks which the Government addressed to Mr. Kelly lately, and from which the following is a brief extract. After referring in eloquent terms to the deep disappointment which the Government felt at Mr. Kelly's inability to reconsider the question of resignation, and having announced that the Executive had therefore most reluctantly accepted the inevitable, and had arranged to send over at an early date a representative to relieve Mr. Kelly of his official duties, Dr. Manuel E. Araujo, the President of the Republic (who has long been personally acquainted with Mr. Kelly), addressed him as follows:

"I deplore profoundly your resignation of the business of the Consulate-General, which with so much tact and industry you have been discharging during so long a lapse of time; and your resignation of your post, being based upon reasons which I cannot set aside, has this day at last been accepted by my Government, but with the hope that you will always contribute in one way or another with the very valuable contingent of your wisdom and experience in all matters relating to the good name and honour of Salvador. I tender to you in consequence, in my own name and in that of my country, the most whole-souled thanks for the very important services which you have afforded to us in the past, and which we do not doubt we shall continue to receive from your well-known magnanimity."



**MR. MARK JAMESTOWN KELLY, F.R.G.S.**  
**FOR 15 YEARS CONSUL-GENERAL IN GREAT BRITAIN**  
**FOR SALVADOR (RETIRED JUNE, 1911), AND CHAIRMAN**  
**OF THE SALVADOR RAILWAY COMPANY, LD.**

Mr. Kelly has undoubtedly rendered lasting and exceptional services to the State of Salvador during the long period over which he has represented its commercial and financial interests in this country. As its Financial Agent in Europe, he carried out the long and difficult negotiations which ended in successfully settling and discharging the foreign debt of the Republic, and permitted of that great undertaking, the construction of a through line of

railway from the port of Acajutla to the Capital of San Salvador, being financed and completed. Last year Mr. Kelly also negotiated, with much tact and conspicuous ability, a new Salvador Foreign Loan, which to-day ranks as a gilt-edge security on the London Stock Exchange, and stands at a substantial premium.

Besides his Consular appointments, Mr. Mark J. Kelly holds the positions of Chairman of the Salvador Railway Company, Limited, and President of the Salvador Chamber of Commerce in London; while he is generally regarded as one of the greatest living authorities upon the questions of foreign exchange and Latin-American commerce.

For many years Mr. Kelly was identified with railway construction in Ecuador and later on with Salvador, and his great charm of manner, coupled with his extraordinary grasp of detail and intimate knowledge of finance in all its aspects, have combined to make his co-operation in financial and commercial matters a question of the greatest value to the latter country mentioned, as well as to all who have invested money therein. Mr. Kelly is a perfect Spanish scholar; and when I was travelling with him in Salvador, many of the natives with whom we conversed frankly informed me that, but for his distinctive European name, Mr. Kelly might very well pass for a pure-bred Spaniard or Spanish-American, so admirably did he converse in and write their language. Of the newly appointed Salvadorean Consul-General. Señor Don Artúro Ramón Ávila, I have spoken in Chapter III.

Major the Hon. William Heimké, who was appointed the Minister of the United States of America to Salvador in 1909, is a native of France, having been born in that country in 1847 and naturalized in the United States. He went to America at a very early age, and entered the regular army when he was but fifteen. He served with distinction during the Civil War, being engaged in several important battles. After the war he served as headquarters clerk under Generals Sherman, Pope, Hancock, and Sheridan, and he was also in the Quartermaster's and Commissary Departments. In 1881 he became purchasing agent for the Mexican Central Railroad, and in 1883 was appointed general manager of the Chihuahua and Durango Telephone Company in Mexico. In 1887 he again entered the service of the United States as Vice-Consul at Chihuahua. He was advanced to Consul in 1892, and retired in 1893. In 1897 he became Second Secretary of the United States Legation in Mexico, and was promoted First Secretary of



their Legation in Bogotá, Colombia, in 1906. He was appointed Envoy Extraordinary and Minister Plenipotentiary to Guatemala on March 10, 1908. Major Heimké is a member of the American Academy of Economic, Social, and Political Science of Philadelphia, and of the International Folk Lore Society of Chicago.

One of the kindest and most hospitable of men, Major Heimké, in conjunction with his charming wife, a lady of the greatest culture and artistic tastes, makes his home one of the most pleasant places for Americans and foreigners alike sojourning in San Salvador. Major and Mrs. Heimké have firmly established themselves in the regard and the esteem of the Salvadoreans; and they are undoubtedly the most popular diplomatic representatives of the United States of America who have occupied the Legation.

The Salvadorean Minister to the United States of America is Señor Federico Mejía, who is one of the most prominent men in his country, having for some time been Minister of Finance and Public Credit. Upon his introduction to his present office on April 6, 1907, he was officially received by President Roosevelt, and upon this occasion Señor Mejía said:

"Mr. President: I have the honour to place in your hands the autograph letter by which I am accredited as Envoy Extraordinary and Minister Plenipotentiary of the Government of Salvador, near the Government of Your Excellency. I present to you at the same time the letters of recall of my distinguished predecessor, Dr. Don José Rosa Pacas.

"Nothing could be more pleasing to me than the honour of conveying to Your Excellency the expression of my Government's wish to maintain and draw closer, if that were possible, the friendly relations which happily exist between our two countries; and in the discharge of the duties of the mission which is entrusted to me, I shall spare no effort to voice faithfully the sentiments of the Salvadorean people, trusting that I shall meet, in so doing, the same cordiality and interest you have manifested in the cause of the welfare of my country, and that of the other States of Central America.

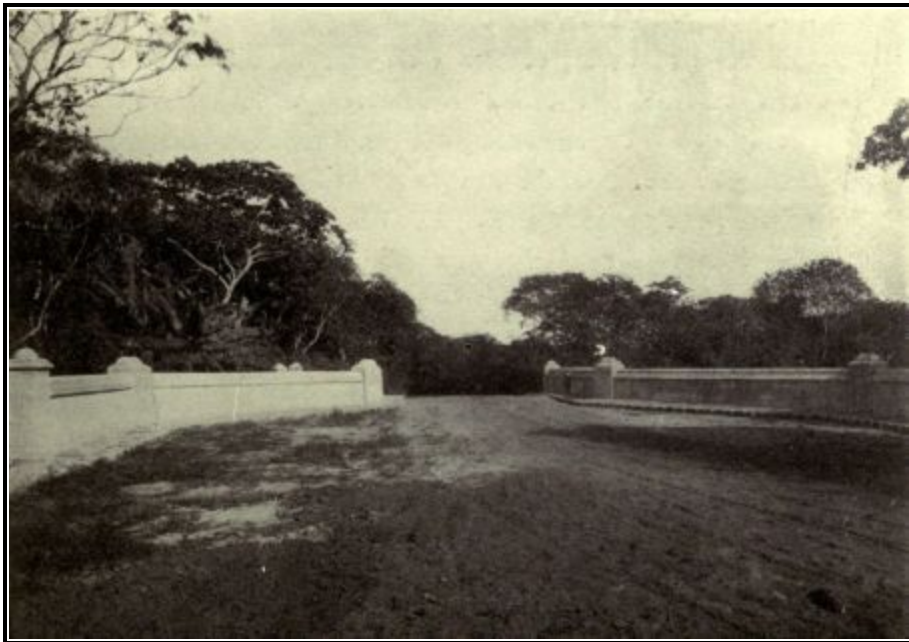
"Accept, Sir, the wishes that I make in the name of the President of Salvador, and in my own, for the prosperity and further aggrandizement of the great American nation, and for the health and personal welfare of Your Excellency."

To this friendly and well-expressed address President Roosevelt replied in equally felicitous terms as follows:

"Mr. Minister: I receive with great pleasure the cordial sentiments of friendship to which you give expression, both for your Government and for the Salvadorean people. Entertaining the most sincere wishes for the prosperity and happiness of your countrymen, and having at heart the continuation and strengthening of the good relations which have already subsisted between our two countries, I assure you of my co-operation in your aim to that end. I have no doubt that, while worthily representing the Government by which you are accredited, you will so conduct your mission as to merit and receive the sincere friendship and high regard of that of the United States. I am glad, therefore, to greet you as Envoy Extraordinary and Minister Plenipotentiary of Salvador to the United States. I beg that you will convey to the President of Salvador my cordial appreciation of his message of goodwill to me personally, and for the prosperity of the United States, and assure him of my earnest reciprocation of his wishes. For your own good wishes I thank you; and I trust you will find your residence with us to be most agreeable."



**SIDE VIEW OF "EL ROTULO" BRIDGE.**



**THE NATIONAL ROAD LEADING TO LA LIBERTAD,  
SHOWING "EL ROTULO" BRIDGE.**

On December 20, 1907, the Central American Peace Conference, held in Washington, concluded a Convention providing for meetings of Central American Conferences to be convened on January 1 of each year for a period of five years, with the object of agreeing upon the most efficient and

proper means of bringing uniformity into the economical and fiscal interests of the Central American States. The Peace Conference designated Tegucigalpa, Honduras, as the place of the first meeting of the Central American Conference, and prescribed that the Conference should choose the place for holding the next Conference, and so on successively until the expiration of the Convention concerning future Central American Conferences.

The first Central American Conference, which met in Honduras on January 1, 1909, selected San Salvador as the place for holding the second Central American Conference, which was underlined for January 1, 1910. For unavoidable reasons the members of the Conference could not meet in San Salvador on the date prescribed, and the President of the Republic, acting in conformity with Article II. of the aforesaid Convention of the Peace Conference, postponed the meeting of the second Central American Conference until February 1 of the same year, which met on that date and concluded its work on the fifth day of the same month.

The results obtained by the Conference were the celebration of six Conventions, all of which were signed on February 5 of last year. The first of these Conventions provides for the establishment in Costa Rica of a pedagogic institute for Central America; the second, for the unification of the Consular service abroad of the five Republics; the third provides for monetary uniformity on a gold basis; the fourth, for Central American commercial reciprocity; the fifth, for the adoption of the metric system of weights and measures; and the sixth defines the functions of each Government toward the Central American bureau in Guatemala.

---

## CHAPTER X

Latin-American trade and British diplomacy—Serious handicap inflicted by the Government—Sacrificing British interests to American susceptibilities—The British Foreign Office's attitude towards its diplomatic representatives—Why British trade has been lost to Salvador—Free Trade and its advocates—The Salvadorean view—German competition—Methods of bribery in vogue—The Teutonic code of trade honour.

If ever the secret veil which shrouds diplomacy in all countries from betrayal could be drawn aside, and some wholesome sidelights could now and again be thrown upon the proceedings of our responsible Ministers, a great many disquieting, and even alarming, things would come to light. These would show, for example, that the great declension in British trade during the past few years has been in a very considerable measure due to the astounding character of the British Government's instructions to representatives abroad in regard to the attitude of the United States of America. It will be news—and very disquieting news—to the general public to know that every effort has been made by our Government to consult the wishes and the feelings of the United States in reference to almost every trade treaty which has been either suggested or entered into. The failure of our diplomats abroad to carry to a successful issue a commercial treaty proposed or desired has not infrequently been attributed to the neglect, or perhaps to the inability, of the particular Minister employed. In practically every case, however, it would be fairer to place the blame for the failure upon the shoulders of the Foreign Office.

I know of several cases in which this is the undoubted and undeniable cause of the breakdown of our negotiations in the very moment of their imminent success. A craven and absurd desire not to "hurt the feelings" of our greatest rivals and our most clever competitors—the Americans—has dictated a policy which has resulted in the earnest efforts of our skilled and able diplomatic representatives abroad being absolutely wasted, and they themselves being placed in a deeply humiliating position, which I need not say has been as keenly resented.

This was the case with a highly important treaty which we were upon the point of completing with Cuba; it has been the case with a similar

agreement entered into tentatively with the Republic of Honduras, and it has been so likewise with the Republics of Guatemala and Salvador. With how many other possible excellent trade markets it has also had effect I do not know; but it is not very difficult to imagine.

So pronounced has this policy become of late, that it is now having a decidedly bad effect upon our commercial and financial relations generally with the Latin-American Republics. Formerly these small independent States looked upon Great Britain as the one Power to whom appeals could be made in all matters of dispute, no matter about what or between whom, with a moral certainty of a just and impartial decision being given. This was in the days when Great Britain still preserved her dignity and independence of thought, and before her Government had learned to truckle to the bluff of the Roosevelt-Philander Knox diplomacy. To-day, although there is more reason than ever to ask for the calm and disinterested advice of Great Britain in the numerous, and even dangerous, questions which are continually arising between the Latin-American Republics and the United States of America, it is recognized by the former that it is entirely useless to appeal to Cæsar any longer, since Cæsar has become an advocate for, or a creature of, the United States, and, so far from acting as judge, merely now pleads as an amateur attorney.

It is necessary to travel in these Latin-American countries to thoroughly comprehend the full effect of this mistaken and—I do not hesitate to apply the term—degrading British policy. The result is that the Republics themselves deride us, the United States laugh at us, and our trade is meantime leaving us. The small Republics are frightened to enter into any private negotiations with our diplomatic representatives, since they are fearful, in the light of previous unfortunate experiences, that their secrets may in due course be revealed to Washington as a sop to the United States, and that their efforts to strengthen their commercial bonds with us will merely serve to embitter their own relations with the powerful Americans, and without in the least improving their position with Great Britain.

It is almost inconceivable that our Foreign Office should ask the opinion, and to all intents and purposes solicit the approval, of the United States before completing any trade compact with the Latin-American Republics. What our Government has to fear or to hope for from the United States, Heaven only knows; nevertheless it is the sanction of Washington which is

sought for before any treaty can be now concluded with any of the Latin-American States; and, what is much more sad to have to add, without such sanction no treaty seems possible. That the United States of America is, or ever has been, foolish enough to consult our Government under similar circumstances is not upon record.

Our Ambassador Extraordinary and Plenipotentiary to the United States of America, the Right Hon. James Bryce, is credited, by those who are privileged to know him, with the decidedly Utopian idea of associating the trade aspirations of both America and England in Latin-America. It is doubtful if there exists another equally eminent individual in the world who entertains any such wild and impossible notion. It would be as easy to associate fire and water as to form a bond, or even an understanding, between the traders of America and England, since they are, and always must be, keen rivals in the markets of the world. Mr. Bryce thinks, perhaps, that it is feasible to divide up the universe into commercial and financial zones, which shall be, thereafter, apportioned among the United States and Great Britain for their lasting benefit? He must be a very innocent and a very unimaginative individual if this be his conception of the methods of latter-day trade competition. Mr. Bryce has perhaps cherished the idea that our common language should form a bond of union, and that this should become the central pivot upon which our relations with the United States should revolve? He is even credited with the aspiration that a Customs Union might be formed on the basis of reciprocal Free Trade, with mutual advantage to all. The commercial jealousy between the two nations has upon more than one occasion been demonstrated, as witness the disputes some years ago, and the Venezuelan boundary embroglio, which nearly precipitated a conflict between the two countries.

But whatever be Mr. Bryce's precise ideas, the fact remains that he has viewed with but little favour any treaty of trade and commerce which our diplomatic representatives abroad may have suggested where the interests of the United States of America were likely to suffer. The Foreign Office, holding this distinguished diplomat—as indeed they may justly do—in high esteem, have consulted him upon most matters of trade, commerce, and finance affecting the smaller Latin-American Republics. The Foreign Office, on the other hand, have deemed it expedient to refer matters to Washington, with the result that not only have our private negotiations with

these small independent States become the common knowledge of our American trade rivals, but those representatives who negotiated the treaties have been rendered ridiculous and contemptible, while our manufacturers at home have been deprived of the benefits attaching to the most favoured nation's agreements, such as the United States has itself acquired in other directions, without having previously consulted Downing Street or, indeed, caring one rap whether it was agreeable or not. To the Foreign Office, therefore, the commercial and trading communities of Great Britain owe a deep debt of gratitude!

For Mr. James Bryce as an individual it is impossible to feel anything but esteem and regard, since he ranks as one of the most distinguished and illustrious scholars of the day. The author of such monumental works as "The Holy Roman Empire," "The American Commonwealth," "Studies in History and Jurisprudence," and "Studies in Contemporary Biography," must always rank as a man of great ability and intellect. But, unfortunately, Mr. Bryce has graduated in a school of diplomacy which has clouded his horizon and diminished his chances of attaining any independent and untrammelled view of Britain's commercial needs and the Empire's industrial obstructions abroad. As Under-Secretary for Foreign Affairs in 1886, and as President of the Board of Trade in 1894, Mr. Bryce was encumbered with all the machinery of permanent officialdom, and was unable to see anything of this country's foreign trade matters except through the narrow and often perverted views of his subordinates.

I am very much afraid that this has interfered with some of his subsequent policy; but of later years he has put himself to the trouble—let us hope that it was also a pleasure—of seeing something of Latin-America, and how British trade has to fight its way there, an experience which might have been of great benefit to Mr. Bryce, and of incalculable advantage to British trade in Latin-America, if it had taken place, say, some five or six years previously.

As a writer upon academical and historical subjects probably Mr. Bryce has few equals, and still fewer superiors; but when discussing British interests and making treaties for promoting British trade in competition with American manufacturers, a child might do better for our side than Mr. Bryce could have, or at least has, done. It is easy to understand why he should be so extremely popular with our friends the North Americans, and



why his presence as our Ambassador should prove so welcome and so gratifying to the acute authorities at Washington. A malleable diplomat who sees so closely eye to eye with them in arranging or defeating commercial treaties which could in any way be regarded as likely to injure or to delay United States interests, is naturally a most desirable acquisition; Mr. Bryce has satisfactorily answered to these requirements, and, indeed, must have frequently astounded his American friends by his complacency and conciliatory attitude when discussing British interests.

In Mr. Philander Knox, Mr. James Bryce has had one of the very cleverest, and I may add, least impressible, of American statesmen to deal with, and it will remain to be seen in the future how much Mr. Knox got out of Mr. Bryce, and how much or how little Mr. Bryce squeezed out of Mr. Knox. "He who sups with the devil needs a long spoon," and it will be interesting to learn, as we shall do no doubt ere long in connection with the Anglo-American Arbitration Treaty, the exact length of Mr. Bryce's "little concave vessel," as the Dictionary describes it.

Mr. Bryce, who is a profound Latin scholar, will not have failed to have noted Cicero's observations in his "De Officiis": "Sed tamen difficile dictu est, quantopere conciliat animos hominum comitas affabilitasque sermonis"; or, let us put it: "It is difficult to tell how much men's minds are conciliated by a kind manner and a gentle speech," and in both such attributes the courteous and amiable Secretary of State at Washington excels.

In March of 1908 the representatives of the Governments of Salvador and the United States signed, at the capital of the first-named Republic, a convention determining the status of the citizens of either country who renew their residence in the country of their origin. This convention is found of great utility to the United States citizens, more so even than to those of Salvador. There is no such convention in force between this Republic and Great Britain.

In the previous year (1907) the Government of Salvador determined to establish a permanent Legation at Washington, "so that the friendly relations now existing between the two Governments may be continued on a more intimate basis, and in order that the good counsel of the United States may be more readily sought and obtained."

As far back as 1850 the American Minister of the day, Mr. E. G. Squier—who, by-the-by, was a former husband of the well-known American newspaper-owner, Mrs. Frank Leslie—negotiated a treaty with Don Agustin Moráles, Plenipotentiary of Salvador, which subsequently received the requisite ratification on both sides, has since been renewed, and is in full force and effect. It secured to the citizens of the United States all the rights, privileges, and immunities of the citizens of Salvador in commerce, navigation, mining, and in respect of holding and transferring property in that State. It guaranteed to the American citizens resident in the country full protection and enjoyment of religious freedom, and, in short, every other right and privilege which has been conceded in any treaty negotiated between the United States and any other nation in the world.

Owing to the extraordinary energy and unmistakable ability displayed by Mr. Charles H. Sherrill, the late popular and able United States Minister at Buenos Aires, contract after contract which should—or at least might—have gone to British manufacturers, have been secured for America. I need only mention two instances: one for the building of the three Dreadnoughts which are now being constructed in United States yards; and the other an order for fifty locomotives for the Government railways, which might—and, again, probably would—have gone to British shops. While the United States Minister did his level best for his countrymen, and for which he deserves every credit and congratulation, and while his efforts on their behalf were smiled upon with approval by the American Secretary of State, the British Minister, locked up behind his customary reserve and official dignity, neither could nor would move a finger to help British manufacturers in their struggle against this serious competition.

It seems, indeed, strange that where American, German, French, Italian, and Belgian diplomats consider it by no means beneath their dignity, or as at all outside their sphere, to personally influence trade orders for their countrymen, the usual type of British diplomat raises his hands in horror at the mere suggestion of a Legation condescending to recognize the existence of trade, repelling with frigid dignity any suggestion that the representative of the British Government should concern himself with anything of a purely commercial or industrial nature.

That the United States diplomats do not stand alone in their gallant efforts to support American trade and commerce, and that they are not

singular in the supposition that the whole duties of an Ambassador or Minister are confined to Government functions and meaningless ceremonies, is proved by the energy which is displayed by some German diplomats, who are very often instrumental in checking the energy and frustrating the success of their American competitors. It was only in the month of March last that Mr. H. T. Schwerin, of the Pacific Mail Steamship Company, in testifying before the Senate Committee on Interoceanic Canals, then sitting at Washington, declared that his own company had lost 60 per cent. of its carrying business to German lines largely through the activity of the German Minister to Mexico, who had successfully exercised his diplomatic influence in extending German commerce in Central America. Distressing as this must have been to our good American friends, I do not think that the information will be received with feelings of much regret by British readers, especially as it will appear to them in the light of "poetic justice," since British commercial and industrial circles in the Argentine Republic, as elsewhere, have suffered in exactly the same manner at the hands of the Americans.

The trade of Central America, as has been shown, is very largely in the hands of the Germans, for, not content with the representation of their own industries and manufactures, a great proportion of our own "British" Vice-Consuls are Germans by birth, if not by choice. Thus, in both Guatemala and Honduras our trade interests are to-day partially represented by Teutons. It can scarcely be on account of there being no genuine Britishers available, since I have encountered several Englishmen who could, and doubtless would, act as Vice-Consuls, or merely as Consular Agents, if necessary.

Undoubtedly the Germans rank among the most capable of the foreign traders doing business in these countries, as they put themselves to the greatest amount of trouble to study the people and the local conditions—much more so than either the British or the Americans.

The German is not only among the earliest of risers in the morning and the latest to seek his rest at night, his store being always the first to open and the last to close, but he avoids politics, and discreetly retires into obscurity at the first intimation of internal trouble. He studiously, if not willingly, falls into the ideas and complies readily with the wishes of the country, no matter what forms they may assume; and he is hardly ever

known to complain to or about anyone. He knows full well that it would be useless to do so to his home Government, which, like our own, seldom concerns itself with the personal affairs of its subjects abroad, this being one of the reasons why the Germans so cordially hate their own people, and especially the official classes. With them it is indeed an absorbing hatred, and they do not hesitate to confess to it.

No other foreigner earning his living abroad seems to possess the same gift for small economies as the German, nor his ability for steering a clear path among the numerous spies and agents who abound in some of the politically-ridden countries. The Germans, both in their trade and their social relations with the natives, are "all things to all men." They are apparently thoroughly at home among them. One hardly ever hears of a German becoming involved in political trouble or failing in his business. He thrives as no other foreigner in these lands of difficulties and intrigues. It is clear, however, why and how he manages to do so. And for him there is no such thing as a Monroe Doctrine, which was once denounced by Bismarck as a "piece of international impertinence." As often as not he marries a native, and loses his identity.



**ENTRANCE TO AVENIDA LA CEIBA AT SAN SALVADOR.**



**THE FAMOUS AVENIDA UNDER CONSTRUCTION.**

As an instance of the German's enterprise may be cited the supply of cloths and hats for the natives which are found exclusively in Bolivia, the same individual trading in Peru, however, bringing out quite a different class of stuffs and styles for that country. The ordinary British or American manufacturer would probably contend that it would be useless or

unprofitable to make special materials or designs of this kind so entirely unlike anything before attempted, and he would leave the matter just there. Not so with the observant travelling German. He first studies the question of demand, then he sends a complete range of patterns and samples from the looms of the native manufacturers to his house in Germany. In a few months' time there arrive in the country the German imitation, and, first in small, then in ever-increasing quantities, is built up a connection; and where the Salvadorean, Guatemalan, Bolivian, or Peruvian importer finds his materials and his hats, he buys most of his other miscellaneous European goods, so as to have but one account and one customer.

Then, in regard to credits, the German is most accommodating, granting payments over twelve, eighteen, and even twenty-four months, and never asking any interest upon his outstanding accounts. How he does it is a mystery, more especially as his prices in no way exceed, and in the majority of instances are below, the prices of other European and American houses, while the number of his bad debts is considerable. Probably there is a seamy side to all this promiscuous trading by the German houses; but if there is, there must likewise be some decided advantages accruing, since no one would credit Teutonic manufacturers and dealers with motives of philanthropy. But whether their commercial dealings with the Latin-American races be profitable or profitless, it is beyond question that they are extending, and extending rapidly—all of which means that there is so much smaller a field for other countries. These specimens of Bolivian hats, Peruvian dress-cloths, Mexican rebosos, and Guatemalan mantillas, made in Germany, resemble in every way the native manufactures—so closely, indeed, that they cannot be told from the original except by an expert. The Germans are actually making all these articles, exporting them to these countries, and selling them there more cheaply than the native article. The question is, "*How can they do it?*"

It is decidedly useful to come abroad to such countries as the Latin-American States, if only to glean a few opinions as to the position which Great Britain occupies in the minds of the people of these regions. There are many individuals whose judgments are well worth recording, since while they may have gathered their ideas from trading only—and, indeed, few of them have been outside the borders of their own State—are sufficiently shrewd in their criticisms to make these latter worth observing.

The good people of Salvador, like a great many other experienced individuals, both in Latin-America and elsewhere, know the advantages to be derived from a system of Protection, and they are at a complete loss to understand how it is that Great Britain alone among the trading nations of the world can "afford"—that is the expression used—to admit a policy of Free Trade, and especially in view of the Empire's Colonies' well-known feelings on the subject. Here, as elsewhere, the advantages of Free Trade are admitted; but without some form of retaliation it is absurd to suppose that any other nations will ever accept it. The opinion in general in these countries, where local manufactures are gradually commencing to make themselves a potent object of attention, is that Free Trade is desirable for all raw materials, but that a duty should be imposed upon all manufactured articles, whether they compete with local productions or no.

These Latin-American critics can but observe how the export trade of other foreign countries, such as Germany, the United States, and France, is continually increasing, while that of Great Britain, where it does not exhibit positive signs of decay, remains in a stagnant condition. This state of things is attributed to Great Britain's adherence to Free Trade, and the system of Protection adopted by its competitors. I have not encountered a single individual with whom I have discussed such matters as these who does not hold the opinion that, without reciprocity, real Free Trade is an impossibility. These intelligent people are just as convinced that, were Great Britain to tax those countries which protect their industries against it, they could before long be forced to adopt Free Trade also; and if they did not do so, Great Britain could and should continue to tax them until they did. They can see quite clearly that the interests of the producer and consumer are so closely interwoven and connected that any injury to the trade of the former at once reacts on to the latter; in slack times, as these Latin-American races have good reason to know, it is really the consumer who is most seriously affected, since his very existence depends upon the producer and manufacturer. Thus any action, they very sensibly argue, which serves to revive or to promote trade must, of a necessity, increase the prosperity of all. It is strange, indeed, that such a view should be so clear to individuals living out here, and remain absolutely obscure to those thousands of individuals at home.

Our great strength in these Latin-American countries has always been our textile manufactures, and it is here that we are being attacked by both the United States and Germany. The former have successfully imitated most of the English designs, and these, combined with the better class of printing, the larger proportion of cotton, and the superior quality of the water employed in the dyeing of the material, have combined to make the American textiles more to the liking of the native buyers. So much is this the case, that the importers who formerly took British goods almost exclusively now send home American patterns and designs to be produced in England, even the United States trade-marks and lettering upon the piece-goods being followed as closely as it is possible to do without risking an action for infringement. The labels, instead of being printed, as heretofore, are now lithographed, and are likewise colourable imitations of the American ones; and it is sad to have to relate that, in order to keep together some semblance of British trade, it is apparently necessary to pass off the products of our looms as "American."

So far there has been but little attack made upon British bleached cotton goods, the proportion of which is 80 per cent. in favour of our country; but German importers, of whom there are an ever-increasing number in Salvador, are now seeking to increase the supply of these goods from the Fatherland. The United States, as yet, have done little in this direction. In yarns we seem steadily to be losing ground, mainly, as I understand, on account of our poor colouring. The people of these sunny lands insist upon the brightest of bright hues—the most vivid scarlet or vermilion for Turkey-red yarns; the deepest of blues; the prettiest of greens. The British products are lacking in these, so much so that many of the Turkey-reds spun in Scotland are sent to Germany to be dyed before they are exported to these countries as "British" yarns. Our next great competitor in regard to textiles is France.

British trade has been no more fortunate in regard to its machinery, hardware, or iron and steel trade connections with Salvador, and here it is the United States that is met with as a powerful and resourceful rival at all times. The great combine which was formed in the United States in 1909 to supply the wants of Latin-America with all iron and steel productions, has met with an immense success, so much so that even its organizers have expressed astonishment. The geographical advantages possessed are not the



only ones. The United States Steel Produce Export Company is enabled to handle orders more promptly and much more cheaply than any European factory could do, but with these commanding points in its favour the Company is not satisfied. It has organized a system of canvassing either directly by personal application or by mail, which is both timely and effective. Immediately it is known, or even suspected, that any new railway or other construction is about to be entered upon, the Company despatches an agent to see the promoters, or, in the absence of this, forwards by mail a complete library of handbooks, cost estimates, attractive illustrations, drawings and code-lists, even prepaying a cable message when business is likely to result. The terms offered are often such as no European could or would tender, and, even if it were a question of direct competition, the Steel Company would probably win-out; but the prices which it quotes and the conditions which it imposes are of so tempting a nature that they stand alone.

It is to be remembered that practically the whole of the transportation arrangements in Central America, Salvador excepted, are in the hands of Americans, whose carefully arranged Pan-American Railway System is now fast approaching practical realization. When completed, it will be possible to journey from New York to Panama without change of car, and what this means for quick and cheap freights can be realized. In all probability there will be severe shipping competition to meet with, however, more especially on the part of the Tehuantepec Railroad, which is already carrying an enormous traffic, and is regarded with envious eyes by the Panama Railroad Company. With the exception of the Tehuantepec route and the Salvador Railway, the Americans now control the transportation arrangements of Central America, being thus enabled to regulate the freight charges upon all merchandise entering these countries. Already several cases of unfair discrimination have been recorded, such, for instance, as charging a British commercial traveller in Costa Rica a sum of \$75 (£15) for the conveyance of his samples between the Port of Limón and the capital of San José, while an American drummer was actually granted a rebate of 50 per cent. off the ordinary rates, his expenses amounting to little more than \$20 (£4) all told. In both cases the weight of the samples was the same.

---



## CHAPTER XI

British trade declines—Suggested remedy—Distributing centres—Trading companies and branches—Unattractive cheap goods—Former hold upon Salvadorean markets—Comparative statistics between Great Britain, Germany, and the United States—Woollen and cotton goods—Absence of British bottoms from Salvadorean ports—Markets open to British manufacturers—Agricultural implements.

While everyone who has studied the question of British trade abroad is practically agreed that it is at present suffering from more than the average number of disadvantages, few have any real remedy to suggest that might possibly put a different face upon matters. One idea which has been suggested to me, however, is worthy of careful attention. This is to establish throughout the Central and South American States a number of retail British houses which shall act as agents and distributing centres for our home-made goods. I acknowledge that the notion is not a new one, since the enterprising Germans, who are, as I have shown, our keenest competitors in this part of the world, have long conducted such retail establishments, and have found them most beneficial in the extension of their business with the Latin-American countries. To open up new branches without the aid of some such method, it may be said at once, is almost, if not wholly, impossible. I admit that there are difficulties which will have to be encountered, as there are in all enterprises of this nature; but that these are not insuperable the Germans have themselves very clearly demonstrated.

In the first place, the establishment of these retail establishments, if undertaken at all, would have to be upon a large and a very comprehensive scale. For this reason it is possible that few British manufacturers would have the pluck to enter upon the project. The result of such timidity is that, in the minor branches of trade in the Latin-American Republics, the volume of which is continually increasing in importance side by side with the increase in the demand for the small luxuries and the conveniences of life, the representation of British manufactures is becoming an insignificant factor.

The remedy—or at least a partial one—for this, as already indicated, lies in the formation of large trading companies, which would combine a retail

and wholesale business in all branches of imported goods, with the purchase of local produce for export. Apart from the advantages which such a company would enjoy, due to the magnitude of its operations over ordinary importers, its retail department would afford a practical means of advertising and placing upon sale all kinds of novelties, which naturally would serve to continually widen the scope of its operations. It would likewise be in a position, better than that of any private firm, to receive goods for sale upon commission; and by exporting produce it would be able to effect considerable economies in its remittances (especially in such countries as Salvador and Guatemala, where the exchange is often altering), while at the same time it could afford to pay better prices than its competitors. The question is already really answered by the success of the co-operative stores established in England, and it is upon some such basis as this that the scheme for the Latin-American Republics is laid. It must be remembered that in all of these countries the difference between the wholesale and the retail prices is enormous, and that the dealers' profits are exceedingly high. It is an idea which Mr. Lionel Carden, who is, perhaps, one of our greatest Pro-Consuls, and particularly gifted with common sense, has frequently urged in his reports to the Home Government, and perhaps for this very reason it has never been adopted. It is one which I cordially commend to the careful consideration of my readers.

Yet another point to which the attention of British manufacturers may be drawn is the unattractive manner in which the cheaper classes of goods are turned out. I have in previous publications shown how trade with the Latin-American countries is injured by the extremely commonplace and often ugly coverings and wrappings used upon boxes or bindings. The question is, "Why should an article, because it is perhaps cheap, be made particularly ugly?" The long-established custom among our manufacturers of using the commonest and crudest of coverings is matched by their fondness for finishing off their cheaper articles in the dullest and least attractive of colours or casings. This is in striking contrast to both American and German manufacturers, whose artistic taste is shown in the manner in which their goods—often mere rubbish though they be—are packed, and with very excellent results, so far as the export trade is concerned. In an age like ours, when lithography of every description is so cheap and taste in design so improved, it seems wholly absurd that good orders should be continually lost on account of their non-adoption.

I have heard of another idea which I may pass on to manufacturers of small articles enjoying a large sale in these countries, and this is to procure, through anyone living in the country, photographs of the rulers—the Presidents and Vice-Presidents—and use them lavishly upon their labels and box-covers whenever possible. The people are extremely fond of collecting these cheap oleographs and pasting them upon their walls and windows; and in all parts of South and Central America may be seen thousands of the pictures of King Edward and Queen Alexandra, of the Kaiser, and even of famous actresses. How much more readily would the features of a familiar ruler or a popular Minister help the sale of a cheap material or a low-priced article of any kind? The desire to secure something for nothing—or as an extra "thrown in"—is as predominant in Latin-America as elsewhere in the world, and must be pandered to.



**VIEW OF THE NEW AVENIDA LEADING TO SAN SALVADOR, TAKEN FROM THE  
NORTH.**

**VIEW OF THE NEW AVENIDA LEADING TO SAN SALVADOR, TAKEN FROM THE  
NORTH.**

Salvador is one of the many Latin-American States whose great richness and prosperity repose in their immediate future. In area it is one of the smallest of the Central American Republics, but it is in no whit less important from a prospective development point of view. Its superficial area is but 7,225 miles, but its population is considerably over 1,000,000, which gives it an average to the square mile much in excess of either Guatemala, Costa Rica, or Nicaragua. It is, moreover, an easier country to deal with, physically considered, since it is in fully three parts of its area quite amenable to cultivation. It is remarkably well-watered, it is richly endowed with mineral deposits, and its people are a quiet, peaceful, and industrious race, well-disposed towards foreigners, and with as much distaste nowadays for revolutions and internecine disturbances as their immediate neighbours would appear to display for similar diversions.

In a word, Salvador seems to offer at the present time an excellent field for the investment of both capital and enterprise. It is quite clear that the favourable position existing is also appreciated, since the country is, and has for some time past been, full of the "commercial ambassadors"—in other words, of commercial travellers—representing the manufacturing trade of the United States and of many European houses, mainly German.

While several British firms still maintain their connection with the Republic, there are to be found barely half a dozen British houses throughout the length and breadth of the country. This is all the more surprising since the names—and nothing but the names—of many one-time influential British firms are to be seen on the door-posts and signs of the shops. The old-established emporiums in San Salvador, in Sonsonate—the next most important trading centre—in Ahuachapán, in Santa Ana, in Chalatenango, and in Sensuntepeque, all tell that formerly they imported their goods through English establishments almost exclusively, and that British travellers called upon them at regular intervals for their orders. To-day, the greater part of the orders, with some notable exceptions, are taken by German and American travellers, and a British "drummer" is about as rare an object as the fabulous Dodo. "We should be glad enough to see them," added one of my informants; "but they seem to have forgotten that such a place as Salvador exists."

The President of the Republic, General Fernando Figueroa, who retired last November from office, a very intelligent and charming man, in

conversation with me, dwelt in the same strain concerning the disappearance of the Britisher as a trading factor from the Republic of Salvador. He frankly expressed both his regret and his surprise that the desirable commerce of this wealthy and promising Central American State should have been practically abandoned by the shrewd and enterprising Northerners, when they had at one time so firm a hold upon its commercial relations.

The Germans, who have to all intents and purposes taken possession of the connections, but not of the affections, of the Salvadoreans, which formerly were the almost exclusive holdings of the British, are now to be found everywhere. They not alone year by year further extend the tentacles of their trade by all usual means and methods, but they make a point of coming out to reside for a number of years; and this is one of their strongest holds upon the country. The Germans are prepared to endure any personal sacrifice in the way of comforts or conveniences to make and maintain profitable commercial relations with the people of the countries among which they elect to trade. In the majority of cases they open branch-houses in the chief cities of these countries, sending either one of their partners, or, failing him, one of his junior relations, to live in the State and personally conduct the business of the house and closely study the conditions of the country. Dozens of bright, intelligent, and enthusiastic young Germans are met with, who have been, perhaps, but a few years away from school or college, serving in their shirt-sleeves, without a blush or sense of humiliation, behind the counters at the small country stores, opening their establishments at 6 a.m., and closing them at 8 or 9 p.m., Sundays and weekdays alike.

I have asked many of these young fellows how many years they have been in the country, and how many more they mean to remain. Some have been quite new arrivals; others have been, perhaps, serving in Mexico, Costa Rica, Guatemala, and other of the Latin-American States; but none of them, apparently, think of going home, even upon a temporary visit, in less than ten years, and to all appearances they are perfectly happy to be where they are, not even saving money, but building up a trade connection for themselves or for their employers, as already indicated—in most cases their relations—which may one day prove valuable.

I may say that, although these same young Germans live quite like the people of the country, eating the same food, occupying the same kind of houses, rising and retiring at the same primitive hours, and not infrequently even marrying into their families, they maintain all the cleanliness of their own lives and habits, and are always as orderly and as well-conducted in all relations of life as any self-respecting young man need be.

While it is true that the Germans do not succeed, any more than North Americans, in ever endearing themselves to the inhabitants of these countries of the South, they do most assuredly earn the respect and the esteem of their neighbours, and succeed in living for many years in their countries, surrounded, as is found the case, by occasional revolution and internecine troubles, without in any way becoming involved in the vortex.

This cannot be truthfully said of the average American, who comes down either upon a business or a pleasure trip; the political affairs and the border complications seem to have a peculiar and dangerous fascination for him, and, as in the case of the celebrated "Little Jack Horner" of nursery memories, he must have a finger in the pie. As often as not, the "plum" which he at length succeeds in pulling out proves to be a fairly indigestible one, and he is compelled to drop it and make a bolt from the kitchen rather precipitately, too.

It would appear, from the statistics which are given in a previous chapter (see p. [106](#)), that Great Britain in 1909 led in the net value of the country's foreign imports. The figures, however, must not be read in the light of competition only, but in the much more disturbing aspect of the closeness of their totals to the completion attained by the most serious rivals to the United Kingdom—namely, the United States and Germany. The returns for 1910 prove this.

Comparison has been made with the figures of 1904 (which were selected for the special purpose referred to), and I now desire my readers to glance at some of more recent date.

For the whole of the Republic the foreign importation of merchandise for 1908 was as follows: Packages = 267,791; kilogrammes = 18,830,121. Value: \$4,240,561.21. Out of all the different countries concerned, we are interested for the moment in three only—namely, Great Britain, Germany, and the United States of America, and these returns stand as follows:



|               | Packages. | Kilos Weight. | Value.    |
|---------------|-----------|---------------|-----------|
|               |           |               | \$        |
| Great Britain | 42,613    | 3,740,138     | 1,539,046 |
| Germany       | 29,605    | 2,542,732     | 442,860   |
| United States | 146,857   | 9,765,056     | 1,287,452 |

Looking into the details of the returns, it seems that British textile and cotton manufactures have been the most vigorously attacked by both the German and the American competing houses. The shares respectively for 1909 were as follow:

|               | Total Value. |
|---------------|--------------|
| Great Britain | \$957,172.07 |
| United States | 451,692.72   |
| Germany       | 57,376.64    |

In woollen and cotton textile goods there is not any further improvement in the trade of the United States, the 1910 figures being \$300,075; but those of Germany stand at \$71,080, as against \$763,171 for Great Britain. From this it will be observed that in this respect they "who were last may yet become first," a very significant fulfilment of the Biblical prognostication so far as Great Britain is concerned. The chief articles of export of "other countries" to Salvador are iron and hardware, \$73,447.96; sacks for coffee, \$92,937.38; and various articles, \$132,660.04. Germany is represented by an immense number of different articles, but none of them in net value touch very high figures. The most important is hardware, which is represented by a value of \$69,092.25, while linen goods stand at \$57,376.64, as against the British total of \$957,172.07.

A somewhat different kind of trade is done in this class of goods to that most general, for instance, in Guatemala. There the natives demand a cheaper and more flimsy kind of material. In Salvador they would appear to prefer a somewhat higher class of goods and of a rather more sober pattern. The Germans are catering actively for this market, and although, as will be observed, they have a very long headway to make up before they approach to within the region attained by either the British or the American figures, the persistency with which the Teutons are pursuing these Latin-American markets makes their competition a serious factor for the future (see p. 149).

In regard to exports from the port of Acajutla, a few words will suffice to explain the situation. France stands first as the recipient of the Republic's products from this particular port. The figures for the first half of the year (1909) show that France took coffee to the value of \$749,946, Germany came next with \$667,304, while the United States stood third with \$506,064. Great Britain did not figure at all in the trade of Acajutla; but from the port of La Libertad the United Kingdom took goods to the value of \$106,043 in coffee, against \$127,740 by Germany, \$311,093 by France, and \$124,700 by the United States.

\$874,958.32 represents the total value of the coffee shipped from the port of La Libertad for the six months of that year. This business with England must have been carried on in foreign bottoms, for, as mentioned elsewhere, a British vessel had not been seen in the port of La Libertad for some years, a fact vouched for by the Comandante of the Port, who keeps the records of all ships arriving and departing. The values, it is as well to mention, are given in gold dollars, the equivalent in Salvadorean dollars being \$2,186,495.80. In regard to the Republic's trade generally, the countries with which it does its export business stand in the following order of importance: France, Germany, United States, Italy, Austria, Great Britain, Spain, and "other countries."

Reference may be made to the trade done in the article known as balsam, which is a product peculiar to Salvador. Hamburg is the principal market for the article, and its quotations fix the price for the world. Within the last two years the price has fluctuated from 12 to 22 marks per kilogramme—say \$2.86 to \$5.24 per 2.2 pounds. The price at the beginning of 1909 was 14 marks—say, \$3.33 per kilogramme. The method of obtaining the balsam is very curious, and is described at some length in Chapter VII.

Manufacturers of agricultural implements and machinery for the Latin-American markets should remember that it is unnecessary and undesirable to make the articles in such a manner as to last for ever. While durability and substantiality are no doubt excellent features of machinery of all kinds, and in connection with British-made goods have always been much depended upon, it is quite possible to carry the virtue too far. It must be borne in mind that out "in the West" the same ideas do not prevail as at home, and in any case these countries are still in the experimental stage, when new industries are continually superseding the old. The Americans

and the Germans both understand this, and consequently they are ousting the British-made heavier goods from the market.

What are required are light ploughs, watering-carts, hay-rakes, seed-sowers, and similar machines, but of a light yet strong character. The question of freight comes in very seriously, since not only is the steamship charge to be considered, but the frequently long overland journey upon mule-back. By the time that the implement or machine has reached its destination, it frequently costs double the invoice price. All easily detachable and duplicated-part machines are very much more in demand than other kinds, and they are but seldom found in Central America of British manufacture. But there is absolutely no reason why they should not be made, and as freely sold, as the American classes, which are to be seen displayed—painted in all the gaudy colours of the rainbow—in practically every hardware store in Latin-America. No small part of the dealers' profits, either, is derived from supplying duplicate parts, due to losses and breakages. The purchasers seldom, if ever, complain of breakdowns, and they prefer discarding their latest purchase for a new, and maybe an untried, invention, which is advertised to do all the wonderful things which the late implement did, in addition to numerous others which it could not do.

Small pamphlets, printed in Spanish, showing, with the aid of drawings, how the machine or implement may be detached, cleaned, repaired, and again put together, are also to be recommended. I would even suggest sending out with each article a brightly-coloured illustration of the machine in operation, since purchasers are very fond of hanging such upon their walls; and in the absence of any other picture I have often seen the flaring advertisement of some totally different machine, such as a plough or a reaper, occupying a conspicuous position upon the house-walls of a farmer's establishment. If he were sufficiently fortunate to possess an actual illustration of his own particular machine, I think that he would gladly endow it with a special frame, and thus advertise it freely for the benefit of the manufacturer. It is, therefore, well worth while for dealers to give such matters their attention. The initial cost is very small, while the corresponding advantages are undoubtedly great. At least our American and German competitors think so, and have the courage of their opinions.

The present chapter could hardly be more usefully completed than by adding the latest trading returns to hand from the Republic—up to July,

1911—which provide the figures for the whole of the year 1910. These show that what has been so long threatened has actually occurred—Great Britain has lost to the United States its first place upon the Imports List; while upon the Exports List, it stands fifth. Here let the statistics speak for themselves:

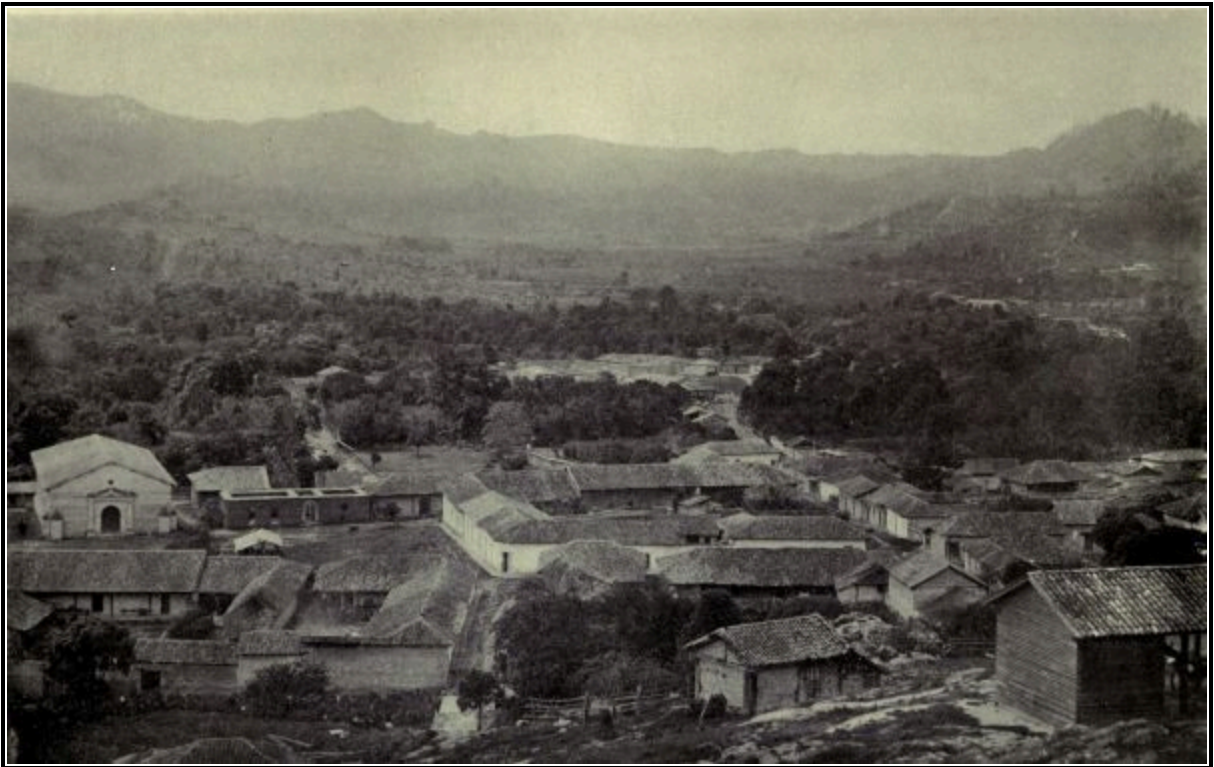
|               | 1908.            | 1909.            | 1910.            |          |
|---------------|------------------|------------------|------------------|----------|
| Imports:      | \$               | \$               | \$               |          |
| United States | 1,287,452        | 1,344,316        | 1,346,598        |          |
| Great Britain | <u>1,539,047</u> | <u>1,438,614</u> | <u>1,165,993</u> |          |
| Great Britain | +251,595         | +74,298          | -180,605         |          |
| Exports:      | \$               | \$               | \$               | \$       |
| United States | 2,046,398        | 1,838,302        | 2,280,156        | +441,854 |
| Germany       | 1,038,305        | 955,888          | 1,584,627        | +428,739 |
| France        | 1,417,428        | 1,146,316        | 1,097,118        | -49,198  |
| Italy         | 374,434          | 440,163          | 609,674          | +209,511 |
| Great Britain | 449,167          | 440,359          | 480,737          | +40,278  |

Thus, from having a *surplus* of trade in Salvador over all other countries in 1909 to the value of \$74,298 (as against \$251,595 in 1908), we show a *loss* of \$180,605 in 1910. While the United States, Germany, and Italy all showed an increase in their purchases from Salvador of considerable amounts, Great Britain records the contemptible advance of \$40,278! We may well echo Syrus's maxim: "Heu, quam difficilis gloriæ custodia est!"

---

## CHAPTER XII

British fire apparatus—Story of a British installation—Coffee and sugar machinery—Cane-mills—Fawcett, Preston and Co.'s installations—High reputation enjoyed by British firms—United States coffee equipment—German competition—Methods of German commercial travellers—Openings for British trade—Effect of Panama Canal—A libel upon Salvador manufacturers—Salvador Chamber of Commerce.



**VIEW OF THE PICTURESQUE TOWN OF MARCALA.**

There are, on the other hand, certain classes of machinery and appliances of British manufacture which can be met with not only in practically every part of the world, but which no amount of foreign competition would seem to seriously affect. Among these specialized manufactures may be included, coffee and sugar machinery and fire-engines. The latter stand, indeed, quite alone as effective and universally known features of British construction, and I do not in any way exaggerate when I state that in no part of the world to which I have been—and that is equivalent to saying "everywhere upon the face of the habitable globe"—have I failed to see some kind of fire-

extinguishing apparatus, old or new, of British manufacture. In the Central American States the reputation of such appliances stands very high, as was exemplified at the time of one of the several serious conflagrations which have afflicted San Salvador, and which occurred some four years ago, when a great portion of the capital city was for a time in jeopardy of destruction. One of the principal churches was actually destroyed, and this so affected the people that the Government determined to invest in fire-engines and necessary appliances.

As soon as this determination became known, the officials were inundated with the catalogues of manufacturers from Germany, France, the United States, and other countries. An emissary from America even came down personally from the States to canvass for the order; but the reputation of the British fire-apparatus was strong and its general effectiveness was generally recognized, so that the Government did not hesitate in its decision to follow Mr. Mark J. Kelly's advice to award the order to a Greenwich firm. A larger type of the Merryweather steam-engine, with a very complete outfit for the firemen, has since been added, through the instrumentality of the same gentleman.

Further proof of the utility of the English engines was afforded later on, when yet another serious and disastrous fire occurred in San Salvador, the work, it is believed, of an incendiary, with the result that an entire block of fine buildings, including the National Theatre, was burned to the ground. It is admitted by everyone that but for the services rendered by the fire-engines, and not a little also by the heroic work of the local brigade, the greater portion of the city, in all probability, would have been destroyed. It is the intention of the authorities, I understand, to further increase the effectiveness of the service by ordering more hose and additional salvage appliances.

In conversation with the former President of the Republic, General Fernando Figueroa, upon one occasion, he paid an eloquent tribute to the excellence of British machinery of all kinds. He has had, it may be mentioned, some experience of the manufactures of other countries as well as of our own. He mentioned to me the fact that he recollected at one time that many British manufactures, not only of machinery, were to be met with largely in Salvador, and that the names of several of the large importing firms and store-keepers in many of the other cities of the State were British.

To-day there are but five or six English houses to be found in Salvador. On the other hand, as previously pointed out, one meets with many German names, these ubiquitous and enterprising trade rivals having firmly established themselves in the Republic, as they have also succeeded in doing in Guatemala and Costa Rica.

In regard to coffee and sugar machinery, of which mention has already been made, this trade is split up between the two houses of John Gordon and Co., of London, and Marcus Mason and Co., of New York. Both make excellent apparatus for the purpose of treating the berry and cane, the Germans in this particular direction finding but very little favour even among their own people. I visited several of the large fincas or estates, where both coffee and sugar are treated, and in all such instances the properties were either owned or being managed by Germans. In all cases the machinery was either British or American, and in a number of instances both were freely employed.

Upon inquiry, I was informed that the sugar machinery turned out by German manufacturers in the majority of cases is too complicated and delicate for practical purposes, and that it needs an expert mechanic—a decidedly *rara avis* in this part of the world—to understand the apparatus or to carry out the necessary repairs when things go wrong. In all of the factories visited by me the equipment, with the exception of the boilers and some of the vertical donkey-engines for feeding them, came either from Great Britain or the United States of America.

One excellent testimonial to the superiority of British machinery was afforded at the Laguna Finca, belonging to Herr Fédor Deininger, who, as may be assumed from his name, is a German proprietor. Here I found a complete sugar-manufacturing plant, consisting of cane-mill, liquor pumps and tanks, defecators, juice-heaters, clarifiers and evaporators, steam eliminators, filters, and, indeed, everything but the centrifugals, which alone were of German construction, had been provided by the Liverpool firm of Messrs. Fawcett, Preston and Co., Limited, of the Phœnix Foundry. The date upon this installation is "1867"; and Herr Deininger, the present owner of the factory, who acquired it from his uncle, Herr Bogen, some twenty years ago, declares that it is quite unnecessary to replace the installation, "as it is still working most satisfactorily." Of this I, indeed, assured myself by personal observation. I venture to believe that this is an

altogether unique instance of a sugar-machinery installation, erected over forty-three years ago, and which has been in constant operation during that time, day by day, Sundays included, being found in a sufficiently sound and workable condition as to need nothing more serious than an occasional replacement of a small part or a temporary stoppage for overhauling.

In Salvador there are several cane-mills of quite recent construction throughout, and in most instances these are the manufactures of Messrs. Fawcett, Preston and Co., Limited, who, it would appear, have erected similar installations in many other parts of the world, since I have come across them in Southern Brazil, Cuba, India, and the Argentine. The cattle-mills, which are peculiarly adapted for this country, where oxen are used everywhere and for all purposes of road-hauling, are made with three horizontal rolls, secured upon strong gudgeons, running in adjustable gun-metal bearings, supported and held in place by two massive head-stocks bolted to a strong bedplate. This latter extends under the rolls from one side of the mill to the other, serving as a juice-pan attached to it. There is also fitted an upright shaft, turning in a footstep secured to the mill bedplate, and in a pedestal bolted to an entablature, supported by four pillars, which form part of the head-stocks. To this upright shaft is keyed a bevel-wheel, which gears into another keyed upon the toproll gudgeon. In addition to the bevel-wheel, the shaft is provided with ironwork for carrying wooden steps for the hitching of oxen, horses, or mules.

Of recent years Messrs. Fawcett, Preston and Co., Limited, have introduced an improved type of Rousselot cane-mill, by which the returner-bar and knife are reduced to the smallest dimensions by a special patented arrangement of bringing the side-rolls as close together as the top cap-bolts will admit. These latter are inclined vertically to one another, and the effect of this arrangement is to reduce the width of the knife, and consequently the friction of the cane passing over it, and also economizing the power and consumption of fuel necessary to drive the mill. The special feature of the Rousselot patent is to be found in this improvement—that is to say, that the strain is taken off the cast-iron head-stock by through bolts, which secure against the breakage of the head-stocks. Greater ease is also found both in the erection and the taking down of the mill. These rolls are made of a special mixture of cast-iron, selected as the best to withstand the wear and tear to which they are necessarily subjected. The gudgeons are of the best



hammered scrap-iron, and are forced into the rolls by means of hydraulic pressure, while, in addition, the rolls are keyed on to the gudgeons. All the head-stocks, mill-bottom, and crown, are of cast-iron.

Yet another improvement which this firm have introduced into their sugar machinery is in connection with the juice-heaters. These now consist of three cylindrical heaters of a compound type, with Chapman's patent steam separator, and which are fixed horizontally side by side, being so connected that while any one of the three is out of use for cleaning or repair, either of the other two can be worked as a high-pressure or finishing heater, and the other as a low-pressure heater, thus economizing considerable fuel. The steam separator worked in connection with these heaters economizes about 8 per cent. of the steam required in the multiple effect apparatus for evaporating the cane juice, since by this arrangement the steam that would otherwise flash off from the superheated juice into the atmosphere and be lost is collected and conveyed to the heating drums of the multiple effect, and so utilized for the evaporation of a corresponding amount of water from the juice. Improvements are also to be observed in connection with the subsiding defecators, the steam eliminators, bag-filters, the apparatus known as the "Coffey" still.

Reference has been made above to the vogue which British-made coffee machinery, and especially that of Messrs. John Gordon and Co., of London, has had in the Latin-American States. So far as Salvador is concerned, I understand that this class of product stands in serious danger of being ousted from the market by American competition. While it is generally admitted that none better than British machinery for coffee, rice and cocoa can be obtained, the very success of these manufactures seems to an extent to have resulted in a slackness to obtain further orders, and the field, thus neglected, and always most carefully watched, is being occupied by the Americans. I am informed, for instance, that to-day fully 65 per cent. of the coffee machinery to be found in Salvador is of American make, and that fresh orders are being despatched frequently for further supplies. I also learn that no British traveller in this class of machinery has been seen in Salvador for fully five or six years, while, on the other hand, the largest of the United States manufacturers has an agent, in this case a young German speaking Spanish fluently and possessing a very pleasant manner, who is continually travelling up and down the country, visiting the different fincas

at which, apparently, he is always welcome, submitting drawings, plans, and estimates for improvements and new installations.

Moreover, this young man is an expert mechanic, and most skilful in effecting repairs and alterations to machinery and plant installations. It is not at all difficult to understand how such an individual makes headway with the kind-hearted and hospitable Salvadorean estate owners, and how he succeeds, not alone in obtaining orders from them for their coffee and other machinery, but in introducing German manufactures of other kinds; for your German traveller is always open for business, and, indeed, appears to live for very little else. Thus, it would seem, unless some "move" is made by British manufacturers of coffee and rice machinery in this part of the world, at no distant date the trade will be snatched from them; and that once done, nothing will probably succeed in bringing it back again. Lost ground of this character is seldom recovered, and it may be hoped that those manufacturers who are mostly concerned will take the hint here conveyed, and set out to put their neglected houses in order. The coffee industry of Salvador is *the* most important of all its exports, and its pursuit is the mainstay of the country. In 1910 the value was \$5,130,404, out of a total export trade of \$7,294,602.

Among the British goods which I have more particularly noticed to be well displayed in the retail stores are chemical preparations and drugs. The Salvadoreans, like most Latin-Americans, are large users of all kinds of patent medicines; and although a great many of these come from the United States, those of British manufacture are not at all poorly represented. Such articles as Eno's Fruit Salt, Apollinaris and Apenta Water, Pears' Soap, Odol, and many of the better-known vegetable pills, are to be found here—except Cockle's, which are a very difficult drug to obtain, although in my opinion one of the most efficacious. The chemists' shops are full of all kinds of other drugs and patent medicines, and apparently the proprietors conduct a remarkably good trade.

Relative to the trade of pharmacy, a new law is proposed which will regulate the practice of this trade, and which will create a Faculty of Pharmacy and Natural Sciences, to which all chemists and druggists, whether native or foreign, operating in the country, must belong. In default of membership in this faculty, a special licence will have to be taken out for pharmaceutical practice.

Drugs, medicines, and perfumery to the value of \$82,676 were imported in 1910.

In regard to British wines and spirits, these are hardly ever seen except in the houses of the few British residents who may have imported a small supply for their own use. The total value of victuals, wines and spirits, however, is not inconsiderable, amounting in 1909 to about 12,748,249 kilos, representing a value of £179,431, which, however, contrasts with 15,689,307 kilos, or a value of £211,819, for the previous year. The wheat, rice, cereals and breakfast foods, which are not as well known here as in other parts of Latin-America, come from the United States, which also send here by far the greater part of the lard, tallow, dairy produce, sweetmeats, and dried and smoked meat and fish. The United Kingdom shares in the salt trade, but this is only small.

I am of opinion that a better trade could be done by exporters of British beers and liquors, which would be purchased here to a more considerable extent. The number of cafés and restaurants is increasing, and the tendency of the inhabitants, especially in good times, is to dine from home. Although beer is brewed, it is more the beverage of the workers than of the well-to-do.

In regard to the tobacco and liquor trades carried on in Salvador, a record of the progress and management is maintained by means of the regulations which have been introduced covering the operation of cigar and cigarette factories and of breweries and bottling establishments in the Republic. This control has been in vogue since June of 1909. Proprietors of these establishments are required to furnish to the proper authorities a sworn statement as to the capacities of their plants, the number of the operatives employed, etc. The analyses previously ordered for wines and liquors is also extended to beers, both manufactured and imported.

In regard to the duties on wines and canned goods, imported liquors pay a duty of 50 cents; heavy and white wines, 25 cents; and old table wines, 5 cents—per quart bottle. Canned goods pay 10 cents per kilo (=2,204,622 pounds). These duties are in addition to Customs charges.

What effect will the completion and opening of the Panama Canal have upon Salvador and other Central American countries? I have often been asked this question, and perhaps this is as good a place as any in which to

answer it. That capital from North America will flow more abundantly into Central America after the completion of the great waterway is a practical certainty; but I do not consider that there will be any such considerable augmentation, nor that the difference will be so prodigious, in regard to results, as some critics imagine. For many years to come the United States, with its great area and its many undeveloped resources, will need more capital—much more, indeed, than it can conveniently find among its own people; that is to say, it will have to borrow from Europe in addition to saving all that it can on its own account. The old world has nowadays fewer opportunities for industrial and commercial expansion; money is comparatively cheap, and all new countries on the other side of the Atlantic offer the inducement of higher interest.

How much of this investment will be made with purely American money? The Yankees are certainly becoming more and more enthusiastic, and at the same time more and more reckless, in their foreign investments, and especially in regard to Latin-American countries. Nevertheless they have a long way to go before, in actual figures, they can in any way approach the value and extent of British foreign investments. In regard to the return which their investments bring them also, they have, on the whole, proved far less fortunate. In all probability, British foreign holdings in South and Central America to-day approach the sum of £500,000,000 (= \$2,500,000,000), and upon this gigantic amount of capital they earn a fair average of  $5\frac{1}{8}$  per cent. per annum, allowing for the higher and the lower rates of interest paid, and which amounts to anything between 25 per cent. and 35 per cent. on some land shares, and the modest  $4\frac{1}{2}$  per cent. and  $4\frac{3}{8}$  per cent. earned upon railway debentures. I also include in this return some "bad eggs" among a very diversified list of investments.

I should say, on the other hand, that American foreign investments would not amount in the aggregate to more than £200,000,000 (\$1,000,000,000), and of this at least seven-tenths are invested in the Republic of Mexico, and probably two-tenths in enterprises in Canada. American foreign investments are, in a large measure, tributary to great concerns located in the United States, which have their agents in foreign countries looking after their local interests. From this considerable invested amount it would be impossible to estimate a higher return than  $2\frac{3}{4}$  or 3 per cent.; for while many of the

investments—such as the Standard Oil interests in Mexico and the many banking interests in Cuba, Panama and other countries—yield often a sensational amount of profit, so much capital has been lost through rank speculation and dishonest management, and so little sound judgment has been displayed in the matter of sound original selection, that a considerable portion has been irretrievably lost. This has been the case in the Sonora district of Mexico (especially in the Cananea Copper-Mines); in the gold and silver mines of Guanajuato; and in connection with some of the railways of Costa Rica, Guatemala and Ecuador, so that what has been made on the one hand has, to an appreciable extent, been lost on the other.

Thus I do not anticipate any very pronounced rush of American capital into Central America merely because the Canal will have become *un fait accompli*. On the other hand, the United States trade and commerce must feel benefit from the speedier means of transport. Already the United States control 60.8 per cent. of the importations into Mexico, and 89 per cent. into Panama; something over 70 per cent. into Costa Rica, and about 60 per cent. (increasing year by year) into Guatemala. With the active assistance of the Washington Government, in conjunction with the compulsory financial "assistance" forced upon them by the J. Pierpont Morgan Syndicate, Honduras will also shortly be taking about 80 per cent. of the United States goods as well as accepting *nolens volens* the loan of United States capital.

It is, however, the Republics of Ecuador, Peru, Bolivia and Chile which will become better markets for the United States through the medium of the Panama Canal; and while I was travelling recently upon the west coast, I particularly remarked the arrangements which were being organized to handle this anticipated additional trade with all efficiency and despatch. American agents were busy opening-up new branches or appointing local representatives to handle the goods destined to be consigned in increased quantities; German houses, already established, were also arranging their houses and remodelling their order-books to deal with the expected reorganization of North American trade, all of which proves that a very substantial belief exists in the approaching trade "boom" consequent upon the opening, in 1915, of the Panama Canal.

What attention are British manufacturers and British agents paying to this all-important question? This is very easily answered—NONE!

The first place in the Imports from European countries into Salvador is given to cotton-manufactured goods, nearly the whole of which, I may again point out, come from Great Britain. In 1906, out of a total of \$4,000,000, which represented the value of the imports, cotton goods figured for \$1,500,000, or 30 per cent. of the total. Of this \$1,500,000, Great Britain was responsible for \$974,964, which represented woven goods, in addition to \$141,328 representing the value of thread. The United States came second on the list, with textiles valued at \$409,072, and thread \$2,885, although in the list of this classification America was outranked by both Germany and France, which sold thread to Salvador to the value of \$8,349 and \$4,160 respectively. These two countries exported textiles to Salvador to the amount of \$32,199 and \$71,890 respectively, while Italy figured for \$54,952.



### **EL PARQUE BARRÍOS.**

**ONE OF THE MOST BEAUTIFUL PUBLIC RESORTS IN CENTRAL AMERICA.**

In this class of goods, practically the same relative status of countries has been maintained on the Import list of the Republic since the year 1876; but it is noteworthy that the position of cotton imports has, in the intervening period, declined no less than 50 per cent. of the total; on the other hand, the

value of cotton thread destined for use in the mills of the country has increased fivefold since 1901, while mixtures of woollens, linens and silks have also advanced in value. This is to be explained by the fact that more woollen and cotton mills are gradually being erected in the Republic, and that a great amount of encouraging success is attending their operations. The skill of the native weavers, the improvement of the quality of the cottons, and the industrious lives of the inhabitants, are all factors which have led the Government to consider the advisability of encouraging the growth of the required supply upon a more comprehensive scale. Already, indeed, the Government have commenced, offering export bounties for the surplus stock, with a view to stimulating the culture.

In this connection it is difficult to understand how any intelligent writer, who claims to have visited Salvador with his eyes open, could have published such an utterly misleading and untruthful statement of fact as that which appears in a book entitled "Central America," from the pen of Mr. Frederick Palmer, F.R.G.S., who upon p. 112 of that volume declares that "the only manufactures are from an occasional hand-loom." Mr. Palmer does not inform his readers how many days or hours he remained in Salvador, but apparently they were insufficient to enable him to make himself even superficially acquainted with the industrial conditions of the Republics. He devotes exactly eleven and a half pages out of a total of 340 to this country, and upon nearly each one of these pages he indulges in either an exaggeration or in a misstatement, sometimes in both.

An important factor in the trade relations existing between Great Britain and the Republic of Salvador is found in the Salvador Chamber of Commerce in London (Incorporated), which was established upon the initiative of Mr. Mark J. Kelly, F.R.G.S., in February, 1903, and duly incorporated under licence of the Board of Trade. It will be remembered that the President of the Salvadorean Chamber of Commerce in San Salvador, as well as being its Founder, is Señor Don Miguel Dueñas, Sub-Secretary of State for Agriculture. The first President of the Chamber was Mr. C. S. S. Guthrie, of 9, Idol Lane, London, E.C., with Mr. C. Rozenraad, President of the Federation of Foreign Chambers of Commerce in the United Kingdom, as Vice-President. The objects of the Association are to promote the trade, agriculture and industry of Salvador with the British Empire; to keep members informed and acquainted with all matters in

connection with the trade of Salvador; and to promote study upon all questions relating to the various international Conventions which concern the trade between Salvador and Great Britain, as well as to act as commercial arbitrators at the request of interested parties, and exclusively in commercial disputes, where the interests of Salvador trade are at stake. The Chamber numbers some forty members, composed of merchants of London and other parts of the United Kingdom doing business with Salvador. Upon his resignation of the chairmanship of the Salvador Railway, Mr. Guthrie also resigned from the Chamber of Commerce, and, at the urgent request of the Council of the Chamber, Mr. Kelly, who with characteristic modesty had refrained from allowing himself to be elected as the first President, accepted the post (which is a purely honorary one), and is now the President of the Chamber.

---



## CHAPTER XIII

Systems of business—Long credits—British and United States methods *versus* German—  
Making "good" stock losses—Question of exchange—Effect upon business—Drafts and  
speculators—Customary terms of payment—Central American banks as agents—  
Prominent Salvadorean Banks—The Press of the Republic—Prominent newspapers—  
Some of their contributors—Central American Press Conference.

The general idea prevails among both British and North American manufacturers, who have had little personal experience of the Latin-Americans, that extreme difficulties must inevitably be connected with all—or, at least, with most—transactions conducted in these countries, as far as payment for goods is concerned. I can but observe that the Latin-Americans as a race, if not more honest than Europeans or North Americans, are by no means any less so; and probably, if sufficiently reliable information were obtainable, it would be found that these former are, as a whole, quite as ready and able to meet their foreign obligations as any class of traders in either hemisphere.

As I have, however, pointed out in another chapter of this volume, it would be extremely unwise upon the part of any firm in Great Britain or in the United States to attempt to conduct their transactions by correspondence; an Agent is indispensable if difficulties in transportation and delivery through the Customs, as well as the collection of the account when due, are to be avoided.

In most of the Central American ports and cities, especially (in Salvador) at La Libertad, La Unión, El Triunfo, and Acajutla, the services of such Agents are obtainable. Moreover, some of the banks undertake to look after the interests of their correspondents who are recommended to them, and who are prepared to pay a fair price for the services rendered.

The usual method of conducting transactions of this kind is to draw upon the purchaser of goods for the amount of the invoice, and to negotiate the draft through some local bank, which will in the majority of cases collect the amount, provided the shipping documents be delivered in good order and are found to be free from consular or Customs-house objections. The

banks, naturally, take no responsibility in the matter; and in any case the shipper should know something reliable about the firm and their financial status before entrusting them with the goods. Another mode is for the purchaser of the goods to arrange with his own bankers to open a credit with the shipping firm to be operated upon, against delivery of the documents to the bank indicated, or in such other form as may be agreed upon; while a third expedient—an unusual one, however, and not to be recommended—is to make a remittance to the buyer beforehand, either by means of a bank draft or cable transfer. The safest method to adopt is to draw bills on the importing firm at a usance,<sup>[4]</sup> agreed upon at the time that the order is taken, generally from 90 to 120 days' sight, and to pass the bill and documents through the bank for collection or sale. The draft is usually made payable in return remittance at 90 days' sight on London, Hamburg, or New York, but this is quite a matter of mutual arrangement between buyer and seller.

American as well as British export firms are, as a rule, disinclined to give credit, while the German, on the other hand, offers as much as his customer demands. Undoubtedly the latter loses a larger proportion of his book-debts by pursuing so generous a policy; but at the same time he multiplies the orders upon his books, and he has a clever and somewhat unscrupulous way of so manipulating the accounts of his honest customers as to make them directly or indirectly liquidate the debts of the dishonest ones. How this is done I do not know, but I know that it is done, for I have the assurance to that effect from more than one German trader who has thus balanced his ledger for several years, and always without suffering any bad consequences.

That the sanctimonious and strictly conscientious British tradesman is not altogether averse, upon occasions, to pursue similar methods was shown some few years ago, when a prominent West End saddler confessed to the fact that when he took stock and found a gentleman's £5 saddle was missing, and that he was unable to remember to whom it had been sold, he instructed his bookkeeper to charge up this item to each one of the firm's customers. "Some," he unctuously observed, "will, of course, deny that they have had such a saddle; to these you can write and express our profound apologies for the unintentional error, etc. Those who don't complain will

probably be unable to remember what they had and what they did *not* have. Let *them* pay. Thus we shall get square."

And it is to be added that so careless or forgetful are the majority of the customers of a "high-class" firm in London, that 70 per cent. of those who were wrongly charged with the missing saddle paid the unjust bill without questioning it.

Adverting to the subject of granting long credit to Central American importers of foreign goods, it must be remembered that the majority of these latter are obliged to ask for this indulgence on account of the excessively large amounts which they are called upon to find in order to clear their consignments from the Customs; and also because the retail business which is carried on in these, as in practically all agricultural countries, is a long-credit one. Only the most liberal concessions of credit can secure any decisive advantage for any one of the numerous competitors in business. Additionally, it is not always possible for the importer to secure good drafts at low rates in the market. In some of the countries—and Salvador is not any exception—the market for drafts is completely dominated by speculators, evidence of which is to be found in the fact that heavy and unaccountable fluctuations present themselves at short intervals. The possibility of speculators thus controlling the market is increased by their finding in the banks—no matter how highly these may be ranked as honourably-conducted institutions—ready allies.

The question of exchange in Salvador, and the baneful effect which it has, and for some years has had, upon commerce and trade, especially upon the profitable conduct of the Salvador Railway, is more fully dealt with in another part of this volume (see Chapter XV.). But a few observations concerning the character of the exchange business in Central American countries generally may not be out of place here.

In Honduras, exchange rates are often only nominal, because no regular commercial paper is to be found in the market. The large exports of minerals, bananas, and other produce, are covered, since the proprietors, who are mostly foreigners, need only the necessary amount for the wages of their labourers, and this is remitted to the country by means of drafts. The exporters, moreover, consider the premium on gold not only as profit earned upon their sales, but as representing an economy in their working expenses,

since the export product and the wages for labour are paid for in silver, which naturally makes the first cost of the product much less. Drafts are in this way arbitrarily held back and kept out of the market, or prices are asked for them which are out of all proportion to the silver quotations of London and New York. So the importer in these silver standard countries, in some of which the exportation of the white metal is prohibited, finds himself compelled to wait for a favourable opportunity to buy drafts at a low rate in order to pay for his purchases in foreign countries.

The customary terms of payment for European houses are four to six months from the date of the invoice; in many cases shipments are made "to order," and the bill of lading is delivered to the purchaser when he accepts the seller's draft at his local bank, and in this way the customer is held to strict observance of the time when the bill falls due. In case of failure of the customer to meet his drafts when they mature, the matter is generally arranged by issuing drafts payable at sight after ninety days on London or Hamburg, with payment of interest for the time they are out. The operations of having drafts accepted and remitting the funds collected through them are carried out by the large banks or private banking firms located in these countries in consideration of a commission varying between  $\frac{1}{2}$  and 2 per cent.

Open credits (that is to say, running accounts which the customer can vary in amount to suit his needs, with payment of interest, of course) are no longer granted, except by a few firms to some of their oldest and best customers.

The intelligent and not over-cautious European exporter accepts without hesitation the usual six-months terms, because he has some knowledge of these countries and their people; and he often prefers such a settlement to cash in advance, since he likewise recognizes that he is binding the customer to do more business with his firm. On the other hand, one often hears commercial houses complain that when they decide to place a trial order with North American firms which are desirous of doing business with them, and have repeatedly and insistently solicited such orders, they are required to pay cash with the order. That nobody in Central America would accept such terms, or at least very seldom, the clever Yankee business man ought to be able to see, especially as the most notable traits of the Spanish-

American character are extreme sensitiveness and the need of courteous treatment.

A cash discount of 3 to 4 per cent. is not much of an inducement in a country where the usual rates of interest are 18 to 40 per cent. Some of the banks of Central America, which secure but a small and unimportant share of the business going, and which pay less attention to the development of the country than to the needs of their own treasuries, often demand 1 to 1½ per cent. monthly, with security worth two or three times the sum loaned.

There are no established commercial agencies in Central America which furnish information, but reliable information uninfluenced by personal interests can sometimes be obtained from the principal banking firms—such, for instance, in Guatemala, as the International Bank, American Bank or Guatemala Bank, Clermont and Co., Schlubach, Dauch and Co.; in Salvador, from the Banco Agrícola, Occidental or National Bank, and Messrs. David Bloom and Co.; in Panama, Messrs. Ehrmann Brothers; in Honduras, from J. Rössner and Co., P. Maier and Co., Francisco Siercke, and Juan Stradtman; in Nicaragua, from the young and well-respected British Consul, Mr. Albert J. Martin; and in Costa Rica from the following banks: Anglo-Costa Rica, Commercial and Sasso and Pirie. These houses are better informed than anyone else about the amount of credit customers may deserve, because, knowing the promptness with which the various firms meet their outstanding drafts, they are in a position to form a reliable opinion of the solvency of prospective or actual customers.

The Banco Agrícola Comercial has a subscribed capital of \$5,000,000, of which \$1,000,000 is paid up. The Reserve Fund amounts to \$100,000, and Eventualities Fund to \$115,180. The Permanent Director is Señor Mauricio Duke, and the Consulting Directors Señores J. Mauricio Duke and Eugenio Aguila. There are two other Sub-Directors, Señores Rafael Guirola and Miguel Judice. Señor F. Drews is the General Manager.

The Banco Agrícola Comercial, which was established in 1895, has gone through more than one critical financial and commercial period, but it has come out of the ordeal with considerable credit to itself. There can be no doubt that the bank has been a great assistance to agriculture and trade generally in the Republic, nor that it has not done at all badly for itself, which fact is seen from the last balance-sheets issued. In 1908, upon a total

turnover of \$14,500,000, the bank's profits were \$145,634 (silver pésos). There was a dividend of 8 per cent. paid to the shareholders upon the paid-up capital of \$1,000,000 (pésos) after all charges for administration had been met, and a substantial addition made to the Emergency Fund. In 1909 the total amount of business transacted figured at \$16,200,000 (silver pésos).

The following summary of the bank's financial transactions and position over a period of three years will be of interest:

|                     | Cash. | Commercial Accounts | Accounts Circulation. |           |     |
|---------------------|-------|---------------------|-----------------------|-----------|-----|
|                     |       | Paper and           | and                   | bearing   |     |
|                     |       | Mortgages.          | Deposits.             | Interest. |     |
| First half of 1907  | 717   | 588                 | 906                   | 780       | 816 |
| Second half of 1907 | 565   | 758                 | 828                   | 931       | 741 |
| First half of 1908  | 935   | 779                 | 1,175                 | 991       | 816 |
| Second half of 1908 | 1,441 | 1,013               | 1,485                 | 1,186     | 984 |
| First half of 1909  | 1,424 | 1,213               | 1,954                 | 1,142     | 921 |
| Second half of 1909 | 946   | 1,181               | 1,603                 | 1,453     | 969 |

It will be observed that the last year's showing is less favourable to the bank, but this may be attributed to the heavy demands made upon its resources in financing the movement of the coffee crop. The metallic reserve for meeting outstanding obligations over the same period had been considerably weakened in consequence, as the subjoined table will prove:

#### METALLIC RESERVE.

(A denotes notes alone; B denotes notes, deposits and current accounts.)

| At the end of the month | June.       | December.   |
|-------------------------|-------------|-------------|
| in per Cent.            | A. B.       | A. B.       |
| 1907                    | 87.8944.63  | 76.2737.82  |
| 1908                    | 114.3946.90 | 146.3558.33 |
| 1909                    | 154.6049.54 | 97.6234.36  |

This bank, like others in Salvador, does not disclose the character of its investments, and it is therefore impossible to pronounce any opinion of its actual financial status. It is always desirable to know something regarding

the character of the paper which a bank has in hand, and it is precisely this knowledge which is withheld, and by many British companies also. The omission to provide it is in no way the fault of the bank, be it observed, but of the custom which controls its actions. In Costa Rica alone, among the Central American States, is the practice general among the banks to publish in the balance-sheets some particulars of the commercial paper carried, and this is taken into account like every other asset and inventoried. In Costa Rica, also, all the issuing banks have their books inspected once a month by Government officials, and a certificate of solvency is presented to and published by them.

The National Bank of Salvador (Banco Nacional) was founded in 1907 with a capital of \$1,000,000 (silver pesos). Of this amount one-half has been paid up. The following statement of account for the first three years of its existence will be useful:

|                   | 1907.     | 1908.     | First Half<br>of 1909. |
|-------------------|-----------|-----------|------------------------|
| Total earnings    | 18,173.74 | 38,786.85 | 26,175.36              |
| Deductions        | 3,000.00  | 8,138.35  | 6,175.36               |
| Net Profits       | 15,173.74 | 30,648.50 | 20,000.00              |
| Increase in 1908, | 15,442.26 |           |                        |

The balance-sheet shows the following accounts:

|                              | 1907.   | 1908.   | First Half<br>of 1909. |
|------------------------------|---------|---------|------------------------|
| Negotiable paper             | 568,727 | 675,176 | 427,751                |
| Loans on current accounts    | 546,331 | 777,847 | 724,734                |
| Cash                         | 264,374 | 634,803 | 449,207                |
| Notes in circulation         | 90,908  | 517,153 | 426,732                |
| Credit and deposits at sight | 211,361 | 365,333 | 302,870                |
| Time obligations             | 223,905 | 502,174 | 430,682                |

The metallic reserve account stood as follows:

| At the End of the Month,<br>in per Cent. | June.  |       | December. |       |
|------------------------------------------|--------|-------|-----------|-------|
|                                          | A.     | B.    | A.        | B.    |
| 1907                                     | 354·32 | 39·36 | 262·90    | 60·05 |
| 1908                                     | 115·93 | 60·10 | 126·47    | 42·70 |
| 1909                                     | 105·26 | 38·50 |           |       |

The steady increase shown is somewhat remarkable, and the distribution of profits, considering the comparatively recent establishment of this bank, hardly less so. This distribution, after making all the necessary provisions, stood as follows:

|                   | 1907.  | 1908.  | First Half<br>of 1909. |
|-------------------|--------|--------|------------------------|
| Reserve fund      | 3,000  | 7,000  | 10,000                 |
| Emergency fund    | —      | 2,000  | 2,000                  |
| Dividends         | —      | 30,618 | 21,503                 |
| Undivided surplus | 15,173 | 2,980  | 1,675                  |

For the first six months of 1909, the dividend declared and paid was 4 per cent. upon the amount of capital paid up = \$500,000 (silver pesos). For the remaining half-year and for 1910, and the first half of 1911, increased distributions have been made, and the financial condition and prospects of the Banco Nacional are considered to be in a satisfactory state. Señor Guillermo Hemmeler is the Manager, and he has bought up the connection of the bank's customers consistently from the time that he first assumed control. The bank allows 3 per cent. interest upon current accounts, and it has the privilege of issuing its own notes.

El Banco Salvadoreño was established in 1885, and has a subscribed and paid-up capital of \$3,000,000. The Reserve Fund amounts to \$231,985.80 and the Dividend Equalization Fund to \$20,000; the Eventualities Fund at present stands at \$50,000. There are branches established at Santa Ana (the Manager being Señor Cuno G. Mathies) and at San Miguel (the Manager being Señor R. Schlensz). The General Manager in San Salvador is Señor Alberto W. Augspurg, who speaks English very well, and is invariably courteous and obliging to foreigners who seek his assistance or advice.



Banking business in Salvador always has been, and still is, carried on by a few private firms. The establishment conducted by Messrs. Blanco and Trigueros was founded as far back as 1835, with a capital estimated at \$1,500,000. In 1893 the Bank of Nicaragua opened a branch office in the city of San Salvador, and for long did a good and steady business. Certain concessions and privileges were also granted to Messrs. Linares and Co., of Barcelona, Spain, enabling them to establish a national bank in San Salvador, with a capital of £1,000,000 sterling. A concession was also granted for the establishment of a purely Mortgage Bank, but up till now such an establishment has not been started.

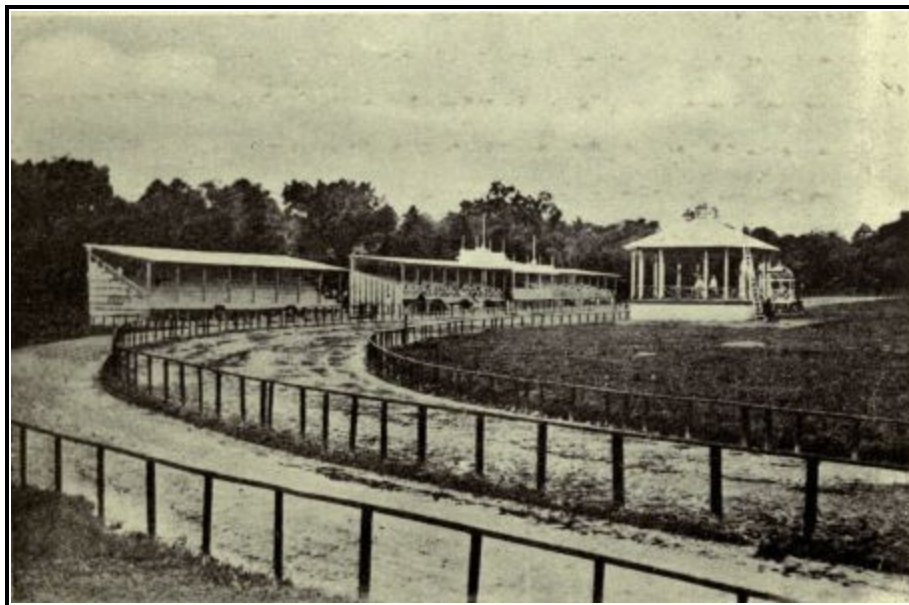
The House of David Bloom and Co., with branches at New York and San Francisco, is composed of Messrs. David and Benjamin Bloom, and who are the principal private bankers of the Government. Subject to the criticism which this position involves, mainly upon the part of those, perhaps, who are not as well endowed as are Messrs. Bloom and Co. with moral courage and confidence in the peaceful continuity of government in Salvador, this firm enjoys an excellent reputation for fair dealing, and is well regarded throughout the country.

The Press of the Republic is well represented by some five or six daily newspapers, several weekly publications, and a number of monthly reviews. There are entirely free press laws existing, and on the whole there is no abuse of the privileges accorded for expressing public opinion. *El Diario del Salvador* was founded in July of 1894 by Señor R. Mayorga Rivas, and is to-day conducted by the same talented journalist and cultured writer. The General Manager is Señor J. M. Lacayo Téllez. Among its regular contributors are Señores J. Dols Corpeño, a young but vigorous writer; Armando Rodriguez Portillo, who is but thirty years of age; and other distinguished litterateurs of Salvador. *El Diario Latino*, of which Señor Miguel Pinto is the Director and Proprietor, and Señor Juan Ramón Uriarte is the Editor, has a large and influential circulation, which is by no means confined to the Republic itself. *El Heraldo del Salvador*, which is the recognized organ of the Church, is edited by the Rev. Dr. Eduardo Martinez Balsalobre. It is, as may be assumed, a high-class publication, and publishes occasionally some powerful literary contributions from the pens of some of the most talented writers. *El Diario Oficial* is the property and exponent of the Government, but scarcely takes rank as a newspaper, being in all

respects similar to our *London Gazette*, with the exception that it prints daily a good service of cables.



**GOVERNMENT BUILDING ("CASA BLANCA"), SAN SALVADOR.**



**CAMPO DE MARTE (RACE COURSE), SAN SALVADOR.**

Among the many weekly publications of note may be cited *La Riqueza* and *La Vida y Verdad*; *La Semana Mercantil*, which is the organ of the Society known as "Orden y Prosperidad"; *El Franciscano*, a Catholic paper conducted by a Franciscan Brother; *Repertorio del Diario del Salvador*, a well-illustrated review of literary, commercial, and social matters, and edited by a gentleman bearing the very English name of Samuel C. Dawson. This publication is, as its title may suggest, closely allied with the great daily paper *El Diario del Salvador*. Other publications are—*La Razón Católica*, a monthly Church organ; *El Comercio del Salvador*, also a monthly illustrated dealing with politics, sociology, and a variety of other subjects; *En Serio y en Broma*, a humorous monthly review; as well as a large number of technical prints, weekly and monthly, such as—*Anales del Museo Nacional*, *Archivos del Hospital Rosales*, *Vida Intelectual*, *Revista Judicial*, *Boletín de Agricultura*, *Revista Científico-Militar*, *Libro Rosado de El Salvador*, *Boletín Municipal*, *Boletín del Consejo Superior de Salubridad*, *La Voz del Obrero*, *Boletín Masónico*, *La Buena Prensa*, *La Luciérnaga*, and *Juan de Arco*.

Each of the Departments has likewise one or more daily or weekly papers, many carrying great influence among the better-class Salvadoreans, who are both diligent readers and intelligent critics. In Santa Ana there are *El Demócrata*, which was founded in 1900, and a weekly known as *El Santaneco*. In Chalchuapa there are two weeklies, *La Vanguardia* and *El Patriota*; in Achuachapán there is one weekly, *La Nueva Era*; in Sonsonate, *La Prensa*, also a weekly; in Santa Tecla, *Don Bosco*, a weekly which is the organ of the Instituto Salesiano; in Cojutepeque there are two periodicals, one weekly and one monthly, respectively known as *El Imparcial* and *El Cuscatleco*; in Suchitoto, a monthly review, *La Mujer* (The Woman), holds the field; in Santiago de Maria, *El Anunciador*; and in San Miguel, *El Eco de Oriente*. A fair share of local advertising is accorded to all of these publications, but, of a necessity, in the majority of cases the circulation is small.

There was recently formed a Central American Press Association, composed of the representatives of the principal newspapers published in the five Republics of Salvador, Guatemala, Costa Rica, Nicaragua, and Honduras. Already the news published in each State concerning the sister-Republics is full; but the new association, working by means of a mutual

exchange of information fit for publication, will result in a considerably improved service being maintained. The papers which have taken the initiative in this important Association are—*Diario del Salvador* (El Salvador), *Diario de Centro América* (Guatemala), *Diario de Nicaragua* (Nicaragua), and *La República* (Costa Rica). Towards the end of this year (1911) a Conference of Press Representatives is to be held in San Salvador, which is expected to be attended with considerable success, and even far-reaching consequences.

---

## CHAPTER XIV

Mining—Ancient workings—Precious metals found—Copper deposits—Iron ores—Treatment of ores in England—Difficulties of transport—Some deceased authorities—Mines in operation—Butters' Salvador mines—History of undertaking—Large profits earned—Directorial policy—Machinery and equipment—Butters' Divisadero Mines—Butters' cyaniding plant.

Tradition points to the fact that the whole of the Central American States were more or less mineralized, while some of them, such as Honduras and Salvador, have long been known to contain great mineral wealth. The geological conditions of Salvador, as may be inferred from the physical facts which have already been set forth in these pages, show that precious metals have been found in some of the Departments. There are on record considerable operations in connection with the different Salvador mines of Tabanco, Sociedad, and others in their immediate vicinity and lying in the north-eastern part of the Department of San Miguel, on the confines of Honduras.

These mines have been extensively worked, and have in their time yielded very profitable results. About six miles distant from Tabanco are the goldmines of Capitalis, once believed to be of great richness, and the group of silver-mines known under the name of Minas de Tabanco, and where is found silver in common with galena and sulphurate of zinc. In times past these mines have been worked with very little difficulty, and they have yielded from as little as 47 to as much as 2,537 ounces to the ton. The most famous producer among these was the Santa Rosalía, and a great part of these ores were formerly shipped direct to England. Old archives of this concern show that in the year 1830 an attempt was made to work the mines on a large scale by an English company, which sent out a whole corps of Cornish miners for the purpose. The machinery which was despatched at the same time was so heavy, however, that it was found impossible to transport it from the coast, which difficulty, combined with others, entirely broke up the enterprise. Had the organizers of the company, as a preliminary, constructed a good cart-road, which was quite possible, and had then sent out the machinery in parts, which could have been packed

separately on mule-back, as is done in Colombia and other mountainous countries, the undertaking might never have been a failure.

That mining paid, and paid well, in Salvador in olden days is proved by the record which has been left by Mr. R. C. Dunlop, in his "Travels in Central America." This writer tells us that "five leagues north of San Miguel are a number of mines of silver; among them is one called La Carolina, which was worked by a Spanish empresario about thirty years ago [Dunlop's book was published in 1847]. He invested his own property, borrowed \$100,000 and, after getting his mine into order in less than six months, was able to pay his obligations; and although he died before the end of the year, he left \$70,000 in gold and silver, the produce of the mine. After his death the ownership was disputed, the works fell into ruins, and the mine became filled with water. The mines of Tabanco yield more silver than those in its vicinity, and when worked yielded upwards of \$1,000,000 annually, although operated in a rude manner without machinery. The principal one yielded \$200,000 annually to the proprietors."

I fear that the late Mr. Dunlop somewhat exaggerated the value of these mines; for while I was in the country, and in the particular district referred to by the author, no one seemed to have any recollection of any such values having ever been obtained.

The same doubtful authority is responsible for the statement that "nine leagues from Santa Ana are some rich mines of iron which produce a purer and more malleable metal than any imported from Europe. The ore is found near the surface, and is very abundant, while there are extensive forests in the immediate vicinity which serve for making charcoal." Another authority on Salvador, long since gathered to his fathers—viz., John Baily, R.M.—who published a book upon Central America in 1850, assures us that some of this iron which was sent to England for the purpose of examination proved to be "a very valuable variety suitable for the manufacture of fine steel, approaching very nearly in this respect to the celebrated *Wootz* of India."

The mineral veins of Salvador present themselves principally in the rocks of the mountain chain, or Cordillera, which extends into Honduras and Nicaragua, and forms the richest mining districts of those countries. Generally speaking, the veins run parallel with the direction of the ranges—

that is, from east to west—but they are often found to be very much broken and interrupted by the action of upheaval. In the eastern parts of the Republic, deposits of gold, silver, copper, and lead are found, while in the western are the rich iron-ore deposits. Coal is found in the valley of the River Lempa. Although it is rather difficult to obtain full and accurate returns of all the mines in operation in Salvador to-day, roughly speaking they may be put at between 180 and 200. The table on p. 185, which has been compiled by the head of the Salvadorean Bureau of Statistics, and which shows the number of mines of each Department and the minerals which they possess, will be of some interest.

The labour question is, however, one which must be carefully gone into; but here again the local (State) Government could, and no doubt would, help the enterprise considerably, for so closely are the authorities in touch with the people that they can at most times influence a good and continuous flow of *peon* labour when their assistance is invoked. General shortage of labour has been responsible for a great number of the mining returns not being satisfactory of late, especially in connection with the Butters' Salvador Mines, of which fuller details are given.

TABLE COMPILED BY SEÑOR DON RAFAEL REYES, CHIEF OF THE SALVADOREAN BUREAU OF STATISTICS, SHOWING NUMBER OF MINES IN EACH DEPARTMENT, AND THE MINERALS THEY PRODUCE.

A Building Stone.

B Gypsum.

C Silver and Lead.

D Tin and Lead.

E Rock Crystal.

F Marble.

G Tin.

H Lead.

I Iron.

J Limestone.

K Quicksilver and Antimony.

L Gold.

M Silver.

N Silver and Gold.

O Copper.

P Coal.

Q Silver and Copper.

R Total.

| Departments. | A | B | C | D | E | F | G | H | I | J  | K | L | M  | N   | O | P | Q | R   |
|--------------|---|---|---|---|---|---|---|---|---|----|---|---|----|-----|---|---|---|-----|
| San Salvador | 1 | 1 | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | 2   |
| Santa Ana    | - | - | - | 1 | - | - | - | - | 8 | -  | - | - | 10 | -   | 4 | - | 5 | 28  |
| Ahuachapán   | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| La Libertád  | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| Sonsonate    | 5 | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | 13  |
| Cuscutlán    | - | - | - | - | - | - | - | - | - | 8  | - | - | -  | -   | - | - | - | -   |
| Chalatenango | - | 1 | 2 | - | 1 | 1 | 1 | 2 | 1 | 2  | 1 | 1 | 6  | 5   | 3 | 1 | - | 28  |
| Cabañas      | - | - | - | - | - | - | - | - | - | 5  | - | - | -  | 9   | - | 3 | - | 17  |
| San Vicente  | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| La Paz       | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| Usulután     | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| Morazán      | - | - | - | - | - | - | - | 1 | - | -  | - | 1 | 4  | 84  | - | - | - | 90  |
| San Miguel   | - | - | - | - | - | - | - | - | - | -  | - | - | -  | -   | - | - | - | -   |
| La Unión     | - | - | - | - | - | - | - | - | - | -  | - | - | -  | 2   | - | - | - | 2   |
| Total        | 6 | 2 | 2 | 1 | 1 | 1 | 1 | 3 | 9 | 15 | 1 | 2 | 20 | 100 | 7 | 4 | 5 | 180 |

The Salvadorean *peon*, like his Peruvian brother, is a very tractable kind of labourer, and can be successfully handled by kind treatment. He is, moreover, naturally free from that taint of dishonesty which so strongly distinguishes the Mexican and the Colombian *peon*, and which renders it impossible to leave anything of a portable nature in their way. The native labourer of Salvador is usually able to earn an easy livelihood by means of husbandry, and he takes to mining from choice rather than from necessity. This fact renders it all the more important that fair treatment should be extended to him, and upon most of the foreign-owned mines this is certainly the case. The late manager of the Butters' Salvador Mines, Mr. Garthwaite, whose death occurred last year, was entirely *sympatico* to the men employed upon the mines, and his kindness to them and to their families was generally acknowledged and deeply appreciated.

That the industry of mining has considerably improved in Salvador during the past decade is sufficiently evidenced by the subjoined figures,



which trace the industry in its progress from January, 1901, to the first half of the year 1910:

| Period covered. |                  | Total Amount of Trade<br>(U.S Gold \$) |
|-----------------|------------------|----------------------------------------|
| Year            | 1901             | \$183,760.00.                          |
| "               | 1902             | 114,585.20.                            |
| "               | 1903             | 814,733.88.                            |
| "               | 1904             | 652,854.33.                            |
| "               | 1905             | 768,677.60.                            |
| "               | 1906             | 1,296,666.00.                          |
| "               | 1907             | 1,223,565.00.                          |
| "               | 1908             | 1,318,224.00.                          |
| "               | 1909             | 1,116,717.00.                          |
| "               | 1910 (half-year) | 560,570.00.                            |

These figures refer to all the auriferous silver, copper ore, gold bars, gold and silver ore, lead ore, gold slimes, gold and copper slimes, gold and silver slimes, and lead, which had been mined in the country during the period mentioned.

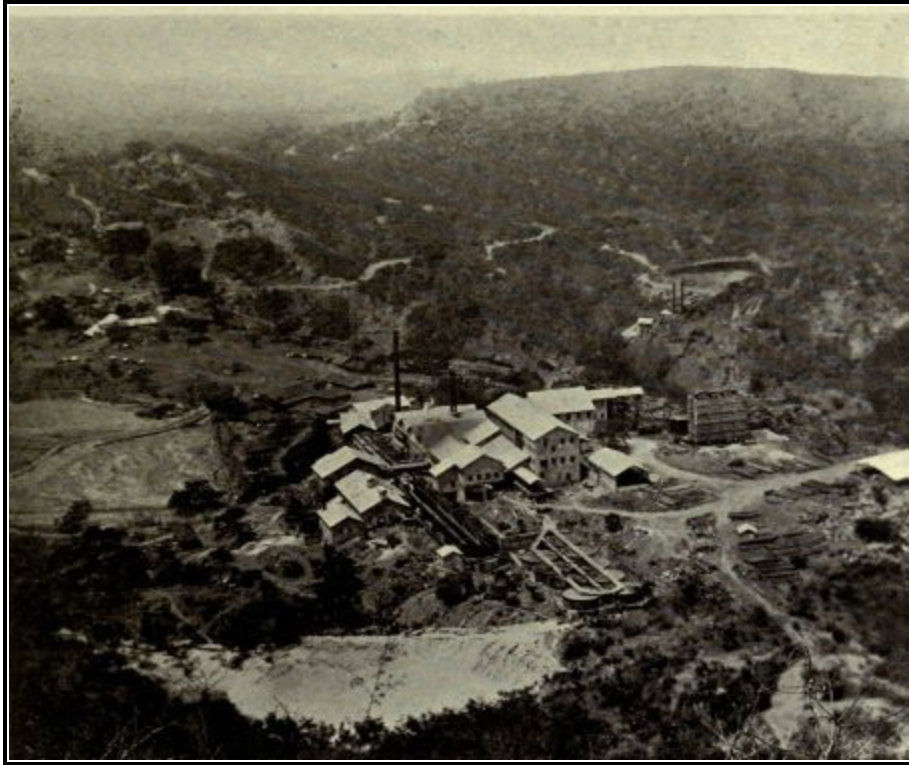
I should say that modest fortunes await the enterprising capitalist—foreign for choice, since as a rule he is less easily discouraged by a run of temporary ill-luck—who exploits some of the antiguas—*i.e.*, the ancient copper workings of the Salvadoreans which have been abandoned owing to lack of capital or labour. I know of many such opportunities which exist in the Department of Morazán, where already a considerable group of foreign companies and private individuals are working with occasionally remarkable success. With the modern machinery and reduction plant now available, certainly the greater part of these ancient workings might be made to pay something as a return upon the amount of capital expended upon them. To-day, also, there exists a first-class cart-road leading from these mines to the principal town, and thus transportation, which was formerly both costly and difficult, is now a matter of comparative facility.

In some of the iron ore mines one can find the old and wasteful Catalan system of reduction still in use, and yet with proper treatment, as was sufficiently proved when a trial shipment of ores was sent to England some

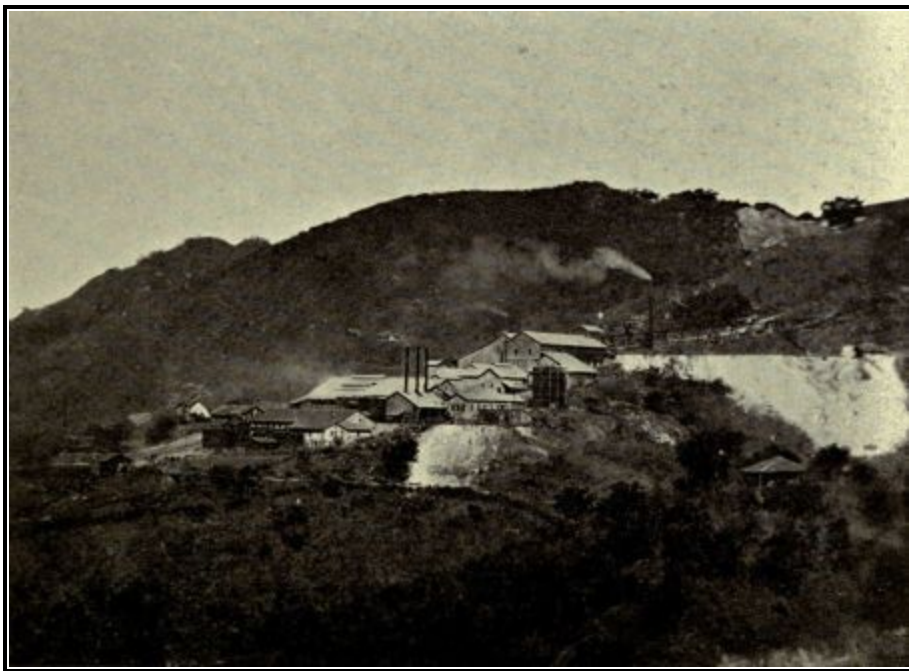
years ago, as much as 87 per cent. of magnetic iron can be obtained from these ores. And the quantity of ore which they contain is apparently inexhaustible. I know of but two or three small smelters at present existing in Salvador, and, naturally, the industry of copper-smelting carried on in this primitive and limited manner proves anything but profitable. I am of opinion that the Government would encourage any serious attempt upon the part of foreign capitalists to exploit the unquestionably rich copper deposits of the Departments of Chalatenango and Cabañas, and such an enterprise might well be worth the attention of some British or United States mining capitalists. The latter are usually the more enterprising and plucky.

About twelve years ago there was registered in London a mining property covering 546 acres in Salvador, comprising a number of gold-bearing properties, with the title of Butters' Salvador Mines, Ltd., the principal owner being Mr. Charles Butters, a well-known American engineer, and who is the chairman of the company. From the very commencement of its operations, the company seems to have been eminently successful, and was able to distribute its first dividend in 1903, when 5 per cent, was paid. Since that date the dividends have varied from 40 to 80 per cent., that for 1910 being at the rate of 45 per cent., which compared with a similar rate for the previous year, but with an additional bonus of  $23\frac{3}{4}$  per cent. On account of the present year, 15 per cent. has already been paid as an *interim* dividend, and, according to the recently-issued report, the ore reserves are now estimated to amount to 108,000 tons, and to carry a profit value of £400,000, or more than twice the value of the entire share capital.

At the end of last May, dividend "No. 87" of  $3\frac{3}{4}$  per cent. (= 9d. per share) was declared by the Board of Directors, who at the same time informed the shareholders that dividends will in the future be distributed quarterly instead of monthly, as has been customary in the past.



**1. VIEW OF BUTTERS' DIVISADERO MINES,  
DEPARTMENT OF MORAZÁN, SALVADOR.**



**2. BUTTERS' SALVADOR MINES, SANTA ROSA,  
DEPARTMENT OF LA UNIÓN, SALVADOR.**

The inherent wealth of these mines is clearly demonstrated when one recollects that, in spite of the able and experienced management that has been the rule, many difficulties have had to be encountered and overcome, not the least of which has been the lack of labour, and, during the early part of last year, some serious trouble with the boilers at the mines. The consistently cautious policy which the directorate have adopted, notwithstanding the large dividends which they have been able to recommend, has resulted in their establishing the mines upon a thoroughly solid and business-like basis. It is worth remarking here that the whole of the existing plant and equipment, which are as complete and efficient as any to be found upon the American Continent, have been paid for out of revenue, and they stand in the books of the company at the present time at the ridiculously low price of £2,000.

The principal work which the management has in hand at the present time is cross-cutting the formation, with the object of finding split or parallel veins, and the discovery of such split veins has naturally much improved the position of the company. The whole policy of the management will now be devoted, for some years to come, to proving the mines in depth, and such, indeed, would have been undertaken before now but for the troubles to which I have above referred in regard to labour. The ore indications, which have so far been met with, are of a distinctly favourable nature, the most encouraging, perhaps, being the cutting of the famous Miguel ore-shoot at the 700 feet level. The width of this vein exceeds 3 feet, and it assays over 6 ounces. The Miguel shaft is now down nearly 800 feet, but the deepest working from which the ore has been stoped is the 600 feet level; the shaft will therefore give 200 feet of backs below the present workings.

At present between 25,000 and 30,000 tons of ore are being crushed annually, which yield on the average a value of 1 ounce 7 pennyweights. The working expenses have never been particularly high, owing greatly to the excellence of management and the economy of the reduction plant, which bears the name of the chairman of the company—viz., the Butters' Cyanide Process—but there are nevertheless hopes that these costs will be still further reduced in the near future. There is no question that the Butters' Salvador Mines rank among the most valuable ore deposits to be found in

Central America, and it is no less sure that they are being managed in the most expert and most economical manner.

As to the financial situation of the company, the balance-sheet proves that the cash in hand on June 30, 1910, in Salvador, London, and San Francisco, amounted to £5,001, and that on the same date the stores in hand and in transit were valued at £32,228; sundry debtors in Salvador and London amounted to £812, and per contra the amount owing to sundry creditors was £3,642. The profit and loss account showed a net profit for the period of £62,645; while the amount brought forward from the previous account, and which amounted to £19,042, being added to the net profit, showed a total available distributable balance of £81,677. The dividends which have been paid for the twelve months aggregated, as already mentioned, 45 per cent. upon the capital of the company, and which absorbed £67,500, thus leaving a carry-forward of £14,177.

It is worthy of mention that in the directors' report for the period ending June 30, 1910, a graceful tribute is paid to "the continued consideration which the Government of Salvador has extended to the company," and which testimony goes to prove what I have already indicated—viz., that the Government is anxious and willing to encourage in every legitimate manner sound foreign enterprise; but I go further, and say that I know of no other Latin-American Republic which has shown greater good-will to all foreign enterprise in all its phases than that of Salvador.

It is over seven years since the Butters' filter was introduced in connection with mining, and the process may now be met with in all parts of the world, and especially in Mexico, where I have seen it working with excellent advantage upon the famous Dos Estrellas gold-mine at El Oro, as well as in Brazil and in other South American countries.

The need of a filter of some sort was first forcibly presented to the mind of Mr. Charles Butters and his associates at their works in Virginia City, Nevada, U.S.A. The tailing being cyanided there was originally derived from the Comstock Mills, but it had been treated and retreated several times by the Pan-Amalgamation process; as it stands to-day in the dams, it contains about 75 per cent. of material that is leachable, and which may be designated as "slime." The slime is of an exceptional character. In addition to the difficulties connected with the solution of gold and silver contents,

the mechanical condition was such that it gave trouble in settlement for decantation. The clarification produced by a coagulant such as lime was perfect, but the subsidence was so slow that the amount of solution recoverable in this way was not sufficient to make the decantation process a practical success. It was proved, in fact, that coagulation was not necessarily accompanied by good settlement.

After experimenting with several forms of vacuum filter units, both cylindrical and rectangular, there was evolved a form of filter which is the recognized present standard, and the preliminary plant of 336 leaves, which was erected at Goldfield seven years ago, is still in full operation to-day. As the filtration process is found working at the Salvador mines and in other parts of the world, the filter-leaf is made on a frame, the upper side of which is formed on wood, and acts as a suspending bar when the leaf is in position in the filter-box. The remaining three sides are made of  $\frac{1}{2}$ -inch pipe, perforated with holes and connecting to the vacuum pump. The filtering medium consists firstly of a porous mat of such size as to exactly fill the space formed by the pipe frame, and upon either side of this is placed a sheet of canvas, large enough to overlap the frame, around which it is securely sewn. The first containing-box which was used at Virginia City was an electrolytic precipitation-box, which was not needed for its special purpose, and was adopted for the use of the new filter. An air-compressor was converted into a vacuum pump, and with this equipment the vacuum filter of to-day came into existence.

From the beginning it proved a marked success, and the next step in its perfection was the designing of the large Goldfield plant to handle 800 tons of dry slime per diem. When designing the containing-box for the special purpose of the filter, the lines of the original box were slightly departed from as regards the shape of the hoppers, these being given sixty sides to facilitate the better discharge of the cake, and a quick opening valve of large area was placed at the apex of each hopper. Instead of a dry vacuum pump and gravity drainage, a wet vacuum pump was used, permitting the solution pump to be placed above the filter.

The cycle of operation is as follows: (1) Filling the box with pulp; (2) the formation of a cake on each side of the vacuum leaves by suction; (3) emptying the box of pulp and filling with weak solution; (4) drawing

through the cake sufficient solution to displace all soluble values; (5) emptying the box of solution and filling with water; (6) drawing through the cake a small quantity of clean water to displace any solution held in the cake; (7) shutting off the vacuum and admitting water through the leaf connection, thereby throwing off the cake, which falls to the bottom of the box, and cleansing the canvas in preparation for the next charge; (8) opening the valve in hopper bottom of box, and allowing the residues to escape to the waste dam; (9) closing the valve, thus rendering the filter ready for the next charge of pulp.

It is a very unusual thing to find in the newer mining companies of Central America such up-to-date machinery and mining processes as are in use in the Republic of Salvador at the Butters' Salvador and the Divisadero Mines. The Government of Salvador has to be congratulated upon the wisdom it has shown in extending consideration to companies engaged in the development of its mines, and to practical men of the type of Mr. Charles Butters and his associates, to induce them to devote their money and their brains to the development of Salvador. The most modern processes and the most up-to-date machinery can be here found at work, and the Government is permitted, by the terms of the franchise which they have granted to the companies, to send Government students to attend at these works to complete their studies in mining and metallurgy. Among the processes at Butters' Salvador Mines are dry-crushing and roasting, electrolytic precipitation as well as electrolytic refining. The cyanide process with the Butters' Patent Vacuum Filter is found here treating gold ore without amalgamation, and making extraction of from 95 to 96 per cent. The mining at this property has been by adits principally. Electrical winding plants and electrical pumping plants are now installed at this property. Both at the mine and at the mill a high efficiency of working has been attained for many years.

At the Butters' Divisadero Mines, located twelve miles distant from the Butters' Salvador Mines, a much larger quantity of ore, but of a lower grade than at the Salvador Mine, is treated, about 10,000 tons a month being handled on this property. The Government student has here the privilege of seeing ore, of about \$5 a ton, mined and milled. A large electric plant is established, by means of which all the hoisting and pumping are carried on. A large quantity of water is encountered at this mine, and where formerly it

was found impossible to handle the water by the use of Cornish pumps, it is now kept under control by means of the Sulzer electrically-driven centrifugal pump. Two sinking pumps, of a capacity of 600 gallons per minute each, have been installed, which are suspended from the surface, and are calculated to operate down to 600 feet in depth. These pumps lift 300 feet to the 300 feet level, and deliver to horizontal station-pumps erected at this level. The most modern electric-generating plant, hoisting, pumping, and ore-compressing plants, are at work upon this property. The mill is of the best-class construction, with a capacity of crushing between 8 and 9 tons per stamp, with tube-mills, Butters' Patent Vacuum Filter, and special methods of precipitation.

At both of these mines complete shops are established, including iron-foundry and wood-working machinery. The shops are competent to deal with the heaviest repair jobs on the machinery in use, and as many spares as are found economical to manufacture, so that a large staff of mechanics are kept busy in the shops.

In a new country like Salvador, it is absolutely essential, for the establishing of the mining industry upon a firm footing, that a large force of natives should be educated in the repair and manufacture of the machinery and extra parts in use at the mines. There are native Salvadoreans who have been educated in these shops, and they have become highly competent mechanics, able to cope with almost any difficulty occurring at the mines. The result of this education will be that less and less foreign help will be required to carry on the business in Salvador.

Anyone living in Salvador who desires to know of the "latest thing" in mining and metallurgy is permitted, through the arrangements which the Salvadorean Government has made with Mr. Charles Butters, to take up any course of study he may desire.

---



## CHAPTER XV

Transportation—Salvador Railway Company—Early construction—Gauge—Bridges—Locomotives—Rolling-stock—*Personnel* of railway—Steamship service—Extensions—Increasing popularity—Exchange, and influence on railway success—Importers *versus* planters—Financial conditions—Projected extensions—Geological survey—Mr. Minor C. Keith's Salvador concession.

The means of internal communication are perhaps more apparent and more systematically undertaken than in any of the smaller States, Salvador possessing at present over 100 miles of railway track and a number of excellent roads and bridges, which are being added to and improved continually. The only organized railway system at present is in the hands of a British company, the Salvador Railway Company, Ltd, and its relations with both the Government and the public are of the best.

The concession granted to the company was dated 1885, but it was four years later when a public issue was made—namely, in October, 1889. The concession is for a period of eighty years, dating from April, 1894; at the expiration of the period the railway and all its accessories become the property of the Salvadorean Government. In the meantime, however, it is open to the Government to buy up the existing railway in 1940 if it so desires, at a price to be agreed upon or fixed by valuation. The railway company enjoys protection from competition, and has also preferential privileges (except as against the State) for constructing future extensions.

The road actually dates from the year 1882, when the first section, from the port of Acajutla to the town of Sonsonate, one of the most important in the Republic, and situated at about fifty miles' distance from the capital, was opened for traffic. The distance was 20 kilometres, or, say,  $12\frac{1}{2}$  miles, the next section to be finished being that from Sonsonate to Armenia, a further distance of  $26\frac{1}{4}$  kilometres, or  $16\frac{1}{2}$  miles, thus bringing up the constructed line to  $46\frac{1}{4}$  kilometres by the end of September, 1884.

From then onwards the rate of construction was as follows: From Armenia to Amate Marin,  $6\frac{1}{2}$  kilometres, or 4 miles, opened for traffic

September, 1886; from Amate Marin to Ateos,  $3\frac{1}{4}$  kilometres, or 2 miles, January, 1887; from Ateos to La Ceiba, and which forms a branch ending at this town, a distance of 10 kilometres, or  $6\frac{1}{4}$  miles, March, 1890; from Ateos to La Joya, a distance of 22 kilometres, or  $13\frac{1}{2}$  miles, opened to traffic on September 15, 1895; and from La Joya to Santa Ana—a very important town of some 33,000 inhabitants—a distance of 29 kilometres, or 18 miles, opened in November, 1896.

From Santa Ana, which is another terminal point, the railway receives a valuable freight in the form of agricultural produce, such as coffee, sugar, tobacco, and various kinds of grain.

A continuation of the line was then made to the capital, San Salvador, the extension from Sitio-del-Niño to Nejapa, one of 18 kilometres, or, say, 11 miles, being opened for traffic in February, 1898; while the last section, between Nejapa and San Salvador, a distance of 20 kilometres, or  $12\frac{1}{2}$  miles, was completed by the month of March, 1900. The total distance of the track is, therefore, 155 kilometres, or  $96\frac{1}{4}$  miles, exclusive of sidings. There are some eighteen stations, including the terminals at Acajutla, Santa Ana, and San Salvador; while the buildings, both here and at Sonsonate, Sitio-del-Niño, and Quezaltepeque, are well built and efficient structures in every way.

The gauge of the track is 3 feet, and the maximum gradient one of 3·75 per cent. The minimum curve radius is 359 feet 3 inches. The interesting engineering features of the line are many, and these are found for the most part upon the Santa Ana section, between that town and Sitio-del-Niño. There are forty-one bridges, consisting of through-truss, plate-girder, and rolled "I" beams. These run from 20 to 14 feet span, the makers who have supplied them including German, Belgian, British, and American contractors. The principal bridges are as follows:

|                         |                               | Span.   | Made by —                                           |
|-------------------------|-------------------------------|---------|-----------------------------------------------------|
| At Kilometre<br>78·700  | Deck-plate girder<br>bridge   | 56 ft.  | Aug. Lecoq, Hal, Belgium.                           |
| At Kilometre<br>82·600  | Through-span<br>girder bridge | 78 ft.  | Harkort, Duisberg, Germany.                         |
| At Kilometre<br>98·500  | Through-span<br>girder bridge | 70 ft.  | San Francisco Bridge Company.                       |
| At Kilometre<br>188·700 | Through-deck<br>girder bridge | 140 ft. | Atliérs de Construction, A.<br>Lecoq, Hal, Belgium. |
| At Kilometre<br>191·700 | Through-deck<br>girder bridge | 140 ft. | Atliérs de Construction, A.<br>Lecoq, Hal, Belgium. |

There are a number of culverts, over sixty-six being of some importance, besides several of minor interest, of 3 feet and under. The road is exceedingly well ballasted from beginning to end, and is maintained in an altogether efficient manner of repair and orderliness.



**SALVADOR RAILWAY**  
**TO ACCOMPANY**  
**SALVADOR OF THE TWENTIETH CENTURY BY**  
**PERCY F. MARTIN, F.R.G.S.**

In regard to the rolling-stock, this is equally well equipped and maintained, the greatest care being taken by the management to see that every car that is sent out is in a thoroughly sound state of repair and

cleanliness. There are in all eleven locomotives, of which the following details will be of interest:

| No. | Makers.                                | Cylinder. |         | Driving<br>Wheels. |         | Weight.<br>Tons. |
|-----|----------------------------------------|-----------|---------|--------------------|---------|------------------|
|     |                                        | Diameter. | Stroke. | Pairs.             | Inches. |                  |
| 1   | Prescott, Scott and Co., San Francisco | 12 in.    | 16 in.  | 2                  | 38      | 17·50            |
| 2   | Baldwin Locomotive Works, Philadelphia | 15 in.    | 20 in.  | 4                  | 38      | 25·00            |
| 3   | " "                                    | 15 in.    | 20 in.  | 4                  | 38      | 25·00            |
| 4   | " "                                    | 15 in.    | 20 in.  | 4                  | 38      | 25·00            |
| 5   | Cooke, Patterson and Co., New Jersey   | 16 in.    | 20 in.  | 4                  | 38      | 30·35            |
| 6   | Baldwin Locomotive Works, Philadelphia | 17 in.    | 20 in.  | 3                  | 42      | 36·74            |
| 7   | " "                                    | 17 in.    | 20 in.  | 3                  | 42      | 36·74            |
| 8   | " "                                    | 17 in.    | 20 in.  | 3                  | 42      | 36·74            |
| 9   | " "                                    | 16 in.    | 20 in.  | 3                  | 42      | 32·40            |
| 10  | " "                                    | 16 in.    | 20 in.  | 3                  | 42      | 32·40            |
| 11  | " "                                    | 16 in.    | 20 in.  | 3                  | 42      | 32·40            |

In addition to the above, two other engines of precisely similar make have lately been delivered to the Company by the Baldwin Locomotive Works, Philadelphia, U.S.A. It is explained that the native engine-drivers are now accustomed to these engines, which are to be found in use upon almost the whole of the South and Central American railways.

The rolling-stock on the Salvador Railway is maintained in the same efficient order as are the stations and permanent way. It consists of some twenty-three passenger coaches as follows: Eight of first class, light but strong carriages, suitable for a tropical country and fitted with wide seats upholstered in rattan; one second class, only a trifle less expensively upholstered, but in no wise less airy or comfortable; and four brake and luggage vans. Of goods-waggon there are 161—namely, 1 workmen's car, 5 cattle cars, 95 covered-goods and 60 platform cars. These cars are mostly

the manufacture of the Lancaster Carriage and Waggon Company, Ltd., of Lancaster, and the Allison Manufacturing Company, of Philadelphia, U.S.A. The company have recently erected some ten box waggons at the well-fitted railway shops at Sonsonate, where every appliance and the newest equipment of machinery are to be found. The passenger coaches are also partly of British and partly of American construction, the Lancaster Carriage and Waggon Company, Ltd., and the Harlan, Hollingsworth Company, of Philadelphia, being responsible for this part of the equipment.

In the month of April last a change took place in the general management of the Salvador Railway, when Mr. C. T. S. Spencer, the newly-appointed chief, proceeding to his post via Mexico City and Salina Cruz. Mr. Spencer served his pupilage with the London and South-Western Railway, mainly on the North Devon and Cornish branches. When out of his articles, he accepted an appointment as District Engineer on the Abbotsbury Railway, near Dorset, which line is now a part of the Great Western Railway system. In 1886 Mr. Spencer went out to Rio Grande do Sul (Brazil), as District Engineer on the Brazil Great Southern Railway, and subsequently rose to the position of Chief Constructing Engineer. On this line he built the Ibicúy Bridge, which still ranks as the largest bridge in Brazil, being over a mile long, with some 70-metre spans resting on cylinders sunk by the pneumatic process, which at that time was in its infancy. When the line was completed, Mr. Spencer surveyed an extension running into some hundreds of kilometres, and passing through the beautiful district of Misiones.

Mr. Spencer, still a young man, then went to Salvador, and in 1889 he surveyed the La Unión-San Miguel line. This railway was partly constructed by the Government, and its completion to San Miguel is now being pushed forward. In 1892 Mr. Spencer went to Colombia as General Manager of the Antioquia Railway, which commission he held until the Government attempted to cancel the concession without paying any indemnity to the company. He afterwards went to Angola, and drew up the plans for a large railway scheme from the coast inwards; a part of this line has since been built.

Upon returning to London, Mr. Spencer accepted the post of Consulting Engineer to a railway-constructing syndicate in the City, and a few years ago he was elected to a seat on the Board of the Salvador Railway. Mr. Spencer visited the Republic in 1908, and on his return pointed out to the

Chairman that, owing to the opening of the Tehuantepec Railway, a special steamer service connecting up Acajutla with Salina Cruz would probably prove a paying concern. Mr. Mark J. Kelly, the able and experienced Chairman of this railway, with his customary quickness of perception, combined with his own not inconsiderable experience of the Republic of Salvador, of which for fifteen years he had acted as Consul-General in England, at once fell in with the idea, and the steamship *Salvador* was the result.

Mr. Spencer is an Associate Member of the Institute of Civil Engineers, and a Fellow of the Royal Geographical Society. While it is a subject of regret that Mr. Charles Stewart, late Manager of the Salvador Railway, was compelled to abandon his post owing to ill-health, the shareholders of the railway may be unreservedly congratulated upon obtaining the services of so able and experienced an engineer as Mr. Spencer.

Mr. John White Hinds, Chief Engineer of the Salvador Railway Company, started in his profession at the age of fifteen, and was for over a year in the shops of the Great Western Railway at Swindon. He then remained for four years as a pupil with Mr. W. H. Lancashire, C.E., of Sheffield. Three years were passed in London studying, when Mr. Hinds went to America, and entered the shops of the Chicago and North-Western Railroad. He has also seen service in Chile, Peru, Guatemala and Salvador. In this latter Republic, Mr. Hinds has acted as chief of the party of engineers on final surveys of the Santa Ana branch of the Salvador Railway, while he also went to La Unión, the largest of the Salvadorean ports, to construct the railway from La Unión to San Miguel for the Salvador Government. The line was only constructed to the extent of ten miles or so, when a revolution broke out and the work was abandoned. Since then—namely, in 1894—Mr. Hinds has been engaged upon the Guatemala Northern Railway as Surveyor, and helped in the construction of that portion of the line to the City. Mr. Hinds likewise completed surveys to the town of Zacapa, on the same railway, and assisted in the construction work between Puerto Barrios and Zacapa. Latterly Mr. Hinds has been exclusively engaged upon the Salvador Railway, of which he has been the Resident Engineer since 1903, and Permanent Way Engineer since 1906.

One of the contractors who were connected with the railway in the early days was Mr. Albert J. Scherzer, and it is interesting to note that his nephew,

Mr. George Scherzer Walsh, a young and clever railway engineer, was also connected with the company. Mr. Walsh accompanied Mr. M. J. Kelly and Mr. George Todd Symons (the senior partner of G. T. Symons and Co., of 4, Lloyd's Avenue, E.C.) to Salvador in the spring of 1910, upon matters relating to the extension of the company's track and the appointment of agents for the steamship service. Mr. Walsh did some good and useful work as technical adviser on the ground, but, unfortunately, in the end his services proved unfruitful, owing to the selfish and senseless opposition offered to the company's contemplated extensions upon the part of the American Syndicate, who hold a railway concession from the Salvadorean Government to build new lines within this zone. At the time that the American group protested—and protested, as it seems, successfully—against any further construction work being undertaken by the Salvador Railway Company, they had done absolutely nothing themselves, and had not even presented the preliminary plans to the Government. As will be seen, however, they have at last made an attempt to commence work of some kind; but my latest advices point to the fact that successful completion is still far from being even within sight.

The property owned by the Salvador Railway Company, as has been shown above, is an extensive and increasingly valuable one. It embraces something like 100 miles of track, with its own telegraph and telephone services; a long and well-built iron pier, located at the Port of Acajutla, and which cost no less than \$1,000,000 to erect; as well as warehouses and a fleet of tugs and barges for the prompt and efficient handling of the cargo.

Upon all sides one hears the services rendered by this company spoken of in a manner altogether flattering to the management; and it may be said in truth that in no other Republic of South or Central America can one come across a wider consensus of opinion favourable to a foreign-managed railway undertaking than in the case of the Salvador Railway.

To the not inconsiderable assets above mentioned, the railway has added a fleet of steamships to carry cargo between Acajutla, its own port terminal, and Salina Cruz (Mexico), the Pacific terminus of the Tehuantepec Interoceanic Railway. It is worthy of note that both of these railways are managed by British corporations, a matter of no small importance in view of the strenuous efforts of North American interests to secure complete control over the transport arrangements in this part of the world.

The Salvador Railway's first steamer, the *Salvador*, is a neat, trim, and well-built vessel of some 1,200 tons, out of the yards of Messrs. Swan and Hunter, of Newcastle-on-Tyne. It is fully equipped with all the latest appliances for the quick and efficient handling of cargo, while its passenger accommodation is of a commodious and comfortable character. This handsome vessel has for some time been firmly established as a favourite with the importers and exporters of the Republic of Salvador, who now, for the first time in their experience, are enjoying the advantages of rapid and reliable communication with Europe and the United States of America, with punctuality in regard to dates of arrival and departure each week. As a matter of fact, this service now effects in about two weeks, what could not be previously done in less than one month. The appreciation by the public of these advantages is sufficiently displayed in the circumstance that the s.s. *Salvador* carries something like three-fourths of the imports and exports of the country, to the great disappointment, and even dismay, of the older lines. Other similar vessels are being built for the Company by Messrs. Swan and Hunter.

The company has in view the rendering the same services to the other Salvadorean ports as that now offered to Acajutla and the Mexican port of Salina Cruz. An important local trade between Mexico and Salvador, to the mutual advantages of both, is now being built up, thanks to the initiative of the Salvador Railway Company in establishing this steamship service.

How successful the company's fleet has proved is best seen from some observations which were made by the Chairman at the last annual meeting of the proprietors, December 13, 1910, and in which he stated, inter alia:

"It is a matter of great satisfaction to me and to my co-directors to be able to assure you that we have not only emerged, in respect to this service, out of the experimental stage, but we have actually become a fairly settled institution as a steamship line on that coast. Instead of one boat, with which last year we gave such a service to Salvador by the port of Acajutla as they had never had before, carried out with a regularity and strict adherence to schedule to which they were utterly unaccustomed, your company is represented to-day by three steamers, and is making the service from Salina Cruz clear down to Nicaragua, embracing all the ports of Guatemala, Salvador, Amapala, the only



Honduranean port on the Pacific, and Corinto. In barely a year we have found ample reason for increasing our service to three vessels, two of which are chartered boats, while we may be able to put in hand the building of a second boat of the same type as our first. This satisfactory result has only been attained by untiring effort; but we have reason to believe that your steamship service has arrived to stay, and that it will be represented by a substantial figure in the earnings in the future. The service has won deserved popularity by reason of its being carried out, as I have told you, with adherence to a schedule, and we now frequently receive in London applications from Central Americans travelling about Europe with their families to reserve cabins for them on our steamer *Salvador*. Mails are now sent by this service of ours in connection with the Isthmus of Tehuantepec, and reach Europe in about sixteen days instead of a month; while the planters get their produce to European markets in little over thirty days, against forty to fifty by way of Panamá, and over one hundred by way of the Straits of Magellan. The passenger traffic on the *Salvador*, which we were all disposed to regard as something that might take a considerable time to develop, has already given results which you will understand better when I tell you that generally the accommodation provided for passengers on the *Salvador* is fully taken up. During my stay in Salvador I took advantage of the appreciation thus shown by the public of our steamship venture to arrange with the Government a contract for a subsidy, and we are now receiving £100 per month in gold on this head. I had the honour of being received by His Excellency President Diaz on several occasions during my stay in Mexico, both going out and returning home, and he promised favourable consideration by his Government of an application, which we have since formally put in, for a subsidy from that Republic, which is benefiting as much as Salvador from the development of your steamship service."



**DECK BRIDGE ON SALVADOR RAILWAY.**



**STATION BUILDING AT SANTA ANA ON THE SALVADOR  
RAILWAY.**

With such prospects the Salvador Railway seems destined to enjoy a time of great prosperity; and, indeed, the outlook would be practically undimmed

but for the ever-threatening question of the exchange. The high rate of sterling exchange constitutes a very real and visible "fly in the ointment." Salvador, it may be pointed out, has the advantages of a metallic currency, with no fiscal paper money of any sort; but, unfortunately, it is a silver currency, which is aggravated by the circumstance that the export of silver, if not actually prohibited by legislation, is at all events very difficult to bring about, inasmuch as official permission is required, and is as often refused.

On the other hand, the banks are overstocked with silver, and are willing to lend sums at what may, for these parts of the world, be considered very low rates of interest—namely, 5 per cent. per annum—which enables people, who would otherwise be compelled to sell drafts against their exported produce, to hold them back, and, by a simple understanding among themselves, keep the rates as near to 200 per cent. premium as may suit their own interests.

The Salvador Railway Company, which has a silver tariff pure and simple, has to buy sterling drafts, whatever the rate may be, in order to meet debenture interest payments, the cost and freight upon all imported materials for its various services, insurance upon its properties, its London expenses—including directors' remuneration—and towards this large expenditure the only sterling contribution of the country is the Governmental subsidy of £24,000 per annum, which payment will terminate automatically in 1916.

In sending out their Chairman, Mr. Mark J. Kelly, therefore, in 1910, to endeavour to reduce the company's burden in this respect, the Board of Directors undoubtedly made a wise move, inasmuch as no one could possibly be better placed, by reason of his great popularity and exceptional experience, than Mr. Kelly to conduct such delicate and intricate negotiations. In spite of such influence and personal weight, however, I am much afraid that the time is hardly yet when any serious modification of the terms of the company's concession—such as the granting of a tariff payable in gold—may be looked for.

At a time when gold is in the neighbourhood of 200 per cent. premium (*i.e.*, 1 silver dollar equals 33 cents gold) this would mean an increase in the tariff rates, and the Government can hardly be expected to authorize that

increase in the present circumstances. As a matter of fact, the company's tariff is much below that of any railway undertaking in the whole of Latin-America, of which I, at least, have any cognizance. But the public are hardly likely on that account to be any more disposed to fall in with an increase in the railway's rates.

The outlook for the Salvador Railway generally is, as observed, a hopeful one. It is admitted by all who are acquainted with its operations that its advent and completion have materially aided the development of the Republic's resources, and day by day the expansion of its industries is becoming more apparent. The local traffics, showing as they do gradual but consistent development, are the outcome of the safe but conservative policy of the management, whose relations, as I have already observed, with the railway's clientèle are of the most friendly character. If the agricultural development of the portions of the country served by the railway have been somewhat slow, the movements have, at least, been consistent; and there can be little doubt that an intelligent expansion of the Republic's magnificent possibilities is merely a question of time. No permanent improvement must be expected, however, to assert itself until the difficulties of exchange have been overcome. While poor trade may have somewhat affected the returns of the last two years, the rate of exchange has been responsible for the greater part of the financial disappointment. Possibly the poor trade is the cause of the exchange being so high, as much as the exchange being the cause of the poverty of trade. So far as the railway is concerned, the effect is certainly twofold—directly, by reason of the loss upon remittances to the head-office in London; and indirectly, on account of the prejudicial influence upon trade.

There is a very general and perfectly comprehensible complaint that, in spite of the better crops which have been garnered this and last year, and the abundance of silver currency, actual sales of merchantable goods have been less, on account of the high rate of exchange compelling the sellers to continually mark-up their wares. One result of this is that the merchants have ordered fewer goods, and the railway has carried less freight.

Unfortunately, in Salvador—as in other parts of the world, our own not excepted—there are several divergent opinions upon this question of economics, and here one comes across as many individuals who are in favour of a high exchange as those who decry it. The planters, for instance,

hold that the high exchanges constitute a clear and legitimate bonus upon the value of the coffee, the indigo, the balsam, and the other articles of export; while the importers clamour loudly, and perhaps with some more reason on their side, that the high exchanges, if, indeed, they are really of any benefit at all to the planters, form no less a tax, and a very heavy one at that, upon the goods consumed by the general public. Still worse, however, they act as a deterrent to active trade and commerce, since all goods sold must be marked-up at higher prices than are customary, with the very natural result of a smaller consumption. Thus, the public are disappointed, the merchants are grumbling, the revenue of the country in its Customs-houses suffers, and the railway and its shareholders are left lamenting—all because the planters must be humoured.

This contention might also contain a little more force were wages to advance in the same *ratio* as the rate of exchange. But this is far from being the case, for no advance in wages has followed upon the increased premium upon drafts on London; while bankers of Salvador, on the other hand, declare that they derive no profits on balance from their exchange account. More often than not, so they say, they suffer a loss, since the fluctuations in the rates are so eccentric and so difficult to control that they are particularly favoured when they succeed in covering the cheques or short-dated drafts, which they issue on Europe by purchases of ninety days' drafts from the planters, without actually incurring a loss.

The rate of exchange in Salvador to-day is a very high one—nothing like that of Colombia, it is true, but at time of writing gold is at 160 per cent. premium. Here, however, it must be remembered there is no official currency of paper whatever, the banks which issue notes being subject to rigorous inspection and compelled to maintain silver coin to an extent which reduces their issues of notes to a mere matter of public convenience, rather than a source of profit to the banks themselves. All this is of great moment to the welfare and the future of the Salvador Railway, and has more than once been explained at length by the capable and experienced Chairman, Mr. Mark J. Kelly, at the meetings of the shareholders held in London.

The financial condition of the Salvador Railway is to-day a steadily improving one. We see that for the last year (1909-10) the gross receipts were better by £6,921; while the ratio of expenses was also satisfactory,

namely, 51·81 as against 54·68, a decrease of 2·87 per cent. Improved good-traffics were also met with, and worked out at 1s. 1d. a ton in excess of previous figures. After providing interest and redemption upon both classes of Debentures, and interest at 5 per cent. per annum upon the Terminable Notes, the amount available for distribution amounted to £8,565 13s. 9d., out of which was made a payment of 3 per cent. upon the Preference shares for the year, leaving a balance of £1,065 13s. 9d., carried forward to the credit of Net Revenue Account. Prior Lien Debentures amounting to £3,600, and Mortgage Debentures to another £9,000, have also been redeemed this year, making the total redemption £62,200 to date of the accounts.

In June of next year (1912) the Terminable Notes, amounting to £45,000, will be either paid off or converted into Debentures probably bearing 5 per cent. interest. The exact financial position of the company stands as follows:

Authorized Share Capital:

Preference shares, £250,000 (in £10 shares).

Ordinary shares, £250,000 (in £10 shares).

Of these, the whole amount has been issued, viz. £500,000

Debentures:

Authorized (5 per cent. Prior Lien) £250,000

(5 per cent. Mortgage) 660,000

£910,000

Out of which a balance still remained unpaid off 847,800

Five per Cent. Terminable Notes Authorized and including cost of issue

45,000

Thus the company has a total liability outstanding of £1,392,800

Few of the States in Central America offer greater opportunities or inducements for railway extensions than Salvador, and this in spite of the fact that the country is generally mountainous, and is more than well supplied with rivers, most of which for railway purposes have to be bridged. It must be remembered, however, that Salvador is the most densely populated of all the Central American Republics; the country has therefore

been very carefully surveyed, with the idea of railway extension upon a considerable scale.

In the year 1891 the United States Government despatched an Intercontinental Railway Commission to make surveys and explorations, not only in Salvador, but in Guatemala, Honduras, Nicaragua, and Costa Rica. The result of such enterprise has been the publication of a voluminous Report, which was issued in 1898, five years after the Commission's return to the United States. The Report is altogether favourable for railway extension in Salvador, and it speaks very highly of the enterprise of the Salvador Railway Company, of which a description will be found in the preceding pages. Previous to the despatch of the American Commission, the Salvador Government had had a survey of the eastern portion of the country made by Mr. Charles T. Spencer, an English engineer of great experience, and who is now General Manager of the Salvador Railway. There can be very little question that at some time in the near future further railway construction will be proceeded with, since the country is so rich in agricultural produce that a means of transportation in addition to and other than that in vogue must be introduced. In many parts of the country the ground is quite favourable to railroad work, the soil being largely decomposed volcanic ash, which stands well in cuttings, although there are numerous spurs to be cut through in many of the districts surveyed; these are in general all lava rock or conglomerate, offering good material for ballast. In but few localities are any grades found steeper than 2 or 3 per cent., or any curves sharper than 12°.

A Government concession for the construction of a railway from La Unión to the Guatemalan frontier was granted on June 15, 1908, to Mr. René Keilhauer, who was authorized to construct a line to extend from the port of La Unión, on the Gulf of Fonseca, to a point on the Guatemalan frontier. The line as projected leaves the port of La Unión, and passes or connects with the cities of Usulután, San Vicente and Cojutepeque, unites with the line already built between the capital and Santa Ana, and proceeds to the Guatemalan frontier to make connection with the Atlantic Railway of that country, and which was inaugurated towards the middle of 1908. A branch line will eventually, it is supposed, also run from La Unión to San Miguel, the most important town of the eastern section of the Republic of

Salvador, and connection will be made with Ahuachapán to the west, thus furnishing railroad links with all the principal Departments.

The total length of this line will be 360 kilometres, and the contract carries with it the construction of a wharf at La Unión of steel and iron, to be erected in connection with the railroad, and capable of accommodating the freight handling of steamers. The stipulation is made that the survey of the line shall begin "within sixty days of the signing of the contract," and that the La Unión-San Miguel section be completed "within eighteen months"—that is to say, by the end of 1910; but this stipulation obviously has not been carried out. Of the remaining sections of the railroad, 20 kilometres annually are to be put into commission. Government assistance is guaranteed, and free entry for all material at the Customs-house is assured.

Previously Mr. Keilhauer had been granted a concession for the construction of a line of railroad from Santa Ana to the Guatemalan frontier, the duration of such concession being ninety-nine years, and carrying with it a Government subsidy of 3 per cent. per annum of the cost of each kilometre, which was fixed at \$20,000 (=£4,000).

The most important feature in this contract lies in the circumstance that it covers the section of the Pan-American line belonging to Salvador, as defined in the Convention which was signed in Washington on December 20, 1907, on the occasion of the Central American Peace Conference. As a matter of fact, work upon this construction was only commenced on April 15, 1910, on the Eastern Division of the Pan-American Railroad, and the occasion was celebrated by official banquets, as is the hospitable custom in Latin-America. It is significant that at the time that the concession was obtained, and before any actual work commenced, the name of Mr. René Keilhauer was used; but from then onwards it disappears, and those of Mr. Minor C. Keith and Mr. Bradley M. Palmer, both of the United Fruit Company, the former being the President, are substituted. Mr. Keith has a firm grip upon several of the Central American Republics, particularly Costa Rica, Honduras, and Guatemala; while he has also extended his tentacles to Nicaragua, with somewhat doubtful beneficial effects to that Republic. Mr. Minor C. Keith is likewise the moving spirit in the railroad from Santa Ana (in Salvador) to Zacapa (in Guatemala). This line has a length of seventy-nine miles, and is of a standard gauge. Although surveys



had been undertaken and materials had been ordered at the time of my visit last year to the Republic, nothing whatever had been done towards active construction.

There are some critics of this contemplated line of railway who consider it not alone one extremely costly to construct, but as likely to prove a financial loss to the proprietors when finished and open to traffic. It may be, of course, that this view is unnecessarily pessimistic, but, inasmuch as hereafter the investing public may be invited to take a hand in the enterprise, it is desirable to present the other view for their careful consideration.

---

## CHAPTER XVI

Ports and harbours—La Unión—Population—Railway extensions—Lack of British bottoms—Carrying trade—H.B.M.'s Vice-Consul—Port of Triunfo—Bad entrance—Proposed railway—Acajutla—Loading and unloading facilities—Proposed improvements—Salvador Railway connections—La Libertad—Comandante and garrison—Loading and unloading facilities—Cable station and the service provided by Government—The staff of operators.

The western arm of the Gulf of Fonseca forms the capacious and land-locked harbour of La Unión, which is situated on the south-western shore, four and three-quarter miles above the entrance. On the north side of the bay are extensive mud-flats that contract the channel in places to less than a mile in width, while another in front of the town uncovers at half-tide, virtually cutting off all communication with the shore. This flat has encroached upon the anchorage since Sir Edward Belcher's survey was made, diminishing the depth slightly, and shifting the channel a little to the northward. A small pier facilitates landing at high-water, and on the outer end of it a light is sometimes shown; but it is of minor value, being dimmed by the lights in the town behind it. Coffee, cotton, hides, and balsam of Peru (so called, although it comes from Salvador), are exported. Beef, poultry, and oysters, can be obtained at reasonable rates. As ships find great difficulty in watering here, it is recommended to anchor and fill up at the spring, one mile below Chicarene Point.

Steamers coming to La Unión are given the following directions:

"If bound for La Unión, keep to port of all the islands, and steer to come between Conchagueta and the western shore under the volcano of Conchagua. When fairly in mid-channel, the entrance to the harbour will be seen ahead between Punta Sacate Island on the right and Chicarene Point, which terminates the eastern slope of the volcano on the left. Steer nearly for the Point, and even bring it a little on the starboard bow if the flood-tide is running, as it sets across the shoal north of Conchagueta. As the point is approached, open it a little from the north end of Punta Sacate and run past, giving the island the widest berth, as there is a rocky patch making out from the south-west point.

It has been recommended to keep Chicarene Point close aboard, but a steamer drawing 15 feet touched a rock in doing so; therefore a safe rule would be to keep a little to the westward of mid-channel. During the springs the tide runs through the pass at the rate of three knots an hour."

The port of La Unión is the largest in the Republic, but, in spite of this fact, landing is sometimes difficult, and until some constructional improvements are made it will continue to be so. At present it is necessary to disembark from the steamer on to a launch; from the launch descend into a small row-boat, and from the small row-boat transfer to a "dugout." Even then the traveller is not at the end of his trials, since he has to leave the dugout for a ride on a man's back through several yards of surf before he can reach terra firma.

La Unión has a population of 8,000 people, including a garrison of 1,000 troops. It carries on a considerable amount of trade, chiefly in coffee exportation and foreign goods importation, in spite of the difficulties of approach by sea. The advent of the railway is likely to add to this volume of traffic, if only to a limited extent. It is noteworthy, however, that the people of La Unión are by no means enthusiastic regarding the approach of this railway, and they speak very pessimistically as to its prospects. In conversation with one of the leading citizens, I was informed that the railway "is hardly likely to prove profitable, since it is in the hands of the wrong people" (namely, an American group); and the case of the railway at Puerto Barrios, in Guatemala, which is controlled by some of the same entrepreneurs, is quoted as an example of what may be expected. So indifferently are passengers treated in connection with the Guatemala Railway, which is under the jurisdiction of the United Fruit Company of Boston, U.S.A., that no one now will travel upon it if he can possibly avoid it. It is quite probable, in view of the much-improved steamship service offered by the Salvador Railway (from Acajutla to Salina Cruz, Mexico), that this will continue to be the principal means of reaching the United States and Europe and for transmitting cargoes.

La Unión was at one time a port of call for the Pacific Steam Navigation Company of Liverpool, which, however, withdrew their service in 1898, apparently finding the competition with the Pacific Mail Steamship

Company of San Francisco too keen, and the carrying business insufficient. The Pacific Steam Navigation Company sold out their interest to the Pacific Mail Steamship Company, and since then—much to the regret of all shippers and passengers alike in the Central American ports—its boats have not been seen at La Unión.

In fact, no British steamers have called there except an occasional Leyland or a Lamport and Holt steamer sent to load coffee, and the reappearance of the British flag has been entirely due to the efforts of the Salvador Railway Company.

The Pacific Mail Steamship's Company's freight charges are now \$3 gold (12s. 6d.) per ton for carrying coffee from La Unión and other Central American ports to San Francisco, U.S.A., but they formerly charged \$8 (33s. 4d.) per ton. The considerable reduction is due to the severe competition which this octopus-like company has had to meet with from both the Kosmos Company and the Salvador Railway.

The annual export of coffee from La Unión amounts to 150,000 sacks, all of which are carried to Europe (Hamburg, Havre, etc.), the Kosmos Company taking by far the greater part. Day by day the Pacific Mail Steamship Company loses ground and popularity throughout Central American ports owing to its extortionate charges (where there is no competition), to its indifferent management, and, above all, by reason of the gross discourtesy with which its clients are sometimes treated by the uncouth and half-savage officials whom it employs.

British interests at La Unión, such as they are, are represented by Mr. John B. Courtade, His Britannic Majesty's Vice-Consul; and this gentleman also acts as French, Chilian, and Norwegian Consul. Mr. Courtade, who is a Frenchman by birth, has been a resident of La Unión for thirty-three years, and he is one of the best-known and most-respected inhabitants of the place. The "palatial" offices which enshrine H.B.M.'s Vice-Consulate will be noted with satisfaction by the patriotic.

Between La Unión and La Libertad is situated the port of Triunfo, which is 60 miles from the latter, and 156 miles from the former. Triunfo, however, has a very poor natural entrance, owing to the heavy surf which is continually breaking on the shore. It is to this port, nevertheless, that an American syndicate are about to construct a railway, with the idea of

handling the large quantity of coffee which is grown in the neighbourhood, and consigned to this port for shipment abroad. So dangerous was Triunfo formerly considered as a landing-place, that Lloyd's had been advised by their agents not to issue insurances, but to allow shippers to take the risk. With the contemplated improvements at the port, however, in conjunction with the railway, Triunfo will probably be ranked with La Unión as a safe and convenient port. At present the steamers of the Salvador Railway Company call there on their way to and from Corinto to Salina Cruz.

During last year the Government encouraged measures to maintain a first-class service of loading and unloading cargo at the various ports, while attending also to the embarking and disembarking of passengers, recognizing the necessity of putting both these branches of service upon a more satisfactory footing. Serviceable and commodious port-boats have been provided for each of the Comandantes at La Unión, La Libertad, and Triunfo. The latter port is now used, as mentioned above, for the shipping of coffee almost exclusively; and it is through El Triunfo that is exported the produce of the bountiful coffee harvest yielded by the Department of Usulután, which represents more than a third part of the whole of the Republic's coffee produce.

Acajutla, the port of Sonsonate, is an open bay about sixty-two miles to the east of San José; it is sheltered from the south-east by the Remedios reef, a dangerous and extensive shoal, extending from a point of the same name. The salt water here is considered injurious to cables and copper. Ships anchor in 9 to 11 fathoms. Landing is occasionally difficult, and ought to be effected in a good boat. Merchant vessels load and discharge their cargoes by means of bongos, or large craft in the shape of whale-boats. A substantially-built pier, fitted with cranes, facilitates the landing, although at times the surf renders it hazardous. By giving short notice, fresh provisions may be obtained in large quantities from Sonsonate. The active volcano of Izalco, on a north-east by north bearing, forms a good leading mark for this part, and Point Remedios, long, low, and thickly wooded, may easily be recognized.

The sea-bathing at Acajutla contributes to the attraction of the place. Nowhere upon the coast of these Central American countries will a smoother or wider sand-beach be found; and at all times of the year, while at most hours of the day, women and children are found disporting

themselves in the swelling and sometimes boisterous surf. The comparative freedom from the attacks of sharks and other predatory fish is also a great benefit, although there are stories current of men and women having been seized and carried away by these prowling tigers of the sea. An "old inhabitant" of some twenty-five years' residence, however, informed me that he had never known of a case where death had ensued, and, while he himself had heard of the shark stories referred to, he had no personal knowledge of their accuracy.

The sanitary conditions of Acajutla are at present poor, and it is scarcely surprising to hear that cases of fever and other maladies exist in certain seasons. All this could easily be changed by a more strict municipal supervision, and an ordinance which rendered penal the perpetration of the prevailing habits of the people. Such deadly fever-dens as the local "hotel," for instance, should be swept away without remorse or hesitation, and a system of house-to-house inspection introduced. In view of the fact that many foreigners as well as natives have, of a necessity, to spend a certain amount of time in the port, awaiting their steamers proceeding north or south, it is the bounden duty of the local authorities to see that their lives are not endangered by pestilential conditions existing in the town. The small but important colony of hard-working port and railway officials should also be considered, and especially as among them are some few Europeans who are not accustomed to the unsanitary system in vogue. I have little doubt that, once the attention of the Salvador Government is directed to this matter, some improvement will be introduced, and, once introduced, will be carefully maintained.



**MR. CHARLES T. SPENCER;  
GENERAL MANAGER OF THE SALVADOR  
RAILWAY. APPOINTED MAY, 1911.**



**DON JUAN AMAYO;  
GOVERNOR OF THE DEPARTMENT OF  
CUSCATLÁN.**

Whatever prospect is in store for the port of Acajutla depends to a great extent upon the success of the new shipping arrangements in connection with the Salvador Railway, and these, as I have already pointed out elsewhere, are making consistent and steady progress. It is but a small place, and, although very picturesquely situated upon a typically tropical coast, it is at some seasons found rather trying, especially to Europeans. The surrounding scenery, like all the country in Salvador, is attractive to the eye, the long line of blue ocean, fringed with its lacelike foam, for ever gathering and breaking in dazzling green and white waves upon the smooth and sandy beach; the brilliant green of the mangrove, the cocoanut palms, and the banana patches lend vividness of colour, while the distant mountain-peaks, innumerable and fantastic of shape, give the port of Acajutla a decidedly romantic aspect.



Although during the dry season a strong and cool wind blows for several hours of the day, and at sunset changes to a pleasant land-breeze, blowing sometimes steadily, and at others decidedly gustily, during the night, the hours of darkness never seem so long nor so trying, on account of the heat, the dryness, and the mosquitoes, as is the case in so many parts of South and Central America. Some day, maybe, this place will be taken in hand by the speculative builder, and as great improvements effected as have been introduced at Panamá, at Puerto Limón (Costa Rica), and at San José, in the same Republic, but on the Pacific side of that Republic. Acajutla is just as open to, and capable of, improvement and reformation; between the enterprise of the Salvador Government and the Salvador Railway Company there is no reason why this port should not eventually become one of the most important in Central America.

La Libertad is the second of the three Salvadorean ports, as already mentioned, Acajutla and La Unión being the other two. It is a small but well-formed roadstead, but does not invariably offer good shelter to the largest vessels, since sudden rollers come in which are apt to snap ship's cables unless with a long range. The foreshore is narrow, and is backed up by some lofty hills—scarcely high enough to be called mountains, however—which are partially cultivated, and form a pleasing setting to the Port itself. The buildings are few as yet, but such as there are they seem to be well constructed and of superior character both outwardly and inwardly; the usual style of Latin-American architecture is followed in regard to the one-story edifice, except in the case of the Comandancia—official residence and office of the chief authority—which is a large wooden edifice of two stories, the lower portion forming the quarters of the garrison, and the upper part the residence of the Comandante. About 100 men form the garrison, the regiment quartered there being the 5th Artillery. They possess several pieces of modern ordnance, which they know how to handle with great expedition and efficiency. The guns are kept exceedingly clean, and frequent drills serve to keep the artillerymen both smart and interested. The Comandante of the Port, Captain Angel Esteves, is quite a young man, possessed of a very pleasing face and figure, as well as of charming manners. He has travelled in the United States, and speaks English fairly well. He expressed to me his intention of shortly visiting England in order to study military matters, and "to see a country of which he had always heard great accounts, and for which he entertained a profound admiration."

The streets of La Libertad are mostly paved with hewn stones, and the whole place, consisting of but 700 or 800 inhabitants, is kept in excellent sanitary order. A market is held here every week, and a considerable amount of local trade is carried on from day to day. The extensive warehouses and Customs sheds are also well filled with foreign goods received from different ports of Europe and the United States; but while as many as three or four ships call there every week, I understand that these do not include any British bottoms other than the steamer *Salvador*, belonging to the Salvador Railway Company. The Comandante informed me that during the two years that he had been in La Libertad he had not seen another British vessel at the Port, the vessels calling there being either American, German or French.

A large amount of coffee is exported from La Libertad, the bags arriving out-bound from San Salvador, the capital, which is only eight leagues (about twenty-four miles) distant, and the journey usually being performed in a day and a half by ox-waggon, or in three or four hours on mule-back.

Between the Capital and the Port are situated two towns—Zaragosa and Santa Tecla—both of some importance. Around both also are located many coffee and sugar fincas, such as that of La Laguna, near San Salvador, the property of Herr Fédor Deininger, of whom I have made mention elsewhere in this volume, and who is one of the wealthiest, as well as one of the most enterprising, coffee-planters and sugar-manufacturers living in Salvador.

La Libertad possesses a strong and well-designed iron pier, some 450 feet in length, with two large covered warehouses, steam-cranes, and all the necessary apparatus for loading and unloading lighters. There is a double set of rails running from the pit-head to the Customs-house, and a fair equipment of flat-cars and platforms-cars. The warehouses are kept scrupulously clean and airy, everything being maintained in admirable working condition.

The pier and the wharf were constructed by a local company some forty years ago, and the concession which covered that period having only expired last year (1910), the pier and everything connected with it have now become the property of the Salvadorean Government. It is not intended, however, to make any additions or alterations to the structure, which is in all respects equal to the port's requirements at the present time. In all

probability La Libertad will not much increase in importance as a port, in view of the extensions at Triunfo and at Acajutla, which already possesses a railway to the Capital, and of La Unión, which ere long will also have one to the interior of the Republic.

La Libertad must nevertheless always count as of some consequence, if only on account of its being the one cable-station in the Republic of Salvador, and which serves at the same time as a receiving-station for Costa Rica, the one Central American Republic which has no cable-station of its own. La Libertad shares with Colón the monopoly of despatching and receiving all the cable-messages from Central America and the United States. Its cable extends to Salina Cruz, in Mexico, messages being thence transmitted to Galveston, U.S.A. La Libertad's cable, although in constant use, is regarded more as a "stand-by" in the event of a breakdown on the Panama line, an eventuality of by no means infrequent occurrence, especially in time of political trouble and when the fierce Atlantic storms prevail. A full equipment is therefore always maintained, although the active staff employed consists of but two individuals—Mr. A. H. Hooper, an American of great linguistic ability and remarkable literary judgment, and a young Danish telegraphist, Fédor Michaelson. Both officials are expert instrument-operators, and in depending upon the La Libertad station as a substitute or a "stand-by," the Cable Company are leaning upon no hollow reed. Messrs. Hooper and Michaelson are highly competent officers, the latter, indeed, being one of the quickest and most accurate operators that I have met with in any part of the world.

In La Libertad a number of press and Government messages from all parts of the world are received every day, and sometimes almost all day. The instruments used include Muirhead's automatic transmitter, which will send 200 letters per minute, and Sir William Thompson's patent recorder, as well as a complete fault-finding apparatus, which enables the officials to at once trace the seat of any breakdown which may occur to the cable, and thus despatch the repair-ship to the necessary spot. While visiting the La Libertad cable-station, I witnessed several messages being despatched and received (and actually corresponded with Salina Cruz, Mexico), the average speed being a little over fifty words in three minutes, or, say, seventeen words a minute received and recorded.

At this cable-station above mentioned, a service of cablegrams received for the Salvadorean Government averages 2,000 words a day. The service is supplied free of all charge by the Government to the Salvador newspapers, and is greatly appreciated by the reading public. The source of supply is New York, and the Correspondent responsible is the New York Correspondent of *La Prensa*, the great Argentine daily newspaper, which enjoys the proud position of possessing the most palatial offices of any newspaper in the world. The news-cables are very informative, and are at the same time commendably free from political bias or personal opinions—a rare recommendation indeed, considering the land of their origin.

---

## CHAPTER XVII

Agriculture—Government support and supervision—Annual productions—Agricultural schools—Cattle-breeding—Coffee—Sugar—Tobacco—Forestry—Rice—Beans—Cacao—Balsam—Treatment by natives.

It is only natural, in a country where agriculture forms one of the most important sources of revenue, that the Government should have directed its particular attention to the supervision and control of the industry. The Land Law of Salvador consists of no fewer than 245 separate articles, which are contained under eight different "titles," as follows: Title I.: Concerning the government and control of the industry, and which contains six chapters; Title II.: Concerning persons who devote themselves to agricultural industry, containing five chapters; Title III.: Concerning rural property, which contains four chapters; Title IV.: Concerning live-stock and game, consisting of four chapters; Title V.: Concerning public roads, containing but one chapter; Title VI.: Forest culture, containing three chapters; Title VII.: Water for public use, containing two chapters; Title VIII.: Concerning administrative justice and guarantees afforded to rural property, consisting of two chapters. This Land Law is a model of common sense, and shows evidence of much ability in construction; it might well serve as a model for similar executive ordinances in other countries, not excepting that of Great Britain, where agricultural legislation and Governmental assistance are sorely needed.

The Government of Salvador exercises its control over all agricultural matters, firstly by the Executive, through the medium of the Department of the Interior; secondly, through an Agricultural Board; thirdly, through Departmental Governors, who are assisted by Local Boards; fourthly, through municipalities, with their Mayors and Agricultural Committees; and, fifthly, through the services of Rural Inspectors, Special Assistants, and Commissioners. It is to be observed that the Land Law of Salvador, while of an administrative character, leaves in force the Civil Code of Civil Procedure, even in those questions especially relating to rural property, without prejudice to the few provisions relating to these codes, and which can be regarded as additional or modifying provisions.

The annual amount of agricultural produce exported from the Republic of Salvador may be put as follows: Coffee, 30,000 tons; Sugar, 70,000 cwt.; Rubber, 500 cwt.; Balsam, 1,300 cwt. These figures, however, are exclusive of the considerable amounts of each commodity consumed in the country, and which likewise comprise large quantities of cereals, such as corn, beans, rice, wheat, etc. The Government is encouraging the cultivation of henequén, or *Sisal agave*, as well as cotton, maize, and other useful plants, which will figure to some degree in future returns from the Department of Agriculture.

The Ministry of Agriculture and the Councils and Committees of the Department, besides contributing to the development and increase of agriculture, also assist the scientific improvement of the crops, circulating among cultivators all those provisions which they judge to be opportune, and as likely to conduce to the prosperity of the industry. A step in the path of agricultural progress is the creation and maintenance of the School of Agronomy, which is carried on upon a plantation of some 200 manzanas in extent, where there is water in abundance. The farm is located between the cities of Sonsonate and Izalco, and lies at 450 metres elevation above the level of the sea. The school building is constructed on a tableland, which occupies the most elevated part of the plantation, and consists of all the usual departments considered to be indispensable for an establishment of its kind. It possesses laboratories for the study of, and experiments in, chemistry and botany, and a small model dairy, provided with all the necessary apparatus, instruments, and tools. The total cost of the institution and its equipment amounted to \$64,498.19. It was inaugurated on June 4, 1907, and in the month of September of the same year student classes were opened, and they have since been maintained, under the direction of the Agronomical Engineer, Don Félix Choussy, without interruption. This school ranks as one of the most pronounced successes which the Government of the Republic has achieved.

It would be difficult to find any locality in South America, not excepting the Argentine Republic or Uruguay, where the breeding of cattle could be engaged in, nor where finer butcher's meat can be grown more successfully, than upon the magnificent pastoral ranges of Salvador. Cattle are not only abundant, but they seem to thrive with practically little or no attention. The meat secured is of a delicious and firm nature, but, unfortunately, as in all

tropical countries, it must be cooked and eaten the same day that the animal is killed. The natives do not deem this any objection; but Europeans, who are accustomed to the taste of tender and juicy meats, do not so generally approve. The price of beef is moderate in extreme, and it can be found on sale in the markets all the year round.

Sheep are somewhat scarce, and they do not appear to thrive here as they do in some parts of Mexico or in Argentina. I should not consider Salvador a good sheep-country, and the breed is not in any way encouraged. Possibly the heat of the plains is a bar to any great success attending the raising of these animals, while, on the other hand, mutton is not a popular diet with the people, who are not in any case very heavy meat-consumers. On the great majority of small estates, and even among the poorest of the people, hogs are very largely bred, and some fine specimens are to be met with. Among poultry, fowls and turkeys, again, are numerous, and generally of excellent quality, large and plump birds being obtainable for very moderate prices at all times. In this case also it is customary to cook and consume the birds a few hours after they have been killed, so that a tender fowl is not often met with. I noticed but few ducks or geese, and the latter birds may be regarded as somewhat of a rarity. Quantities of wild-fowl, however, find their way to the market, and there they fetch moderately good prices. Immense flocks of duck are found at certain seasons of the year feeding and breeding upon the many inland lakes, and they afford excellent sport to the few guns which break in upon their almost undisturbed repose. These quiet and peaceful lagoons, in their entrancing scenic surroundings, form an ideal spot for the sportsman, since they would be found an almost untouched field for his amusement.

Salvador, from the conformation of its surface and the nature of its soil, is essentially an agricultural State. The basin of the River San Miguel, that of Sonsonate, and the valley proper of the Lempa, no less than the alluvians bordering on the Pacific, are of an extraordinarily fertile character and especially adaptable for the production of tropical staples. Around the Bay of Jiquilisco and the port of La Libertad, cotton has been cultivated with success for the last sixty years, but it is only up to within comparatively recent years that the principal products of the State have included indigo, sugar and maize. In many respects the State of Salvador differs agriculturally from the South and other Central American Republics. In the

first place, there is but little unappropriated land to be found in it, nearly the whole being the property of private individuals; secondly, the people are active and intelligent—naturally so, and not merely by education; they are unquestionably industrious. Certainly they are the best cultivators in Central America; and under favourable circumstances—that is to say, during periods of political tranquillity—they can find abundant employment for their labour.



**NATIVE HABITATION IN THE HOT COUNTRY.**





**NATIVE MAKING SUGAR FROM A PRIMITIVE WOODEN  
MILL.**

Indigo, or, to give it its native name, "jiquilite," for long constituted the chief article in the exports of the country, but in point of importance it has had to give place to coffee. Indigo is found in practically all parts of Salvador, but especially in the districts of Zacatecoluca and San Miguel, and some idea may be obtained of the great space of ground which is, or rather which used to be, appropriated to indigo, when it is stated that it takes about 2 cwt. of the green plant to yield 8, 10 or 12 ounces of indigo; on the land which is found most suitable to it, 12 ounces are seldom exceeded, but there are records which show that in favourable seasons, upon taking an average of five years, upwards of 12,000 serrones (1 serron=150 pounds) have been produced in the entire Republic. A quantity such as this, in former times, would be valued at \$3,000,000 in the European markets; but as long ago as the year 1850 the value of the product had become greatly reduced, and it would not even then have realized one-half that sum. To-day, when aniline dyes take the place of indigo, it would be difficult to place anything like an accurate price upon such an amount of produce, nor to suppose that it would be marketable at all. How much the production has fallen off in later years can be seen when it is said that the

total amount produced in 1891 was only 7,889 serrones, and in the year following, 9,587 serrones.

Indigo is produced from an indigenous triennial plant, *Indigofera Añil*, which is its botanical name, and the plant flourishes luxuriously upon nearly all kinds of soil. The land requires comparatively little preparation, being merely burnt and slightly ploughed. The seed, which is scattered broadcast, is sown in the months of February and April, and the growth of the plant is so rapid that by the end of August it has attained a height of from 5 to 6 feet, and is then fit for cutting. The product of the first year is but moderate, and it is at this stage called "tinta nueva," the strength being reserved for the second and third years, when the product is known as "tinta retoño." When the crop is ripe, the process of manufacture is carried on daily without interruption until the whole of the crop is garnered. Just as the plant requires little attention and no skill, so the manufacture of the indigo calls for neither a very difficult nor any expensive process; all that it needs is that it be cut promptly and at the proper period, otherwise it becomes worthless. This means that the proprietors of the larger estates must have an ample and a reliable supply of labour at hand, which desideratum cannot be implicitly relied upon in the present condition of the market.

Next to indigo, coffee ranks second in importance in the country's agricultural products; the very finest berry is grown in the Republic. It may be found in practically all parts, wherever the land rises between 1,500 and 4,000 feet above sea-level. The choicest and most productive plantations are located in the Departments of Ahuachapán, La Libertad, San Salvador, San Vicente, Santa Ana and Sonsonate. The berry is also grown in Usulután, La Paz and Cuscatlán, many hundreds of thousands of additional trees having been planted throughout this part of the country during the past two or three years.

The coffee-tree is a tender shrub, and needs careful attending and protection from the sun from the time of planting, and even for a lengthy period after it has begun to produce crops. It required a great many years to convince the cautious inhabitants of Salvador that there was money to be made in growing coffee, and up till some fifty years ago little attention was paid to the industry, since few opportunities existed for disposing promptly of a whole crop. The stimulus which latter-day transportation offers was wanting, as was the world-wide demand for the coffee-berry which has

since been met with. Since the industry was first seriously entered upon, the resources of the State have been greatly augmented, and the welfare of a large labouring class has correspondingly increased.

I was informed upon one estate, or finca, that the trees in Salvador were sufficiently matured when three years old to produce a fair crop, and that this yield continued to increase until the seventh year, when it reached its maximum. It is calculated that the outlay for labour and expenses in producing coffee amounts to between 2½d. to 3d. per pound, while the retail price varies from 5d. to 1s. It may be taken, on an average, that one-half of the annual crop is consumed in the country, and that the remainder is exported. There is a general opinion prevalent among experts that Salvadorean coffee is superior in quality to that of Brazil, or even to the Blue Mountain (Jamaica) berry; while as to the pre-eminence of the aroma over both of these rivals there can be no question whatever.

Sugar-cane growing is an industry for which the genial climate and the bounteous soil of Salvador are admirably adapted, and the cane is cultivated to a greater or less extent in all of the fourteen different Departments. As I have pointed out in another part of this volume, when describing sugar machinery (see Chapter XII.), there is a great need of improved equipment, which, were it provided, would probably serve to double, and even in some cases to treble, the amount of this particular product. But even with the imperfect reduction work which is carried out upon nine-tenths of the fincas, sugar is produced to such an extent as not only to abundantly supply the home requirements, but to provide a considerable share of the country's exports. The greater part of the sugar used in the country is turned out in the shape of small blocks or cakes, weighing about 2 pounds each, and bearing the name of *panela*, similar to that produced in Brazil and Mexico. A large quantity of this stuff, which looks and tastes very much like toffee, while it also resembles the maple sugar of North America, is used in the manufacture of native rum. Conical-shaped loaves of compact white sugar, weighing from 25 to 40 pounds each, are also manufactured, but are mostly made for export.

In the "golden days" of California, the greater part of the rum which was consumed upon the gold-fields came from Sonsonate in Salvador, being

packed in 14 and 15 gallon casks and greybeards of from 3 to 6 gallons, suitable for easy transport to the Californian diggings.

For some years past Salvador has been gaining a reputation for the excellent quality of its tobacco, and there are several manufactories established in the Republic, which are doing remarkably well. One of the best known for cigars is that of Señora Josefa B. de Diaz, the amiable proprietress of the Hotel América, at Cojutepeque.

Half a century ago Salvador was exporting tobacco to Mexico, and had been doing a fair amount of trade with that country even in the time of the Spanish dominion. The tobacco production collectively in all the provinces of the Republic yield a net revenue to the Government of more than £500,000 annually; but the method of administering and collecting the taxes in former times helped as much as anything else to retard the industry. For instance, under the old régime a general system was subscribed, and scrupulously adhered to, which precluded people from raising tobacco, except when they should obtain a licence to do so from the authorities; and the growers, under one of the many irritating conditions attached to the official permission, were bound to deliver the entire crop, after it had been dried and prepared, into the Government factories at a stipulated rate per pound; it was then retailed to the community at a fixed price, and yielded the substantial revenue referred to. Later on each province passed its own laws for regulating this branch of the public income, and, inasmuch as these laws were neither uniform nor permanent, great confusion prevailed and much loss was incurred, while an immense amount of smuggling went on, as may well be believed.

The Government of Salvador of recent years has adopted quite different methods, and has done much to encourage the industry, such, for instance, as importing tobacco-seed and distributing it gratis among cultivators, with the idea of promoting the culture of the plant; while at the same time it has imported native cultivators from Cuba for the purpose of teaching the method of growing and working the tobacco as practised on that island. In spite of this free and valuable instruction, I am afraid that the methods of handling the tobacco in Salvador are often found to be decidedly primitive, the growers allowing the leaves to dry in the sun without detaching them from the stalks, the latter being cut a few inches above the ground. They are then piled in stacks from 6 to 9 feet in diameter and from 3 to 4 feet in

height, heavy weights being placed on the top, and the whole covered over with a thick layer of banana leaves. Fermentation then ensues, and by this action the colour and aroma of the leaves are brought out. Only by guesswork is it decided when the process is complete, and the tobacco is then taken from the stack, exposed for a short time to the air, whereafter the leaves are detached from the stalks, sorted, and tied into bundles, and then sent to market. It will be recognized that the choiceness of the tobacco and its excellent quality must be very high when they can withstand successfully such a crude treatment as this. How much more valuable might the plant's product become as a commodity, and how much higher would be the revenue yielded, were modern methods of treating the leaf to be introduced!

In some sections of Salvador tobacco-growers have resorted to an ingenious method of ridding the tobacco-leaves of destructive insects and worms that feed upon the tender young plants at certain periods of their development. A kind of turkey, known locally under the name of "chompipe," a bird which was brought originally from the West Indies, and is capable of being easily domesticated, is kept in flocks of considerable size in the vicinity of the tobacco-fields, and at certain hours of the day these are driven through the fields in order to rid the tobacco-plants of worms and insects.

These turkeys do their work so well that the smallest insect fails to escape them, and yet they pick them off with such care that the tender leaves remain free from injury. Without the use of these fowls, labourers must be employed to go through the fields at stated intervals to pick off the insects and worms from the leaves; and this method, aside from being tedious and unsatisfactory, often damages the leaves through rough handling, causing defective development and a reduction of their value as a marketable product.

I found, in my travels through the country, other classes of agriculture being pursued besides those which have been mentioned. For instance, india-rubber is a distinctly profitable branch, in spite of the primitive methods pursued in collecting it, and which are still, for the most part, in vogue. The Government has made many earnest efforts to improve conditions and to teach the people how to both cultivate and to collect the precious material, but it is not possible to congratulate those who pursue the

industry upon the amount of success attained. I have been shown the extensive forests of promising-looking rubber-trees growing in the provinces of La Paz, La Unión, San Miguel, and Usulután; but when I inquired into the methods followed by those who are employed in collecting the gum, I found the most wasteful system in force, and the work generally conducted in a desultory, indifferent manner, with the result that it hardly paid to follow the occupation at all. Under properly organized labour and systematically managed, rubber-growing ought to, and no doubt one day will, become a valuable feature of the country's industries.

Then, again, rice is cultivated, but not at all scientifically. Nevertheless some fairly good crops are annually gathered in, mostly of the upland variety, and grown upon the tablelands and hillsides. Very little rice, comparatively speaking, is exported, the greater part of that produced being consumed locally. Some of the neighbouring Republics take a small quantity of the grain from Salvador, but as a rule these States grow their own supplies, and need but little importation. It seems a great pity that, with land so eminently suitable for rice cultivation, so little—and that little of such poor quality—should be annually produced in Salvador.

Cacao is one of the leading products of this much-favoured country, and it can be found growing more luxuriantly in Salvador than in any of the Central American States. Very little attention is given, however, to the method of cultivation, in spite of the fact that cacao is one of the oldest agricultural specialties of this country. History shows that at one time Sonsonate and San Vicente were famous alike for the quantity and the excellence of the cacao grown there. Such plants as are cultivated now are utilized almost entirely in the country in the manufacture of chocolate, etc., and this product figures but insignificantly among the country's exports.

Beans—known here, as in all Latin-American countries, as frijoles—form a large proportion of the humbler people's daily diet. They are large, brown, and flat in appearance, very nourishing, and very palatable when properly cooked. They are grown all over the Republic, and seem to flourish even in poor-quality soil. Indian corn, or maize, wheat, potatoes, sweet-potatoes, yams, and other vegetables in great variety, flourish here, and one is reminded of a famous cultivator's exordium upon the merits of Jamaica: "You have," said he, "but to tickle the ground with a hoe, and it at once smiles a yam."

Except in Brazil, which probably stands unrivalled among the South American States as a precious-wood-yielding country, I know of no State possessing finer timber forests than Salvador. I have ridden mile upon mile through magnificent timber-tree lands—the cedar, the mahogany, the ebony, the granadilla, and many other valuable cabinet woods; but upon inquiry as to what is being done with all this precious material provided by a bountiful Nature, I was informed that it is rarely marketed, although it is cut occasionally for local building purposes. Many of the larger private houses and public buildings in San Salvador are constructed of native woods, and one is struck with the beauty of their grain and their extreme hardness, while they will mostly take on a high polish. In the lowlands there is an extremely large variety of dye woods to be met with; but here, again, the great forests are left almost untouched, many of them being as trackless as the day that they came into being. The only tree among these latter of which use is made is the mora, or fustic of commerce. The pine-forests are also just beginning to be exploited, and one or two successful lumber enterprises have been started. The Salvadorean forest pine is fully equal in durability, in quality, and in appearance, to the Southern States *ceiba* and other pine-woods.

The pride of place in the forestry of the Republic belongs to the beautiful and valuable balsam-tree—the *Myrospermum Salvatoriensis*—yielding what is known to the Materia Medica as "balsam of Peru." The Indian appellation for it is *hoitzilixitl*. Why is it called "balsam of Peru" if it is the "balsam of Salvador"? I am told, because the precious gum was exported as an article of commerce to Peru from Salvador in the early days of the Spanish Dominion, and thence found its way to Europe. As a matter of fact, it is to be found growing in no country of the world *but* Salvador, and there in only a few parts of it. "La Costa del Bálsamo" is to be seen marked upon any map of Central America, lying to the seaward of the great volcanic range of mountains; and here it is that the trees are met with, standing together in so close a mass that the daylight seldom enters, and sunlight never. The whole district is inhabited by Indians, who have come to regard the place as their own undisputed territory. They live entirely upon the product of the balsam-tree, hewing down huge planks of this and other woods, which they market to great advantage. The balsam is their main source of wealth, however; and although to-day the annual product falls short of what was realized, say, half a century ago, it still figures very

largely in the annual exports of the country. Strangely enough, the tree cannot be cultivated in any other part of Salvador, although the climatic conditions, the soil, and the physical characteristics, may be found suitable. Similar experiences are found in Jamaica, where the pimento-tree is to be met with in one particular locality only, and nowhere else, even careful planting proving quite useless to alter or improve upon the conditions which have been dictated by Nature.



**A STREET IN SONSONATE (CALLE DE MERCADO).**





TYPE OF "QUINTA" OR COUNTRY HOUSE IN SANTA  
TECLA (NEW SAN SALVADOR).

The Indian gatherers obtain the balsam from the tree by scraping the skin of the bark to the depth of one-tenth part of an inch, using for the purpose a sharp native knife, or *machete*. This scraping is done in small patches, extending to 12 or 15 inches square, the incisions being made both across and along the trunk and the largest branches of the tree. Immediately after the operation of scratching is completed, the portions scraped are heated with burning torches, which are made out of the dried branches of a tree known locally as *chimaliote*; and after burning the surfaces are covered over with pieces of old cotton cloth, under which they are left for a time. By punching the edges of the cloths pressed against the tree with the point of the *machete*, they are made to adhere. In this condition they are again left for a space of twenty-four hours, and even as long as forty-eight hours (especially in the month of January), when the rags are gathered and submitted to a strong and hot decoction in big iron pots. While still hot the rags are put under a great pressure in a primitive kind of machine, which is made by the Indians themselves, and composed of a combination of wooden levers and strong ropes, worked entirely by hand. The balsam juice then oozes out, and drips slowly into a receptacle, where it is allowed to cool. It is then in the stage known as "raw balsam." Afterwards it has to be refined, which means boiling it again and draining off all impurities, when it is packed in iron cans and sent away to market.

There is another method, which was explained to me, for extracting the balsam—namely, by entirely barking the trees and heavy branches, a process which, of course, kills the tree outright, or at least renders it valueless for a good many years. The bark is ground down to a coarse kind of powder; it is then boiled, the juice or gum floating to the top, and is thus collected. But this process, although speedy, really destroys the full value of the gum, which only realizes a low price when treated in this manner. The Government forbids this method to be adopted, as a matter of fact; but the Indians, on the "get rich quick" principle, practise it all the same. The balsam, as seen in the market, looks like a thick, fatty, viscid resin, of a deep brown or black colour, and emitting a delicious odour.

The analysis is—Cynamic acid, 46; resin, 32; benzylic alcohol, 20, per cent. Balsam is used in making perfumery and soaps, and as an unguent;

while for asthma and other pectoral complaints its odour is considered very beneficial.

The personal appearance of the Salvadorean peasant, as will be seen from the group shown in the photograph given, is unquestionably an agreeable one. The men are short in stature as a rule, but they possess regular and amiable features—those who are not of the pronounced negro type; while the women are also usually physically attractive, especially when young.

In regard to native costume, in the villages and smaller towns the men still wear the same attire as they have adopted for some hundred years past—namely, loose and baggy trousers of cotton spun and woven locally, mostly on the native hand-loom; a shapeless coat or loose jacket of the same material; and a large palm-leaf hat without any ribbon, binding, or other ornamentation. The women's ordinary attire consists of a dark blue cotton or cloth woven skirt, a loose cotton blouse with very short sleeves, and the native shawl worn gracefully over the head. To-day many affect the European style of costume, and almost generally they do so in the Capital and the larger towns.

The Indians are very domesticated, and are naturally of an affectionate and amiable disposition. It is quite a common occurrence to find several generations living together in one small but cleanly-kept hut, married and single members of the family occupying the same room, the oldest member—grandfather or great-grandfather—being much deferred to, and, as a rule, governing his extensive family with a firm but gentle hand. Parental authority is greatly respected in this country among the natives, and family life is often found very beautiful in some respects, offering, indeed, a marked contrast to what one finds existing in European countries, especially in England, among the working classes of the population.

The Indian inhabitants of Salvador are supposed to be lineal descendants of the Nahwals, whose other branch are found in Mexico and Guatemala. Certainly there is a strong connection both in their physical attributes and their ancient dialects. Naturally, the aboriginal population has been much modified by nearly four centuries of contact with the whites, and an almost equally long subjugation to the Spanish rule. Nevertheless there are some towns in the Republic which to-day retain their primitive customs, and in such, to all appearances, the aboriginal blood has undergone scarcely any, if

indeed the slightest, intermixture. In most places, however, the original language has fallen into disuse, or merely a few words, which have also been partially adopted by the whites, are retained. The original names of places have in some localities been preserved with the greatest tenacity, and afford a sure guide in defining the extent of territory over which the various aboriginal nations have been spread.

I have visited several of the towns situated in the neighbourhood of Sonsonate, where the inhabitants are almost exclusively Indians, and I was then told that the language which they habitually speak to one another is also aboriginal. So curiously attached are some of these people to their ancient speech and government that in the year of 1832 a number of the inhabitants of San Vicente arose in revolt against the new government which was then imposed, and attempted to restore their ancient dominion, at the same time threatening to kill all the whites as well as everyone showing a trace of European blood in their veins.

The new census of the country will have been taken on July 1, 1911 (too late for inclusion in this volume, which will have gone to press), in accordance with instructions of the President, the officers engaged being attached to the General Bureau of Statistics. Every effort has been made to render the returns in as accurate a form and as complete as possible. The present population, according to the statistics of 1910, showed that the number of inhabitants stood at 1,084,850, of whom some 200,000 were foreigners.

---

## CHAPTER XVIII

Departments—Capital cities—Population—Districts—Salvador Department—City of San Salvador—Situation—Surroundings—Destruction in 1854 by earthquake—Description of catastrophe—Loss of life actually small—Evacuation of city—Recuperative faculty of the people.

The Republic of Salvador is divided into 14 Departments, which are again subdivided into 31 districts, 27 cities, 51 towns, 164 villages, and 215 hamlets. The following table shows the names of such Departments, with their respective capital cities, their population, exclusive of foreigners, and the number of districts which they contain:

| Departments; | Capital Cities         | Population   | Number of Districts. |   |
|--------------|------------------------|--------------|----------------------|---|
|              | Capitals. Departments. |              |                      |   |
| San Salvador | San Salvador           | 32,000       | 65,000               | 3 |
| La Libertad  | New San Salvador       | 11,000       | 49,000               | 2 |
| Sonsonate    | Sonsonate              | 11,500       | 41,500               | 2 |
| Ahuachapán   | Ahuachapán             | 12,000       | 37,000               | 2 |
| Santa Ana    | Santa Ana              | 33,750       | 80,500               | 3 |
| Chalatenango | Chalatenango           | 6,000        | 54,000               | 2 |
| Cuscatlán    | Cojutepeque            | 8,000        | 62,000               | 2 |
| Cabañas      | Sensuntepeque          | 10,000       | 35,000               | 2 |
| San Vicente  | San Vicente            | 11,000       | 40,500               | 2 |
| La Paz       | Zacatecoluca           | 6,500        | 70,000               | 2 |
| Usulután     | Usulután               | 6,000        | 42,000               | 2 |
| San Miguel   | San Miguel             | 23,000       | 60,000               | 2 |
| Morozán      | Gotera                 | 3,100        | 35,100               | 3 |
| La Unión     | La Unión               | <u>3,700</u> | <u>35,700</u>        | 2 |
|              | <sup>[5]</sup> Total   | 177,550      | 707,300              | — |

### DEPARTMENT OF SAN SALVADOR.

*Cities.*—San Salvador, Tonacatepeque (2).

*Towns.*—Mejicanos, Apopa, Nejapa, Santo Tomas, Panchimalco (5).

This was one of the first of the original divisions into which the Republic was divided in the year 1821, at which period the separation from the neighbouring kingdom of Guatemala took place. San Salvador is bounded on the north by the Departments of Chalatenango and Cuscatlán, on the east by Cuscatlán and La Paz, on the south by La Libertad and La Paz, and on the west by La Libertad. A great variety of scenery is met with, and no portion of the country can be described as anything but beautiful and romantic. In the southern part is encountered the rugged and picturesque coastal range of mountains; the central portion is broken up into a number of small, fertile valleys of surprising scenic beauty and fertility; while the northern section is covered with hills, which, although always green, are destitute of large trees. The Department contains two volcanoes—San Salvador, or Quezaltepeque, as the Indians name it, and Ilopango, which is situated upon a lake bearing the same name. Surrounding the capital are an immense number of prosperous fincas, or agricultural estates, market-gardens, and great stretches of tobacco, coffee, sugar, rice, corn and bean plantations. The whole population are engaged in these industries, the amount of labour necessary being abundantly supplied, and to all appearances the people seem extremely prosperous and contented. I failed, indeed, to observe any signs of either poverty or disorderliness, while, on the contrary, nearly everyone encountered appeared merry, well fed, and decently dressed. There is little reason to suppose that these evidences were deceptive.

In spite of the fact that San Salvador has been visited by so many different volcanic eruptions, it has really suffered less from earthquakes or their effects than either Costa Rica or Guatemala, its immediate neighbours. There are still living in Salvador those who remember and speak of the great seismic catastrophe which befell the Capital City in the month of April, 1854, by which that place was almost completely ruined. Previous to this catastrophe, the city, in point of size and importance, had ranked third in Central America, Guatemala City, in the State of the same name, being first, and Leon, in Nicaragua, second. In regard to the first named, Guatemala City still remains the capital of its State; but Leon, although

ranking as the largest city in the Republic of Nicaragua, has had to yield to Managua the pride of place as capital and seat of Government.

The name of "San Salvador" was chosen by its pious but pitiless founder, Don Jorge de Alvarado, who conquered the territory for the Spanish Government after Columbus had located it, in commemoration of his final decisive victory over the Indians of Cuscatlán, which battle was gained on the eve of the festival of San Salvador. During the long dominion of Spain in South and Central America, the city was the seat of the Governor, or Intendente, of the province of San Salvador, who, again, was subservient to the Captain-General of Guatemala. After its independence San Salvador became the capital of the new State, and it was early distinguished for its thorough devotion to the principles of the Liberal party in Central America.

Even as far back as 1853, a notable writer of the day who was travelling in Salvador described the city as "a very beautiful town," and also spoke of the general intelligence, the industry, and the enterprise of its inhabitants, who, in his opinion, "surpassed in these respects the people of any of the other large towns in Central America." This visitor, as are all who sojourn for any length of time in San Salvador, became much impressed by the picturesque position of the city, which, as already indicated, lies in the midst of a broad but elevated plain, situated on the summit of a high tableland or coast range of mountains, which intervene between the valley of the River Lempa and the Pacific.

By barometrical admeasurement, San Salvador lies 2,115 feet above the sea. As a consequence, its climate is found pleasantly cool as compared with that of coast alluvians, although unfavourably modified in this respect by a low range of hills on the southern border of the plain, which shuts off the full benefit of the sea-breeze. Were it not for this obstacle, the winds blowing from the ocean, which is only twenty miles distant, would reach the city. As an indication of the kind of temperature one meets with, it may be said that in August the maximum of temperature rarely exceeds 80° Fahrenheit, the minimum 70°, and the mean average 76.3°, which, as will be generally recognized, constitutes a delightful climate.

The hills which surround the plain of San Salvador are covered with verdure, which keeps its colour and freshness owing to the heavy dews

which fall and the absence of dust, while a fair amount of rain can always be depended upon.

Not more than three miles to the westward of the Capital City, and watching over it like a gigantic sentinel, stands the magnificent volcano of San Salvador. In this respect one is reminded of some other Spanish-American cities, such as La Paz in Bolivia, with the superb Misti; and, again, of Mexico City, with its two ever-watchful volcanic guardians—Ixtaccihuatl, which stands 16,060 feet in height, and Popocatepetl, which towers to 17,782 feet in the air. The cone of San Salvador volcano, which rises on the northern border or edge of the crater, is, however, approximately but 8,000 feet in height.

Some fifty or sixty years ago San Salvador, judging from contemporary pictures, must have been even more charming in appearance than it is today; then its population, however, scarcely exceeded 25,000. With the exception of the central and paved part of the city, it was eminently sylvan, being literally embowered in masses of tropical fruit-trees. The red-roofed dwellings, closely shut in with evergreen hedges of cactus, shadowed over by palm and orange trees, with a dense background of broad-leaved plantains, almost sinking beneath their heavy clusters of rich golden fruit, must have presented a delightful scenic picture, at once romantic and peaceful.

From contemporary reports, it is pitiful to read that this exquisite scene was subsequently completely devastated in the brief space of ten seconds, for precisely that period elapsed between the beginning and the end of the awful earthquake of April 16, 1854. I have been shown pictures of the ill-fated city which were painted a year or two before the disaster, as well as one which showed San Salvador as it stood in 1839, the date of a previous similar disaster. The appearance in both cases was singularly attractive in regard to the character of the buildings and their scenic surroundings. In the freshness of their affliction the inhabitants determined never again to return to the city, but, as history has proved, they did so in exactly the same manner as the ever-faithful inhabitants of Mount Vesuvius have returned again and again to the scene of their numerous previous misfortunes. The people of Guatemala were somewhat wiser. Soon after 1773 they deserted their capital, which stood at the foot of the volcanoes Agua and Fuego (Water and Fire), and which was overwhelmed by a volcanic eruption, for

they then built themselves a new place of abode, which is the present handsome city and Capital of the Republic.

I have been afforded the following interesting account of the destruction of San Salvador, a description which was published in a small Government organ dated May 2, 1854, and which provides so graphic a description of what occurred that I make no apology for reproducing it in these pages.

The chronicler of that day says:

"The night of April 16, 1854, will ever be one of sad and bitter memory to the people of Salvador. On that unfortunate night our happy and beautiful capital was made a heap of ruins. Movements of the earth were felt on the morning of Holy Thursday, preceded by sounds like the rolling of heavy artillery over pavements, and like distant thunder. The people were a little alarmed in consequence of this phenomenon, but it did not prevent them from meeting in the churches to celebrate the solemnities of the day. On Saturday all was quiet, and confidence was restored. The people of the neighbourhood assembled as usual to celebrate the Passover. The night of Saturday was quiet, so also was the whole of Sunday. The heat, it is true, was considerable, but the atmosphere was calm and serene. For the first three hours of the evening there was nothing of unusual occurrence, but at half-past nine a severe shock of an earthquake, occurring without the usual preliminary noises, alarmed the whole city. Many families left their houses and made encampments in the public squares, while others prepared to pass the night in their respective courtyards.

"Finally, at ten minutes to eleven, without further premonition of any kind, the earth began to heave and tremble with such fearful force that in ten seconds the entire city was prostrated. The crashing of houses and churches stunned the ears of the terrified inhabitants, while a cloud of dust from the falling ruins enveloped them in a pall of impenetrable darkness. Not a drop of water could be got to relieve the half-choked and the suffocating, for the wells and fountains were filled up or made dry. The clock-tower of the cathedral carried a great part of that edifice with it in its fall. The towers of the church of San Francisco crashed down upon the episcopal oratory and part of the palace. The Church of Santo Domingo was buried beneath its towers,



and the College of the Assumption was entirely ruined. The new and beautiful edifice of the University was demolished. The Church of the Mercéd separated in the centre, and its walls fell outward to the ground. Of the private houses, a few were left standing, but all were rendered uninhabitable. It is worthy of remark that the walls left standing are old ones; all those of modern construction have fallen. The public edifices of the Government and the city shared in the common destruction.

"The devastation was effected, as we have said, in the first ten seconds; for although the succeeding shocks were tremendous, and accompanied by fearful rumblings beneath our feet, they had comparatively trifling results, for the reason that the first jar left but little for their ravages.

"Solemn and terrible was the picture presented, on the dark, funereal night, of a whole people clustering in the *plazas*, and, on their knees, crying with loud voices to Heaven for mercy, or in agonizing accents calling for their children and their friends, whom they believed to be buried beneath the ruins. A heaven opaque and ominous; a movement of the earth rapid and unequal, causing a terror indescribable; an intense sulphurous odour filling the atmosphere, and indicating an approaching eruption of the volcano; streets filled with ruins or overhung by threatening walls; a suffocating cloud of dust, almost rendering respiration impossible—such was the spectacle presented by the unhappy city on that memorable and awful night.

"A hundred boys were shut up in the college, many invalids crowded the hospitals, and the barracks were full of soldiers. The sense of the catastrophe which must have befallen them gave poignancy to the first moments of reflection after the earthquake was over. It was believed that at least a fourth part of the inhabitants had been buried beneath the ruins. The members of the Government hastened to ascertain as far as practicable the extent of the catastrophe, and to quiet the public mind. It was found that the loss of life had been much less than was supposed, and it now appears that the number of the killed will not exceed one hundred, and of wounded fifty. Among the latter is the Bishop, who received a severe blow on the head, the late President,

Señor Dueñas, a daughter of the President, and the wife of the Secretary of the Legislative Chambers, the latter severely.

"Fortunately, the earthquake has not been followed by rains, which gives an opportunity to disinter the public archives, as also many of the valuables contained in the dwellings of the citizens.

"The movements of the earth still continue with strong shocks, and the people, fearing a general swallowing up of the site of the city, or that it may be buried under some sudden eruption of the volcano, are hastening away, taking with them their household gods, the sweet memories of their infancy, and their domestic animals—perhaps the only property left for the support of their families—exclaiming with Virgil: '*Nos patriæ fines et dulcia linquimus arva.*'"

I have witnessed scenes in Valparaiso, in San Francisco, and in Kingston, Jamaica, almost precisely similar to these so graphically portrayed; but in all these cases the loss of life was considerably greater than occurred in San Salvador. To-day the capital of the Republic bears not a single trace of the disaster, nor yet of some subsequent visitations; for the recuperative faculties of these optimistic peoples are as astonishing as they are thorough and instantaneous in the manner in which they assert themselves.

---

## CHAPTER XIX

City of San Salvador—San Salvador as place of residence—Theatres—Parks—Streets—Hotels—Domestic servants—Hospitality of residents—Societies and associations—Educational establishments—Government buildings—Religion and churches—Casino—Hospitals and institutions—Disastrous conflagrations—Public monuments.

There are few more pleasant cities as a place of residence for all the year round than San Salvador. The climate is very agreeable, while the situation of the city, scenically speaking, is exceptionally beautiful, being located as it is 2,115 feet above the level of the sea in the valley of Cuscatlán, or, as it is called in the vernacular, "Valle de las Hamacas" (the Vale of the Hammocks). This district has been so named, I understand, because it lies directly in the line of the severest earthquake action, and has many times in the past been "rocked and swung" by the waves of movement, and which have been rendered unusually destructive by the reflex action of the high hills which half encircle the place.

San Salvador was founded, as already observed, by Don Jorge de Alvarado, brother of the famous Spanish conqueror, Don Pedro de Alvarado, on April 4, 1543, and from 1834 to 1839 it was the capital of the new Republic, a dignity which was in later years transferred to the city of San Vicente; while Cojutepeque upon three separate occasions, as pointed out more fully elsewhere, was also used as the Federal Capital. In the year 1840, however, San Salvador became the designated metropolis, and has since remained so. Here are located all the Government Departments, as well as the Supreme Civil and Military Courts, in addition to the headquarters of the Ecclesiastical Government.

In the year 1854, the city having been ruined, as we have seen, the Government as a consequence ordered the founding of Nuéva San Salvador, or Santa Tecla, which lies some eight miles to the south-west, and about 800 feet higher, as a city of refuge. To this place many families transferred their homes, and it is now a very prosperous place, with a population exceeding 11,000 inhabitants. Many good people of San Salvador, however, were not so much discouraged by their misfortune after all, and they very pluckily rebuilt the city, only, however, to again see it laid low by the even

greater catastrophe of March 19, 1873. Gradually, and for the third time, this city rose from its ruins, and there are to-day no traces in its streets of any of the various disasters which have visited it.

San Salvador is altogether a well-constructed and even a handsome city, with several notable public buildings which would grace any European capital. Among these are the Casa Blanca, the Artillery Barracks, the National Institute, the University, the Theatre, the Market, the Orphans' Home, the Polytechnic School, the Normal School, the new Cathedral, and a large number of other handsome churches.

The Government have constructed a handsome official building in the city of San Salvador, to provide thoroughly up-to-date and modern quarters for the various Government Departments, in addition to which it adds considerable beauty to the Capital City. This edifice is built in the Continental style of architecture, and has been occupied for some two years past.

There are also many attractive private residences, consisting of one or two stories, with handsome interiors and beautiful gardens. The usual style of building adopted is the *adobe* house, with tiled roof; and what lends particular attraction to the appearance of the city is the variety of the architecture adopted for both private and public buildings; additionally, a large number of *plazas*, parks, and open spaces, prevent anything approaching an appearance of monotony. The whole city is extremely well lighted by electricity, the roads are well paved and as well maintained, while the drainage is excellent. The material of which the sidewalks are built consists mostly of large slabs of the basaltic rock, which is freely and cheaply quarried from the famous Guarumál Cañon.

This elegance and good taste are displayed almost generally in the city of Salvador regarding the arrangement of the public parks and gardens, as well as in connection with the private residences of the well-to-do inhabitants. The beautiful Parque Bolívar, which was completed and opened to the public in January, 1881, and the no less attractive Parque Barrios, which was inaugurated in the same month of 1901, and for a second time in 1909, are cases in point.



**PUBLIC PARK IN SAN SALVADOR, WHERE THRONGS OF  
WELL-DRESSED PEOPLE ASSEMBLE IN THE EVENING TO  
LISTEN TO AN EXCELLENT MILITARY BAND.**

The Parque Dueñas is centrally situated, and is a favourite rendezvous with all classes. In the Parque Morazán is to be seen the handsome monument erected in 1882 to the hero of the same name. The attractive thoroughfare known as Avenida de la Independencia was inaugurated in December, 1901, and the Central Markets in October, 1887. The new Cathedral, commenced in June, 1881, was completed and solemnly consecrated seven years later—namely, in June of 1888. It is a fine edifice, and contains some handsome ecclesiastical plate and beautiful mural decorations.

The Cathedral is altogether a fine specimen of Latin-American ecclesiastical architecture, but is distinguished from many others of the same period by the feature of pointed arches, instead of the usual square or rounded arches usually prevailing in this class of buildings. It is dedicated to the patron saint of Salvador.

The prevailing religion in the Republic, as a natural consequence of the long ascendancy of the Spanish domination, is Roman Catholic. Previous to the Liberal revolution of 1871 no other kind of religion was tolerated. Since then, and to-day, the greatest freedom and toleration prevail in all religious matters; while so far has the hand of reform stretched that the cemeteries

are freed from the control of the clergy; civil marriages are legalized without the addition of any religious ceremony; education is non-clerical, and all monastic institutions have been abolished. All these changes are embodied in the Constitution promulgated on August 13, 1886, and under which the country is governed to-day. Nevertheless, the Church is greatly respected by the people, and the attendances at Mass are invariably large and representative. The bishopric of San Salvador was created in 1842.

A very handsome thoroughfare is Santa Tecla Avenue, a broad and beautifully laid-out thoroughfare, linking up this favourite residential place with the City of Santa Tecla, locally known as the "City of Flowers." Already one of the most favourite suburbs, it is growing rapidly in favour as a residential quarter with the people of San Salvador, being situated from it only a few miles distant.

The tramway system is as yet only at the commencement of its development, and electricity has yet to play an important part in its equipment. There are two companies running regular services of cars, one being the Concepción and Western Tramway Company, which sends out its cars at intervals of ten minutes during the busiest parts of the day, and conducts a service till fairly late at night. Usually, however, the last cars have gone back to the garage before theatre-goers have left their places of entertainment. Fortunately, the fares demanded by the local Jehus are reasonable, and it is therefore an easy matter for belated passengers to reach home.

The new theatre, which will soon adorn the city in place of that which was burned down last year, should form a handsome addition to the architecture of San Salvador. The Municipality very wisely invited competition for erecting and designing the building, which is to have a seating capacity of some 1,200. The structure is to be equipped with the latest improvements and appliances, and will be made as fireproof and as earthquake-proof as modern science can effect. The cost will be between 800,000 and 1,200,000 francs, or, say, £32,000 and £48,000. All construction materials are to be imported free of duty, which should lessen the cost immensely. Two prizes were offered, of 800 francs (£32) and 400 francs (£16) respectively, for the best plans, and when the last day for sending these, in—namely, March 15, 1911—had passed, the judges had several handsome designs to choose from.

In the month of March last the number of competitive plans which were sent in to the Department of Fomento for the new National Theatre in the capital amounted to thirteen, of which three came from Paris, one from New Orleans, one from Canada, four from San Salvador, one from Monaco, one from Italy, and others from New York. The whole of the designs were exhibited in a public gallery.

While one may admit freely that the hotels in Salvador are conducted for the most part upon infinitely better lines than are those in the neighbouring Republic of Guatemala—which, indeed, may be pronounced, without undue harshness, as possessing about the worst in Central America—the Salvadorean hostelries are not as yet absolutely perfect. In this regard, however, it is only fair to remember the extreme difficulties which the proprietors are called upon to face. The servant problem is, perhaps, the hardest of all, and there is hardly one, among the many hotel managers of various nationalities with whom I discussed matters, but who confessed to me that he was weary to death of his efforts to conduct his business with the aid of native domestics. I have myself upon different occasions been witness to the curiously perverse nature of some of these servants; when, like others, I have been travelling through or resident in the interior of the country, I have likewise observed their spirit of robust independence.

Where the cost of living is so low, and the question of supply and demand in regard to domestic service is so overwhelmingly in favour of the latter, anything like efficient service is practically impossible to find. The domestic servants in Salvador are recruited almost entirely from among the Indians; and while these latter are by no means lacking in intelligence, and can by kind treatment be won to some degree of fidelity, they are naturally slow, and even indolent, while an extreme sensitiveness and spirit of resentment at once asserts itself should blame or abuse be offered by the employer. Under such circumstances, or even for less provocation, the domestic will forthwith take leave, and even forfeit the few shillings in wages that may be due. Usually, however, the wages question is in favour of the servant, since payment has probably been anticipated, and the domestic is the debtor, and not the creditor, of the master. This hold, therefore, is a somewhat feeble one to depend upon, and in nine cases out of ten fails to apply.

There are a number of European and native families who possess the traditional "treasure" in the person of an old and faithful retainer; but not infrequently the history of such "treasure," when probed, shows that the employer is over-indulgent, being fearful of losing the much-prized services of the domestic in question, permits all kinds of privileges, and submits to all sorts of exactions, in order to preserve peace in the household. Perhaps it may be good policy to do so; but I have witnessed instances of downright tyranny upon the part of some native servants—not by any means confined to Salvador—which, in my opinion at least, could never have been warranted, and never should have been condoned, no matter how valuable the services rendered may have been. The absolute helplessness of the lady of the house may be accepted as some excuse, but peace may be purchased at too high a price, and in the instances which I have in mind I fancy such was the case. But, then, I was not personally concerned in the results, and therefore my judgment may be at fault, and even regarded as valueless.

Salvador seems to be a particularly favourite visiting-place with itinerant theatrical companies. All the year round, practically, a theatrical troupe of some kind may be found touring the country, which is usually included, with Guatemala, Panama, and Costa Rica, in the "Central American" road programme. As a general rule, however, the companies are of a somewhat indifferent quality—poor Italians and Spaniards, whose precarious existence often excites commiseration from even the hard-hearted. It is pitiable to see them upon occasions moving from State to State and from town to town—lean, hungry, dirty, and depressed in spirits, as they well may be; women and children, many of the latter being born on the road, having to undergo very great physical privations and serious personal inconveniences. The men, probably more habituated to the roughness of life, mostly accept their hard lot with philosophy and resignation; but it is cruelly severe upon the women and little children. The public of Salvador are somewhat capricious in their support of the different theatrical companies, and at times the playhouses are practically empty, and even the cheaper portions deserted.

It was in the month of January, 1910, that the City of San Salvador lost its handsome Teatro Nacional through fire—a disaster which was caused, it being charged, by incendiarism, although this has never been proved. There is at present but one other place of entertainment—El Teatro Moderno,



belonging to the same proprietary, and which is but a large-sized barn, capable of accommodating at the most some 200 people. It was used originally for cinematograph exhibitions, which, by-the-by, with all Latin-Americans would seem to be a very popular and profitable form of entertainment. The place is structurally fit for no other sort of performance, but is now perforce being utilized for dramatic and musical representations.

In few cities of its size will be found a larger number of Societies than San Salvador possesses, these associations being representative not only of various classes of organized labour, but of literature, music, art, religion, science, and even insurance. Among those which have their headquarters in the Capital are—"Sociedad Unión Nacional de Amigos," "Sociedad Estudiantil Minerva," "Sociedad Carlos F. Dárdano," "Sociedad de Medicina Emilio Alvarez," "Academia de Ciencias, Letras y Artes de El Salvador," "Sociedad Pedagógica Francisco Menéndez," "Sociedad de Artesanos La Concordia," "Sociedad de Obreros Gerardo Barrios," "Sociedad La Buena Prensa," "Sociedad de Artesanos del Salvador," "Sociedad Co-operativa El Ahorro," "Sociedad Nacional de Agricultura," "Logia Masónica."

The Provinces have also their respective associations, many possessing a long and influential subscription list; among the most prominent may be mentioned: "Sociedad de Obreros" and "Sociedad literaria José Cecilio del Valle," both having their headquarters in Santa Ana; "Sociedad de Obreros El Porvenir," in Santa Tecla; "Sociedad de Obreros Rafael Campo," at Sonsonate; "Club Unionista," at Ahuachapán; "Sociedad de Obreros" and "Logia Masónica," at Cojutepeque; "Sociedad de Obreros," at Sensuntepeque; and "Sociedad La Protección," at Zacatecoluca.

The principal educational establishments of the Republic are located in the Capital, and comprise the National University, of which Dr. Hermógenes Alvarado is the Deacon and Dr. Adrián García is the Secretary; the National Institute, of which Dr. Darío González is the Director; the National Library, of which Don Francisco Gavidia is the Director; and the Municipal Library, of which Dr. Don José Dols Corpeño is the Director. There are in addition the Astronomical and Meteorological Observatory, directed by Dr. Santiago I. Barberena, and the Museum and Botanical Gardens, both under the direction of Dr. David J. Guzmán.

Among the many excellent charitable institutions of which the Capital is possessed are the Orphans' Asylum, directed by Don Francisco Escobar; the Sara Asylum, directed by Dr. Alfonso Quiñónez; the Orphans' Hospital, which is under the same control as the Asylum of that name; and the well-known Hospital Rosales, which is controlled by a number of the most eminent medical men in the Republic. It is an admirably-managed institution, and has effected a great deal of sound charity since its inauguration some years ago.

A great amount of unobtrusive but sound charity and benevolence are practised in Salvador. The people as a whole are, perhaps, not very wealthy in the accepted sense of the word, and there are probably few great family fortunes to be found there; while I was never fortunate enough to come across a full-blown millionaire—at all events, considered in sterling money. On the other hand, there are many very well-to-do families, many handsome privately-owned properties, and several highly-prosperous businesses, especially among the coffee and sugar planters. No doubt in the halcyon days of the indigo industry Salvador could boast of many very opulent residents; but with the invention of the aniline dyes much of this indigo wealth passed away. The wide diffusion of charity and benevolence is, therefore, all the more noteworthy and all the more commendable.

Most of the charitable institutions are not alone the creation, but remain the special care, of the Government, and successive Presidents have very properly devoted both their personal attention and the country's funds to the maintenance of these institutions. The charge of these charities is in the hands of the Minister of Education, Public Works and Benevolence. I visited several of the hospitals during my stay in the country, and I was pleasurably impressed with their generally cheerful and always cleanly appearance.

The foremost institution of this kind is the magnificent building presented, with its entire equipment, to the nation by the late Don José Rosáles, a distinguished and very wealthy Salvadorean, who not only sustained the hospital during his lifetime, but bequeathed to its funds no less than \$4,000,000. The institution bears the name of its generous founder, and it is admirably conducted in every way. A large staff of competent physicians and a full body of male and female nurses are always maintained, and as a rule the hospital is very well patronized, the kindness

and the skill of the authorities having obtained a wide notoriety. The Rosáles is, however, but one of several similar institutions, the Government having of late years added similar necessary buildings to the towns of Santa Ana, Sonsonate, Ahuachapán, Santa Tecla, Zacatecoluca, San Vicente, San Miguel, Alegria, Chalatenango and La Unión. It is difficult to speak too highly of the thoroughly efficient manner in which most of these establishments are maintained; and among the many patients whom I saw, and with whom I conversed, I met with not one who had anything but praise and gratitude to express for the benefits which had been received.

As an evidence of the use to which these institutions are put, I am able to say that during the year of 1892 some 3,198 patients were treated, of whom 2,798 were discharged completely cured, 203 died, and the rest remained under treatment. The total amount expended in this year was a little over \$81,000. Including all of the hospitals established throughout the country, there are annually admitted and treated about 8,000 patients, of whom an average of 8 per cent. die. This cannot be considered a high rate of mortality, considering the climate and the many tropical diseases which have to be treated.

In the vicinity of San Salvador, upon a beautifully-situated and very healthful spot, has been established a tuberculosis Sanatorium. Here the open-air treatment is employed in conformity with the latest recognized therapeutic and hygienic methods for the alleviation and cure of consumption, which, as in Mexico, is unfortunately a common complaint. The expenses of this Sanatorium are met by appropriations by the Federal and Municipal authorities; by contributions from industrial companies, which are usually very open-handed in such matters; and by voluntary donations from benevolent people and institutions. A library is maintained for the use of the patients, and all possible measures are employed, to mitigate the sad condition of resident invalids. So far, I understand, the Sanatorium is free from debt, and it is so excellently managed an institution, and is productive of so much real good, that it is sincerely to be hoped that it may remain so.

How admirable have been the attempts made, and how successful the results achieved, to overcome the ravages of tuberculosis, are best shown by the following comparative statistics, which give the figures for Spanish-American towns:

| American Towns.          | Mortality per<br>10,000 Inhabitants. |
|--------------------------|--------------------------------------|
| Lima (Peru)              | 62·1                                 |
| Carácas (Venezuela)      | 60·0                                 |
| Rio de Janeiro (Brazil)  | 38·0                                 |
| Santiago (Chile)         | 38·0                                 |
| Havana (Cuba)            | 32·7                                 |
| Montevideo (Uruguay)     | 16·0                                 |
| Buenos Aires (Argentina) | 14·2                                 |
| Mexico City (Mexico)     | 14·0                                 |
| San Salvador (Salvador)  | 13·7                                 |

That Salvador should have the smallest number of deaths among all these Republics is a triumph for the medical faculty and for the Government, which have conjointly done so much towards the improvement of conditions.

Many of the sanitary and clinical institutions in the Republic have medical schools or classes attached, and such are naturally much better equipped with special departments for the eye, ear, nose, throat and skin diseases. Fever hospitals are carefully segregated, and are most carefully controlled, with the idea of avoiding any epidemic breaking out. Many of the attendant physicians have studied in Europe and the United States.



### **NEW NATIONAL PALACE AT SAN SALVADOR.**



### **THEATRE AT SANTA ANA, DEPARTMENT OF SANTA ANA.**

The Superior Council of Health, of which Don Tomás G. Palomo is President, has rendered important services during the last two years. The Government is continually encouraging authorities to persevere with their sanitary measures and to compel the public to follow the instructions periodically issued by the Superior Council, and to fulfil the rules laid down by the Code of Laws relating to health. In his report for the year 1907, the President of the Council has said: "In proportion as the sphere of action of the Council widens, so has its beneficial influence been remarked, especially in some places of the Republic, where formerly only the most rudimentary laws of hygiene were known. Already a large majority of the municipal authorities are showing some aptitude in ameliorating the sanitary conditions of their respective localities, and if things continue thus we shall soon arrive at the complete banishment of endemic maladies from certain districts of the Republic."

In Salvador a pernicious kind of malaria is the predominating disease, and shows itself in different phases and manifestations. The Council has recommended several measures to minimize its effects; but the result achieved does not altogether correspond to the efforts of the authorities, because, besides the heavy expenses of the sanitation works in many parts

of the country, the majority of the people are opposed to all hygienic measures, and through poverty are condemned to live in small dwellings, which are badly ventilated and damp, and consequently unhealthy.

In the Capital, at the beginning of the year 1907, and at the time of the mobilization of the Army, several cases of cerebro-spinal meningitis presented themselves. Those soldiers who were afflicted were isolated during the march, first in a ward of the Rosalés Hospital, and afterwards in the Military Sanatorium. This measure and others that the Council promptly ordered prevented any development of the epidemic. In the same manner four cases of diphtheria presented themselves, and altogether, through different diseases, 1,598 deaths took place in San Salvador in that year. In the same period it recorded 2,147 births, giving as a net result an increase in population of 549 inhabitants.

Cerebro-spinal meningitis also showed itself in Santa Ana and at San Pedro Nonualco, but the malady did not assume the character of a real epidemic. During the year 1908 a few cases of meningitis of a marked epidemic character were observed, but the efforts of the Council secured the mastery over the disease. Unfortunately, at the end of the year 1909 smallpox broke out in the west of the Republic, principally in the Department of Santa Ana.

The Council of Health immediately sent out the Director-General of Vaccination to the above-named Department with the necessary means to combat the smallpox. The disease spread, however, and continued to show itself in different parts of the country, so that the Council was obliged to arrange for the establishment of *lazarettos* in Santa Ana, Candelaria, and Santiago de la Frontera, and also to nominate various travelling vaccinators for each of the Departments, at the same time insisting upon sanitary cordons, and, in fact, taking all the measures that the imminent peril demanded. There have been places quite immune, and in the Capital not more than five cases appeared, all of which were immediately isolated.

The Supreme Council of the Red Cross has upon all occasions collaborated in this campaign against disease, effective measures being undertaken by the authorities against the terrible malady, and greatly facilitating the furnishing of the necessary funds.

The General Direction of Vaccination has its seat in the Capital, and is directed by Dr. Rodolfo B. González. In connection with the Rosáles Hospital an Institution of Vaccination has been established, which is under the direction of Dr. Gustavo Barón. In normal times as many as a thousand tubes of vaccine are prepared monthly. The Institute of Vaccination in San Salvador, I may mention, is the first that has been established in Central America.

The Council, notwithstanding the fact that it receives a large quantity of calf lymph, imports every fortnight further supplies of lymph from France and Switzerland, as a provision against the home supply becoming exhausted through any unforeseen circumstance. In the year 1907 there were vaccinated in the Capital alone 1,597 men and 973 women, while in the Departments there were 4,667 men and 4,295 women, or a total of 11,532 vaccinated in this one year.

If to these numbers are added 1,000 vaccinated by the Travelling Vaccinator of the Department of La Libertad, a total of 12,532 was reached—a figure which will be increased to at least 18,000 if is taken into account the fact that in many of the outlying districts the number of inoculations which were made by special vaccinators have not been accounted for.

In the year 1908 the number of cases was doubled, so it appears that in all the Republic more than 40,000 persons were vaccinated in one year. In the first months of 1910, in which vaccination was enforced with some severity, even in the most remote hamlets, the majority of the inhabitants were vaccinated and revaccinated. In the ports, into which epidemic diseases are more easily introduced by foreign vessels arriving from different infected ports, the Council has under its control several competent medical officers, who examine with the most scrupulous exactness all the steamers, and even the small boats, which arrive. By this means, up till now the much-dreaded yellow fever and bubonic plague, which have attacked many ports of South America, have not reached Salvador.

Apart from the Hospitals, there are several Asylums for the Insane, the Blind and Orphans of both sexes. The inmates receive a thoroughly sound normal or primary education, being taught also carpentry, shoemaking, needlework, and many other useful occupations and trades. Those who desire to study music or electric telegraphy as a profession are permitted,

and even encouraged, to do so. These institutions in some cases are under the management of Sisters of Charity, and very well they seem to carry out their merciful duties. The Government supports also an Asylum for the Aged Poor, and a similar institution for orphans, in addition to those which already exist.

One of the most prominent members of the Salvadorean medical profession is Dr. Federico Yúdice, who enjoys an unusually large surgical practice. Dr. Yúdice has studied in Germany, and holds the highest diplomas of the German Faculty of Medicine, as well as in the United States, from which country he also received the most coveted diplomas in the profession. His consulting-rooms are frequently well filled, and his surgery and operating-room are replete with the latest improved surgical apparatus and equipment—in some cases more replete in the possession of such scientific inventions than some of the hospitals of Europe. Although quite a young man, Dr. Yúdice is considered one of the leading physicians of San Salvador, and undoubtedly he has an exceptionally brilliant career before him.

Due to the initiative of Dr. Manuel Enrique Araujo, the President, an important and representative Congress of Medical Scientists will assemble in San Salvador in November of this year. Dr. Tomás G. Palomo will be the President of the Congress, Dr. Benjamin Orozco the Vice-President. Among others who will take part in the deliberations are—Dr. José Llerena, Jerónimo Puente, J. Max Olano, Estanislao Van Severen, Enrique Gonzalez S., an eminent surgeon-dentist, and Gustavo S. Barón, who will act as treasurer. Dr. Pedro A. Villacorta, Dr. Miguel Peralta L., and Dr. Rafael V. Castro, will act as joint secretaries.

The ready hospitality which is extended to the stranger sojourning for no matter how short a while in Salvador renders existence there exceptionally agreeable. While, like most Latin-Americans, far from being effusive or indiscriminate in either their friendship or their offers of social entertainment, the Salvadoreans are always pleased to show courtesy and hospitality to those who are recommended or presented to them, and to these fortunate individuals nothing is denied in the way of attention and consideration. San Salvador is especially kind to its foreign visitors, and to all who bear introductions, or who make friends upon their own account, the doors of the Casino Salvadoreño are readily open, this being a club



which is well provided with most of the current literature, some of which is in English, and possesses many pleasant reading and writing rooms, as well as the usual complement of French billiard-tables. It is an orderly and well-managed establishment, and most of the better-class Salvadoreans belong to it. A good, although small, library is attached, and this contains some valuable collections of statistical volumes and several works of reference.

San Salvador has been peculiarly unfortunate in regard to the number of serious conflagrations which have at various times afflicted that city, and within the last ten or eleven years no fewer than five such disasters have overtaken it. In the month of November, 1889, the Palacio Nacional was completely destroyed by fire, and, unfortunately, many valuable archives, dating back into the early times of the Spaniards, when Salvador was still a colony, as well as a large number of documents relating to the Federation, were lost. In 1900 a second fire destroyed a large area in the city, wherein were situated many of the principal mercantile houses. In September, 1901, a third visitation of this kind destroyed the handsome building of La Mansión de la Presidencia, as well as the barracks of La Guardia de Honor. In 1903 fire destroyed the entire building of the Casino Salvadoreño; and in March, 1908, the handsome Zapote Barracks were seriously burned; while, as recorded elsewhere, in 1910 the Teatro Nacional, and nearly the whole block of buildings of which it formed part, was entirely gutted.



**CATHEDRAL OF SONSONATE, DEPARTMENT OF SONSONATE.**

Like most of the Latin-American cities, San Salvador contains many very handsome and appropriate monuments erected to the memory of its brave sons and distinguished citizens. Among these are the tasteful statues dedicated to the memory of Dr. Emilio Alvarez, a Colombian physician who rendered eminent services to his adopted country; another forms a tribute to General Gerardo Barrios, one of Salvador's greatest soldiers and patriots, and a third, a very fine work, is an equestrian statue of General Morazán, in the park which bears his name. The monument of General Barrios is also an equestrian statue, the General being shown seated upon a magnificent granite column of heroic proportions.

---

## CHAPTER XX

Department of Chalatenango—Rich agricultural territories—Annual fair—Generally prosperous conditions—Department of Cuscatlán—City of Cojutepeque—Industries—Cigar factories—Volcanoes—Lake of Cojutepeque—Department of Cabañas—Scenic features—Feast of Santa Barbara—Department of San Vicente—Public buildings and roads.

### DEPARTMENT OF CHALATENANGO.

*City.*—Chalatenango (1).

*Towns.*—Tejutla, San Ignacio, San Francisco, Morazán, San Rafael, and Citalá (6).

Fully two-thirds of this portion of the country consist of mountain ranges, with long timber-covered spurs, very beautiful to the eye, running from their bases in every direction. The Department is bounded on the north by the Republic of Honduras; on the east by the same Republic and the Department of Cabañas; on the south by the Departments of Cabañas, Cuscatlán, San Salvador, and La Libertad; and on the west by Santa Ana. The rich agricultural valley of the Lempa runs partly through this section, and many of the tributaries of that river water its ground. Immense tracts of agricultural territory are seen, upon which are grown successive crops of indigo, corn, rice, wheat, and beans. The several lofty chimneys which are observed to be dotting the country for miles around point to the active manufacturing that goes on. These establishments comprise distilleries, potteries, candle, cheese, and turpentine factories; while a large commerce is also done by treating a kind of wax obtained from boiling the fruit of a certain shrub which grows wild in this country and in great abundance. Here, as in most of the parts of Salvador, general prosperity prevails; one encounters hardly any very poor persons, either in the streets or begging upon the roadsides.

The chief city of this Department bears the same name, and it lies to the south-east of the lofty mountains of La Peña and on the rivers Tamulasca and Colco. The elevation above sea-level is about 1,660 feet, while the

distance from the Capital is a little over forty-five miles north-east. I should say that Chalatenango is about the oldest native town in Salvador, and only in 1791 did foreigners and white natives commence to frequent it to any extent—these, it would seem, being sent there by the then Spanish Governor as a sort of punishment or exile. It would certainly be no punishment to abide there nowadays for a short while, since the surrounding country is remarkably beautiful, the people are very friendly and hospitable, and living there is absurdly cheap, judged from European standards. The population scarcely exceeds 6,000, and the whole of the Department probably boasts of no more than 54,000 or 55,000 inhabitants.

It is at Chalatenango that is held annually on June 24, St. John the Baptist's Day, the most important and most popular Fair of the year. Upon this occasion the true native life of Salvadoreans, the quaint and picturesque costumes, and many articles of barter which never see the light at any other time, may be met with. Anyone travelling in Salvador at this period may be recommended to visit Chalatenango, if only to witness this annual gathering, which is attended by people of every class from all parts of the Republic. A more orderly or a happier crowd it would be difficult to meet with, and, what is more to the point, they form a particularly clean-looking crowd. The fact is that St. John the Baptist's Day is the one day upon which every devout Catholic makes a point of having a bath—if at no other period of the year—and this may possibly have something to do with it. If it were of Mexico that I was writing instead of Salvador, I should say that this circumstance might possibly have *everything* to do with it.

### **DEPARTMENT OF CUSCATLÁN.**

*Cities.*—Cojutepeque, Suchitoto (2).

*Towns.*—San Pedro Perulapán, Tenancingo, San Rafael, and Guyabal (4).

At one time this Department was the largest, or one of the largest, in Salvador; but successive rearrangements of the area of the Department for political purposes have robbed it of much of its original territory. It was established as a separate entity in May, 1855, before which it was made up of a great deal of land which now belongs to Chalatenango. Again, in 1875 it was forced to contribute a portion of its diminished possessions in order to form the new Department of Cabañas. However, Cuscatlán did not part

with either of its two pet volcanoes—Cojutepeque and Guazapa—nor was it ever asked to do so.

Bordering this section are the Departments of Cabañas and Chalatenango on the north, Cabañas and San Vicente on the east, San Vicente and La Paz on the south, and San Salvador on the west. Most of its territory is richly productive, agriculture being carried on by practically the whole population in some form or other, and fine crops of coffee, sugar, indigo, rice, tobacco, cereals, and such products as starch and cheese, come out of Cuscatlán, and find their diverse ways about the country. A great gathering is held annually in the chief city, Cojutepeque, on St. John's Day (*not* the Baptist), August 29, while the other city, Suchitoto, has its own particular gala-day on the Feast of the Conception, December 8, a good deal of friendly rivalry existing between the merchants and traders of each town. Buyers and manufacturers come to these meetings from all over the Republic, and very extensive are the transactions carried out in cattle, cheese, indigo, native products, and many kinds of foreign merchandise.

Cojutepeque, which is connected by road to Ilobasco and Sensuntepeque, is an extremely romantic-looking, and as picturesquely-situated, city, with a population of between 8,000 and 9,000 inhabitants. It lies upon the northern slope of the volcano of the same name, not very far from the summit. Although the situation is from a climatic point of view very agreeable, it somewhat interferes with the success of the water-supply to the town. The surrounding country is agricultural, and the markets bear sufficient testimony to the great variety and high-class character of the produce which is raised. Cigar-making is one of the most important trades carried on in the town, and the excellent quality and the delightful aroma of Cojutepeque cigars are known and appreciated all through Central America. One of the factories which I visited was managed and owned entirely by a lady and her family, all of good birth and sound education. Their factory was a model of cleanliness and orderliness, and many of the employés had been with the proprietors for a great number of years.

An exceedingly comfortable and well-maintained hotel at Cojutepeque is that known as La América, kept by Señor Diaz, and whereat the guests are made to feel completely "at home." Señor Diaz is one of the good old-fashioned "Boniface" type of landlord, for, in conjunction with his charming wife and daughter and his young son, Cayetano, he personally

looks after each individual who patronizes his establishment, consulting each taste and idiosyncrasy, and carefully pandering thereto. The rooms in the Hotel América are exceptionally large and airy, while all meals are served to the guests in a delightful open *patio*, completely surrounded by masses of tropical bloom—great clustering rose-bushes, clematis, and honeysuckle, towering palms and sweet-scented orange-blossom—a veritable fairyland of colour and perfume.

The town is not only well built, but is conveniently arranged in spite of the decided irregularity of the streets, caused by the slope of the volcano upon which they are built. On three different occasions Cojutepeque has been made the Capital of the Republic, and upon one occasion—viz., November 6, 1857—it was very seriously damaged by earthquake. The three active volcanoes of San Salvador, San Jacinto, and Cojutepeque, have all contributed in their time to alarming and damaging the city. The last-named volcano is 3,351 feet in height, and is located in latitude 13° 42' 22" N., and longitude 88° 56' 26" W.

Lake Cojutepeque ranks second in importance as to size and scenic beauty to Lake Ilopango; it lies north-east of the volcano of Santa Ana, and is of a roughly elliptical shape, about four miles long and three miles wide, the major axis having a direction about north-east and south-west. This lake has no visible outlet, and its waters, although somewhat impregnated with salts, can be used for drinking without any danger. To every outward appearance the lake gives the impression that it had once been the crater of the attendant volcano, lying as it does upon its northern slope. This is more apparent from a distant view of the entire mass of the Santa Ana volcano, such as can be obtained from the summit of the neighbouring volcano, San Salvador. The present peak of Santa Ana from this position seems to have been built up from the rim of the ancient crater, which is now occupied by the lake.

General Juan Amaya, Governor of the State of Cuscatlán, has worked very zealously, and with conspicuous success, to make it one of the most progressive of the various political Departments of the Republic. Under his direction, and with the active support of General Figueroa while President, new and handsome roadways have been made, pure water and free public baths have been introduced; the whole Department now presents the appearance of being under a highly intelligent and enterprising

Government. General Juan Amaya was elected last May (1911), under the authority of Article 68 of the Constitution, Third Designate to succeed to the Presidency in case of a vacancy occurring during the present term (*see* p. 38).

### DEPARTMENT OF CABAÑAS.

*Cities.*—Sensuntepeque, Ilobasco (2).

*Towns.*—Victoria, Dolores, San Isidro, Jutiapa, Tejutepeque (5).

This Department is principally of interest on account of the gold (*see* Chapter on Mining) which has been found, as well as the prosperous industry in indigo which is carried on there. It is bounded on the north and north-east by the Republic of Honduras, on the east by the Department of San Miguel, on the south by the Departments of San Vicente and Cuscatlán, and on the west by the last named only. The greater portion of the territory consists of mountains, which take the form of lofty ranges and chains, giving a wild and picturesque character to the country, and in parts even a somewhat forlorn appearance. Particularly desolate are the eastern and northern parts of the Department, which, however, can boast in other directions of many beautiful and fertile valleys, which produce in abundance such crops as indigo, rice, corn, and several other kinds of grain. In regard to manufactures, there are earthenware, lime, cheese, and other factories, as well as one or two distilleries. A very active commerce is carried on; and here, as elsewhere in the Republic, the greatest day out of the twelve months is the one kept for the annual Fair, whereat one meets a veritable "gathering of the clans," the number of Indians who attend, for instance, lending great interest to the meeting. The rendezvous is at Sensuntepeque, and the date selected is the day devoted to Santa Barbara—namely, December 4. The Saint, as may be remembered, was a Christian Martyr of the third century, and the patron of artillery. She was beheaded by her father, who is said to have been struck dead by lightning immediately after the act, which was but poetic justice. Why the misfortunes of this young lady, however, should particularly appeal to the good people of Sensuntepeque I could not find out. But she always has been and remains their patron Saint.

Sensuntepeque is joined up with Cojutepeque by a well-constructed cart-road, which likewise serves Ilobasco. Another equally good road runs from Sensuntepeque to Apastepeque, in the Department of San Vicente; and these thoroughfares are kept in a good state of maintenance, especially in preparation for the heavy rainy season, when otherwise they would become impassable, and internal communication would be practically at a standstill.

The city of Sensuntepeque is situated, as are so many other Salvadorean towns, on a mountain slope, in this case the location being on the southern declivity of the mountain Pelón, and at an elevation of some 2,310 feet above the level of the sea. It is located about fifty-seven miles distant north-east from the Capital. A decidedly picturesque little place it is, but one which contains, all the same, over 10,000 inhabitants, the majority of whom are concerned in the cultivation or treatment of indigo. The city has many handsome edifices—such, for instance, as the fine Town Hall, several Government school buildings, a prison (which, is a model institution of its kind), and several handsome churches. Additionally there are a very attractive *parque*, beautifully laid out with plants and green grass-plots; a capital public bathing-place; and a number of attractive private residences, solidly built, and faced with either stucco or tiles.

Very few foreigners seem to find their way to this place, which is to be regretted; for not alone would they be made to feel very welcome, the people being particularly friendly and hospitably inclined, but the climate has a most exhilarating effect, and for the greater portion of the year it is nothing less than delightful. Very little poverty seems to exist here, and, from what I heard and saw, it seems that practically every member of a family in Sensuntepeque is employed regularly and remuneratively in some kind of manner.

### **DEPARTMENT OF SAN VICENTE.**

It would be no exaggeration to describe this Department as scenically the most beautiful in the Republic of Salvador. It affords almost every style of scenery—high mountains, towering volcanoes, delightful valleys, and a perfectly astounding collection of hot springs, or *infiernillos*. The Department is bounded on the north by the Department of Cabañas, on the east by the Departments of San Miguel and Usulután, on the south by the



Pacific Ocean, and on the west by the Departments of La Paz and Cuscatlán. One of the highest mountains—needless to say it is a volcano—is situated here, and bears the name of the Saint who founded the Society of the Lazarists and the Sisterhood of Charity. This most imposing mountain has a double cone, which towers very gracefully above the numerous attendant hills. It was last known to erupt in 1643, but it looks capable of a repetition of the performance in all its grandeur at any time. In height it stands 7,131 feet, and its approximate position is given at 13° 35' 24" N. latitude, and 88° 50' 31" W. longitude.



**PUBLIC PARK AT COJUTEPEQUE, DEPARTMENT OF  
CUSCATLÁN.**



**BARRACKS AT COJUTEPEQUE, DEPARTMENT OF  
CUSCATLÁN.**

I first caught a glimpse of the majestic mountain while staying at Cojutepeque, but it was then a long way distant. There are two other volcanoes, Chichontepec and Siguatepeque—the former the highest mountain in the Republic—but they are pronounced to be extinct. The summit of this monster is 8,661 feet above the level of the sea, and it is notable for the number of active geysers which exist on the northern slope, and which continually send out volumes of steam accompanied by terrifying but apparently harmless terrestrial rumblings, which can be distinctly heard as far away as three or four miles. But the mountain is quite unoffending, I understand, the said geysers proving the safety-valves for its occasional internal disturbances.

San Vicente was created a Department in 1836, and its territory embraces a portion of what formerly formed one of the "territorial divisions" of the country existing under Spanish rule, while the eastern portion was originally part of Cabañas. The amount of commerce which is carried on is considerable, and during the past few years has made decided strides in actual volume. Besides supplying a large amount of agricultural produce, such as indigo, coffee, sugar, tobacco, timber, cereals, and all kinds of

fruits, there are several manufactories which turn out silk shawls, shoes, hats, starch, salt, and cigars, as well as sundry distilleries.

The annual Fair is held here on All Saints' Day—namely, November 1—and the city is then very gay from morning to night. Upon this occasion the transactions carried out between the permanent residents and the visitors run into high figures, quantities of local produce and merchandise being bought and sold, the articles of trade consisting mainly of indigo, cheese, cattle, grain, and the retailing of certain foreign goods.

The principal city, San Vicente, is a very picturesque and romantic-looking town, one of the oldest, if not quite the most ancient, in this part of the country, dating as a city as far back as 1658, while it was founded as a town in 1634. To-day, however, the streets have been straightened-out and well paved, while a number of very pleasant suburbs, each with its gardens and avenues of trees, lend additional attractiveness as one approaches the place from the main-road. There are a number of excellent buildings already erected, and several others of altogether imposing dimensions and structural pretensions were going up when I visited the town.

It has long been the desire of the Government to unite San Vicente with San Salvador by railroad, and the line would run via San Miguel, the second city in the Republic, and La Unión, its finest seaport, thus securing also an all-rail route between Acajutla, the most important western port, and La Unión, on the extreme east of the Gulf of Fonseca. The survey was made many years ago, and the line has been proved to be a practicable one, although the work would no doubt be heavy and costly, since much grading, heavy protective masonry, and many bridges, would have to be undertaken. The distance would be about 67·9 kilometres (42·2 miles) between San Salvador and San Vicente by this line of railway, and the cost of the line has been estimated at not less than \$2,157,433 (say £431,486), or an average of \$51,124 (=£10,225) per mile. The maximum grade in this location would be 2·8 per cent., and the sharpest curves 41 degrees (radius 410·3 feet or 125·1 millimetres).

---

## CHAPTER XXI

Department of La Libertad—Physical characteristics—Balsam Coast—Santa Tecla—Department of Sonsonate—Life and hotels—Department of Ahuachapán—City of Ahuachapán—Public buildings and baths—Projected railway extension—Department of Santa Ana—Chief city—Generally prosperous conditions.

### DEPARTMENT OF LA LIBERTAD.

*Cities.*—Santa Tecla, Opico (2).

*Towns.*—La Libertad, Teotepeque, Quezaltepeque (3).

This Department, ranks second in importance to San Salvador, although its population is less than that of either the Departments, of Santa Ana, of Cuscatlán, or of San Miguel. It is joined by excellently-made cart-roads to both the Capital and to San Vicente. As far back as 1896, Mr. J. Imbrie Miller, an American engineer, formerly a member of the Intercontinental Railway Commission, was engaged in surveying a light line of railway from La Libertad to Santa Tecla. Some years later another American, Lieutenant Kennon, proceeded there to take observations for connecting the triangulation with the astronomical monument established there by the United States Hydrographic Office.

The boundaries of this Department are as follows: On the north, the Department of Chalatenango; on the east, San Salvador and La Paz; on the south, the Pacific Ocean; on the west, the Departments of Sonsonate and Santa Ana. The physical features of this part of the Republic are remarkable. The central portion of the Department is very mountainous, being crossed from east to west by the coastal range of mountains and the system of the volcano of Quezaltepeque. The surface of the ground is considerably broken up by a great number of well-defined spurs, which extend from the mountain range to the very borders of the ocean itself. To the west of the volcano is situated an immense basin known as Sapotitau. The northern portion is traversed by lofty ridges between which are found a number of beautifully fertile plains.

Fortunately for the good people of La Libertad, the giant volcano Quezaltepeque has long ceased to trouble them, and, indeed, it is said to be extinct; it is, however, never safe to speak too confidently upon this matter, since Nature has a rude manner of disillusioning us at times. This particular volcano, it may be said, has been quiescent so long that for many years it has been regarded as quite harmless. It stands nearly 7,400 feet high above sea-level, the upper part forming a cone occupied by a crater which is between seven and eight miles in circumference, and 1,100 feet deep; at the bottom lies a small lake.

It is in this Department that is located the famous Balsam Coast, and as I speak very fully elsewhere (see Chapter XVII.) of the valuable tree which grows there, with its usefulness to the country as a means of substantial revenue, it is unnecessary to do more than mention that the valleys where the trees are found are extremely fertile; and besides yielding the particular spice in question, they produce rich harvests of coffee, sugar, indigo, corn, rice, and timber. Here are to be found additionally several successful sugar refineries and distilleries, as well as some sawmills and many prosperous coffee estates with their rather antiquated machinery installations. In fact, the commerce of La Libertad is of prime importance, and is increasing in volume and value year by year.

The capital of the Department is Santa Tecla (New San Salvador), a town which is most agreeably situated at the foot of the volcano of San Salvador, where it nestles snugly, absolutely indifferent to the violent reputation of its gigantic guardian. The height above sea-level of this charming little place is 2,643 feet, and it is only ten miles distant from the Capital City. It really owes its existence to the misfortunes which overtook the former some half a century ago, and to-day it is one of the most favourite places of residence in the Republic. Wide and handsome streets and many fine residences are the principal features of Santa Tecla, which likewise boasts of a large and well-laid-out *parque*, several handsome drives, and its own pleasant little suburbs. Notable among its buildings are the Hospital, the Town Hall, the Government Offices, the Hospicio Guirola, built at his own expense by the late Don Angel Guirola, one of Salvador's most esteemed and wealthiest citizens, and two fine churches. The population amounts to between 11,000 and 11,500, and easy connection is made with San Salvador by regular trains, which have now taken the place of an old horse-railroad. The street

lighting in the town of Santa Tecla is carried out by private enterprise, and it is very well done. In the month of March, 1907, an agreement was entered into between the Government and La Compañía de Alumbrado Eléctrico, of San Salvador, for the installation in the city of Nueva San Salvador for the street lighting by thirty-seven arc lamps of 1,200 candle-power and ninety-three incandescent lamps of 16 candle-power. This agreement is for ten years, and so far it has afforded general satisfaction.

### **THE DEPARTMENT OF SONSONATE.**

*Cities.*—Sonsonate, Izalco (2).

*Towns.*—Nahuizalco, El Progreso, Armenia (3).

This Department gains importance from two circumstances: Firstly, it contains the principal port of the Republic—Acajutla—of which a full description will be found under Chapter XVI., "Ports and Harbours"; and, secondly, because its main city, bearing the same name, has already attained great commercial significance, and is rapidly rivalling the Capital itself in the volume of its trade. The boundaries of the Department are as follows: On the north, by the Department of Santa Ana; on the east, by La Libertad; on the south, by the Pacific Ocean; and on the west, by the Department of Ahuachapán. The northern portion of the ground surface is a mass of mountains, of many varied heights and shapes; on the coast, however, it is very level for a certain distance, from which point it rises gradually in a series of gentle slopes and rolling hills, until these lose themselves in the spurs of the surrounding mountain ranges. It is a truly enchanting country, as fair and as fertile as the eye could wish to dwell upon; and away from the seacoast, where it is marshy and damp, the climate is found to be delightful for the greater part of the year.

Here also some stretches of the famous Balsam Coast are to be met with, the trees being more numerous and even higher, than those in the La Libertad Department.

Acajutla must always serve to bring prosperity to Sonsonate, which, as a department, was created in 1855. Its principal agricultural productions comprise coffee, cocoanuts, sugar, cacao, balsam, tobacco, cereals of almost all kinds, fruits of endless variety, and an immense number of different

cabinet woods and fibres. There are a considerable number of factories erected in this same Department, employing many hundreds of hands, and turning out refined sugar, cigars, cotton, cloth, pottery, mats, baskets, distilled liqueurs, and salt. The principal city, Sonsonate, is situated some fifty miles from San Salvador, and stands picturesquely upon the banks of the River Sensunapán. Comparatively speaking, this is but a small stream; nevertheless, from a scenic point of view, it is decidedly worthy of mention. It is crossed by a handsome bridge, and its banks are often used as a pleasant promenade and bathing-place by the inhabitants of this agreeable town.

At Sonsonate, which, with Santa Ana, is one of the several towns in Salvador on the route of the itinerant theatrical companies, there is a small wooden-built room, which forms part of the Hotel Blanco y Negro, kept by a very courteous and obliging Spaniard, one Señor Arturo de Soto, who, with the profits derived from the cantina adjoining, finds in this undertaking the investment of his capital to be fairly profitable. The stage of the unambitious little playhouse is exactly 18 feet wide by 9 feet deep, so that the precise limit of the mounting of dramatic representations presented thereon may be fairly accurately gauged.

The climate of Sonsonate is decidedly warm for the greater part of the year, and not at all unpleasant in the dry season, except for the fearful wind-storms to which it is at times subjected. Upon these occasions the whole town is temporarily hidden in the clouds of gritty dust, which, moreover, penetrate every crack and crevice of the tightly-closed house shutters, cover the merchants' goods exposed for sale in the shops with a thick layer of dirt, and render life generally, for the time being, something of a burden. So strong is the wind that it whirls around in a sort of wild maelstrom every stray piece of paper, stick, or any loose rubbish which it can gather, and then deposits them impartially in the *patios* and upon the roofs of the houses, at the same time making complete havoc of gardens and parks.

The market at Sonsonate, an important weekly function, is held on Sundays. The building, completely roofed over, as are all similar constructions in Latin-America, is crowded to excess with sellers, the numbers of buyers, however, being considerably fewer. Every kind of article is exposed for sale, from stuffed and roasted monkeys to the cheapest kind of Manchester cotton goods and cheaper German imitations. The stalls

are separated into sections, and practically all of them are presided over by women. It cannot be said that the majority of the edibles look very tempting from a European point of view, being for the most part covered with grease or floating in a thick and sticky compound of fat of a bilious-yellow colour. To the local taste these articles of diet no doubt appeal strongly, since a brisk trade is carried on in them. Cheap and tawdry fancy goods, highly-coloured and cheaply-framed religious pictures, toys, flimsy dress material, tinselly embroideries, parrots, pencils, pastry, and other curiously diverse articles, are to be found displayed in immediate proximity to dried fish—emitting a powerful and pungent odour—live iguanas (a large species of edible lizard), squawking fowls, and repulsive-looking chunks of bleeding, freshly-killed beef. Altogether an active, if not exactly an attractive, market-place, and one which offers a continually shifting scene of life and colour, enduring from sunrise to sunset.

In regard to hotel accommodation, Sonsonate is decidedly better off than many towns outside the Capital. There are at least three houses from among which the traveller may make his choice.

The Grand Hotel is situated immediately facing the railway-station, and although far from attractive externally, it is quite comfortable and clean within. The rooms, if small, are fairly well-furnished; the dining-room is kept scrupulously clean, and the domestic service generally is prompt and willing. The baths which are found here are not at all bad, and are likewise kept very clean. A good business is carried on, apparently, by the proprietors, Messrs. Brando y Emeldi, since every train on the Salvador Railway stops at Sonsonate, whether proceeding north or south, or, more strictly speaking, east or west. Before its journey from the port of Acajutla to the capital of San Salvador, the train remains for one hour, and the down-train remains for two hours. Inasmuch as the hotel maintains quite a respectable cellar, and there is plenty of time for the passengers to test its contents, the proprietors find this part of the hotel business a remarkably profitable one.

The hotel in this town of second importance is El Blanco y Negro (Black and White). The situation is decidedly preferable to that of the Grand, being in a side but wide street, out of hearing range of the inevitable noise proceeding at the railway-station, but in other respects it is less attractive to the many.



## DEPARTMENT OF AHUACHAPÁN.

*Cities.*—Ahauchapán, Atiquizaya (2).

Being the immediate neighbour of the sister Republic of Guatemala, this Department was once destined to become the route for the railway which was to—and may yet—connect up the two States by an iron link. It is bounded on the north and the west by this Republic, and on the east by the Departments of Sonsonate and Santa Ana. Very rugged and very wild is the northern part of the country, but there are several level plains north of the coastal range of mountains which crosses the country from east to west. Here are also several active volcanoes; the number of hot springs and sulphur baths should one day draw considerable visitors, more especially since the waters, medicinally speaking, are said to rank among the most wonderfully curative in the world. If these springs and baths were located anywhere but in little-known Salvador, they would probably be thronged with patients from all over the globe, seeking their beneficent and speedy aid against the ravages of blood complaints, rheumatism, and skin diseases.



**MUNICIPAL PALACE AT SONSONATE, DEPARTMENT OF SONSONATE.**

As a Department, Ahuachapán was "created" in 1869, having formerly been considered as parts of the Departments of Santa Ana and Sonsonate. It possesses the unmatched Valley of Chalchuapa, which for extreme fertility and magnificent climate will compare with any similar country in Latin-America. Agriculture in all of its different aspects is carried on, and prosperity uninterrupted dwells in this small earthly paradise. Coffee, sugar, tobacco, cotton, cereals, fine fruits and vegetables, grow here practically without any attention; while an active commerce is carried on, through the port of Acajutla, with other ports of the Republic, to which it sends large consignments of cereals and sugar. It likewise imports woollen goods and mercury from Guatemala, and cattle and mules from Honduras. Altogether, a thriving trade and a valuable natural production are carried on during all the year in this prosperous Department.

Ahuachapán Town has always possessed, and must always retain, some value as a commercial centre, since it is the starting-place for the export of coffee to the coast, the route having formerly been over very precipitous and wretched trails, which, however, have latterly been much improved. One of the fords over the Rio Paz, known as Los Organos, on the trail from the aldea of Cofradías, in Guatemala, leads by a very beautiful route to the town of Ahuachapán. It has a population of between 11,000 and 12,000 inhabitants, the Department which bears the same name having a complement of some 37,000 people. There is a good cart-road leading to Sonsonate via Otaco and Apaneca, which are two mountain towns.

Being situated at an agreeable altitude above sea-level—2,620 feet, which is some 500 feet higher than Santa Ana—the town is more open to the winds, so that the air is generally fresh and cool, especially at nights. Ahuachapán overlooks the valleys of the Rivers Paz and Chalchuapa, while beyond them are seen the many peaks of the Guatemalian mountains, as well as the outstanding volcano of San Salvador. There are but few foreigners in this town, but the courtesy and friendliness of the people render a stay there more than usually pleasant. The people as a whole seemed to me to be very well-to-do, and evidences of refinement and solid comfort were to be met with upon all sides. This prosperity emanated, I was informed, from the many rich and productive fincas in the neighbourhood, which are engaged in growing coffee. The majority of these fincas seem to belong to quite small and humble proprietors. I was also impressed with the

absence of the usual number of estancos, or public drinking shops, of which I counted scarcely more than six in the whole town.

There is a good social club here, which is "teetotal," and there are the usual number of churches, one of them being an extremely handsome edifice. The Government buildings and the residence of the Governor are sufficiently imposing; the streets are both well paved and well drained. The majority of the houses are built of *adobe*, but some are of brick, and one or two are of stone, or at least they are stone-faced. Most of the better-class residences, however, are stuccoed with either brown, white, or coloured plaster on the side which faces the street. There seemed to be an abundant supply of good water available, free baths being provided and also apparently well patronized. I had noticed the same thing in Cojutepeque and other Salvadorean towns, proving that the inhabitants pay strict regard to cleanliness. The Ahuachapán public baths have a continuous supply of warm water, which is received from the neighbouring hot springs.

An efficient police force keeps the town in perfect order; but there are still lacking a good hotel, a livery stable, and a theatre. The latter is not essential, but it is a luxury which is usually found in Central and South American towns which cannot even boast of a single drainpipe. The same thing was noticeable in Johannesburg, South Africa, some twenty years after the town had the electric light and the telephone. The town of Ahuachapán is a quiet, sleepy, and eminently peaceful place of residence, where one might dream away one's life contentedly enough if one were prepared to do without driving, without amusements, and without either dentists, doctors, or daily papers.

There was once some talk of bringing the railway line through Ahuachapán from Montufar (Guatemala) to Sonsonate; but the construction, although perfectly practicable, would be so heavy and so costly that I am doubtful whether the peaceful solitude of this district—for some time at least—will be broken by the shrill scream of the locomotive whistle.

#### **DEPARTMENT OF SANTA ANA.**

*Cities.*—Santa Ana, Chalchuapa, Metapán (3).

*Towns.*—Texistepeque, Coatepeque (2).

The boundaries of this Department bring it into immediate contact with Honduras and Guatemala on the north, while on the east are the Departments of La Libertad and Chalatenango. Sonsonate is on the south, and Guatemala and the Department of Ahuachapán are on the west.

Two extensive ranges of mountains cover this territory, one on the north, and the other from east to west, two imposing mountains, Santa Ana and Mala Cara, both of which are active, rearing their shapely heads in this Department. In addition there are three extinct volcanoes—Masatepeque, San Diego, and La Isla. Where there are no mountains, magnificent valleys—fertile from end to end—stretch away for many leagues, watered by two rivers, one of which is the Malino, and the other the Lempa, which latter, with its many affluents, curves through this favoured country. As a Department, Santa Ana came into existence in February, 1855, having previously formed first a part of the ancient province of Sonsonate, and after that comprising the two districts of Ahuachapán and Atiquizaya.

The chief city, which bears the same name, is the largest—outside San Salvador—in the Republic, and, indeed, is ranked as one of the most important in Central America. The location is a pleasant one, being on the west side of the valley of the Malino. The elevation is about 2,100 feet above sea-level, and softly undulating green hills almost entirely surround it. The city is well laid out and solidly built, with many notable structures, while the streets are lighted by electricity and are well paved. Owing, however, to the steepness of some of the thoroughfares, this city being also constructed upon the sloping side of the valley, torrents of water come tumbling down in rainy weather, converting the crossings for the time being into miniature cataracts. On the other hand, the natural drainage is excellent, and as a consequence Santa Ana ranks as one of the cleanest and most healthful towns in the country. This is all the more notable because the Municipality at the time that I visited the place had not completed the drainage system, which I understood was then about to be introduced, while the public water-supply was not yet perfect. I noticed several public bathing-places which were completely open to the air; these were not, however, provided with hot water.

The number of prosperous-looking business houses and handsome private residences in Santa Ana at once arrest the attention of a visitor, as does the general air of prosperity which reigns throughout the place. The commercial and financial houses do about as much business in this town in a day as they carry through in all the other parts of the Republic—the capital excepted—in a week. The market-house, a building of considerable magnitude, is usually very well attended, and almost any kind of fruit and vegetable can be purchased there.

Santa Ana contains, perhaps, a greater proportion of resident foreigners than any other town or city in Salvador. It is partly due to this that so much commerce is carried on. The town is but fifty miles distant from the Capital, and it is easily reached by the Salvador Railway, which naturally carries considerable traffic both to and from the town. From Santa Ana there is a first-rate cart-road conducting north to Metapán, and another leading south to Sonsonate and to the port of Acajutla.

The temperature, as a rule, in this city renders life very pleasant. During the rainy months of August, September, and October it varies between 67° and 69° F., the maximum being between 72° and 78° F.

---

## CHAPTER XXII

Department of La Paz—Characteristics—Zacatecoluca—Population—Former proportions—  
Districts—Towns—Principal estates—Santiago Nonualco—San Juan Nonualco—  
Climate—Water-supply—Santa Maria Astuma—Mercedes la Ceiba—San Pedro  
Mazahuat—Some minor estates—Small property holdings.

### DEPARTMENT OF LA PAZ.

*City.*—Zacatecoluca.

*Towns.*—Santiago Nonualco, San Pedro Mazahuat, San Pedro Nonualco, Olocuilta (4).

The Department of La Paz belongs to the group of central and coast (or maritime) Departments. It has a decidedly quadrangular form, and is bounded on the east by the Department of San Vicente; on the north by the same with that of Cuscatlán and of San Salvador; on the west by the Department of San Salvador and by that of La Libertad; and on the south by the Pacific.

It lies between the parallels  $13^{\circ} 40''$  and  $13^{\circ} 18''$  N. latitude, and between the meridians  $91^{\circ} 4''$  and  $91^{\circ} 31''$  W. longitude, relatively to the meridian of Paris. The most northerly point is a small peninsula of the Lake of Ilopango, on the coast of the Tepezontes, and the most southerly is on the Pacific coast, at the watering-place called Los Blancos y los Negros. The most easterly point is at the River of San Jerónimo, to the north of the highroad which runs from Zacatecoluca to Usulután, and the most westerly is at the mouth of the River Lindero. The area of this Department is 2,354 square kilometres, or, say, about  $\frac{69}{1000}$  of the area of Salvador.

The surface is fairly level towards the coast, and hilly towards the interior, but it is always accessible for transit. The low-lying land is found to be excellent for the cultivation of the sugar-cane, tobacco, cotton, indigo, and forage; while the high land is eminently suited for the cultivation of coffee, wheat, rice, etc. The forests of the Department enjoy a high reputation for the excellence of the timber which they produce.

The population of the Department of La Paz has increased with astonishing rapidity. In 1858 it possessed scarcely 24,000 inhabitants, while to-day it is almost three times as large, which is equal to an increase of 3 per cent, annually. The density of the population is thirty-one inhabitants per square kilometre, and the number of individuals of native race is nearly equal to that of the Spanish-speaking inhabitants.

Previous to the Independence, the greater part of the present Department of La Paz belonged to the Department of San Vicente. Towards 1835 the Governor of this State ceded the district of Zacatecoluca to the Central Government, so that it might form part of the special territory of that authority, a cession which not unnaturally displeased the inhabitants of the district. On the disunion, the Federation was established, and joined-up with that of Olocuilta the new Department of La Paz. In the year 1843, in direct consequence of the revolt of the Indians of Santiago Nonualco, and under pretext of a defect in the government, the new Department was suppressed and reincorporated in that of San Vicente. In 1845 it again separated; but in the following year, 1846, it was joined once more to that of San Vicente, remaining thus until, by the Legislative Decree of February 21, 1852, it was definitely separated.

At present the Department of La Paz is divided into three districts, which comprehend one city, four large towns, and about fifteen smaller ones, as shown by the following table:

District of Zacatecoluca: Santiago Nonualco, San Pedro Nonualco, San Juan Nonualco, Santa María Ostuma, San Rafael, La Ceiba, Jerusalén.

District of San Pedro Mazahuat: San Pedro Mazahuat, El Rosario, San Miguel Tepezontes, San Juan Tepezontes, Paraíso de Osorio, San Emigdio.

District of Olocuilta: Talpa, Cuyultitán, San Luis, Tapalhuaca, San Francisco Chinameca.

In the lowlands or near the coast there are a number of old estates of unquestionable merit, and which in former times were famous for the indigo which they produced. To-day the principal agricultural industry of Zacatecoluca is coffee-growing, and the inhabitants possess upon the

Volcán some magnificent plantations, the principal being the following, with the number of hundredweights of produce that they yield annually:

Those of Señor J. Rengifo Núñez, 3,500 cwts.; Señor José Molina, 2,000; Señora Doña Amalia Molina, 2,000; Señora Doña Teresa O. de Alfaro, 1,000; Dr. Don Fernando Gómez, 1,500; Don Mariano A. Molina, 1,000; Don Fernando Gómez, 1,500; Dr. Peña Fernández, 1,500; Don Pedro Rodríguez, 800; Doña Josefa Buiza, 600; Don Atanasio Pineda, 500; the Señorita Dolores Rodríguez, 500; Doña Teresa de Rodríguez, 500; Don Atanasio Pineda, 500; Don Atanasio Pineda (*h*), 500; the Lopez family, 500; Dr. Don Pío Romero Bosque, 500; Doña Josefa Molina, 600; Doña Mercedes Rubio, 400; Don Francisco Orantes, 300; Don Lisandro Torres, 300; the issue of Don Samuel Jiménez, 300; Doña Mercedes Rodríguez, 300; Don Octavio Miranda, 200; Don Catarino Ortiz, 200; Doña Elodia Jandres, 200; Don Justo Quintanilla, 200; General Don José María Estupinián, 300.

The town of Santiago Nonualco, which has the title of "Villa," a name usually given to a large and important town, is also an ancient one. It is situated on high land, on the brow of a hill, 10 kilometres to the west of Zacatecoluca—the said highland measuring from north to south some 36 kilometres, and from east to west about 7. It is situated on a large tract of level ground, upon which, towards the north, are two hills—La Chorrera and El Tacuazín; in the former is situated the cave in which the celebrated Indian, Aquino, took refuge.

Numbers of excellent stock and grain farms exist here, upon which are cultivated large quantities of cereals, and which formerly produced a remarkable quantity of very good indigo. Such are El Pedregal, La Vandería, Tegüistocoyo, Novillos, Ojo, Troncones, and Santa Teresa. A very ancient town also is San Juan Nonualco, situated to the west, 4 kilometres from Zacatecoluca, and about 100 metres above the level of the sea. The highroad leading from Zacatecoluca to the Capital of the Republic passes by here, and at San Juan it throws off a branch which runs directly to the port of La Libertad.

Among its best-known coffee plantations are—Las Nubes, San Pedro, El Consuelo, and Las Granadillas. There is also carried on a great deal of



timber-felling, and there are some sawmills erected among the hills of Pilon and Caballito. In this district there are no natural springs of water, which element has been supplied by sinking wells near the pool of La Laguneta, formed at the time of the rains.

San Rafael is a town which was founded in the year 1882 on lands which were the property of the Obrajuelos, the portion belonging to the town being marked off by boundaries and landmarks. The only hill worthy of mention in the district of San Rafael is that of the Carao.

The little town of San Pedro Nonualco is situated in the hollow of a hill and upon the slopes of a small volcano, 20 kilometres to the north of Zacatecoluca. It enjoys a mild and salubrious climate, especially in the dry season; whilst during the rainy season there is sufficient humidity for agricultural purposes. The principal sources are—El Pringadero, El Pataiste, El Hiscanal, El Chinte, La Gotera (which last is that from which is drawn the water used by the town), La Montañita, Los Naranjos, and a number of other small streams which supply the country with an abundance of water.

Santa María Ostuma is a town situated on the slope of a hill which springs from the loins of the volcano of San Vicente on the north-west, and is 24 kilometres from Zacatecoluca. Its situation is very picturesque, the town being surrounded by beautiful perspectives, while its climate is fresh and healthy. It is divided into four districts—Delicias, Candelaria, Mercedes and Calvario. The principal annual festival is that of the patron saint, on February 2, the day of the Presentation, or Candlemas. The place has to-day about 3,400 inhabitants, and its prominent source of revenue is derived from agriculture, principally coffee and the pineapple, the pineapples produced in Ostuma being considered the best in the Republic. These are of the most choice types—the Castilian, water and sugar pineapples.

The town, or rather village, of Mercedes La Ceiba is bounded on the west by that of Jerusalén, the middle course of the River Chilate, and on the remaining sides by the district of Santa Maria Ostuma. It has not more than 650 inhabitants.

Jerusalén is another small place of recent foundation, situated about 25 kilometres from the chief town. Its lands are fertile, and largely intersected by streams of some importance. San Pedro Mazahuat is one of the large towns of the Department, and is the capital of the district. In the course of a

few years it has attained a state of progress quite remarkable, due alike to the industrious character of its inhabitants and the fertility of its lands. It is situated upon rather broken ground, having on the east the River Tilapa, on the west the Sepaquiapa, and on the south the Jiboa, all of which contribute an abundant supply of fish. There are also several springs of fresh water, such as Apacinto, La Pina, and Amatitán. Two kilometres to the north of the town is the spring of Plata, where a dam has been constructed and whence water is conveyed to the town.

There are several notable estates, such as those of San Antonio, El Pimental, San José and Mira-Flores, upon which are cultivated various cereals, and a serious attempt at cattle-breeding is carried on. This last-named estate, which was widely known under the name of Rancho de Teja, was formerly, with that of Chanrayo, one of the most flourishing, and engaged largely in the cultivation of indigo. It is the place which was at one time known as Hacienda Nueva (the New Estate), and for the last fifty years it has been in the possession of the family of Aycinena, of Guatemala, as is also that of San Josécito. The lands of both these properties have to-day been converted into a number of small plantations.

---

## CHAPTER XXIII

Department of San Miguel—Portless coast—Indigo plantations—City of San Miguel—Cathedral—Water-supply—Archæological interests—Projected railway connections. Department of Morazán—City of Gotera—Mountains and fertile plains—Agricultural produce. Department of Usulután—Physical characteristics—Volcanic curiosities—Surrounding villages—Populations—El Triunfo—Santiago de Maria. Department of La Unión—Boundaries—Scenery—Guascorán River—Industries—Commerce.

### DEPARTMENT OF SAN MIGUEL.

*Cities.*—San Miguel and Chinameca (2).

*Towns.*—Uluazapa, Moncagua, Chapeltique, Cacaguatique, Sesorí (5).

One of the most diversified of the Departments of the Republic is San Miguel, since it offers almost every kind of scenery to be found in Central America: wild and rugged coastline, steep and craggy mountains, beautiful verdant valleys and at least one active volcano—active, that is to say, in emitting much smoke and more noise, but otherwise, for the time being, unobjectionable. The Department is bounded on the north by the Republic of Honduras and the Department of Morazán, on the east by the latter and the Department of La Unión, on the south by the Pacific Ocean, and on the west by the Departments of Usulután and Cabañas.



**THE "STATELY" OFFICES OF HIS BRITANNIC MAJESTY'S  
VICE-CONSUL AT LA UNIÓN, ONE OF THE PRINCIPAL PORTS  
IN SALVADOR.**



**BARRACKS AT SANTA TECLA (NEW SAN SALVADOR).**

There is no port in this section of the Republic, and the whole coastline is considered dangerous, and certainly looks inhospitable, being formed of numerous spurs running down into the sea from the mountains which guard it for practically all of its length. There are two volcanoes located here, one of which, Chinameca, is, and for years past has been, quiescent; the other is the ever-grumbling San Miguel.

In the peaceful valleys below are grown indigo, coffee, and sugar; timber is cut for building purposes; grains and any amount of fruits and vegetables are cultivated. There are likewise several important manufactures, such as saddlery and harness, boots and shoes, articles of tortoiseshells, pickles, lime-juice, cheese, and rum. The annual fair is held on November 21, in the city of San Miguel, and on this occasion the amount of business transacted runs into many thousands of dollars. The visitors include those from some

of the neighbouring Republics, besides the people from all parts of Salvador.

An old and a remarkably interesting city is that of San Miguel, which was founded in 1530. Perhaps its early days were more prosperous than those which are at present enjoyed; for history shows that here, in times long passed away, great trade and industry were carried on, and much activity of commercial life prevailed. To-day a kind of peaceful stagnation would appear to reign for the greater part of the year, but still the people seem to be quite contented and fairly well-to-do.

The great wealth of the place formerly reposed in the indigo trade which was carried on, and which the invention of aniline dyes greatly helped to kill. One can easily trace where and how the superabundant wealth of the community was spent. It is to be seen in the magnificently wide thoroughfares, the well-paved streets, and the many yet handsome *plazas* and public buildings. It is possible still to pause and admire the proportions and the decorations of the Municipal Palace, of the Court House, the Hospital and the Market; while many are the imposing churches to be seen, those of San Francisco, Calvario and Santo Domingo among them.

For some years a massive brick-built Cathedral has been in course of erection; but it is still incomplete. The water-supply, which is abundant, is taken from the San Miguel River. I have been told that this water was not safe to drink; but I venture to assert that the statement is incorrect, provided the liquid be taken from that portion of the river which is not immediately adjoining the town and certain residences.

That the town otherwise is up-to-date may be gauged from the fact that it possesses both an ice-plant and an electric light installation. I am afraid, however, that neither are particularly well patronized by the majority of the people, who are very simple and unpretentious in their method of living, as in their dress.

Around the city of San Miguel are located well-maintained fincas, nearly all of which belong to native proprietors. Indigo and cacao are the most common products raised, and both thrive here amazingly well.

Antiquaries and archæologists will find an extremely interesting field for their investigations around San Miguel, where exist numerous remains of a

primitive and an industrious people. Already many examples of their domestic utensils have been found and methods of living have been traced; and at a private house belonging to an enthusiastic but discriminating collector of such articles may be seen flint knives, grinding-mills of hard stone more durable even than granite, and ollas of clay, presenting many interesting features of workmanship, far superior, indeed, to anything of the kind which is met with to-day. It is supposed that the ancient city of Chaparrastique was located in this neighbourhood, not more than a mile or so from the present site of San Miguel.

The city of San Miguel lies some three-quarters of a mile from the volcano and the river of the same name, the latter also being called sometimes the Rio Grande. It stands but some 360 feet above the level of the sea, and the climate is undoubtedly hot—sometimes unpleasantly so. San Miguel is about 107 miles east of the Capital, and is approached by a good cart-road. It claims some 23,000 inhabitants, most of whom are engaged in agriculture of some kind, while they form an orderly community very little given to troubling the authorities, yet somewhat opposed to innovations or reforms of any kind. The native women of San Miguel are considered to be about the best-looking in the Republic.

The Government have, as related elsewhere, long had the desire to unite San Miguel, which claims with Santa Ana to be the "second" most important city in the Republic (it certainly is justified from a population point of view) with La Unión, its finest seaport, and to extend the line to the cities of San Vicente and San Salvador, thus securing an all-rail route from Acajutla, the most important western port, to La Unión in the extreme east, on the Gulf of Fonseca.<sup>[6]</sup>

It was sufficiently proved by Mr. Charles T. Spencer (now the Manager of the Salvador Railway Company) that such a line of railway was quite feasible from an engineering point of view, and that it could be constructed at a reasonable outlay. The kilometric distance from San Miguel to San Vicente would be (main-line) 102·2 (= 63·5 miles).

## **DEPARTMENT OF MORAZÁN.**

*City.*—Goterá.

*Towns.*—Sociedad, San Carlos, Jocoro, Osicala, El Rosario (5).

This is one of the most recently created of the various Departments, having come into official existence in 1875. Formerly much of its territory was comprised in San Miguel. Even its name has been altered, since until 1887 it was known as "Goterá," which is now the title of its one city. In this year the name was altered to Morazán by decree of Congress, in memory of the last President of the Central American Federation, and who lost his life in his well-meant but fruitless efforts to bring about its resuscitation.

The Department is bounded on the north by the Republic of Honduras, on the east by the Department of La Unión, on the south by La Unión and San Miguel, and on the west by the latter also. Lofty mountains cover a great deal of the surface, more especially towards the north, the various chains crossing the Department from east to west. Towards the Honduran border—that is to say, in the direction of the south—a number of fertile plains are to be met with, and these are mostly well watered by the Rivers Tocola and Rio Grande. All kinds of agricultural products are cultivated here, such as indigo, rice, coffee, sugar, corn, and a variety of fruits. It is also an industrial centre, there being established cordage, mat, hat, lime, and earthenware factories, the greater part of which, at least, seem to carry on a thriving trade. Labour is abundant, if not particularly well skilled; and the greater portion of the inhabitants are industriously occupied all the year round in following either agriculture or some kind of manufacturing.

Although a decidedly small place, containing something less than 2,000 people, Gotera is picturesque, and as clean as it is romantic in appearance. It is connected by a good cart-road with the city of San Miguel. There is likewise a volcano of moderate proportions, raising its crest 3,089 feet in height, and being located 13° 42' 54" latitude, and 88° 0' 30" longitude. Its history is not especially remarkable.

### **DEPARTMENT OF LA UNIÓN.**

*Cities.*—La Unión, San Alejo, Santa Rosa (3).

It was to form this Department that San Miguel had once again to give up a goodly portion of its original territory. It is now one of the most important of the Republic's various political Divisions, by reason of containing the

port of La Unión, of which I give a fuller description elsewhere under the title of "Ports and Harbours" (see Chapter XIV.). Its boundaries are as follows: North, by the Republic of Honduras; east, by that Republic also and the Bay of Fonseca; south, by the Pacific Ocean; and west, by the Departments of San Miguel and Morazán. A great diversity of scenery may be met with, the mountains alternating with valleys, volcanoes with large open plains, and the ocean lending a blue setting to the whole picture. For true tropical scenery the Bay of Fonseca would be hard to beat, and its most beautiful portion skirts the shore of this Department. Unfortunately, however, there is usually a great deal of unhealthy miasma arising from the low, marshy shore, and from the mouth of the Guascorán River to the Honduran boundary the whole district may be said to be unhealthy. Here and again one comes across dry and rugged spots, but for the most part the country lies very low, and it is extremely hot at almost all times of the year.

Located upon the picturesque peninsula which separates the Bay of Fonseca from the Pacific Ocean is the enormous volcano of Conchagua, towering up to a height of over 4,000 feet above sea-level, and measuring some twenty miles in circumference around its base. There are two magnificent peaks, one measuring 3,800 feet, and the other 4,101 feet. The situation is 13° 16' 28" latitude, and 87° 51' 46" longitude. This mountain was last in eruption in the year 1868, but to all appearances it is now perfectly quiescent.

Both industrially and commercially La Unión is of importance, much of the fine timber employed in various parts of the Republic for both building operations and cabinet-making coming from its forests, which nevertheless as yet have hardly been touched. Great potential wealth is contained here, and, in view of the proximity of the port, its forests should one day be intelligently and profitably exploited.

As to manufactures, the Department possesses lime, hat (palm-leaf variety), mat, soap, candle, steel, and other establishments; while considerable trade goes on in fish, and especially in oyster-curing. La Unión oysters are very delicious, and are much relished as a rule by foreigners, who declare them to be equal to the best Whitstable in flavour. The variety of fish caught off these coasts is not particularly large, but the quality is very fine. The cost of living in this Department, even at the port of La



Unión, is cheap, and on the whole one may dwell there very comfortably, if climatic conditions be accepted philosophically.

### **DEPARTMENT OF USULUTÁN.**

*Cities.*—Usulután, Jucuapa, Alegría (3).

*Towns.*—Santa Elena, Jiquilisco (2).

This Department belongs to the eastern section of the Republic, and formerly its territory was embraced in the Department—or, as it was then called, the Province—of San Miguel (ó Provincia) de Chaparrastique, now known simply as "San Miguel." It became a separate Department in 1865. It is bounded on the north and east by the Department of San Miguel, on the south by the Pacific Ocean, and on the west by the Department of San Vicente. Its area is 3,344 square kilometres which represents a  $\frac{98}{1000}$  part of the superficial area of the Republic.

The central portion of the Department is very mountainous, the country here being crossed by a lofty range, north of which it is relatively level, but decidedly broken-up. In the south are found lowlands and a swampy coast, which during the rainy season becomes somewhat unhealthy. Within the borders of this Department are found three separate volcanoes—Usulután, Jucuapa and Taburete. From a geological point of view the two last named are the most interesting, having small lakes of sulphurous water in their ancient craters. Roundabout, and especially in a deep and dry ravine which extends from the south-east of the village of Tecapa towards the River Lempa, are a number of active geysers which emit dense volumes of sulphurous vapours and columns of smoke, reminding one forcibly of some of the beautiful geysers in New Zealand, in the Roturua district.

The largest of the geysers at Tecapa is called "El Tronador" (The Thunderer), and this has formed a small crater of its own, from out of which is thrown a high and thick column of steam saturated with sulphuretted hydrogen and other gases, while the noise which accompanies the emission of this steam is deafening, and can be heard for many miles away.

The Department is divided up into three districts—namely, Usulután, which contains seven villages or small towns; Jucuapa, containing four; and

Santiago de Maria, containing seven. The first-named district has a population of some 12,000 inhabitants, more than half of whom reside in the city of Usulután, a pleasant place enough, situated upon the right bank of a stream called Juano, but only at the moderate elevation of 420 feet above sea-level. It is also some ninety-five miles distant from the Capital. The number of buildings of an ornate character is considerable, for Usulután was formerly a place of some pretensions, being the residential quarters of the authorities of the ancient Division of San Miguel ó Provincia de Chaparrastique. It was classed as a "town" in 1827, and was given the rank of a "city" in 1860. Among the more notable buildings are a handsome town-hall, a school-house, and a minor University, where the higher education is imparted to a large number of pupils and students. A prison of some dimensions, and a handsome but small church, should also be mentioned.



**GROUP OF SALVADOREANS OF THE SUPERIOR WORKING CLASS.**

According to some old Spanish MSS., which I was shown, this town was known to the Indians of 1574 as "Uceluclán," and a large number of people at one time apparently resided there. Another very old place is Santa Eléna, which dates from 1661; to-day it has about 3,275 inhabitants, the

surrounding district and many smaller villages bringing up the total of inhabitants for the district to nearly 6,000.

There are over a dozen notable fincas round about, where maize, tobacco, rice and black beans are cultivated. Jiquilisco boasts of between 4,500 and 4,600 inhabitants, and even more important fincas, so far as size and amount of produce are concerned. Santa Maria de Los Remedios is also an old town, possessing some 1,750 inhabitants. Two important fincas are located in the neighbourhood, and engage the services of many of the labourers available. Ereguaiquín, which is some 7 kilometres distant, has 2,100 inhabitants; Ozatlán, another small town of very recent origin, being founded as late as 1890, having 2,000 inhabitants.

The district of Jucuapa, with its four towns and villages, is somewhat deficient in water, having only the San Francisco River to depend upon. Nevertheless the country is very fertile, especially in the immediate district around the volcano of Jucuapa, which towers up into the air some 5,000 feet above the level of the sea. The chief town has two schools of importance, a private college for the children of wealthier parents, a casino, a club, and a well-maintained hospital.

Estanzuelas, which was established as a village in 1815, has over 10,000 inhabitants, most of whom are engaged in the pursuit of agriculture. San Buenaventura, another village, stands much higher, and is possessed of a more pleasant climate and outlook over mountains and valleys. It has but 1,600 inhabitants, and among several distinguished Salvadoreans who have been born in this district is Dr. Máximo Araujo, who has rendered great political services to his country.

The small town known as El Triunfo (also described as "San Juan del Triunfo") is an old-established place, and was formerly known as "La Labor." This is in a well-watered district, and many prosperous fincas are to be found scattered around. A fuller account of the port will be found under Chapter XVI., "Ports and Harbours."

The Santiago de Maria district is moderately well inhabited, but the town of the same name is small, and is little over forty years old. The neighbourhood, which has always been known as fertile, and which is abundantly watered by several rivers and streams, produces large quantities of maize, beans, sugar, tobacco and vegetables.

Other small towns in this Department are San Agustín, Tecapán, Alegría, Berlín and California. The total population of the Department was put in 1909 at 89,175, the district of Usulután having the largest number, estimated at 32,275; Jucuapa came next, with 25,700; and Santiago de María third, with 24,600. The remaining 8 per cent. of the population were dispersed throughout the Department.

---

## CONCLUSION

*"In every work regard the writer's End,  
Since none can compass more than they intend;  
And if the means be just, the conduct true,  
Applause, in spite of trivial faults, is due."*

I make no claim in this volume to having written anything startlingly new, nor yet to have made any particularly valuable contribution to the history of the world; but what I have endeavoured to effect, and what I trust I have accomplished at least in part, is to put before my readers what I know to be facts concerning a very interesting country which has hitherto received but scant attention at the hands of financial writers. Bulwer Lytton has said that no author ever drew a character, consistent to human nature, but what he was forced to ascribe to it many inconsistencies. So it is with a book which purports to be a true description of a country; for in portraying its attractions one must of a necessity expose its drawbacks and deficiencies.

It must be remembered that the Republic of Salvador has yet to celebrate its centenary, being one of the youngest of the Latin-American States; but considering the different troubles and tribulations which this country—in common with all of the Latin-American Republics without exception—has gone through, the present condition of her civilization, of her arts and her commerce, is eminently encouraging. The great advance made by this State has been achieved in spite of the many obstacles which it has encountered. If the permanency of a Republic mainly depends upon the general intelligence and morality of the people constituting it, I look for a continued and even an increased prosperity for the Salvadoreans, since they are indubitably among the Central American nations the most developed and the most intellectual.

No longer subject to and borne down by an immoral and corrupt Government, and freed from the exactions of hungry office-seekers, this naturally richly-endowed little State should pursue an even and enviable

road to prosperity, upon which foreigners will be heartily welcome to journey.

---

In 1895, when Mr. Joseph Chamberlain was Colonial Secretary, a circular letter was addressed to all British Consuls of the British Empire, asking for information regarding the effect of foreign competition upon British trade abroad. In the answers received, and subsequently published in the form of a bulky Blue Book, some critics professed to see much comfort; but to the minds of others, who looked more deeply into matters and judged more from what was likely to occur than what had actually happened, the future appeared gloomy in the extreme. To enact the role of Cassandra is never an agreeable nor a profitable occupation; but upon occasions it becomes necessary to sound the alarum, if only to awaken the slumberer from his too-long repose, and remind him that the world is marching onwards and ever onwards. At no time has this been more imperative than the present, when British trade and commerce, British influence and British prestige, in Central America, at one time predominant, are threatened, not alone with supersession, but with practical extinction. This is no phantom of the imagination, nor yet any unfair exaggeration of existing conditions. It is a plain and incontrovertible fact, which anyone travelling through the smaller Latin-American Republics may ascertain for himself.

The decline of British trade in these countries was clearly foreshadowed in the Blue Book above referred to; but the public, with some few exceptions, complacently closed their eyes, the Government as usual did nothing to avert the threatened evil, and the results are such as were inevitable under the circumstances. The Consular reports upon these States as they are issued (*when* they are issued at all) tell the tale of our diminishing trade, and of the slow but sure rise of our competitors to the position of dominance which once was ours. There is little occasion to criticize the figures or to call them into question; it may, perhaps, have served some useful purpose to have examined, as I have done in these pages, into the principal causes which have helped to bring about a condition of things which is gradually going from bad to worse.

I shall be abundantly satisfied, and consider myself sufficiently recompensed for the trouble to which I have put myself and the not inconsiderable expenses which I have incurred in preparing this volume, if I can awaken some interest among my countrymen—upon the British Government I do not for an instant expect to make any impression whatever—to the critical position in which our national trade stands to-day in Latin-America generally, but in the Republic of Salvador in particular. The time has apparently gone by when British trade abroad could depend at least upon the countenance, if not always the active support, of the Ministry of the day.

In the days of William Pitt the Elder it was the proud boast of our rulers that "not a gun should be fired throughout the world without Britain knowing why"; but to-day commercial treaties of the utmost import to British merchants are entered into, new imposts which seriously threaten their existing trade are levied, and favoured-nation terms to their most dangerous commercial rivals are granted, without the Home Government knowing or caring one pin's head about it. Where are "the eyes and the ears" of the State that such things can occur, and where is the patriotism which permits of them occurring? No British Government within the past half-century has as much as inquired about the status of British trade in Latin-America, nor has it troubled its head to find out whether it flourished or failed. For the despicable purpose of currying favour with our keenest rivals in that great field—the United States—such position as we still occupy in that portion of the world is being recklessly and ignorantly sacrificed. How this crime—for crime it assuredly is—is likely to be perpetrated I have shown conclusively in the preceding pages. Let those who are accused answer to the charges—if they can or if they dare!

*July 31, 1911.*

---

# INDEX



Academy, Salvador, [41](#)

Acajutla, [9](#), [51](#), [52](#), [61](#), [62](#), [64](#), [65](#), [68](#), [73](#), [93](#), [115](#), [146](#), [167](#), [197](#), [198](#), [204](#), [222](#), [223](#), [226](#), [290](#), [291](#), [293](#), [295](#), [299](#), [309](#)

Administration of Justice, [18](#)

Administrator, Post-Office, [34](#)

Agricultural Bank, [172](#)  
machinery and implements, [107](#), [147](#), [148](#)

Agriculture, [164](#), [228](#)-243, [276](#), [285](#), [288](#), [291](#), [303](#)  
Minister of, [18](#), [41](#), [229](#)  
School of, [29](#)  
Sub-Secretary of, [18](#), [42](#), [43](#), [44](#), [47](#), [164](#)

Agronomy, [230](#)

Aguila, Eugenio, [172](#)

Aguila, José Astua, [81](#), [82](#)

Agustin, [316](#)

Ahuachapán, [8](#), [9](#), [25](#), [66](#), [94](#), [141](#), [179](#), [213](#), [234](#), [247](#), [266](#), [294](#)-296  
Department of, [28](#), [234](#), [290](#), [294](#)-297

Alegría, [11](#), [266](#), [313](#), [316](#)

Alfaro, Prudencio, [61](#), [65](#), [67](#), [71](#)

Allison Manufacturing Company, [200](#)

Alvarado, Dr. H., [265](#)

Alvarado, Jorge de, [249](#), [256](#)

Alvarado, Pedro de, [256](#)

Alvarez, Dr. E., [274](#)

Amapala, Battle of, [39](#)

Treaty of, [72](#), [73](#), [75](#), [77](#), [81](#), [82](#)

Amaya, General Juan, [38](#), [281](#)

Angulo, [4](#)

Apaneca, [9](#), [295](#)

volcano, [4](#)

Aragón, Manuel, [11](#)

Araujo, President Manuel Enrique, [15](#), [17](#), [36](#), [40](#), [43](#), [47](#), [84](#), [85](#), [114](#), [246](#), [273](#)

Araujo, Dr. Máximo, [316](#)

Arca, [2](#)

Arce, General Manuel José, [14](#)

Argentina, [129](#), [154](#), [230](#)

Arias Celio, [39](#), [74](#)

Armenia, [290](#)

Army, [38](#), [64](#), [86-95](#), [224](#), [269](#)

strength of, [87](#)

Assembly, National, [15](#), [19](#), [38](#)

Ataco, [9](#)

Ateos, [51](#)

Atiquizaya, [25](#), [294](#)

Atuscatla, [5](#)

Austria, [147](#)

Avila, Dr. Artúro Ramón, [36](#), [45](#), [46](#), [116](#)

Baldwin Locomotive Works, [199](#)

Balsalobre, Rev. Dr. E. M., [178](#)

Balsam, [108](#), [147](#), [216](#), [229](#), [241](#)-243, [288](#), [290](#)

Banco Agrícola, [172](#)-174

Occidental, [172](#)

Salvadoréño, [46](#), [176](#)

Bank, London, of Mexico, [50](#)

London and South-Western, [51](#), [53](#)

Mortgage, [177](#)

Nicaragua, [177](#)

Banks, [46](#), [50](#), [51](#), [53](#), [167](#), [170](#)-177

Bará, General Enrique, [23](#)

Barahona, [65](#)

Barberena, Dr. S. I., [265](#)

Baron, Dr. Gustavo, [18](#), [42](#), [271](#)

Barracks, [87](#), [88](#), [92-95](#), [257](#), [274](#)

Barrancas de Jucuapa, [12](#)

Barrios, General Gerardo, [38](#), [274](#), [275](#)

Barrios, General Justo Rufino, [15](#), [39](#)

Beans, [229](#), [240](#), [248](#), [276](#), [316](#)

Bedoya, [ix](#)

Beers and liquors, [158](#)

Berlin, [11](#), [316](#)

Bertand, President Dr., [84](#)

Bills of exchange, [167](#), [168](#), [170](#), [171](#)

Bloom, David, and Co., [172](#), [177](#)

Board of Trade, British, [44](#), [125](#), [164](#)

Bocanegra, Angel M., [81](#), [82](#)

Bogen, Herr, [153](#)

Bolivia, [131](#), [132](#), [161](#)

Boots and shoes, [107](#)

Bracamonte, Don Eusebio, [18](#), [36](#), [42](#)

Bracamonte, General, [38](#)

Brazil, [154](#), [235](#), [236](#), [240](#)

Breweries, [158](#)

Bridges, [12](#), [198](#)

British Consul, [99](#)-101, [105](#), [110](#)-112, [129](#), [319](#)

diplomacy, [120](#)-126, [128](#), [129](#)

Foreign Office, [96](#), [100](#), [101](#), [105](#), [122](#)-124

Government, [98](#)

investments, [160](#)

Legation, [128](#)

manufacturers, [138](#), [139](#), [141](#)

Minister, [98](#), [139](#)

retail houses, [137](#)

trade, [98](#), [99](#), [105](#), [123](#), [125](#), [127](#), [129](#), [162](#), [164](#), [318](#), [319](#)

tradesmen, [168](#), [169](#)

Brown, Jansen, and Co., [51](#)

Bryce, Right Hon. James, [123](#)-126

Buerón, J. L., [10](#)

Buerón, Juan, [11](#)

Bureau, Information, [44](#)

Bustamente, Dr. Cecilio, [18](#), [36](#), [41](#)

Butters Mines, [187](#)-195

Cabañas, Department of, [12](#), [28](#), [247](#), [276](#), [278](#), [282](#)-284, [306](#)

Cabinet, [18](#), [36](#), [42](#), [45](#)

Cables, [32](#), [226](#), [227](#)

Cacaguatique, [306](#)

Cacao, [239](#), [240](#), [291](#), [308](#)

Cafés, [158](#)

California, [316](#)

Campbell, C. S., [105](#)

Canned goods, [150](#)

Cárcamo, General Téofilo, [79](#)

Carden, Lionel E. G., [97](#), [139](#)

Carden, Mrs., [98](#)

Carden, Rev. Lionel, [97](#)

Casino Salvadoreño, [273](#), [274](#)

Castro, R., Dr. Don Manuel, [18](#), [36](#), [41](#)

Castro, V., Dr. Don José Antonio, [18](#), [36](#), [42](#)

Cathedral, [257](#), [259](#)

Cattle and hides, [108](#), [230](#), [231](#), [286](#), [295](#), [303](#)

Central America, [13](#), [14](#), [32](#)

United, [14](#)

American Federation, [14](#), [50](#), [67](#)

Peace Conference, [33](#)

Penitenciaria, [21](#)

Cereals, [229](#), [285](#), [291](#), [295](#)

Chalatenango, [9](#), [11](#), [28](#), [266](#), [277](#), [278](#)

Department of, [12](#), [28](#), [247](#), [248](#), [276](#)-278, [287](#), [297](#)

Chalchuapa, [25](#), [39](#), [179](#), [294](#), [295](#), [297](#)

Chamber of Commerce (Salvador), [43](#), [47](#), [164](#)

Chapeltique, [306](#)

Charities, [17](#), [265](#)-267, [284](#)

Chatham, Earl of, [38](#)

Cheese, [277](#), [286](#)

Chemists, [157](#)

Chief Magistrates, [16](#)

Chile, [161](#), [202](#)

Chilian Mission, [88](#)

Chinameca, [9](#), [306](#), [307](#)  
volcano, [4](#)

Choussy, Félix, [230](#)

Churches, [vii](#), [viii](#), [150](#), [283](#), [308](#)

Cierra, General, [69](#)

Cigars and cigarettes, [158](#), [236](#), [279](#), [291](#)

Citalá, [11](#), [276](#)

Civil Code, [229](#)

Clubs, [88](#)

Clum, Harold D., [44](#)

Coatepeque, [297](#)

Cocoa machinery, [156](#)

Cocoanuts, [291](#)

Coffee, [108](#), [152](#), [216](#), [217](#), [219](#), [225](#), [229](#), [234](#), [235](#), [248](#), [285](#), [288](#), [290](#),  
[295](#), [302](#), [307](#), [311](#), [315](#)  
    estates, [302](#)-304, [308](#), [316](#)  
    machinery, [150](#), [156](#)

Cojutepeque, [9](#), [19](#), [25](#), [94](#), [179](#), [213](#), [236](#), [278](#)  
    Lake, [280](#)

Colleges, [28](#), [29](#)

Colón, [226](#)

Colombia, [210](#)

Columbus, Christopher, [1](#)

Commander-in-Chief, [16](#)

Commerce, Chamber of (Salvador), [43](#), [47](#)

Commercial travellers, [136](#), [141](#), [156](#), [157](#)  
    treaties, [109](#), [112](#), [124](#), [126](#), [127](#), [320](#)



Commission, Mexican, [97](#)

Commissioners, rural, [229](#)

Commons, House of, [38](#)

Conchagua volcano, [4](#)

Conference, Central American Peace, [33](#), [118](#), [119](#)  
Hague, [46](#)

Conflagrations, [150](#), [151](#)

Congress, National, [16](#), [18](#), [33](#), [34](#), [47](#), [53](#)  
Spanish-American, [46](#)

Constitution, [15](#), [38](#), [259](#), [281](#)

Constitutional Convention, [14](#)

Consular invoices, [167](#)  
regulations, [101](#)-105  
reports, [98](#)-100

Consul, British, [99](#)-101, [105](#), [110](#)-112, [129](#), [319](#)  
-General, Salvador, [45](#)  
United States, [44](#)  
Liverpool, [48](#)

Consuls, Salvadorean, [102](#)-105  
United States, [112](#)

Conventions, [14](#), [30](#)

Cordilleras, [2](#)

Corinto, [65](#), [68](#), [73](#)

Corn, [240](#), [248](#), [276](#), [282](#), [288](#), [311](#)

Coronation of H.M. George V., mission to, [46](#), [47](#)

Corpeño, J. Dols, [177](#)

Corranza, Dr. don Teodosio, [18](#), [36](#), [41](#)

Cosieguina volcano, [4](#)

Costa Rica, [14](#), [49](#), [50](#), [80](#), [98](#), [136](#), [140](#), [143](#), [152](#), [161](#), [179](#), [189](#), [212](#), [214](#), [223](#), [226](#), [249](#)

Cost of living, [261](#), [262](#), [313](#)

Costume, native, [244](#)

Cotton, [107](#), [146](#), [216](#), [229](#), [232](#), [244](#), [291](#), [295](#)  
goods, [134](#)  
manufactures, [162](#)  
mills, [163](#)

Council of Foreign Bondholders, [54](#), [55](#)  
of Health, [18](#), [270](#)

Courtade, John B., [219](#)

Court of Justice, Central America, [74](#), [70](#), [79](#)-83

Courts, Circuit, [19](#)  
District, [19](#)  
Minor, [19](#)  
Supreme, [19](#), [257](#)

Credit system, [166](#), [169](#)-171

Criminal Law, [19](#)

Cristales, General, [69](#)

Cuba, [97](#), [121](#), [154](#), [237](#)

Cuscatlán, Department of, [28](#), [234](#), [247](#), [248](#), [256](#), [276](#), [278](#), [279](#), [281](#), [282](#), [287](#), [300](#)

Customs, [50](#), [51](#), [54](#), [58](#), [59](#), [166](#)-169, [210](#), [224](#)  
duties, [159](#)  
Union, [123](#)

Cyanide process, [187](#)-195

Dardano, Donna Térésa, [47](#)

Dávila, President, [74](#), [78](#), [79](#)

Dawson, Samuel C., [178](#)

Debt, Foreign, [49](#), [50](#), [51](#), [52](#), [55](#)  
Public, [57](#)

Decree, Government, [70](#)

Deficit, [59](#), [60](#)

Deininger, Fédor, [153](#), [225](#)

Delgado, Dr. Manuel, [73](#)

Departments, [15](#), [16](#), [28](#), [235](#), [247](#), [271](#)  
Police, [25](#)

Deputies, [15](#)

National Chamber of, [15](#)

Designates, Presidential, [38](#)

Diaz, Porfirio, [75](#)

Diaz, Señora J. B. de. 236, [280](#)

Diplomacy, British, [120](#), [121](#), [122](#), [123](#), [124](#), [125](#), [126](#), [128](#), [129](#)

Director-General of Police, [23](#)

Discovery of Salvador, [1](#)

Diseases, [267](#), [268](#), [269](#), [270](#), [271](#), [272](#)

Distilleries, [276](#), [289](#)

District Courts, [19](#)

Divisadero Mines, [193](#)

Dolores, [282](#)

Domestic life, [244](#), [245](#)  
servants, [261](#), [262](#), [263](#)

Dreadnoughts, [128](#)

Drews, F., [172](#)

Drugs and medicines, [107](#), [157](#)

Dueñas, Dr. Don Francisco, [18](#), [36](#), [40](#), [47](#)

Dueñas, Don Miguel, [18](#), [36](#), [42](#), [47](#), [164](#)

Dueñas, President Dr., [38](#)

Duke, Mauricio, [172](#)

Duke, J. Mauricio, [172](#)

Dunlop, R. C., [182](#), [183](#)

Earthquakes, [251](#), [252](#), [253](#), [254](#), [255](#)

Ecuador, [115](#), [161](#)

Education, [27](#), [28](#), [29](#), [30](#), [230](#), [272](#), [314](#), [315](#)

Board of, [26](#)

Free, [26](#)

Minister of, [26](#), [42](#), [266](#)

Educational establishments, [264](#), [265](#)

Elections, [17](#)

Electric light, [32](#)

*El Diario de Salvador*, [70](#)

El Tigre, [4](#)

El Triunfo, [11](#), [167](#), [226](#), [316](#)

El Viego volcano, [4](#)

Ereguaiquín, [315](#)

Eruptions, [5](#), [7](#)

Escalón, Pedro José, [15](#)

Escobar, Francisco, [265](#)

Estanzuelas, [315](#)

Esteves, Captain A., [224](#)

Estrada, General, [68](#)

Europe, [21](#), [29](#)

Exchange, [169](#), [170](#), [172](#), [209](#), [210](#)

Executive, [15](#), [16](#)

Expenditures, [30](#), [55](#), [56](#), [57](#), [58](#), [59](#), [60](#)

War and Marine, [95](#)

Export trade, [133](#)

Exports and imports, [58](#), [59](#), [105](#), [106](#), [107](#), [108](#), [144](#), [162](#)

Ezeta, General Carlos, [15](#), [40](#)

Fairs, [278](#), [279](#), [282](#), [307](#)

Fawcett, Preston and Co, Ltd., [153](#), [155](#)

Federal Republic, [14](#)

Federation, Central American, [14](#), [67](#), [301](#), [310](#)

Felica volcano, [4](#)

Figueroa, General Fernando, [4](#), [8](#), [15](#), [17](#), [31](#), [36](#), [37](#), [38](#), [39](#), [40](#), [61](#), [62](#), [63](#), [64](#), [65](#), [66](#), [69](#), [73](#), [78](#), [79](#), [87](#), [142](#), [151](#), [281](#)

Filibusters, North American, [vi](#), [61](#)

Filisola, General, [13](#)

Filter Butters, [190](#)-194

Finance, Minister of, [18](#), [117](#)  
Sub-Secretary of, [18](#), [43](#)

Finances, [49](#)  
railway, [55](#)

Fire apparatus, [150](#), [151](#)  
brigade, [151](#)

Fish, [312](#), [313](#)

Flour, [107](#)

Fonseca, Bay of, [1](#), [2](#), [3](#), [9](#), [286](#), [309](#), [311](#), [312](#)

Forces, [16](#)

Foreign Affairs, Minister of, [18](#), [76](#), [112](#)  
Sub-Secretary of, [18](#), [41](#)

Foreigners, [284](#), [313](#)

Foreign loans, [49](#), [50](#), [51](#), [52](#), [53](#), [54](#), [55](#), [57](#), [115](#)

Foreign Office, British, [96](#), [100](#), [101](#), [105](#), [122](#), [123](#), [124](#)

Foreign trade, [106](#)

France, [104](#), [105](#), [107](#), [108](#), [135](#), [146](#), [147](#), [151](#)

Free Trade, [123](#), [132](#), [133](#)

French trade, [146](#)

Fruits, [285](#), [291](#), [295](#), [299](#), [307](#), [311](#)

Gainza, [ix](#)

Gallegos, Salvador, [81](#), [82](#)

García, Dr. A., [265](#)

Gavidia, Francisco, [265](#)

Geology, [181](#), [183](#)

German trade, [108](#), [109](#), [128](#), [129](#), [130](#), [131](#), [132](#), [133](#), [134](#), [135](#), [137-139](#), [141](#), [142](#), [143](#), [144](#), [145](#), [146](#), [147](#), [152](#), [153](#), [162](#), [168](#)

Germany, [104](#), [105](#), [106](#), [107](#), [108](#), [109](#), [144](#), [147](#)

González, Dr. D., [265](#)

González, Dr. Rodolfo B., [271](#)

González, Marshal Santiago, [38](#), [39](#)

Goods, British, [133](#), [134](#), [135](#), [137](#), [139](#)

Goodyear, Professor, [7](#)

Gordon, John, and Co., [152](#), [156](#)

Gotera, [310](#), [311](#)

Government, [14](#), [15](#), [17](#), [21](#), [23](#), [26](#), [32](#)



British, [98](#)

Governors, [16](#)

Great Britain, [31](#)

Grey, Sir Edward, Bart., [100](#), [105](#)

Guarumál, [9](#)

Guascorán River, [8](#)

Guatemala, viii, [4](#), [5](#), [14](#), [15](#), [30](#), [38](#), [48](#), [50](#), [67](#), [74](#), [80](#), [81](#), [82](#), [83](#), [96](#), [97](#), [98](#), [119](#), [121](#), [129](#), [131](#), [138](#), [140](#), [143](#), [145](#), [152](#), [161](#), [172](#), [179](#), [180](#), [202](#), [212](#), [214](#), [218](#), [245](#), [248](#), [249](#), [295](#), [297](#)

Guatemala, kingdom of, [viii](#)

Guerrero, Dr. G. G., [47](#)

Guirola, Don Angel, [289](#)

Guirola D., Don Rafael, [18](#), [36](#), [40](#), [41](#), [172](#)

Guthrie, C. S. S., [164](#)

Gutierrez, General Rafael, [15](#)

Guzmán, Dr. D. J., [265](#)

Hague Conference, [46](#)

Hamburg, [147](#), [168](#), [170](#), [219](#)

Hardware, [135](#), [145](#)

Harlan, Hollingsworth Company, [200](#)

Havana, [10](#), [97](#)

Havre, [219](#)

Health, Council of, [18](#), [270](#)

Heimké, Major W., [116](#), [117](#)

Heimké, Mrs., [117](#)

Hemmeler Guillermo, [176](#)

Henequén, [229](#)

Hernandes, General Gregorio, [24](#)

Hidalgo, [13](#)

High Court of Justice, [42](#)

Hill, Lieutenant, [5](#)

Hinds, John W., [203](#)

Hispaniola, [1](#)

Hogs, [231](#)

Honduras, [3](#), [14](#), [38](#), [49](#), [50](#), [61](#), [62](#), [67](#), [68](#), [71](#), [72](#), [74](#), [75](#), [76](#), [77](#), [78](#), [80](#),  
[82](#), [83](#), [84](#), [85](#), [96](#), [97](#), [98](#), [118](#), [119](#), [121](#), [129](#), [161](#), [170](#), [172](#), [179](#), [181](#), [212](#),  
[214](#), [276](#), [282](#), [295](#), [297](#), [306](#), [310](#), [311](#)

Honduras, war with, [38](#), [39](#), [40](#), [74](#)

Hooper, A. H., [226](#), [227](#)

Hospicio Guirola, [289](#)

Hospitality, native, [273](#), [284](#)

Hospitals, [17](#), [265](#)-268, [269](#), [271](#), [272](#), [289](#)

Hotels, [6](#), [236](#), [261](#), [280](#), [291](#), [293](#)

House of Commons, [38](#)

Hydrographic Office, U.S.A., [287](#)

Ilobasco city, [282](#)  
volcano, [279](#)

Ilopango, Lake, [4](#), [5](#), [6](#), [7](#), [9](#), [10](#), [280](#), [300](#)

Implements, Agricultural, [107](#), [147](#), [148](#)

Imports and Exports, [58](#), [59](#), [105](#), [106](#), [107](#), [108](#), [144](#), [162](#), [163](#)

Independence, [13](#), [249](#)

India, [154](#)

Industry (Fomento), Minister of, [18](#)  
Sub-Secretary, [18](#)

Information Bureau, [44](#)

Instruction, Military, [87](#), [88](#), [89](#)  
Minister of, [18](#), [26](#)  
Public, [18](#), [26](#)  
Sub-Secretary, [18](#), [26](#), [42](#)

Intercontinental Railway Commission, [212](#)

Interior, Minister of, [18](#), [23](#)

Interior, Sub-Secretary, [18](#)

Investments, United States, [159](#), [160](#), [161](#)  
British, [160](#)

Indigo, [108](#), [232](#), [233](#), [237](#), [282](#), [283](#), [285](#), [288](#), [302](#), [307](#)

Iron and Steel Trades, [135](#)

Italy, [147](#)

Iturbide, Agustin VIII., [13](#), [14](#)

Izalco City, [290](#)  
District, [230](#)  
volcano, [4](#), [248](#)

Jamaica, [235](#), [240](#), [242](#)

Jerez, [30](#)

Jerusalén, [305](#)

Jibóá, River, [5](#), [8](#)

Jiquilisco, Bay of, [232](#), [313](#), [315](#)

Jocoró, [9](#)

Jucuapa, [9](#), [12](#), [36](#), [313](#), [315](#)  
volcano, [315](#)

Judice, Miguel, [172](#)

Judicial, [15](#)

Justice, Administration of, [18](#)

Justice and Beneficence, Minister of, [18](#)  
Sub-Secretary of, [18](#), [42](#)

Justices, [19](#)

Junta, Provisional, [viii](#), [ix](#)

Jutiapa, [282](#)

Keilbauer, René, [213](#), [214](#)

Keith, Minor C., [214](#), [215](#)

Kelly, Mark Jamestown, [45](#), [51](#), [53](#) 114, [115](#), [116](#), [151](#), [164](#), [201](#), [203](#), [207](#),  
[211](#)

Kinnon, Lieutenant, [287](#)

Knox, Philander, [122](#), [126](#)

Kosmos Company, [219](#)

Labour, [311](#)

La Ceiba, [51](#), [304](#)

Lagos, Ingeniero José Maria Peralta, [18](#), [36](#), [42](#)

Laguna Finca, [153](#)

La Libertad, [1](#), [9](#), [11](#), [28](#), [32](#), [58](#), [146](#), [167](#), [220](#), [223-227](#), [232](#), [234](#), [248](#), [271](#), [276](#), [287-290](#), [297](#), [300](#)

Lamport and Holt, [219](#)

Lancaster C. and W. Co., [200](#)

Land Law, [228](#), [229](#)

La Paz, Department of, [28](#), [234](#), [247](#), [248](#), [278](#), [284](#), [287](#), [300](#), [301](#), [305](#)

Latin-American trade, [120](#)

Latin Republics, [v](#), [vii](#), [viii](#), [x](#)

La Unión, [8](#), [9](#), [24](#), [25](#), [28](#), [58](#), [69](#), [167](#), [202](#), [213](#), [216-220](#), [226](#), [266](#), [286](#), [309](#), [311](#)

La Unión Department, [12](#), [28](#), [306](#), [311-313](#)

Law, Criminal, [19](#)

Lazarettos, [270](#)

Lefferts, Miss Anne E., [98](#)

Lefferts, John, [98](#)

Legal procedure, [19](#)

Legation, British, [97](#), [128](#)  
United States, [16](#), [117](#), [127](#)

Legislative, [15](#)

Leiva, Nicolás, [48](#)

Leiva, General Ponciano, [39](#), [74](#)

Lempa River, [3](#), [11](#), [232](#), [276](#), [314](#)

Leyland Line, [219](#)

Liberals, [viii](#), [ix](#)

Limón, Port of, [136](#)

Linares, [11](#)

Liquors and beers, [158](#), [159](#)

Liverpool Consul for Salvador, [48](#)

Llanos, Colonel Armando, [88](#)

Loans, foreign, [49](#), [50](#), [51](#), [52](#), [53](#), [54](#), [55](#), [57](#), [115](#)

London, [168](#), [170](#)

Lopez, Dr. Fernando, [38](#)

Lumber, [108](#)

Machinery, [135](#), [151](#)

    agricultural, [107](#), [147](#), [148](#)

    mining, [182](#), [189](#), [190](#)

Madriz, José, [81](#), [82](#)

Maida, [ix](#)

Maize, [229](#), [232](#), [240](#), [316](#)

Manufacturers, British, [138](#), [139](#), [141](#)  
native, [163](#), [276](#), [277](#), [285](#), [291](#), [307](#), [311](#), [312](#)

Marine, War and, [18](#)

Markets, [292](#), [299](#)

Marriages, [27](#)

Martin, Ernesto, [81](#), [82](#)

Mason, Marcus, and Co., [152](#)

Mathies, C. G., [176](#)

Maximilian, [10](#)

Medical College, [28](#)

Medicines and drugs, [107](#), [157](#)

Medina, General, [39](#), [74](#)

Mejía, Federico, [117](#)

Melendez, Carlos, [38](#)

Mencia, Manuel Lopez, [56](#)

Menéndez, General F., [15](#), [39](#)

Mercedes, [12](#)

Mercenaries, United States, [vi](#)

Mercury, [295](#)



Metapán, [9](#), [11](#), [297](#), [299](#)

Mexican Commission, [97](#)

Mexico, vi, viii, ix, [4](#), [10](#), [13](#), [21](#), [30](#), [50](#), [62](#), [75](#), [97](#), [116](#), [132](#), [143](#), [160](#), [161](#), [231](#), [236](#), [245](#), [278](#)

Michaelson, Fédor, [226](#), [227](#)

Militia, [38](#)

Miller, J. Imbrie, [287](#)

Mine production, [186](#)

Miners, native, [184](#), [195](#)

Mines in operation, [185](#)

Mining, [9](#), [181](#)-195

Minister of Education, [26](#), [42](#), [266](#)  
of Finance, [18](#), [117](#)  
of War, [86](#)

Ministry, [18](#)

Minor courts, [19](#)

Miranda, General, [74](#)

Mission to Coronation, H.M. George V., [46](#), [47](#)

Momotombo volcano, [4](#)

Monarchy, Spanish, [vii](#), [viii](#)

Moncagua, [306](#)

Monroe Doctrine, [130](#)

Monuments, public, [274](#), [275](#)

Morales, Don Agustin, [127](#)

Morazán Department, [28](#), [247](#), [306](#), [310](#), [311](#)

Morazán, General Francisco, [14](#), [15](#), [275](#), [310](#)

Morelia, [13](#)

Morgan, J. Pierpont, [161](#)

Mortality, [268](#)

Mortgage Bank, [177](#)

Municipalities, [16](#), [17](#)

Municipal Treasury, [18](#)

Nahuizalco, [290](#)

National Assembly, [15](#), [19](#), [38](#)

National Bank, [172](#), [174](#), [175](#), [176](#)

National Chamber of Deputies, [15](#)  
Congress, [33](#), [44](#), [47](#), [53](#)

National Institute, [265](#)  
Library, [265](#)

Palace, [274](#)

Theatre, [151](#), [257](#), [260](#), [261](#), [263](#), [264](#), [274](#)

National University, [22](#), [30](#), [42](#), [45](#), [265](#)

Native manufacturers, [163](#), [276](#), [277](#)  
types, [244](#)

New San Salvador (Santa Tecla), [9](#), [25](#), [46](#), [93](#)

New York, [168](#), [170](#)

Nicaragua, [4](#), [14](#), [15](#), [50](#), [61](#), [67](#), [68](#), [71](#), [72](#), [73](#), [74](#), [75](#), [77](#), [96](#), [140](#), [172](#),  
[179](#), [180](#), [212](#), [214](#), [249](#)  
war with, [40](#)

Nicaraguan Navy, [73](#)

North American Filibusters, [vi](#), [61](#)

Occidental Bank, [172](#)

Olocuilta, [300](#)

Opico, [9](#), [287](#)

Opposition, Spanish, [vii](#)

Otaco, [295](#)

Ottley, Miss Lucy, [97](#)

Ozatlán, [315](#)

Pacas, Dr. José Rosa, [117](#)

Pacific Mail Steamship Company, [129](#)  
Steamship Navigation Company, [218](#), [219](#)

Palacio Nacional, [277](#)

Palmer, Frederick, [163](#)

Palomo, Tomás, G., [268](#)

Pamphlets in Spanish, [147](#)

Panama, [136](#), [172](#), [223](#), [226](#)  
Canal, [159](#)  
Railroad, [136](#)

Pan-American Bureau, [113](#)  
Railway, [136](#), [214](#)

Parcels Post, [31](#)

Parks, public, [258](#), [259](#), [283](#), [289](#)

Parras Lempa, [35](#)

Pasaquina, Battle of, [39](#)

Paz, River, [1](#), [8](#)

Peace Conference, Central American, [33](#), [118](#), [119](#), [214](#)

Peasants, [243](#)-246

Penitenciaría, Central, [21](#)  
Santa Ana, [22](#)

Peralta, Don José María, [36](#)

Peralta, Señorita Maria, [36](#)

Perú, [4](#), [21](#), [131](#), [132](#), [202](#)

Pharmacy Law, [157](#)

Pinto, Alberto, [12](#)

Pinto, Miguel, [178](#)

Pitt, William, [38](#)

Planters and trade, [209](#), [210](#)

Police, [18](#), [23](#)-25

Police, Director-General of, [23](#)  
superior officers, [23](#)

Polytechnic, [88](#)-90

Population, [2](#), [4](#), [217](#), [224](#), [244](#), [246](#), [257](#), [277](#), [279](#), [283](#), [289](#), [295](#), [301](#),  
[309](#), [311](#), [314](#), [315](#), [316](#)

Portillo, A. R., [177](#)

Port Limón, [136](#)

Ports, [11](#), [32](#), [216](#), [226](#), [271](#)

Postal Administrator, [35](#)  
agencies, [35](#)  
Convention, [31](#)  
service, [30](#), [31](#), [33](#), [34](#), [35](#)

Poste Restante, [34](#)

Post Office, [18](#), [30](#), [33](#)-35  
British, [33](#)

Posts, Department of, [30](#)

Potatoes, [240](#)

Potteries, [277](#)

Poultry, [231](#)

Poverty, absence of, [277](#)

Presa General, [69](#)

Presidential Designate, [38](#)

President M. E. Araujo, [15](#), [17](#), [36](#), [40](#), [43](#), [47](#), [84](#), [85](#), [114](#), [246](#), [273](#)

Presidents, [14](#)-17

Press, [177](#)-180, [227](#)  
Association, Central American, [179](#)

Prieto, Don Carlos G., [18](#), [36](#), [43](#)

Printing establishment, [18](#)

Prisons, [20](#)

Procedure, legal, [19](#)

Proclamation to people, [62](#)-63

Progreso, El, [290](#)

Prosperity, general, [277](#), [295](#), [296](#), [299](#)

Protection, [132](#)

Provisional Junta, [viii](#), [ix](#)

Public Credit, minister of, [18](#)  
Sub-Secretary, [18](#)

Public Debt, [57](#)

Public Instruction, Minister of, [18](#), [26](#)  
Sub-Secretary of, [18](#), [26](#), [42](#)  
Parks, [258](#), [259](#), [283](#), [289](#)  
Works, Sub-Secretary of, [42](#)

Puerto Cortes, [68](#)

Quezaltepeque, [287](#)  
volcano, [288](#)

Quinóñez, Dr. A., [265](#)

Quirós, Guillermo, [11](#)

Race, Spanish, [v](#)

Railways, new, [212](#)-215, [286](#), [287](#), [309](#)

Railway subsidy, [52](#), [54](#)  
finance, [55](#)

Regoládo, General Tomás, [15](#), [67](#)

Religion, [28](#), [259](#)

Religious instruction, [28](#)

Republic, Federal, [14](#)

Republics, Latin, [v](#), [vii](#), [viii](#), [x](#)

Restaurants, [158](#)

Revenue and expenditure, [55](#), [56](#), [57](#), [58](#), [59](#), [69](#), [236](#), [237](#)

Revolution, [63](#)

French, [viii](#)

Rice, [108](#), [229](#), [248](#), [276](#), [282](#), [288](#)

Rice machinery, [156](#)

Rivas, Manuel, [61](#), [63](#), [64](#)

Rivas, R. Mayorga, [177](#)

Roads, [8](#), [9](#), [10](#), [11](#), [12](#), [299](#), [303](#), [304](#)

Roman Catholics, [259](#)

Roosevelt, President, [117](#), [118](#), [121](#)

Rosales, Don José, [266](#)

Rozenraad, C., [164](#)

Rubber, [108](#), [229](#), [238](#), [239](#)

Rum, [236](#)



Sabana Grande, [39](#)

Sailing vessels, [109](#)

Salina Cruz, [204](#), [205](#), [226](#), [227](#)

Salvador Chamber of Commerce (London), [115](#)

invasion of, [61](#)-64

Railway, [9](#), [35](#), [50](#), [52](#), [54](#), [61](#), [114](#), [115](#), [136](#), [164](#), [196](#)-215, [223](#), [225](#), [299](#), [310](#)

*Salvador*, ss., [201](#), [204](#)-206, [225](#)

Sanatoriums, [267](#), [268](#)

San Alejo, [311](#)

San Buena Ventura, [315](#)

San Carlos, [310](#)

San Francisco, [276](#)

San Ignacio, [276](#)

San Isidro, [282](#)

San Jacinto, [6](#)

San José, [136](#)

San Miguel, [9](#), [19](#), [24](#), [25](#), [34](#), [45](#), [94](#), [176](#), [179](#), [202](#), [213](#), [232](#), [266](#), [286](#), [306](#), [309](#), [310](#)

Department of, [12](#), [247](#), [282](#), [284](#), [287](#), [306](#)-310, [311](#), [313](#)

River, [3](#), [232](#)

volcano, [4](#)

San Pedro, [278](#)

Mazahuat, [300](#), [305](#)

Nonualco, [270](#), [300](#), [304](#)

San Rafael, [276](#), [278](#), [301](#)

San Salvador (capital), [9](#), [21](#), [24](#), [26](#), [28](#), [32](#), [51](#), [52](#), [141](#), [150-152](#), [176](#), [197](#), [198](#), [225](#), [249-270](#), [273](#), [274](#), [286](#), [309](#)

Department of, [28](#), [234](#), [247](#), [248](#), [276](#), [278](#), [287](#), [300](#)

volcano, [4](#), [248](#), [281](#)

San Vicente volcano, [4](#)

Santa Ana, [9](#), [11](#), [19](#), [24](#), [25](#), [28](#), [32](#), [34](#), [51](#), [52](#), [64](#), [90](#), [93](#), [95](#), [141](#), [176](#), [179](#), [197](#), [198](#), [202](#), [213](#), [215](#), [266](#), [297-299](#)

Barbara, [39](#)

Department of, [12](#), [28](#), [234](#), [247](#), [270](#), [276](#), [287-290](#), [294](#), [297-299](#)

Penitenciaria, [22](#)

volcano, [3](#), [4](#), [281](#)

Santa Elena, [313](#), [315](#)

Santa Maria Ostuma, [304](#)

Santa Rosa, [9](#), [311](#)

Santa Tecla (Nueva San Salvador), [9](#), [25](#), [46](#), [93](#), [179](#), [225](#), [257](#), [266](#), [287](#), [289](#), [289](#), 290

Santiago de María, [11](#)

Nonualco, [300](#)

San Vicente, [9](#), [25](#), [28](#), [38](#), [213](#), [256](#), [266](#), [286](#), [309](#)

Department, [29](#), [39](#), [40](#), [234](#), [240](#), [245](#), [247](#), [278](#), [300](#), [301](#), [313](#)

Sapotitan, [288](#)

Scenery, [1](#)

Scherzer, A. Z., [51](#)

Schlensz, R., [176](#)

School for Sergeants and Corporals, [88](#)

School of Agriculture, [29](#)

Schools, [27](#), [28](#), [29](#), [283](#), [314](#)

Schwerin, H. T., [129](#)

Secretaries of State, [18](#)

Secretary of State (British), [99](#), [100](#), [105](#)

Sensunapán River, [291](#)

Sensuntepeque, [9](#), [141](#), [279](#), [292](#), [283](#)

Service, Postal, [30](#), [31](#)

Sesorí, [306](#)

Sheep, [230](#), [231](#)

Sherrill, Charles H., [127](#)

Shippers, advice to, [44](#)

Shipping, [109](#), [129](#), [146](#), [167](#), [216](#), [218](#), [219](#), [220](#)

Siege, state of, [69](#)

Sitio del Niño, [9](#), [35](#), [51](#), [93](#), [197](#), [198](#)

Smallpox, [270](#)

Smoked meat, [158](#)  
fish, [158](#)

Social customs, [158](#)

Sociedad, [310](#)

Societies, [264](#)

Sonsonate, [3](#), [9](#), [24](#), [25](#), [28](#), [34](#), [51](#), [58](#), [61](#), [66](#), [141](#), [179](#), [197](#), [198](#), [230](#), [266](#),  
[290](#)-294, [295](#), [297](#)  
Department of, [28](#), [234](#), [240](#), [245](#), [247](#), [288](#), [290](#), [294](#), [297](#)

Soriano, Andres, [11](#)

Spain, [v](#), [vi](#), [vii](#), [viii](#), [1](#), [13](#), [147](#)  
war with, [v](#), [vii](#)

Spanish-American University, [37](#)  
Congress, [46](#)  
oppression, [vii](#)  
race, [v](#)

Spencer, C. T. S., [200](#), [201](#), [212](#), [310](#)

Sport, [231](#)

Squier, E. G., [127](#)

State, Ministers of, [18](#)  
of siege, [69](#)  
Sub-Secretaries of, [18](#)

Statistics, Trade, [105](#), [106](#), [107](#), [108](#)

Steamships, [109](#), [129](#), [216](#), [218](#), [219](#), [220](#)

Stewart, Charles, [202](#)

Sub-Secretaries of State, [18](#)

Subsidy, railway, [52](#), [54](#)

Suchitote, [279](#)

Sugar, [108](#), [225](#), [229](#), [232](#), [235](#), [236](#), [248](#), [285](#), [288](#), [295](#), [307](#), [311](#), [316](#)  
machinery, [150](#), [152](#)-155, [235](#)

Superior officers of police, [23](#)

Supreme Court, [18](#)

Surgical College, [29](#)

Swan, Hunter, and Co., [204](#), [205](#)

Symons, G. T., [203](#)

Tabanco, [181](#)

Taxation, [236](#)

Teaching staff, [28](#)

Tecapa, [9](#)  
volcano, [4](#)

Tecapán, [316](#)

Tehuantepec Railway, [136](#), [204](#), [205](#), [206](#)

Tejutepeque, [282](#)

Tejutla, [276](#)

Telegraph and telephones, [18](#), [31](#), [297](#)

Telegraphy, wireless, [32](#)

Téllez, J. M. L., [177](#)

Temperatures, [250](#), [256](#)

Teotepeque, [287](#)

Texistepeque, [297](#)

Textiles, [134](#), [145](#), [162](#)

Theatre, National, [151](#), [257](#), [260](#), [261](#), [263](#), [264](#)

Theatres, [291](#)

Timber, [240](#), [241](#), [285](#), [288](#), [291](#), [307](#), [312](#)

Tobacco, [108](#), [158](#), [236](#), [237](#), [238](#), [248](#), [279](#), [280](#), [285](#), [295](#), [316](#)

Toledo, General Salvador, [68](#)

Tonacatepeque, [9](#)

Trade, British, [98](#), [99](#), [105](#), [123](#), [125](#), [127](#), [129](#)

foreign, [106](#)

German, [108](#), [109](#)

Latin-American, [120](#)

statistics, [105](#), [106](#), [107](#), [108](#)

Trading companies, [137](#), [138](#)

Tramways, [160](#)

Transportation, [196](#)-215

Treasury, Municipal, [18](#)

Treaties of commerce, [109](#), [112](#), [124](#), [126](#), [127](#), [320](#)

Triana, S. Perez, [46](#)

Triunfo, [11](#), [167](#), [226](#), [316](#)

Troops, [86](#), [87](#), [88](#)

Tuberculosis, [267](#), [268](#)

Types, native, [244](#), [245](#)

Ucléo, Alberto, [81](#), [82](#)

Uluazapa, [306](#)

United Fruit Company, [214](#), [218](#)  
Central America, [14](#)

United States vi, [5](#), [10](#), [20](#), [21](#), [23](#), [27](#), [29](#), [44](#), [62](#), [75](#), [96](#), [103](#), [104](#), [105](#),  
[106](#), [107](#), [108](#), [109](#), [110](#), [111](#), [112](#), [117](#), [122](#), [123](#), [124](#), [126](#), [127](#), [128](#), [144](#),  
[145](#), [151](#), [158](#), [159](#)  
capital, [159](#), [160](#), [161](#)  
Consul-General, [44](#), [116](#)  
Consuls, [112](#)  
Legation, [116](#), [117](#), [127](#)  
mercenaries, vi  
steel, [135](#), [136](#)

trade, [145](#), [146](#), [147](#)

Universities, [28](#), [29](#), [314](#)

University, National, [29](#), [30](#), [42](#), [45](#)  
Spanish-American, [37](#)

Uriate, Juan R., [178](#)

Uruguay, [230](#)

Usulután City, [213](#), [301](#), [314](#), [315](#)  
Department of, [12](#), [25](#), [247](#), [284](#), [306](#), [313](#)-316  
volcano, [4](#)

Vaccination, direction of, [18](#), [270](#), [271](#)

Valladolid, [13](#)

Vice-Presidents, [16](#)

Viceroy, Spanish, [vii](#), [viii](#)

Victoria, [282](#)

Vischer, Alfred, [87](#)

Volcanoes, [1](#), [2](#), [4](#), [248](#), [251](#), [252](#), [256](#), [279](#), [280](#), [281](#), [284](#), [285](#), [288](#), [294](#),  
[297](#), [298](#), [304](#), [307](#), [311](#), [313](#)

Walsh, George S., [203](#)

War and Marine Sub-Secretary, [18](#)  
with Spain, [v](#), [vii](#)



Weavers, native, [163](#)

Wheat, [229](#), [240](#), [276](#)

Wines and spirits, [158](#), [159](#)

Wireless telegraphy, [32](#)

Woods, precious, [240](#), [241](#)

Woollens, [145](#), [163](#), [295](#)

Xatruch, General, [74](#)

Yams, [240](#)

Yarns, [135](#)

Yellow Fever, [272](#)

Yúdice, Dr. Federico, [272](#)

Zacapa, [30](#), [215](#)

Zacatceolucan, [9](#), [25](#), [223](#), [266](#), [300](#), [301](#), [303](#), [304](#)  
volcano, [4](#)

Zaldívar, Dr. Rafael, [39](#), [46](#)

Zapote Barracks, [88](#), [92](#), [274](#)

Zaragosa, [225](#)

Zelaya, General José Santos, [14](#), [15](#), [56](#), [61](#), [62](#), [67](#), [68](#), [71](#), [72](#), [73](#), [74](#), [78](#), [79](#)

---

## FOOTNOTES:

[1] See "Mexico of the XXth Century," vol i., pp. 79, 83, 86, and vol. ii., pp. 101, 143, by the same Author.

[2] These figures are in Salvadorean pesos=\$0.403 U.S. *gold*.

[3] This volume having to go to press a few weeks before the Return of 1910 will have been issued, the figures for the preceding year only are available.

[4] Usance = the time which in certain countries is allowed by custom or usage for the payment of bills of exchange drawn on those countries.—AUTHOR.

[5] The above statistics are out of date; the present population of the Republic of Salvador is estimated at 1,200,000.

[6] These figures will, no doubt, be recognized by some of my more critical readers as a "repetition," having already been presented by me in previous chapters. But since I have, for the purpose of more ready reference, divided this volume into Departments, it has been deemed desirable to repeat the statistics of railway construction and road-building under each separate Department to which the figures bear any relation.—AUTHOR.

---

### Transcriber's note:

Minor typographical errors have been corrected without note. Irregularities and inconsistencies in the text have been retained as printed.

The illustrations have been moved so that they do not break up paragraphs, thus the page number of the illustration might not match the page number in the List of Illustrations.

Mismatched quotes are not fixed if it's not sufficiently clear where the missing quote should be placed.

The cover for the eBook version of this book was created by the transcriber and is placed in the public domain.

Pages 55, 57, 149: The numbers in the tables do not add up correctly as written.

The two photographs that appear between pages 96 and 97 have been moved to page 78 to match the table of contents.



\*\*\* END OF THE PROJECT GUTENBERG EBOOK SALVADOR OF  
THE TWENTIETH CENTURY \*\*\*

Updated editions will replace the previous one—the old editions will be renamed.

Creating the works from print editions not protected by U.S. copyright law means that no one owns a United States copyright in these works, so the Foundation (and you!) can copy and distribute it in the United States without permission and without paying copyright royalties. Special rules, set forth in the General Terms of Use part of this license, apply to copying and distributing Project Gutenberg™ electronic works to protect the PROJECT GUTENBERG™ concept and trademark. Project Gutenberg is a registered trademark, and may not be used if you charge for an eBook, except by following the terms of the trademark license, including paying royalties for use of the Project Gutenberg trademark. If you do not charge anything for copies of this eBook, complying with the trademark license is very easy. You may use this eBook for nearly any purpose such as creation of derivative works, reports, performances and research. Project Gutenberg eBooks may be modified and printed and given away—you may do practically ANYTHING in the United States with eBooks not protected by U.S. copyright law. Redistribution is subject to the trademark license, especially commercial redistribution.

START: FULL LICENSE

# THE FULL PROJECT GUTENBERG™ LICENSE

PLEASE READ THIS BEFORE YOU DISTRIBUTE OR USE THIS WORK

To protect the Project Gutenberg™ mission of promoting the free distribution of electronic works, by using or distributing this work (or any other work associated in any way with the phrase “Project Gutenberg”), you agree to comply with all the terms of the Full Project Gutenberg License available with this file or online at [www.gutenberg.org/license](http://www.gutenberg.org/license).

## **Section 1. General Terms of Use and Redistributing Project Gutenberg electronic works**

1.A. By reading or using any part of this Project Gutenberg electronic work, you indicate that you have read, understand, agree to and accept all the terms of this license and intellectual property (trademark/copyright) agreement. If you do not agree to abide by all the terms of this agreement, you must cease using and return or destroy all copies of Project Gutenberg electronic works in your possession. If you paid a fee for obtaining a copy of or access to a Project Gutenberg electronic work and you do not agree to be bound by the terms of this agreement, you may obtain a refund from the person or entity to whom you paid the fee as set forth in paragraph 1.E.8.

1.B. “Project Gutenberg” is a registered trademark. It may only be used on or associated in any way with an electronic work by people who agree to be bound by the terms of this agreement. There are a few things that you can do with most Project Gutenberg electronic works even without complying with the full terms of this agreement. See paragraph 1.C below. There are a lot of things you can do with Project Gutenberg electronic works if you follow the terms of this agreement and help preserve free future access to Project Gutenberg electronic works. See paragraph 1.E below.

1.C. The Project Gutenberg Literary Archive Foundation (“the Foundation” or PGLAF), owns a compilation copyright in the

collection of Project Gutenberg electronic works. Nearly all the individual works in the collection are in the public domain in the United States. If an individual work is unprotected by copyright law in the United States and you are located in the United States, we do not claim a right to prevent you from copying, distributing, performing, displaying or creating derivative works based on the work as long as all references to Project Gutenberg are removed. Of course, we hope that you will support the Project Gutenberg mission of promoting free access to electronic works by freely sharing Project Gutenberg works in compliance with the terms of this agreement for keeping the Project Gutenberg name associated with the work. You can easily comply with the terms of this agreement by keeping this work in the same format with its attached full Project Gutenberg License when you share it without charge with others.

1.D. The copyright laws of the place where you are located also govern what you can do with this work. Copyright laws in most countries are in a constant state of change. If you are outside the United States, check the laws of your country in addition to the terms of this agreement before downloading, copying, displaying, performing, distributing or creating derivative works based on this work or any other Project Gutenberg work. The Foundation makes no representations concerning the copyright status of any work in any country other than the United States.

1.E. Unless you have removed all references to Project Gutenberg:

1.E.1. The following sentence, with active links to, or other immediate access to, the full Project Gutenberg License must appear prominently whenever any copy of a Project Gutenberg work (any work on which the phrase “Project Gutenberg” appears, or with which the phrase “Project Gutenberg” is associated) is accessed, displayed, performed, viewed, copied or distributed:

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg™ License included with

this eBook or online at [www.gutenberg.org](http://www.gutenberg.org). If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

1.E.2. If an individual Project Gutenberg electronic work is derived from texts not protected by U.S. copyright law (does not contain a notice indicating that it is posted with permission of the copyright holder), the work can be copied and distributed to anyone in the United States without paying any fees or charges. If you are redistributing or providing access to a work with the phrase “Project Gutenberg” associated with or appearing on the work, you must comply either with the requirements of paragraphs 1.E.1 through 1.E.7 or obtain permission for the use of the work and the Project Gutenberg trademark as set forth in paragraphs 1.E.8 or 1.E.9.

1.E.3. If an individual Project Gutenberg electronic work is posted with the permission of the copyright holder, your use and distribution must comply with both paragraphs 1.E.1 through 1.E.7 and any additional terms imposed by the copyright holder. Additional terms will be linked to the Project Gutenberg License for all works posted with the permission of the copyright holder found at the beginning of this work.

1.E.4. Do not unlink or detach or remove the full Project Gutenberg License terms from this work, or any files containing a part of this work or any other work associated with Project Gutenberg.

1.E.5. Do not copy, display, perform, distribute or redistribute this electronic work, or any part of this electronic work, without prominently displaying the sentence set forth in paragraph 1.E.1 with active links or immediate access to the full terms of the Project Gutenberg License.

1.E.6. You may convert to and distribute this work in any binary, compressed, marked up, nonproprietary or proprietary form, including any word processing or hypertext form. However, if you provide access to or distribute copies of a Project Gutenberg work in a format other than “Plain Vanilla ASCII” or other format used in the official



version posted on the official Project Gutenberg website ([www.gutenberg.org](http://www.gutenberg.org)), you must, at no additional cost, fee or expense to the user, provide a copy, a means of exporting a copy, or a means of obtaining a copy upon request, of the work in its original “Plain Vanilla ASCII” or other form. Any alternate format must include the full Project Gutenberg License as specified in paragraph 1.E.1.

1.E.7. Do not charge a fee for access to, viewing, displaying, performing, copying or distributing any Project Gutenberg works unless you comply with paragraph 1.E.8 or 1.E.9.

1.E.8. You may charge a reasonable fee for copies of or providing access to or distributing Project Gutenberg electronic works provided that:

- You pay a royalty fee of 20% of the gross profits you derive from the use of Project Gutenberg works calculated using the method you already use to calculate your applicable taxes. The fee is owed to the owner of the Project Gutenberg trademark, but he has agreed to donate royalties under this paragraph to the Project Gutenberg Literary Archive Foundation. Royalty payments must be paid within 60 days following each date on which you prepare (or are legally required to prepare) your periodic tax returns. Royalty payments should be clearly marked as such and sent to the Project Gutenberg Literary Archive Foundation at the address specified in Section 4, “Information about donations to the Project Gutenberg Literary Archive Foundation.”
- You provide a full refund of any money paid by a user who notifies you in writing (or by e-mail) within 30 days of receipt that s/he does not agree to the terms of the full Project Gutenberg™ License. You must require such a user to return or destroy all copies of the works possessed in a physical medium and discontinue all use of and all access to other copies of Project Gutenberg™ works.
- You provide, in accordance with paragraph 1.F.3, a full refund of any money paid for a work or a replacement copy, if a defect in the electronic work is discovered and reported to you within 90 days of receipt of the work.

- You comply with all other terms of this agreement for free distribution of Project Gutenberg™ works.

1.E.9. If you wish to charge a fee or distribute a Project Gutenberg™ electronic work or group of works on different terms than are set forth in this agreement, you must obtain permission in writing from the Project Gutenberg Literary Archive Foundation, the manager of the Project Gutenberg™ trademark. Contact the Foundation as set forth in Section 3 below.

#### 1.F.

1.F.1. Project Gutenberg volunteers and employees expend considerable effort to identify, do copyright research on, transcribe and proofread works not protected by U.S. copyright law in creating the Project Gutenberg™ collection. Despite these efforts, Project Gutenberg™ electronic works, and the medium on which they may be stored, may contain “Defects,” such as, but not limited to, incomplete, inaccurate or corrupt data, transcription errors, a copyright or other intellectual property infringement, a defective or damaged disk or other medium, a computer virus, or computer codes that damage or cannot be read by your equipment.

1.F.2. LIMITED WARRANTY, DISCLAIMER OF DAMAGES - Except for the “Right of Replacement or Refund” described in paragraph 1.F.3, the Project Gutenberg Literary Archive Foundation, the owner of the Project Gutenberg™ trademark, and any other party distributing a Project Gutenberg™ electronic work under this agreement, disclaim all liability to you for damages, costs and expenses, including legal fees. YOU AGREE THAT YOU HAVE NO REMEDIES FOR NEGLIGENCE, STRICT LIABILITY, BREACH OF WARRANTY OR BREACH OF CONTRACT EXCEPT THOSE PROVIDED IN PARAGRAPH 1.F.3. YOU AGREE THAT THE FOUNDATION, THE TRADEMARK OWNER, AND ANY DISTRIBUTOR UNDER THIS AGREEMENT WILL NOT BE LIABLE TO YOU FOR ACTUAL, DIRECT, INDIRECT, CONSEQUENTIAL, PUNITIVE OR INCIDENTAL DAMAGES

EVEN IF YOU GIVE NOTICE OF THE POSSIBILITY OF SUCH DAMAGE.

1.F.3. LIMITED RIGHT OF REPLACEMENT OR REFUND - If you discover a defect in this electronic work within 90 days of receiving it, you can receive a refund of the money (if any) you paid for it by sending a written explanation to the person you received the work from. If you received the work on a physical medium, you must return the medium with your written explanation. The person or entity that provided you with the defective work may elect to provide a replacement copy in lieu of a refund. If you received the work electronically, the person or entity providing it to you may choose to give you a second opportunity to receive the work electronically in lieu of a refund. If the second copy is also defective, you may demand a refund in writing without further opportunities to fix the problem.

1.F.4. Except for the limited right of replacement or refund set forth in paragraph 1.F.3, this work is provided to you 'AS-IS', WITH NO OTHER WARRANTIES OF ANY KIND, EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO WARRANTIES OF MERCHANTABILITY OR FITNESS FOR ANY PURPOSE.

1.F.5. Some states do not allow disclaimers of certain implied warranties or the exclusion or limitation of certain types of damages. If any disclaimer or limitation set forth in this agreement violates the law of the state applicable to this agreement, the agreement shall be interpreted to make the maximum disclaimer or limitation permitted by the applicable state law. The invalidity or unenforceability of any provision of this agreement shall not void the remaining provisions.

1.F.6. INDEMNITY - You agree to indemnify and hold the Foundation, the trademark owner, any agent or employee of the Foundation, anyone providing copies of Project Gutenberg™ electronic works in accordance with this agreement, and any volunteers associated with the production, promotion and distribution of Project Gutenberg™ electronic works, harmless from all liability, costs and expenses, including legal fees, that arise directly or indirectly from any of the following which you do or cause to occur: (a)

distribution of this or any Project Gutenberg work, (b) alteration, modification, or additions or deletions to any Project Gutenberg work, and (c) any Defect you cause.

## **Section 2. Information about the Mission of Project Gutenberg**

Project Gutenberg is synonymous with the free distribution of electronic works in formats readable by the widest variety of computers including obsolete, old, middle-aged and new computers. It exists because of the efforts of hundreds of volunteers and donations from people in all walks of life.

Volunteers and financial support to provide volunteers with the assistance they need are critical to reaching Project Gutenberg's goals and ensuring that the Project Gutenberg collection will remain freely available for generations to come. In 2001, the Project Gutenberg Literary Archive Foundation was created to provide a secure and permanent future for Project Gutenberg and future generations. To learn more about the Project Gutenberg Literary Archive Foundation and how your efforts and donations can help, see Sections 3 and 4 and the Foundation information page at [www.gutenberg.org](http://www.gutenberg.org).

## **Section 3. Information about the Project Gutenberg Literary Archive Foundation**

The Project Gutenberg Literary Archive Foundation is a non-profit 501(c)(3) educational corporation organized under the laws of the state of Mississippi and granted tax exempt status by the Internal Revenue Service. The Foundation's EIN or federal tax identification number is 64-6221541. Contributions to the Project Gutenberg Literary Archive Foundation are tax deductible to the full extent permitted by U.S. federal laws and your state's laws.

The Foundation's business office is located at 41 Watchung Plaza #516, Montclair NJ 07042, USA, +1 (862) 621-9288. Email contact

links and up to date contact information can be found at the Foundation's website and official page at [www.gutenberg.org/contact](http://www.gutenberg.org/contact)

## **Section 4. Information about Donations to the Project Gutenberg Literary Archive Foundation**

Project Gutenberg™ depends upon and cannot survive without widespread public support and donations to carry out its mission of increasing the number of public domain and licensed works that can be freely distributed in machine-readable form accessible by the widest array of equipment including outdated equipment. Many small donations (\$1 to \$5,000) are particularly important to maintaining tax exempt status with the IRS.

The Foundation is committed to complying with the laws regulating charities and charitable donations in all 50 states of the United States. Compliance requirements are not uniform and it takes a considerable effort, much paperwork and many fees to meet and keep up with these requirements. We do not solicit donations in locations where we have not received written confirmation of compliance. To SEND DONATIONS or determine the status of compliance for any particular state visit [www.gutenberg.org/donate](http://www.gutenberg.org/donate).

While we cannot and do not solicit contributions from states where we have not met the solicitation requirements, we know of no prohibition against accepting unsolicited donations from donors in such states who approach us with offers to donate.

International donations are gratefully accepted, but we cannot make any statements concerning tax treatment of donations received from outside the United States. U.S. laws alone swamp our small staff.

Please check the Project Gutenberg web pages for current donation methods and addresses. Donations are accepted in a number of other ways including checks, online payments and credit card donations. To donate, please visit: [www.gutenberg.org/donate](http://www.gutenberg.org/donate).

## **Section 5. General Information About Project Gutenberg electronic works**

Professor Michael S. Hart was the originator of the Project Gutenberg concept of a library of electronic works that could be freely shared with anyone. For forty years, he produced and distributed Project Gutenberg eBooks with only a loose network of volunteer support.

Project Gutenberg eBooks are often created from several printed editions, all of which are confirmed as not protected by copyright in the U.S. unless a copyright notice is included. Thus, we do not necessarily keep eBooks in compliance with any particular paper edition.

Most people start at our website which has the main PG search facility: [www.gutenberg.org](http://www.gutenberg.org).

This website includes information about Project Gutenberg, including how to make donations to the Project Gutenberg Literary Archive Foundation, how to help produce our new eBooks, and how to subscribe to our email newsletter to hear about new eBooks.



[back](#)